AC240

Contract Accounts Receivable and Payable

PARTICIPANT HANDBOOK
INSTRUCTOR-LED TRAINING

Course Version: 16
Course Duration:
Material Number: 50148199

SAP Copyrights, Trademarks and Disclaimers

© 2022 SAP SE or an SAP affiliate company. All rights reserved.

No part of this publication may be reproduced or transmitted in any form or for any purpose without the express permission of SAP SE or an SAP affiliate company.

SAP and other SAP products and services mentioned herein as well as their respective logos are trademarks or registered trademarks of SAP SE (or an SAP affiliate company) in Germany and other countries. Please see https://www.sap.com/corporate/en/legal/copyright.html for additional trademark information and notices.

Some software products marketed by SAP SE and its distributors contain proprietary software components of other software vendors.

National product specifications may vary.

These materials may have been machine translated and may contain grammatical errors or inaccuracies.

These materials are provided by SAP SE or an SAP affiliate company for informational purposes only, without representation or warranty of any kind, and SAP SE or its affiliated companies shall not be liable for errors or omissions with respect to the materials. The only warranties for SAP SE or SAP affiliate company products and services are those that are set forth in the express warranty statements accompanying such products and services, if any. Nothing herein should be construed as constituting an additional warranty.

In particular, SAP SE or its affiliated companies have no obligation to pursue any course of business outlined in this document or any related presentation, or to develop or release any functionality mentioned therein. This document, or any related presentation, and SAP SE's or its affiliated companies' strategy and possible future developments, products, and/or platform directions and functionality are all subject to change and may be changed by SAP SE or its affiliated companies at any time for any reason without notice. The information in this document is not a commitment, promise, or legal obligation to deliver any material, code, or functionality. All forward-looking statements are subject to various risks and uncertainties that could cause actual results to differ materially from expectations. Readers are cautioned not to place undue reliance on these forward-looking statements, which speak only as of their dates, and they should not be relied upon in making purchasing decisions.

Typographic Conventions

American English is the standard used in this handbook.

The following typographic conventions are also used.

This information is displayed in the instructor's presentation	
Demonstration	
Procedure	
Warning or Caution	
Hint	
Related or Additional Information	
Facilitated Discussion	
User interface control	*Example text*
Window title	*Example text*

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Contents

ix	Course Overview	
1	Unit 1:	SAP S/4HANA and SAP Billing and Revenue Innovation Management Overview
3		Lesson: SAP HANA and SAP S/4HANA
11		Lesson: SAP Billing and Revenue Innovation Management
13		Lesson: SAP Fiori
19	Unit 2:	Master Data
21		Lesson: Master Data
31	Unit 3:	Document
33		Lesson: Document Life Cycle
35		Lesson: Document Structure
43		Lesson: Integration with General Ledger
53		Lesson: Segment Reporting in General Ledger
57		Lesson: Account Balance Display
61	Unit 4:	Transactions and Account Determination
63		Lesson: Transactions
69		Lesson: Account Determination
75		Lesson: Tax Determination
79	Unit 5:	Payments
81		Lesson: Incoming and Outgoing Payments
83		Lesson: Payment Lots and Check Lots
93		Lesson: Clarification
99		Lesson: Cash Desk and Cash Journal
105	Unit 6:	Payment Run
107		Lesson: Prerequisites
113		Lesson: Payment Program
119		Lesson: Payment Cards
121		Lesson: Check Management
125	Unit 7:	Returns
127		Lesson: Definition
135		Lesson: Processing

© Copyright. All rights reserved.

139	**Unit 8:**	**Clearing Control**
141		Lesson: Definition
145		Lesson: Configuration
161	**Unit 9:**	**Dunning and Collections**
163		Lesson: Definition
165		Lesson: Dunning Processing
177		Lesson: Collection Processing
183	**Unit 10:**	**Interest Calculation**
185		Lesson: Definition
187		Lesson: Interest Keys and Calculation Rules
195		Lesson: Interest Calculation Processing
203	**Unit 11:**	**Deferral and Installment Plan**
205		Lesson: Deferral
207		Lesson: Installment Plan
215	**Unit 12:**	**Other Business Transactions**
217		Lesson: Account Maintenance
221		Lesson: Reversal and Clearing Reset
227		Lesson: Document Transfer
229	**Unit 13:**	**Security Deposits**
231		Lesson: Cash and Non-Cash Security Deposits
233		Lesson: Cash Security Deposits Posting
239	**Unit 14:**	**Correspondence**
241		Lesson: Concept
245		Lesson: Configuration
249		Lesson: Print Workbench
253	**Unit 15:**	**Closing Activities**
255		Lesson: Foreign Currency Valuation
261		Lesson: Reclassification
267		Lesson: Doubtful Entry and Value Adjustment
271		Lesson: Write-Off
275	**Unit 16:**	**Integration to SAP Convergent Invoicing**
277		Lesson: SAP Convergent Invoicing

© Copyright. All rights reserved.

283	Unit 17:	Appendix
285		Lesson: Event Technology
287		Lesson: Mass Processing

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Course Overview

TARGET AUDIENCE
This course is intended for the following audiences:

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 1

SAP S/4HANA and SAP Billing and Revenue Innovation Management Overview

Lesson 1

SAP HANA and SAP S/4HANA	3

Lesson 2

SAP Billing and Revenue Innovation Management	11

Lesson 3

SAP Fiori	13

UNIT OBJECTIVES

- explain SAP HANA and SAP S/4HANA
- explain SAP Billing and Revenue Innovation Management
- explain SAP Fiori Application and Tools

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 1
Lesson 1

SAP HANA and SAP S/4HANA

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- explain SAP HANA and SAP S/4HANA

SAP HANA and SAP S/4HANA

Scenario

Your business processes a large volume of data. You want to extract information from this data to create meaningful reports. You want to understand how SAP HANA can help you with your data storage and analysis needs, and future proof your organization in preparation for the expansion of the Internet of Things.

You also want to update your current system landscape to a next generation solution, and you are interested in what the new SAP S/4HANA suite can offer and the deployment options that are available.

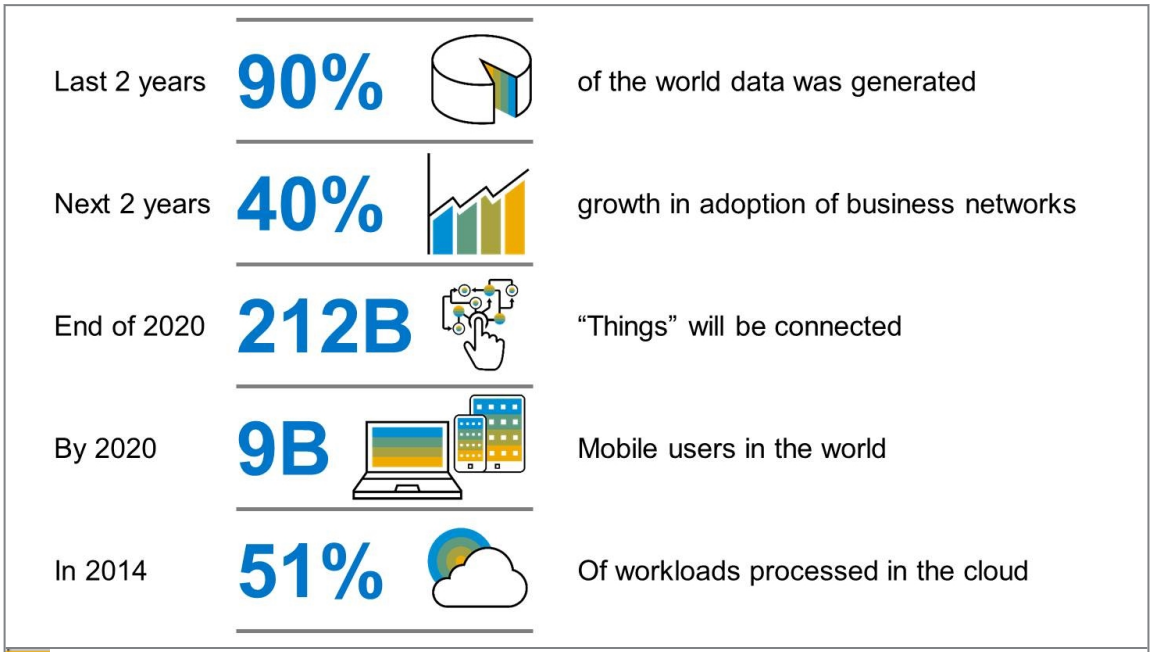


Figure 1: The World Is Now Digital

By the end of 2009, 5 percent of the world's population owned smartphones. Four years later, that figure jumped to 22 percent. Currently, 1.7 billion people are on social networks. Over the next three years, that audience will surpass 2.55 billion. By 2020, 5 billion people will be online, while 50 billion devices will be connected to the Internet of Things, creating a digital network of virtually everything. And cloud computing - a $41 billion business in 2011 - will grow to a $241 billion business in that same time frame. The exponential growth of mobile devices,

© Copyright. All rights reserved.

social media, cloud technologies, and the amazing amounts of data that they generate have transformed the way we live and work. In fact, 61 percent of companies report that most of their people use smart devices for everything from email to project management to content creation.

While all of these advancements have improved our lives and have provided us with greater opportunities for innovation than ever before, they have also presented a new challenge, that is, unprecedented and crippling complexity in the data created from online activities. Data from online purchases, online banking, and online applications might be of interest to the organizations that own it but they can only integrate it with their core business processes if they run SAP S/4HANA.

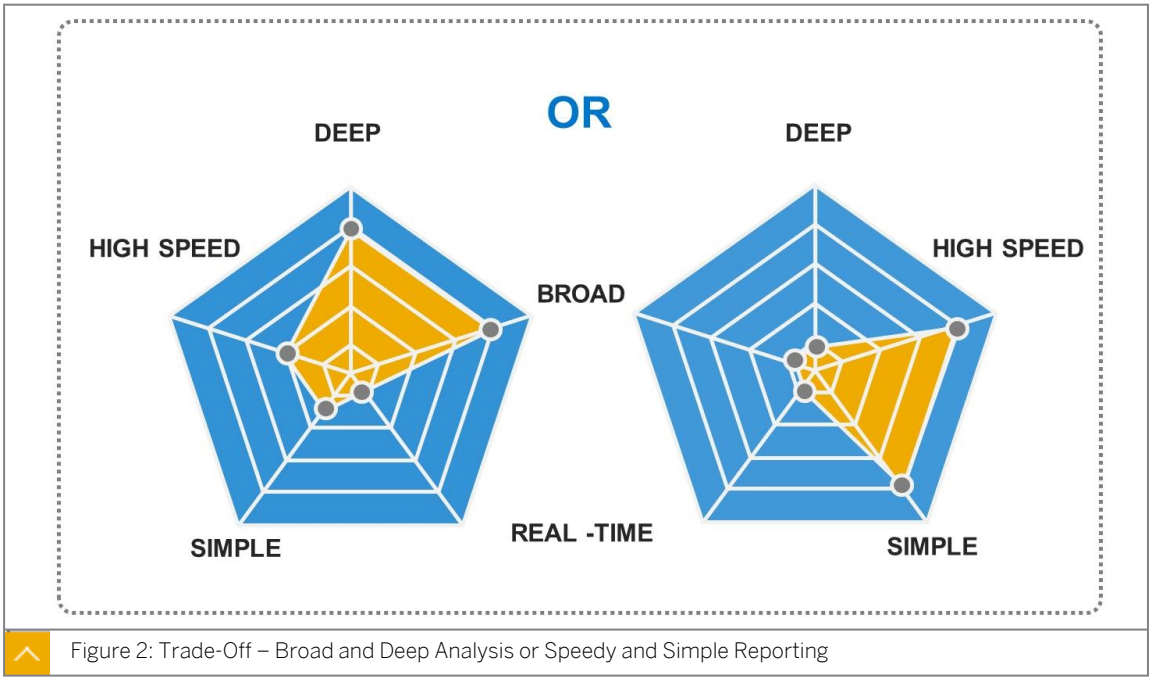


Figure 2: Trade-Off – Broad and Deep Analysis or Speedy and Simple Reporting

Optimizing across the five dimensions shown in the figure, Trade-Off – Broad and Deep or Speedy and Simple, is not possible with existing technologies. You have to decide between a broad and deep analysis of your business warehouse systems or to create high speed but simple reports from your data.

In both scenarios, real time updates are difficult, almost impossible to design. In a data warehouse environment, updates occur overnight in batches.

In the last few years, significant advances in technology mean that application developers can build smarter and more powerful applications, such as the following examples:

- Multi-core processors enable parallelism of tasks meaning more throughput of data and faster processing. This enables real-time responses.
- Larger memory can hold the database of an entire organization. This means that we can eliminate the mechanical spinning disk and the latency it brings.
- Advances in the design of on-board cache mean that data can pass between memory and CPU cores rapidly and without bottlenecks.
- We can now easily slot in more servers into our landscape to add more processing power or memory in order to scale to any size.

© Copyright. All rights reserved.

- Cloud computing is now a compelling deployment option for our customers who do not want to take on the complexity and cost of installing and maintaining IT landscapes. Virtualizing machines lowers the costs of running enterprise-wide applications. Public cloud services based on subscription models provide convenient access to the latest solutions at a reduced cost.

SAP developers have worked closely with leading hardware partners who shared with them the product blueprints of their new CPU architectures. This meant that the SAP developers could re-write their business application software to fully harness these advances.

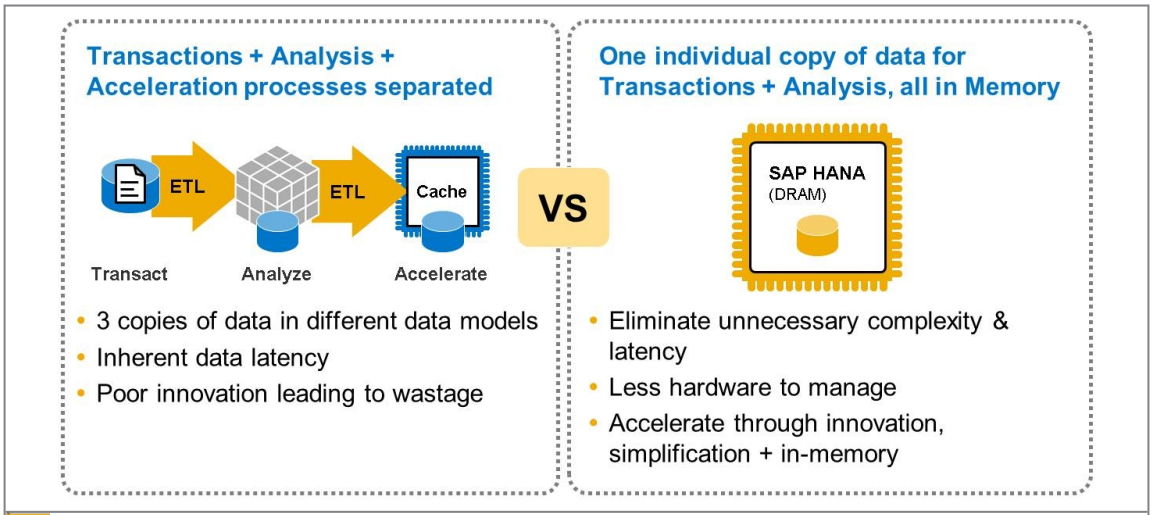


Figure 3: The Vision of SAP HANA

For more than 20 years, organizations have been using specialist software (usually with additional hardware) to extract, transform, and load (ETL) data from transactional systems to dedicated reporting systems. Based on the technology available at the time, this was the optimal way to provide an overall view of business data with good response times (especially when you add accelerator software/hardware).

Online Transactional Processing (OLTP) was separated from Online Analytic Processing (OLAP). The reason for this lies in the database design of OLTP and OLAP. Quite simply, a database model was either built for OLTP optimization or OLAP optimization, but not both. This brought with it complexity, redundancy and of course latency. It was usual for today's business figures to be only available tomorrow for analysis once the data was extracted and loaded to a reporting system.

Databases that support S/4HANA (SAP HANA) can handle both OLTP and OLAP processing from a single data model and therefore we do not need to move transactional data to a separate system. This means transactional and analytical applications run off the same tables and data is available in real-time at every level of detail.

© Copyright. All rights reserved.

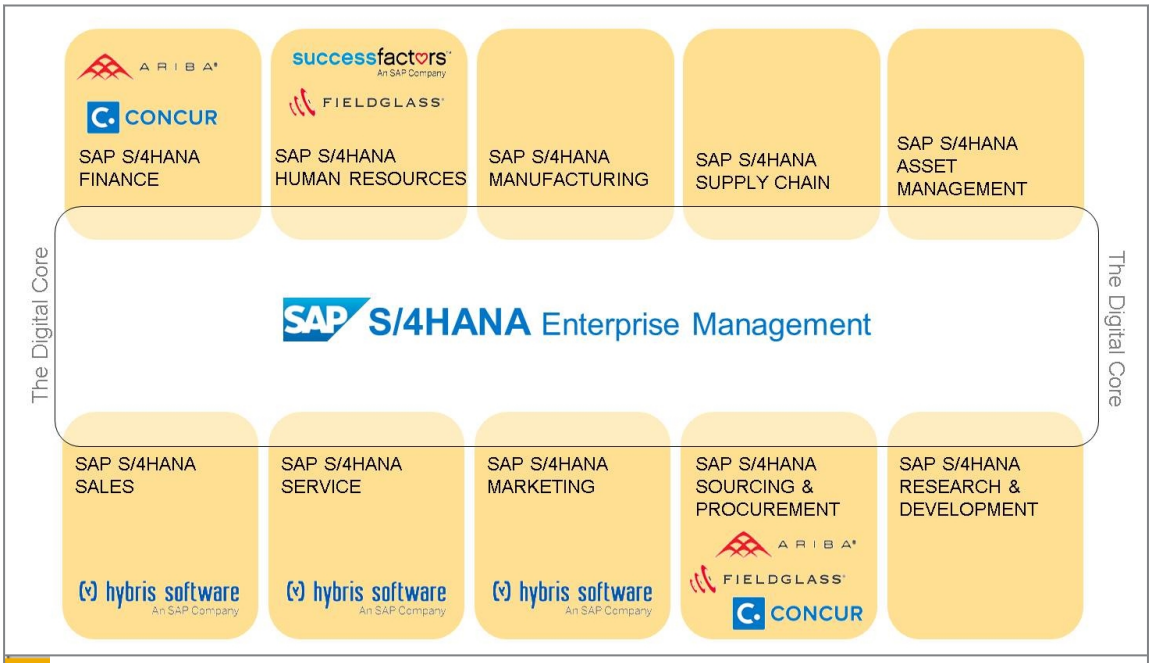


Figure 4: SAP S/4HANA Core and Lines of Business Solutions

SAP S/4HANA is not a single product but covers many applications. Customers can start with the basic components and add to them later. S/4HANA Enterprise Management is a great place to start. This is known as the simplified core and can be considered as the replacement for SAP ERP. Here we find support for all core business processes, such as quotation to cash, procure to pay, and so on. For many customers, this is where their S/4HANA adoption begins.

S/4HANA Enterprise Management can be easily integrated with SAP S/4HANA Lines of Business (LoB) solutions. These options can be added at any time and provide best-in-class lines of business solutions and connections to SAP Business Networks. Customers can choose the LoB solutions that suit their businesses.

In the past, we had multiple add-on applications surrounding the core with overlapping models and much redundancy (for example, SAP CRM and SAP SRM surrounded the core ECC). Overlaps and redundancy have been completely removed with SAP S/4HANA.

SAP S/4HANA is built natively and optimally to run only on the SAP HANA platform.

Related SAP Links

Table 1: Related SAP Links

Where	What	Link
sap.com	SAP HANA	http://hana.sap.com/
sap.com	SAP S/4HANA Help Portal	https://help.sap.com/s4hana

© Copyright. All rights reserved.

SAP S/4HANA Deployment Options

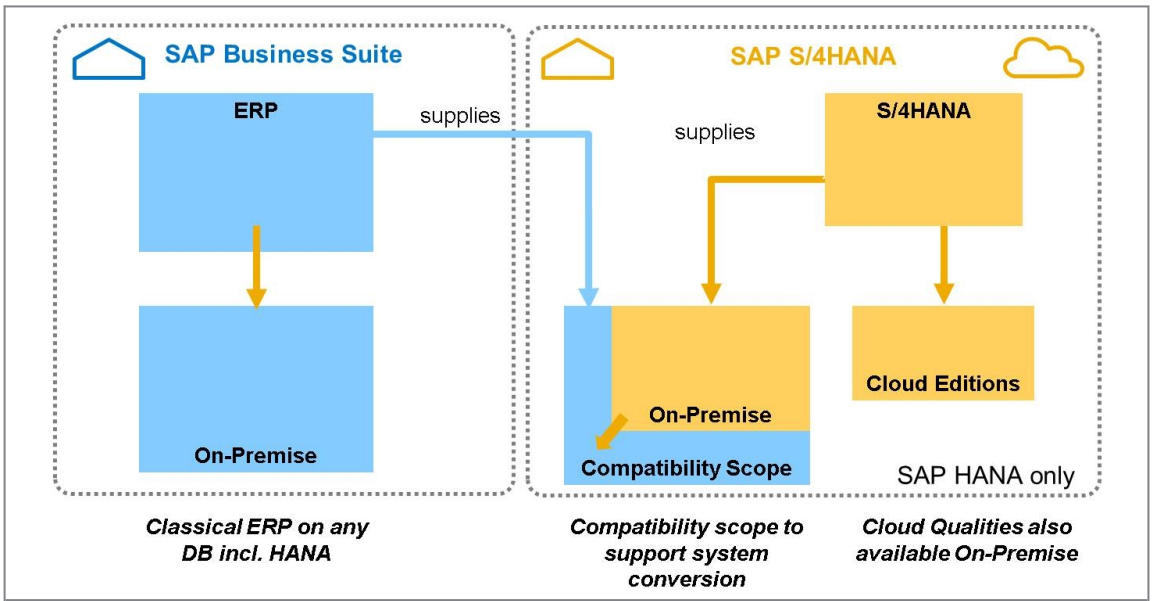


Figure 5: Relation Between SAP ERP and SAP S/4HANA

When looking at SAP S/4HANA, you have in one scenario on-premise editions and in another scenario side the cloud editions. In a lot of use cases or customer cases hybrid scenarios are used. This means the customer has a central base (an on-premise installation) as well as a cloud. This happens, for example, when new subsidiaries of the customer intend to use the cloud installation for SAP S/4HANA (instead of on-premise) for their own business areas.

An on-premise installation provides a lot of control and flexibility in the sense that a consultant gets the requirements of their project from their customer and based on these they define what they will customize for the customer. In the end the customer has a highly customized solution that matches their requirements and fits closely to the processes they already have.

When it comes to the cloud edition, this is different. In SAP's current set of use cases, the reasons most customers give for deciding to use the cloud solution is that they want to get rid of all the customizing and to be more efficient in the implementation phase and to be even more efficient when it comes to upgrades.

The most important thing to understand here is that the customer does not have access to the IMG in the cloud edition. The personalization of an SAP S/4HANA cloud solution will be done with a self-service configuration SAP Fiori Uniform Resource Identifier (URI) which can be found in the *Manage Your Cloud User Interface* in the SAP S/4HANA solution. That means that the flexibility of the cloud solution is defined by self-configuration SAP Fiori URIs. There are also some possibilities of extensibility, but again here it is important to know that extensibility is clearly defined by the organization as to what changes are allowed with extensibility.

The following On-Premise and Cloud solutions are available:

Private Cloud (typically single-tenant):

- Resources dedicated to one customer accessed through a Virtual Private Network (VPN)
- Owned, managed and operated by the customer, a third party, or both

© Copyright. All rights reserved.

- On or off premises of the customer

Hybrid Cloud:

- Resources a mix of two or more distinct clouds
- Integrated by standardized or proprietary technology enabling data and application portability

Public Cloud (multi-tenant):

- Resources shared by multiple customers accessed through the Internet
- Self-service access and tools
- On the premises of the third party cloud provider (not customer)

> Note:
> Link to SAP solution roadmaps: http://go.sap.com/solution/roadmaps.html

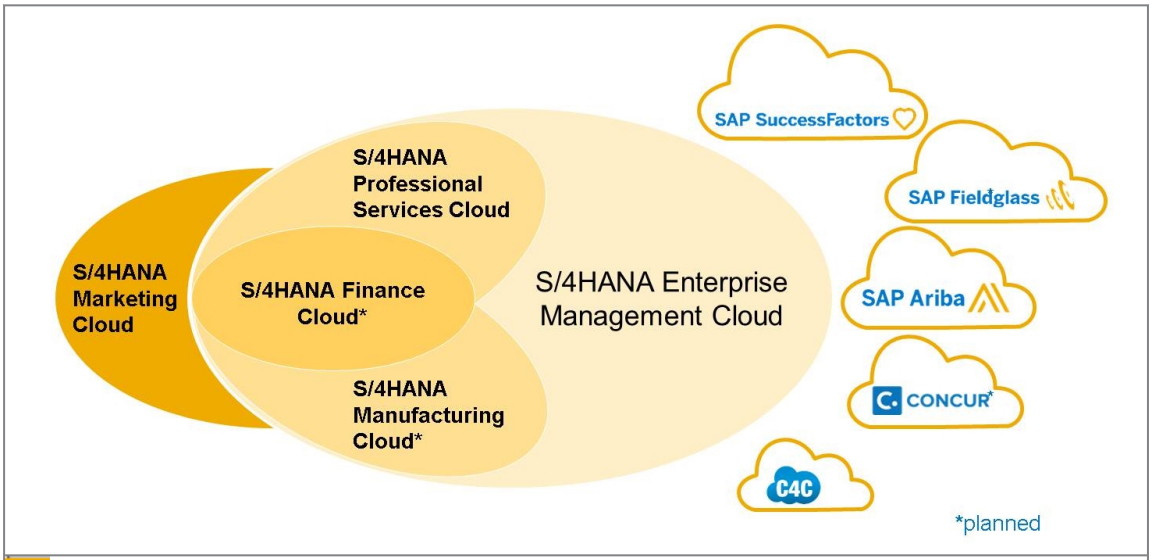


Figure 6: SAP S/4HANA Cloud Editions

A cloud edition supports a business process and defines which functions will be available for your company. It contains all apps required for the business processes.

- SAP S/4HANA Marketing Cloud: Use this cloud service to understand what your customers are thinking and saying. Merge interactions to profile your customers based on scoring. Build target groups and address the right customers. Trigger email campaigns and analyze the success of the email campaigns.
- SAP S/4HANA, Enterprise Cloud: This cloud edition aims at providing a holistic set of various scenarios for your enterprise. It includes the following specific financial, logistics, and procurement scenarios, as well as the project and engagement management scenario. It allows you to run almost all of SAP's applications including SAP Simple Finance, SAP Business Suite applications, and SAP Business Warehouse.
- SAP S/4HANA Professional Services Cloud: SAP S/4HANA Professional Services Cloud aims at providing a complete end-to-end Web experience of a customer project-based

© Copyright. All rights reserved.

service delivery. The key business value of this commercial project management solution involves the integration of multiple processes that commences from project creation, staffing and time recording, procurement, sales order processing and billing, to accounting and financials.

Note:
You can explore an SAP S/4HANA Cloud trial here: https://go.sap.com/cmp/oth/crm-s4hana/s4hana-cloud.html

LESSON SUMMARY
You should now be able to:

- explain SAP HANA and SAP S/4HANA

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 1
Lesson 2

SAP Billing and Revenue Innovation Management

LESSON OBJECTIVES

After completing this lesson, you will be able to:

- explain SAP Billing and Revenue Innovation Management

SAP Billing and Revenue Innovation Management

Scenario

This lesson will examine the SAP Billing and Revenue Innovation Management Solution at a glance.

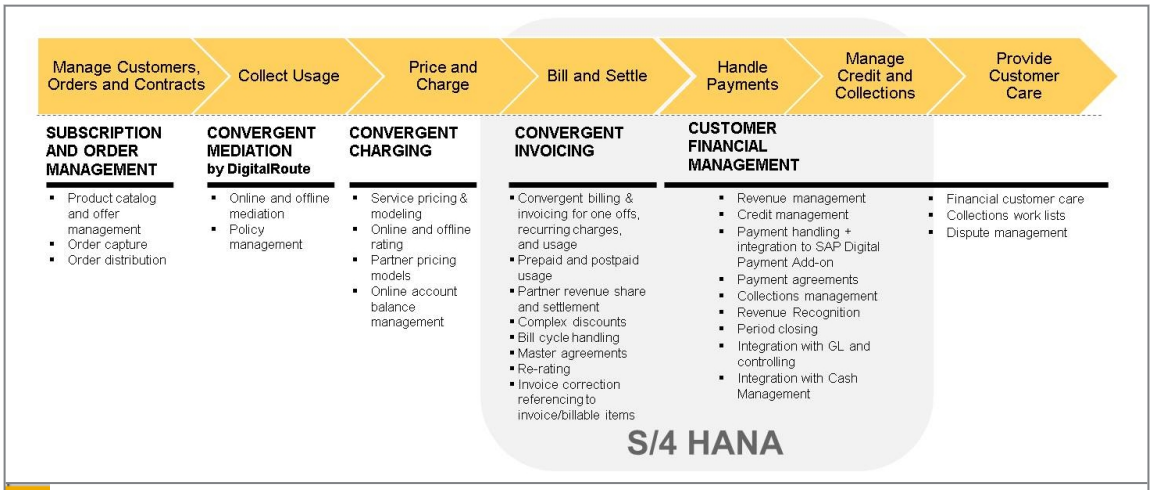


Figure 7: SAP Billing and Revenue Innovation Management Solution Map

The end-to-end process offer to cash is covered by the SAP Billing and Revenue Innovation Management (BRIM) solution. It starts for example, in SAP CRM with campaign and product management and ends with the creation of an order and a contract. After sales and fulfillment are completed, SAP's consume to cash process is used. The main process steps are charging/rating, which is executed in SAP Convergent Charging, followed by invoicing in SAP Convergent Invoicing. After invoicing, customer financials management ensures a consistent process flow, supporting among other things, collection management, dispute management, and revenue management.

Contact Accounting (FI-CA) is part of the *Customer Financial Management* within the SAP BRIM solution.

FI-CA is performance optimized in SAP S/4HANA (more than 40 coding optimizations), but there is no simplification in the data model as done in SAP S/4HANA Finance (Universal Journal, table ACDOCA).

© Copyright. All rights reserved.

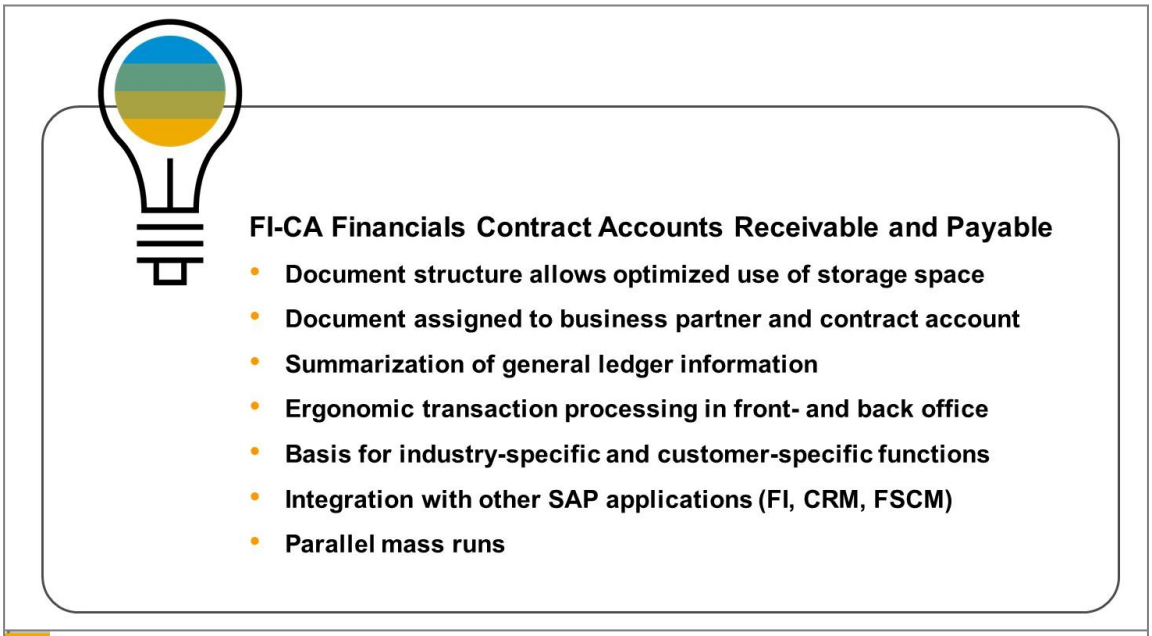


Figure 8: Advantages of Contract Accounts Receivable and Payable

Contract Accounting (FI-CA) is still the first choice sub ledger in SAP S/4HANA for those industries with high volume and high performance requirements as well as for service based scenarios (e.g. Utilities, Telco, Insurance, ...). FI-CA and Accounts Receivable (FI-AR) can co-exist in one system for different customer groups. Is highly integrated with other SAP S/4HANA solutions, e.g. SAP S/4HANA Sales or SAP Central Finance for distributed scenarios.

LESSON SUMMARY

You should now be able to:

- explain SAP Billing and Revenue Innovation Management

© Copyright. All rights reserved.

SAP Fiori

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- explain SAP Fiori Application and Tools

SAP Fiori Application and Tools

Scenario

You want to ensure that your users have the best possible experience when interacting with SAP Business Suite. You want to ensure that users can access critical business applications on any device without compromises. Finally, you want to ensure that the solution integrates with your existing IT system landscape and can expand to cover your specific needs. You want to make sure that SAP Fiori meets these requirements.

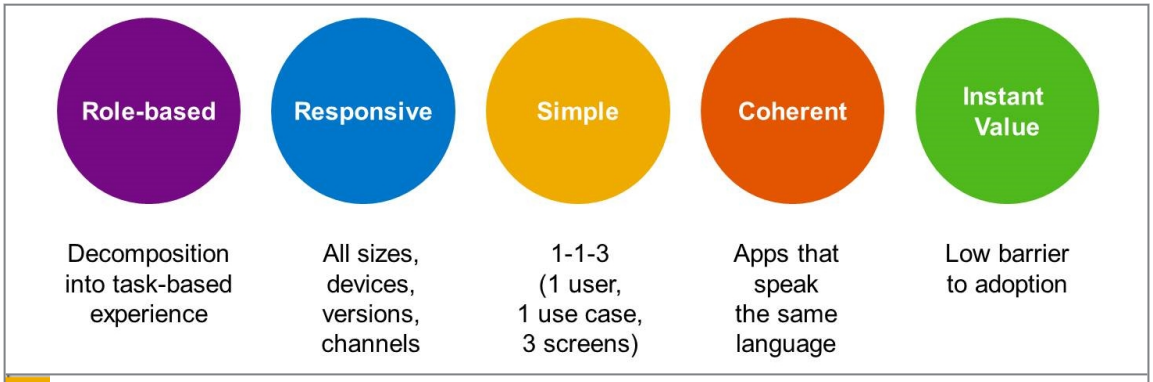


Figure 9: SAP Fiori User Experience Paradigm

The SAP Fiori user experience paradigm consists of the following pillars:

- Role-based: Users have access to the applications where they perform their tasks, and the applications are specific to completing this task.
- Responsive: The application interface is responsive; it adapts to the size and device used by the users to access it.
- Simple: The scope of the application is simple. There is one user, one use case, and up to three screens for each application.
- Coherent: The applications are developed with a coherent structure. The apps all speak the same language, and can be implemented in multiple landscapes and environments.
- Instant value: A low adoption barrier provides instant value, both on the IT-system side and on the user-adoption side.

© Copyright. All rights reserved.

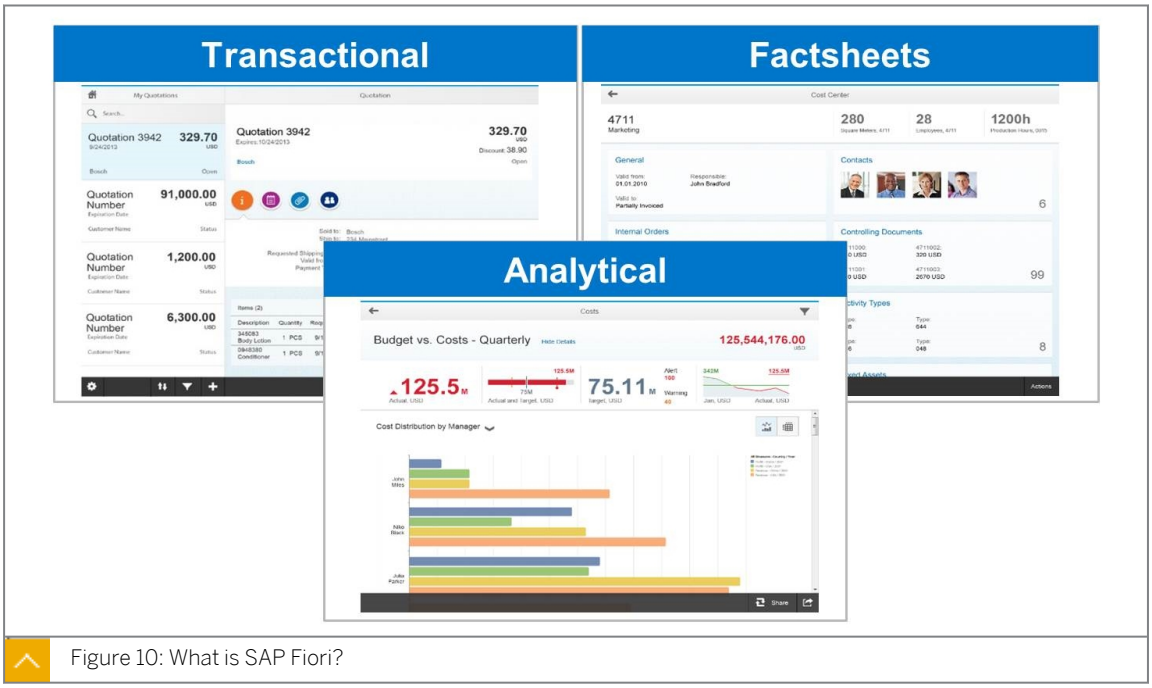


Figure 10: What is SAP Fiori?

Transaction apps offer task-based access to tasks like change, create, display (documents, master records), or entire processes with guided navigation.

Analytical apps provide insight to action. They give you a visual overview of complex topics for monitoring or tracking purposes.

Fact sheets allow you to search and explore your data. They provide a 360 degree view on essential information about an object and contextual navigation between related objects.

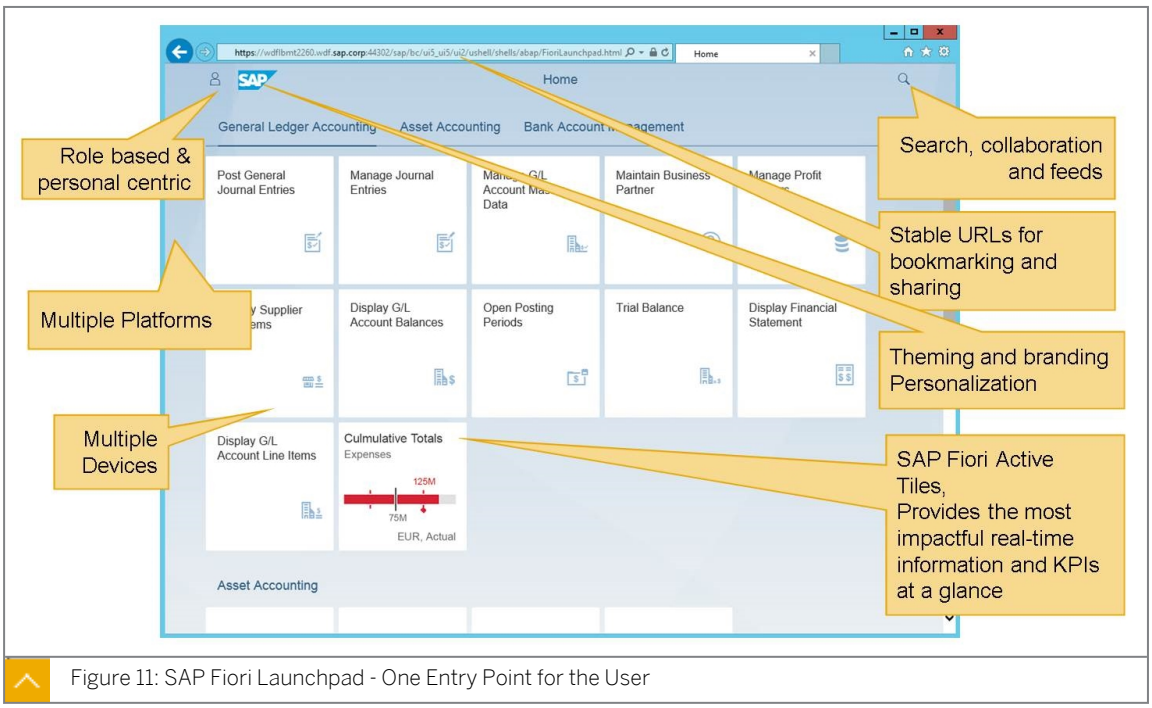


Figure 11: SAP Fiori Launchpad - One Entry Point for the User

The SAP Fiori launchpad is the single entry point where the user can interact with the system. It is role-based and persona centric. The users access those applications that are specific to their role within the company. They can then perform the specific tasks as per their requirement. There is embedded search, collaboration, and feed functionality.

© Copyright. All rights reserved.

The SAP Fiori launchpad offers themes and can be personalized to meet branding requirements.

It offers a stable URL for bookmarking and sharing. It is browser based and therefore works with multiple devices and browsers.

The launchpad also offers active tiles through which the user can receive updated information directly from the front page without opening the application.

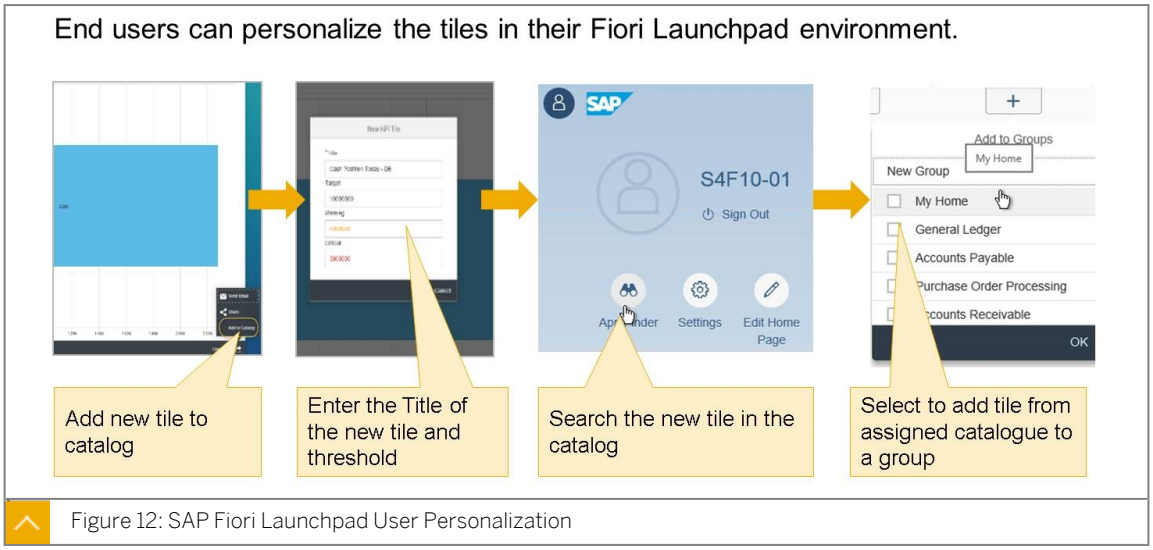


Figure 12: SAP Fiori Launchpad User Personalization

The following personalization options are available to users in SAP Fiori launchpad:

- Adding applications from the catalog assigned to them
- Removing applications that they do not want to use
- Modifying and adding applications for filtered report results

For example, if the user is a group cash manager who is interested in the German market, the user can create an application to take them directly to the cash position of the German market. They can arrive at the cash position directly with one click from the SAP Fiori launchpad home page.

LESSON SUMMARY

You should now be able to:

- explain SAP Fiori Application and Tools

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Learning Assessment

1. SAP S/4HANA can run on an SAP HANA database only.

   Determine whether this statement is true or false.

   - ☐ True
   - ☐ False

2. What are the business benefits of SAP S/4HANA Finance?

   Choose the correct answers.

   - ☐ **A** Reduced system complexity
   - ☐ **B** Single source of truth on the line item level
   - ☐ **C** Automatic update of custom applications to SAP HANA standards
   - ☐ **D** Overall reporting across financial applications

© Copyright. All rights reserved.

Learning Assessment - Answers

1. SAP S/4HANA can run on an SAP HANA database only.

   Determine whether this statement is true or false.

   [X] True

   [ ] False

   Correct! SAP S/4HANA is for SAP HANA only.

2. What are the business benefits of SAP S/4HANA Finance?

   Choose the correct answers.

   [X] A Reduced system complexity

   [X] B Single source of truth on the line item level

   [ ] C Automatic update of custom applications to SAP HANA standards

   [X] D Overall reporting across financial applications

   Correct! Application written for traditional SAP ERP systems will usually work in an SAP S/4HANA system, but they will not be updated.

© Copyright. All rights reserved.

UNIT 2 Master Data

Lesson 1

Master Data 21

UNIT OBJECTIVES

- describe the master data objects of FI-CA

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 2
Lesson 1

Master Data

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the master data objects of FI-CA.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the master data objects of FI-CA

Master Data

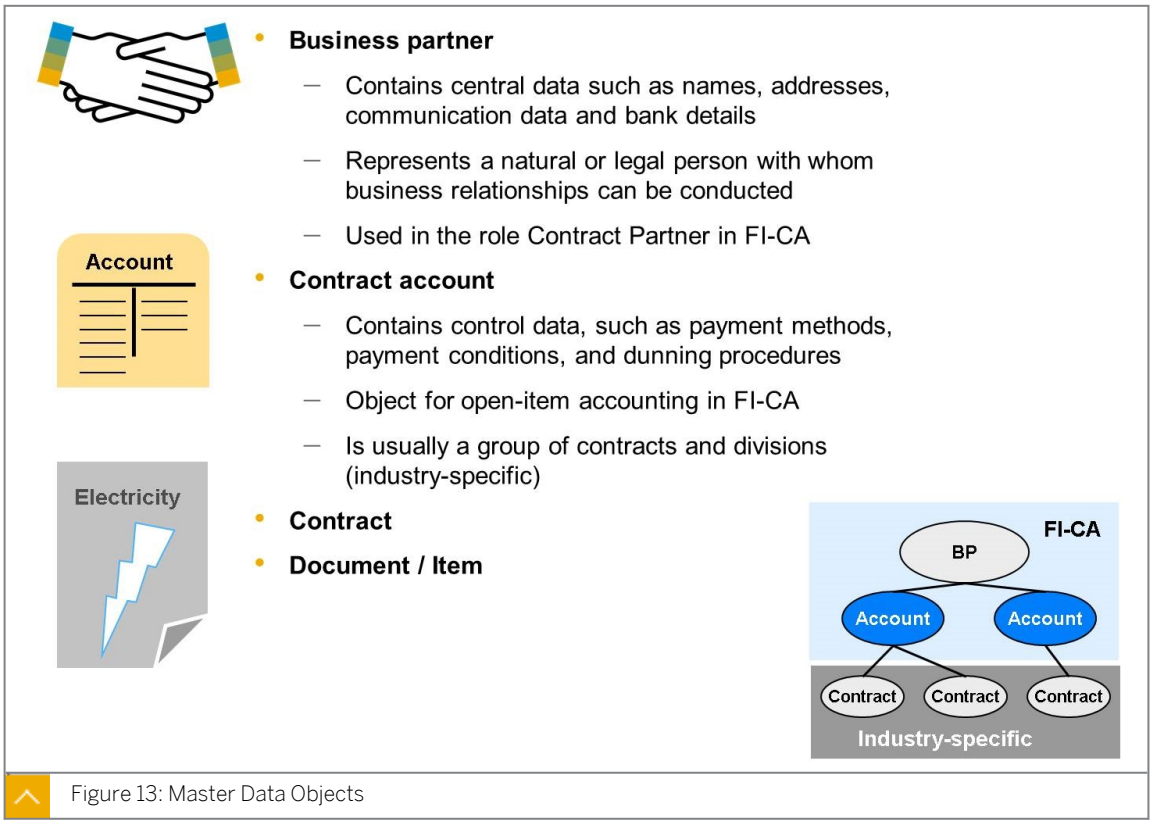


Figure 13: Master Data Objects

© Copyright. All rights reserved.

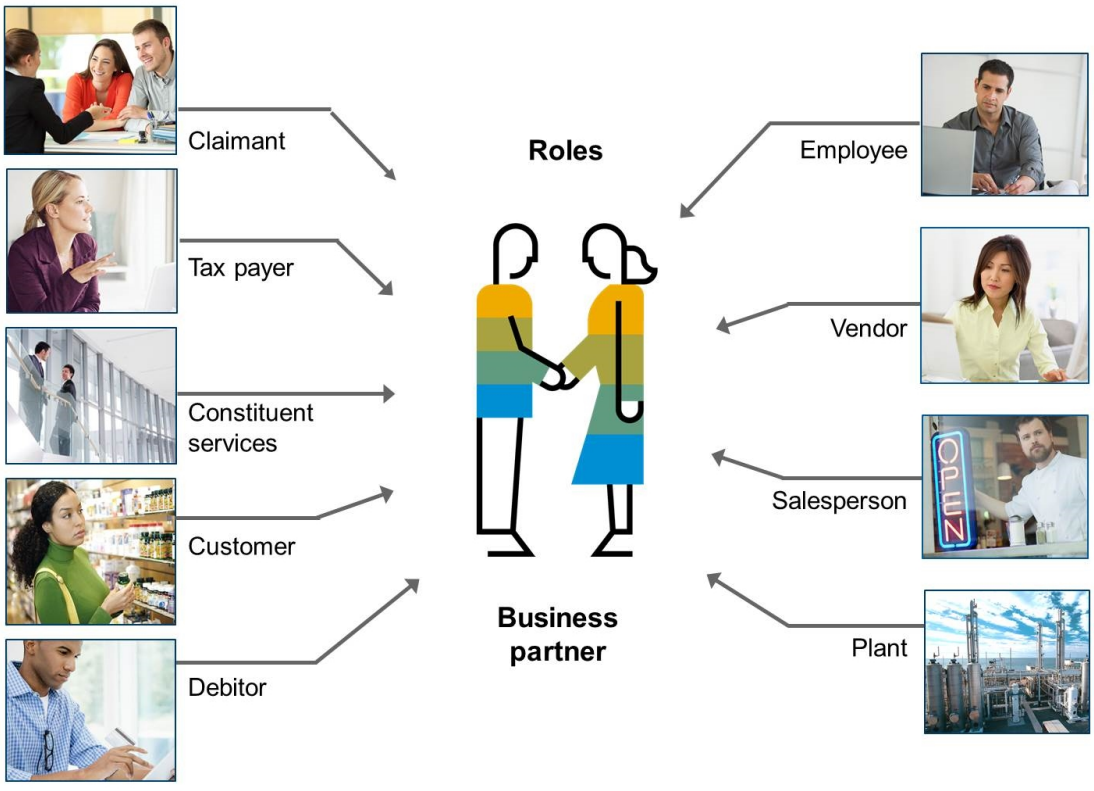


Figure 14: Business Partner Roles

Business partners must exist in the business role MKK for role category MKK. If you use time-dependent business partner roles, note that the MKK business role for role category MKK cannot have a time limit. It must always have a validity period from today's date to December 31, 9999. You may not –and cannot– restrict the validity of this role.

A business partner in FI-CA usually represents the person or legal entity for which you have to process incoming and outgoing payments.

A business partner category is used to classify a business partner as a natural person (a private individual), group, or organization (legal entity).

The business partner category determines which fields are available for data entry. For an organization, you must enter the legal form in one of the fields. For a person, you have to enter the first name, last name, gender, and so on.

When a business partner is created, the business partner category must be selected.

Assignment of the business partner category cannot be changed once the business partner has been created.

It is not possible to create any other business partner categories.

A business partner group is a classification according to criteria that can freely be defined. The procedure in Customizing is as follows:

- Define number ranges for the business partners
- Define groupings and assign number ranges

Number range intervals are defined for each number range:

- External or internal number assignment

© Copyright. All rights reserved.

- Number range intervals determine which numbers are permitted

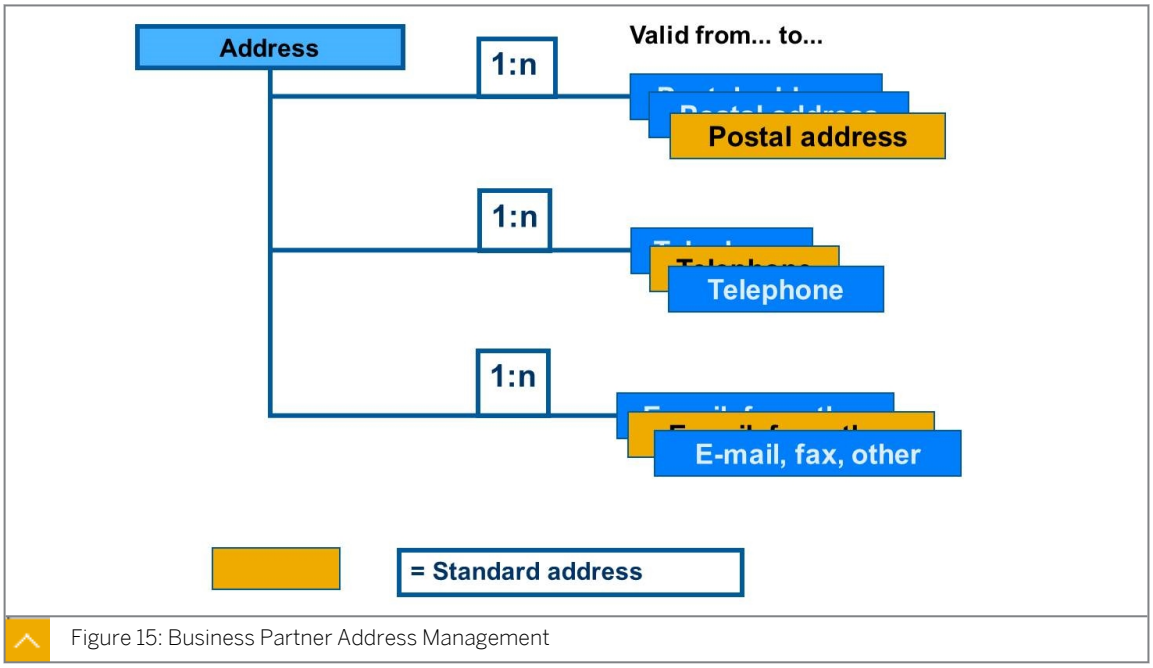


Figure 15: Business Partner Address Management

Central address management allows you to assign different addresses to a business partner for different functions (see Customizing for business partner address types). These addresses can be classified according to address types (delivery address, correspondence address, and so on).

You can maintain any number of addresses for each business partner, but only one address can be specified as the standard address.

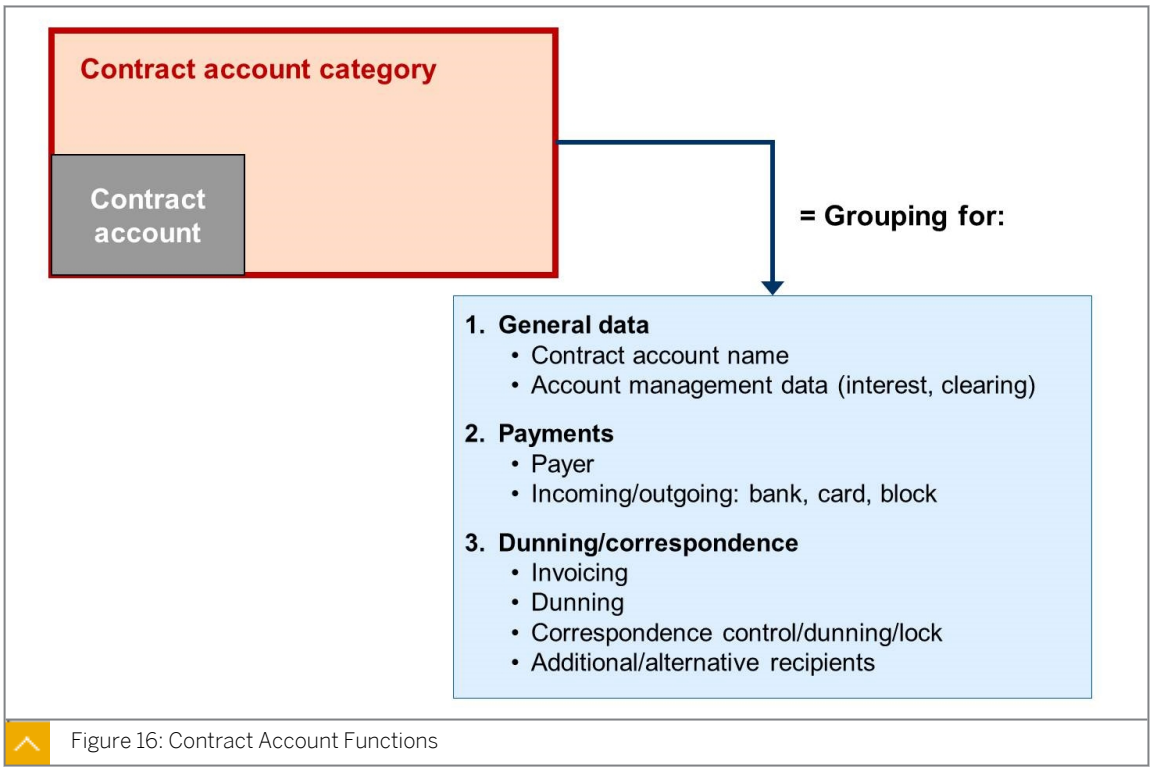


Figure 16: Contract Account Functions

© Copyright. All rights reserved.

A contract account is a unit that groups business partner postings. Before a document can be posted, a contract account must be assigned to a business partner.

The contract account category defines the following attributes:

- Whether you can assign one or more business partners to a contract account
- Whether you can assign one or more contracts
- Whether you can maintain a contract account online
- The number range that is allowed for external or internal number assignment
- Whether it is a one-time account
- The editing screens or data fields that you can use

You can use the method BAPI_CTRACCOUNT_EASYCREATE to create a contract account with sample values.

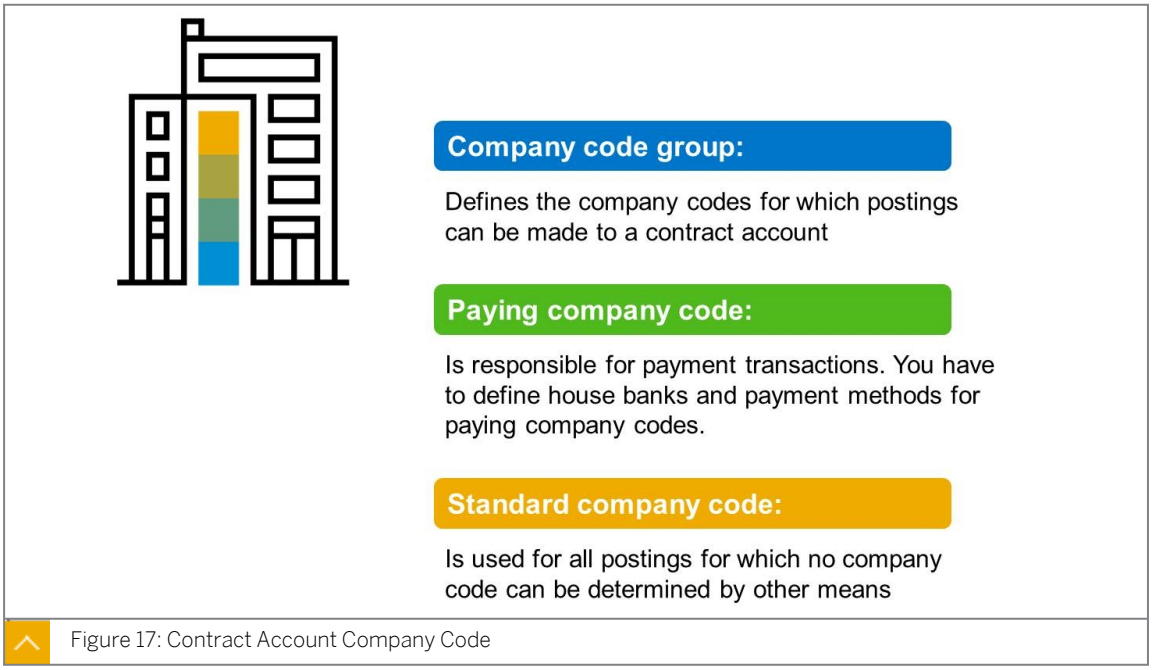


Figure 17: Contract Account Company Code

The company code group includes all company codes that can be used to post to a contract account. One company code group is assigned to each contract account. Company code groups can overlap. For example, group G1 can consist of company codes 0001, 0002, and 0003, and group G2 can consist of company codes 0001 and 0003.

Using the new event 1010, you can check whether a company code group is permitted in a contract account. This enables you to prevent cross-country groups from being used, for example.

Paying Company Code

- Exactly one paying company code is always assigned to each company code group in Customizing. A paying company code is responsible for payment transactions. You have to define house banks and payment methods for paying company codes. Several company code groups can have the same paying company code. The paying company code does not have to be in the company code group itself.

© Copyright. All rights reserved.

You can also specify the paying company code in a business partner item. In this case, the specified code overrides the paying company code determined via the company code group of the contract account. If a paying company code specified in the line item is in a different country than the paying company code determined via the contract account, you also have to specify a payment method in the line item. In this case, you cannot use the payment methods from the contract accounts because they refer to a different country.

Standard Company Code

- A standard company code is allocated to each contract account. You use the standard company code for all postings for which no company code can be determined by other means (for example, for payments on account).

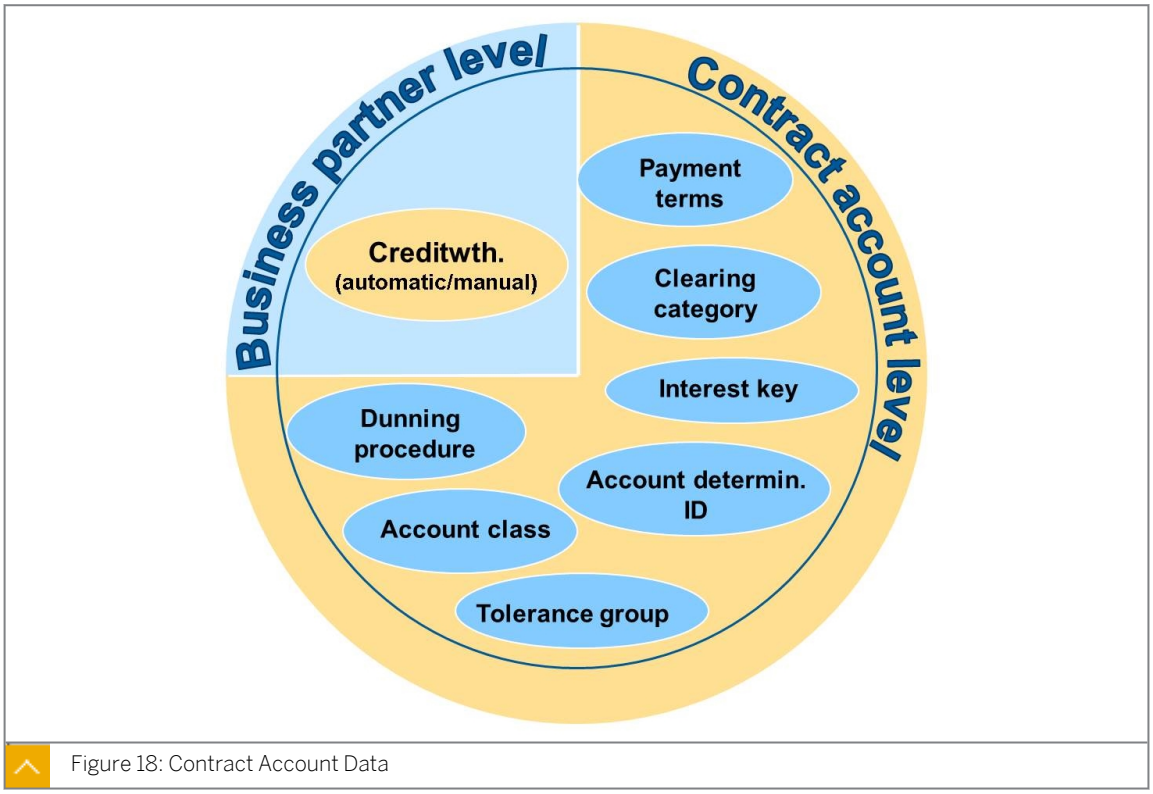


Figure 18: Contract Account Data

The dunning procedure is stored at contract account level.

The payment term determines the due date and the cash discount deadline.

The clearing category controls payment allocation and the clearing of receivables.

The interest key is used to determine the conditions for interest calculation.

The account determination ID is used for determining general ledger accounts.

The account class can be used freely.

The tolerance group defines limits for payment differences in the incoming payment.

The creditworthiness reflects a business partner's payment patterns.

© Copyright. All rights reserved.

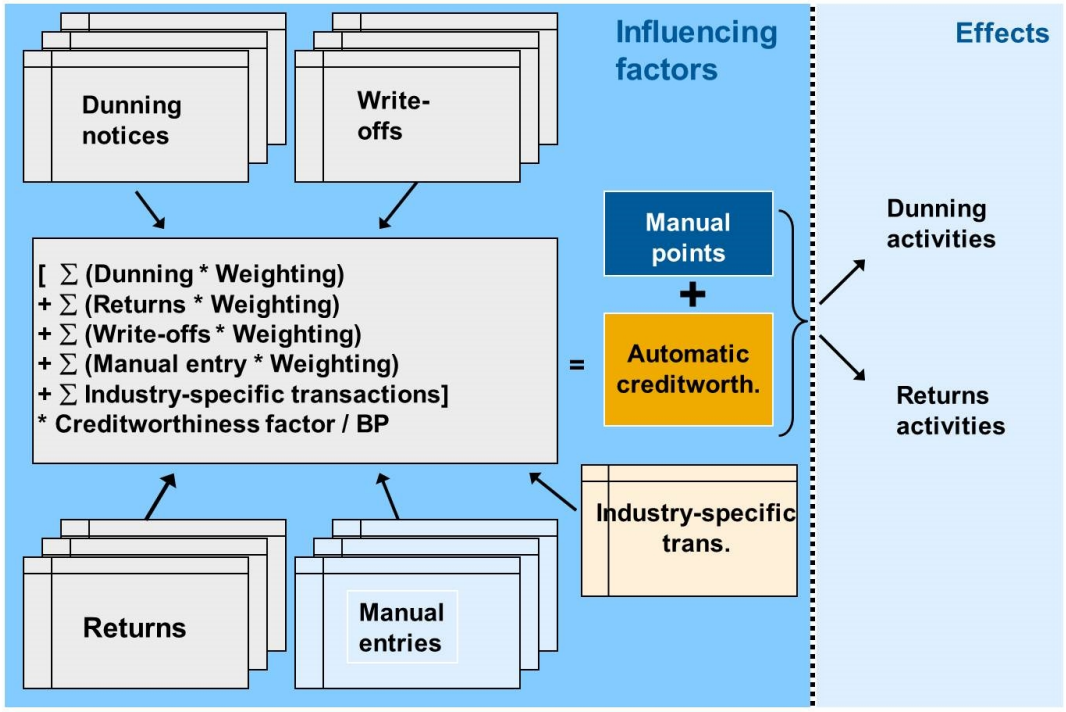


Figure 19: Creditworthiness

Creditworthiness is stored in the business partner's master data record. Creditworthiness can be updated manually or in the dunning run.

You can also enter creditworthiness data manually. This means that business transactions such as complaint over unjustified returns (creditworthiness improvement) or black lists from external credit evaluators (worsening creditworthiness) can also influence a creditworthiness.

Manual creditworthiness entries influence a creditworthiness in the same way as entries created by the system. They can contain positive and negative values. They can also be reversed.

© Copyright. All rights reserved.

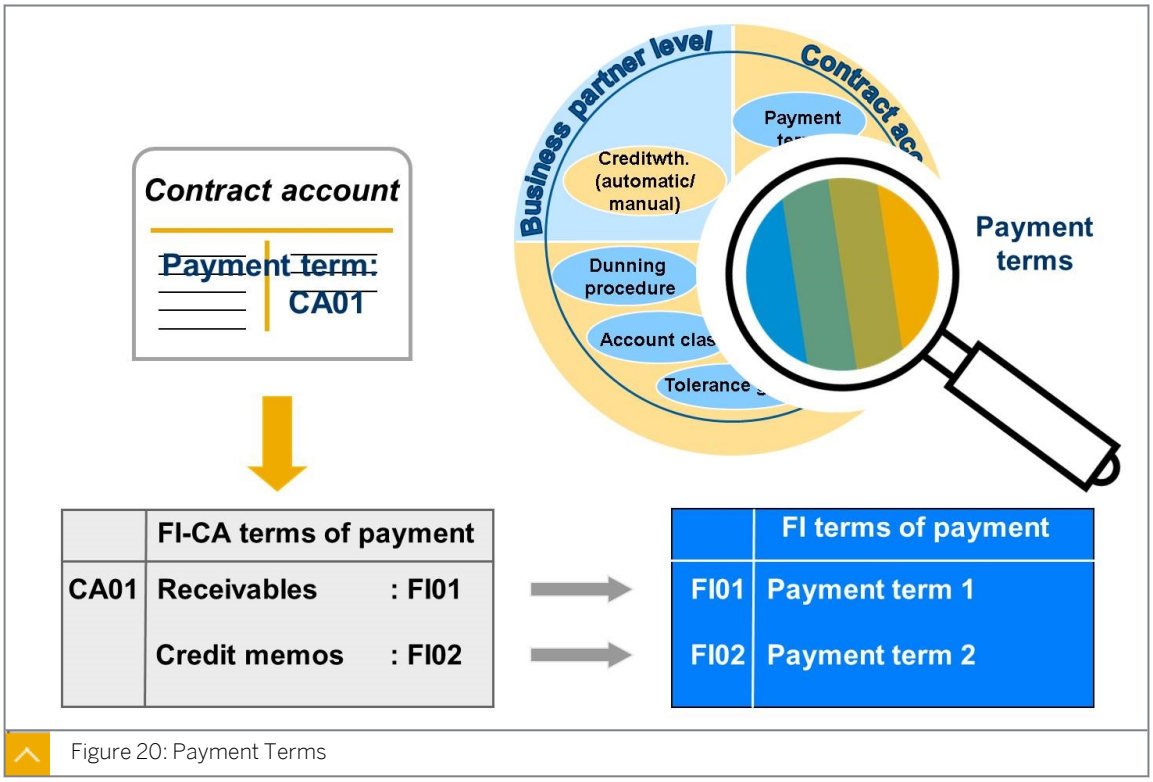


Figure 20: Payment Terms

The payment term contains data for determining the due date and cash discount terms. The payment conditions of general ledger accounting are referenced.

FI-CA supports the single-level cash discount procedure. You can store different rules for determining the due date for credit and receivables. The due date can be corrected to a working day in connection with the factory calendar.

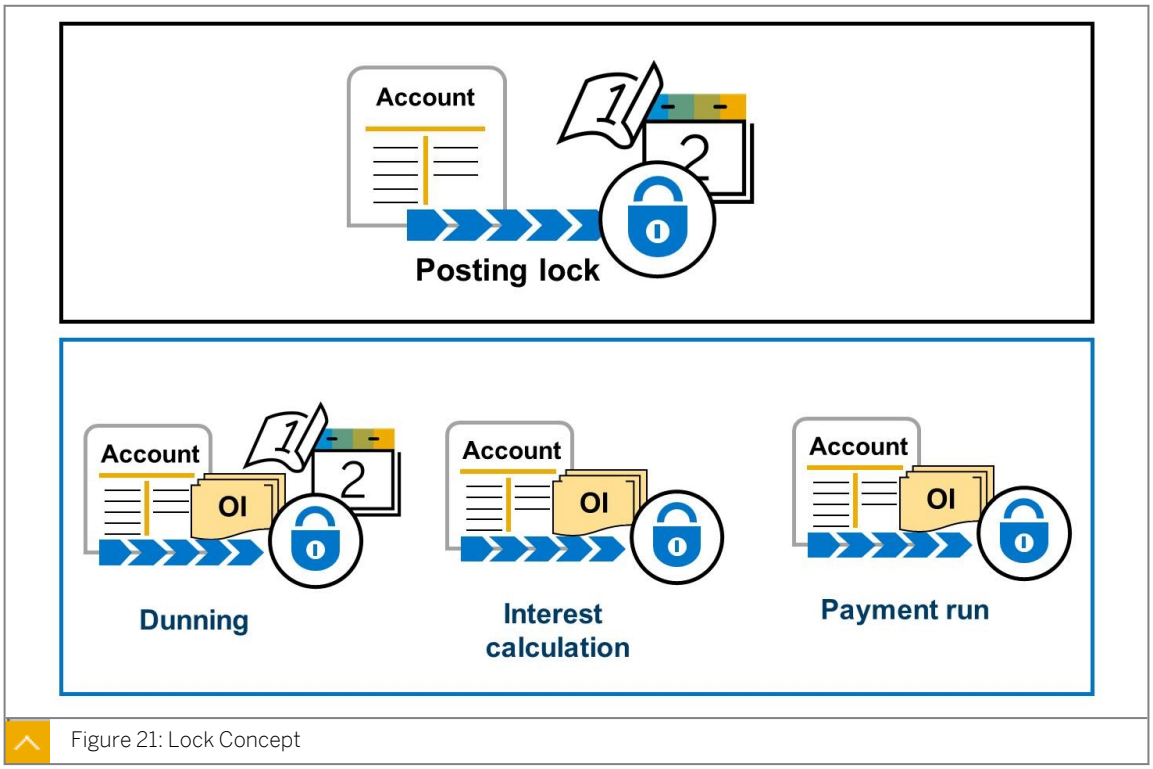


Figure 21: Lock Concept

© Copyright. All rights reserved.

Postings to a contract account can be prevented by a central posting block. This prevents postings, clearing, reversal, and the cancellation of clearing for the involved account.

In addition, the open items in this account are not dunned. During online clearing processing, open items of blocked contract accounts are flagged with an appropriate icon. It is not possible to activate these items.

Individual business processes can also be prevented by locks. You can set these locks for all items at contract account level or at the level of an individual item.

Lock reasons can be defined in Customizing.

All locks can be given a time limit. Once this limit has expired, the locks are deactivated.

You can generate a list of locks in the SAP application menu under *Accounting → Financial Accounting → Contract Accounts Receivable and Payable → Periodic Processing → For Contract Accounts → Evaluation of Business Blocks*. You can select lock entries according to business partner, contract account, lock category, process, and lock reason.

You can create processing locks with transaction `FKLOCK2` (...*Periodic Processing → For Contract Accounts*). Using the selection criteria *Business Partner*, *Contract Account*, *Contract*, and *Company Code*, you can set mass locks for a combination of *Lock Category*, *Process*, and *Lock Reason*. To delete mass locks, use transaction `FPLKDEL`.

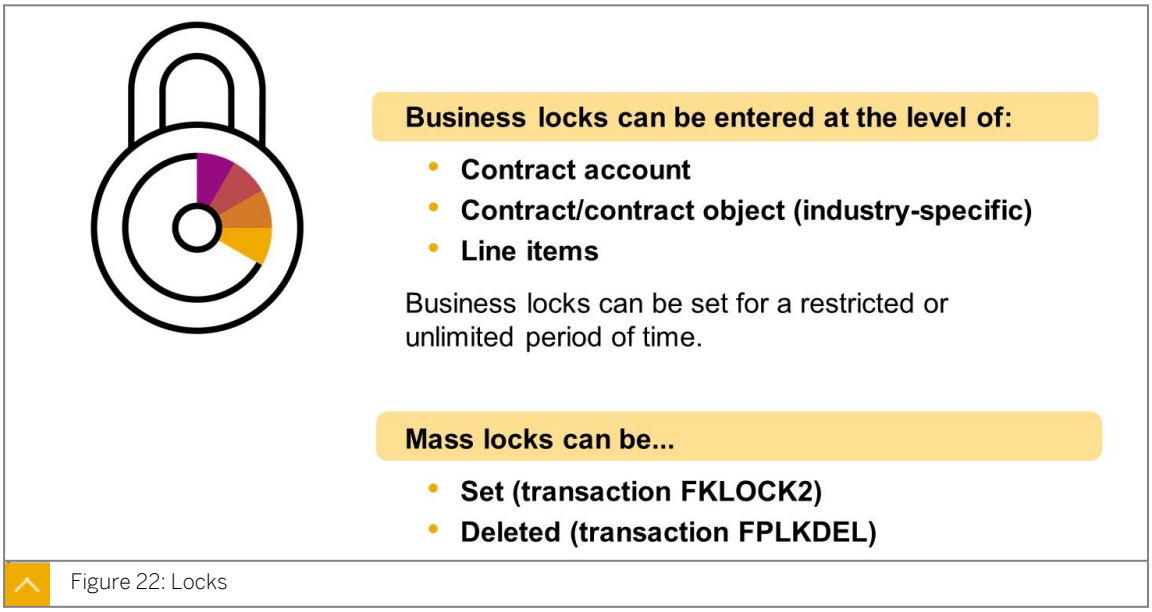


Figure 22: Locks

Locks for a contract account include dunning, posting, invoicing, correspondence dunning, interest calculation, incoming payments, and outgoing payments.

You can set the lock for a limited period of time. Multiple locks can also be set for individual business transactions.

© Copyright. All rights reserved.

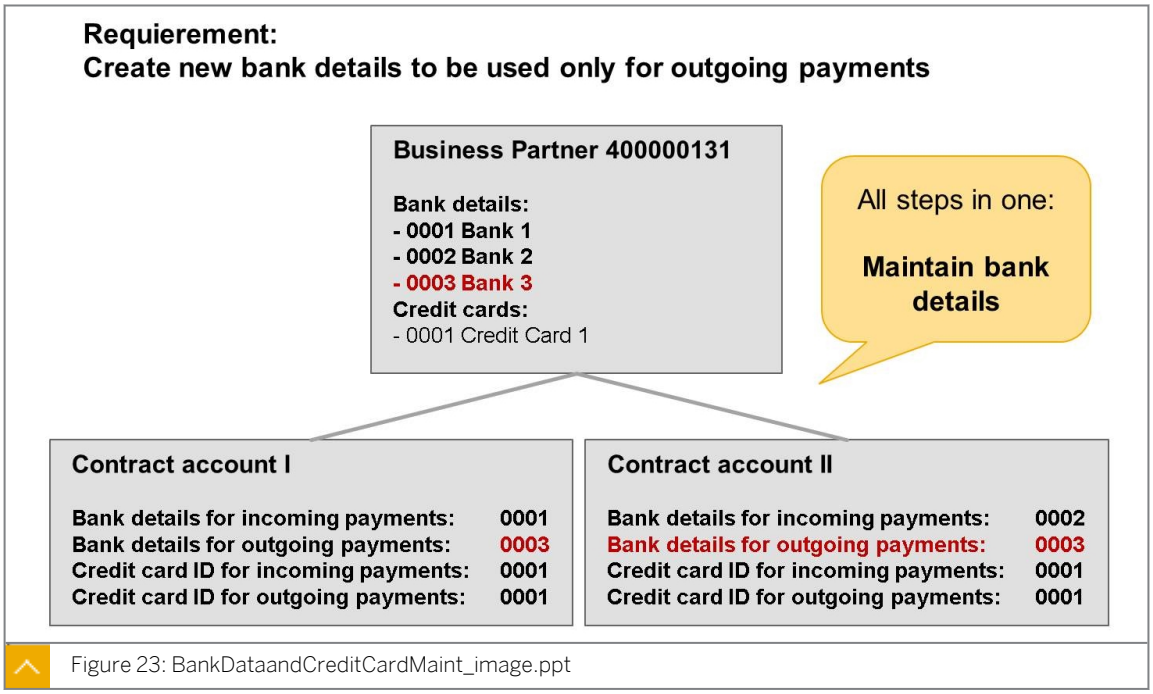


Figure 23: BankDataandCreditCardMaint_image.ppt

Transaction FPP4 makes it considerably easier to change business-partner-related bank data. For example, the *Maintain Payment Data* transaction enables you to change the bank details of a customer who wants to pay by direct debit instead of cash. The information is changed in the BP master record and in dependent objects at the same time.

You can use a flexible set of rules to control follow-up actions such as the reversal of dunnings.

If you set the *Create Bank ID* indicator in the *client-specific settings* in Customizing, you can determine a new bank details ID for the relevant business partner at event 1053.

If you set the *Create Credit Card ID* indicator in the *client-specific settings* in Customizing, you can determine a new payment card ID for the relevant business partner at event 1054.

LESSON SUMMARY

You should now be able to:

- describe the master data objects of FI-CA

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 3 Document

Lesson 1

Document Life Cycle 33

Lesson 2

Document Structure 35

Lesson 3

Integration with General Ledger 43

Lesson 4

Segment Reporting in General Ledger 53

Lesson 5

Account Balance Display 57

UNIT OBJECTIVES

- describe the life cycle of a FI-CA document
- describe the structure of a FI-CA document
- describe the integration of FI-CA with the general ledger
- describe the integration of FI-CA with the Segment Reporting in General Ledger
- describe the features of the account balance display

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Document Life Cycle

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the life cycle of a FI-CA document.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the life cycle of a FI-CA document

Document Life Cycle

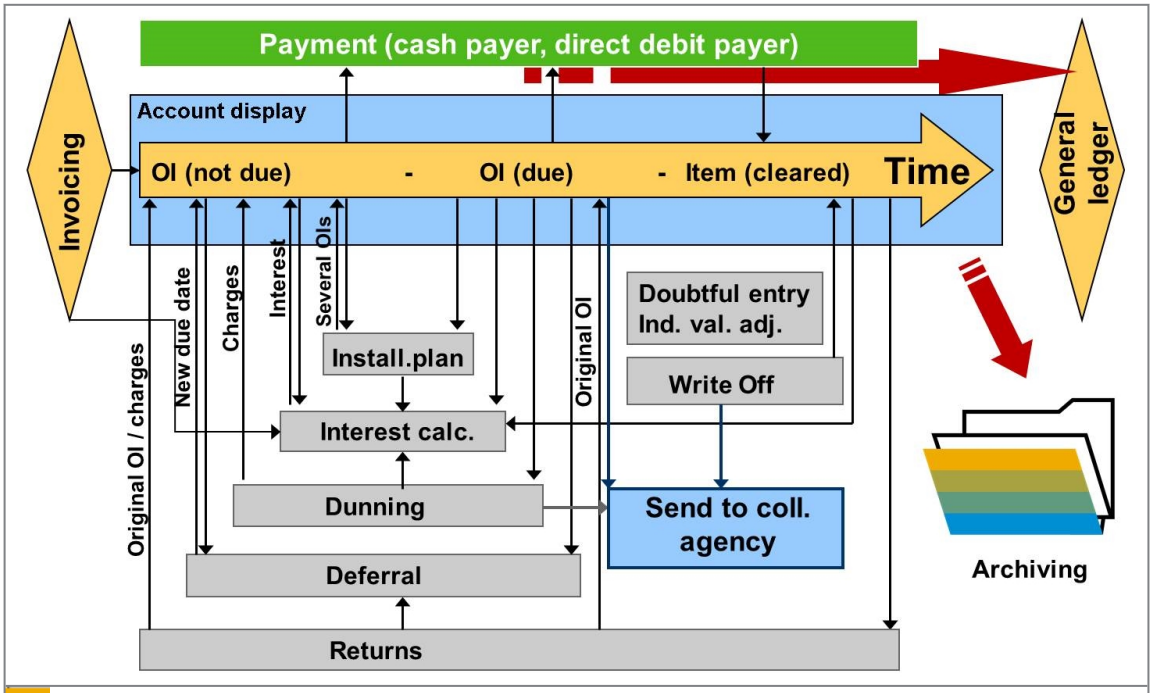


Figure 24: Document Life Cycle: Open Item

The life cycle of a receivable item clearly indicates the FI-CA processes:

- Open items can be posted in invoicing (usual form), dunning or returns processing. Alternatively, they can be posted manually in subledger accounting.
- Items relevant for the general ledger are regularly compressed and transferred.
- Cleared and opened items can be displayed using the account display function.
- Cleared documents that have expired can be archived.

Payments are initiated either by the business partner (cash payer) or by payment runs (direct debit). Payments clear open items.

© Copyright. All rights reserved.

In returns processing, cleared payments are reset, the source receivables are posted as debit items, and return charges are posted. Return charges can be bank charges that are passed on to the business partner or company charges.

Overdue items from cash payers or blocked items from direct debit payers can be dunned. Dunning charges or interest on arrears can be posted.

Interest can be calculated automatically in invoicing and the dunning run, or it can be calculated manually. An interest document is posted.

Interest can be calculated for open and cleared items, as well as for credit and/or debit items.

Open documents can be deferred manually. A deferral can take place automatically in returns processing.

The original due date is retained in the case of a deferral. If the deferral date is reached and the item is still open, the original due date is used again for further business processes.

You can define an installment plan for open items. Interest can be calculated using the installment plan.

The interest receivable is integrated into the installment plan.

Overdue items can be entered as doubtful, adjusted individually, or written off.

Items can be submitted to external collection agencies. Payments such as interest and external collection agency charges can be posted automatically or manually.

LESSON SUMMARY

You should now be able to:

- describe the life cycle of a FI-CA document

© Copyright. All rights reserved.

Document Structure

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the structure of a FI-CA document.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the structure of a FI-CA document

Document Structure

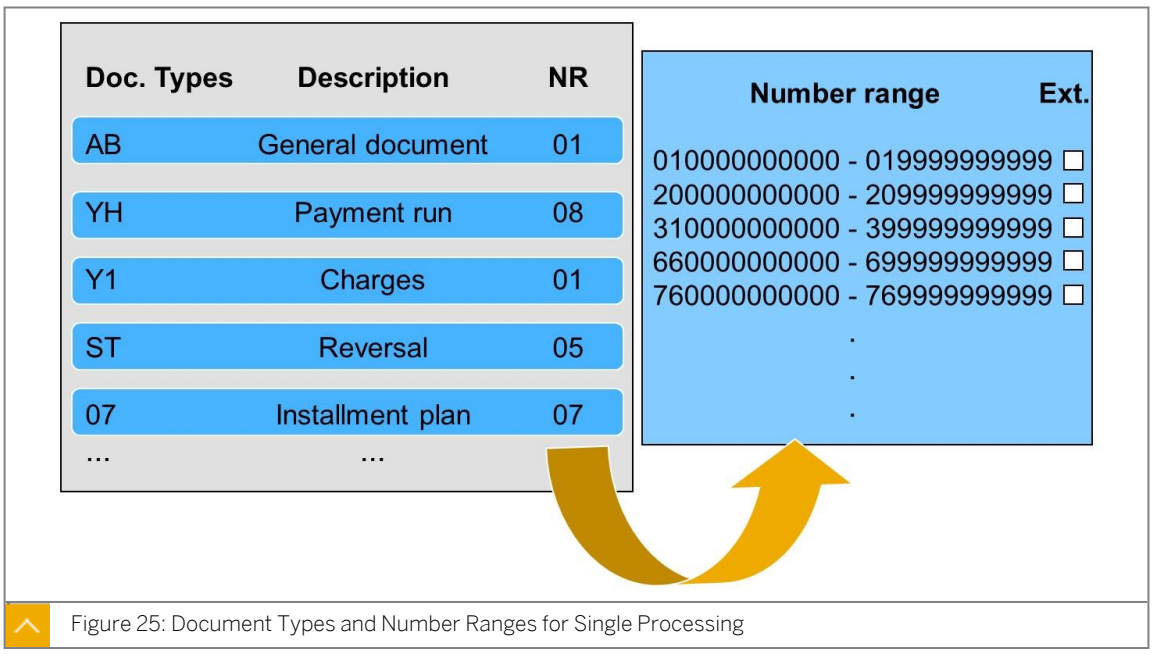


Figure 25: Document Types and Number Ranges for Single Processing

Each document type is identified by a two-digit abbreviation and a description. The document type classifies the document (for example, payment document). For each document type, you can specify that it is used for manual postings or mass processing, like payment lots.

Each document type is allocated to a number range. Document number intervals are specified for the corresponding document type using the number range. The number range also determines whether document numbers are assigned internally or externally.

Document number ranges are specified depending on the volume of the business processes.

© Copyright. All rights reserved.

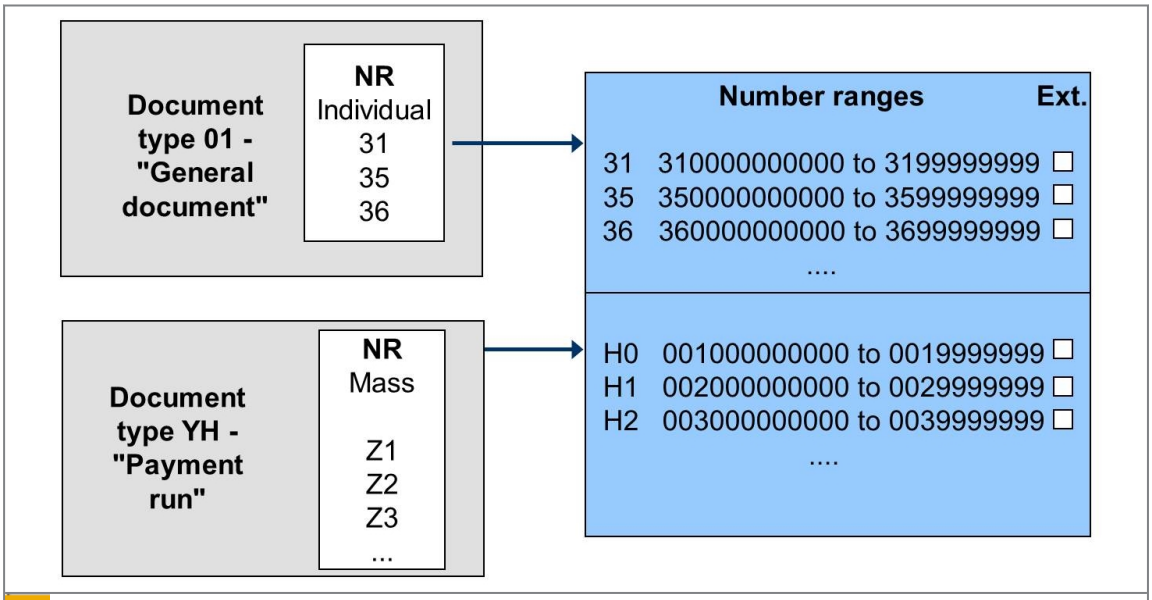


Figure 26: Document Types and Number Ranges for Mass Processing

In addition to the document number ranges for manual posting, additional number ranges must be defined and allocated for business transactions that result from parallel mass processing (for example, invoicing or payment run).

The key for the mass processing number range must begin with a letter. Since parallel background processes obtain their document numbers from these number range intervals, they must be defined based on the volume of business processes and the number of parallel processes.

If individual postings of a certain category are frequently executed online (for example, cash desk or cash journal), and if all postings are executed with the same document type, users may have to wait because all users access the same number range when document numbers are assigned. To avoid or reduce this waiting period, you can allocate multiple number ranges for individual postings to a document type.

© Copyright. All rights reserved.

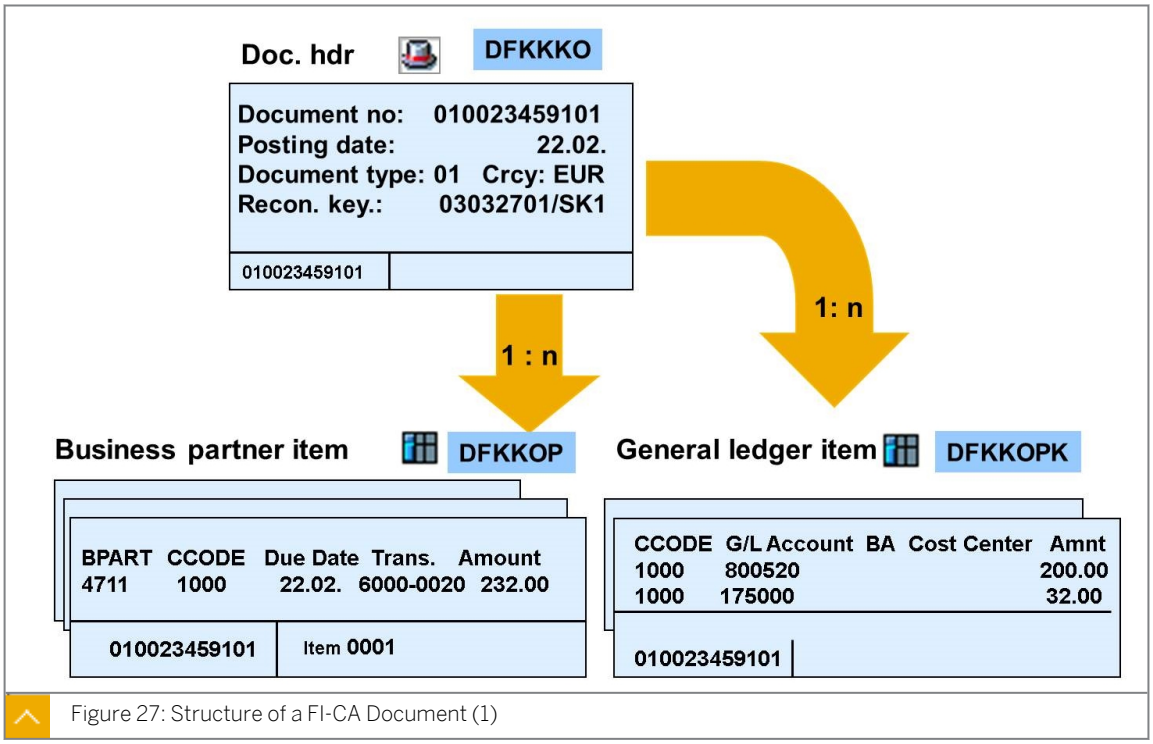


Figure 27: Structure of a FI-CA Document (1)

The document header contains general data about the FI-CA document such as the document number, document type, document date, posting date, currency, and reconciliation key. Data about the person making entries and the origin is stored in the administrative data of the document header.

Data relevant to posting is stored in the business partner items. This includes data about the partner/contract, general ledger (receivables account), receivables amount, due date, dunning and clearing, cash management and forecast, and other data.

Information about the offsetting entry is stored in the offsetting item. This usually means the line items for revenue posting(s) and tax posting(s).

Offsetting items and tax lines are created automatically, so only the business partner items must be created.

© Copyright. All rights reserved.

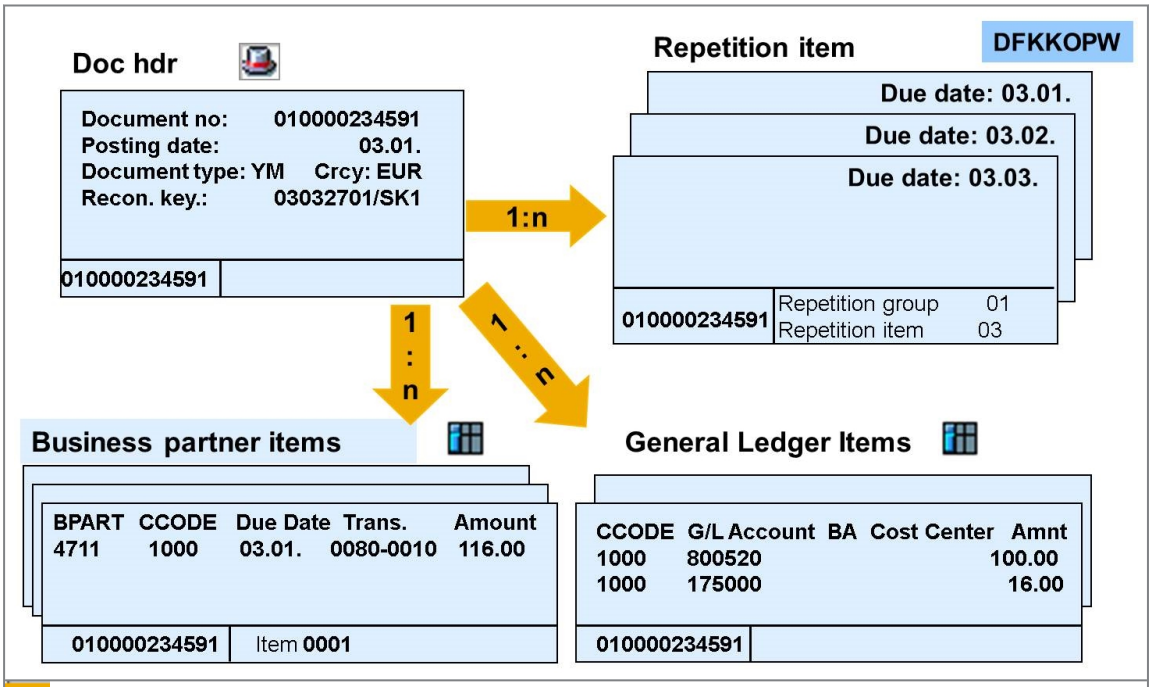


Figure 28: Structure of a FI-CA Document (2)

Repetition documents are stored in repetition groups.

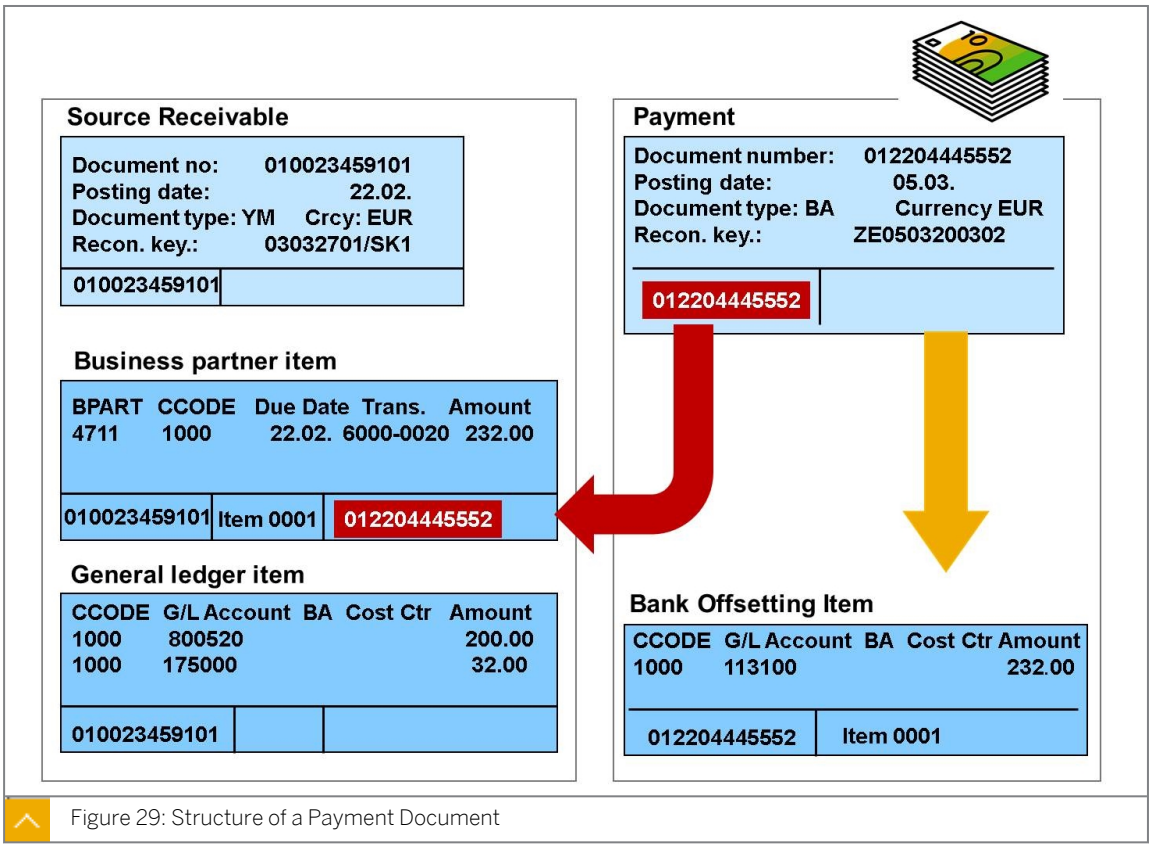


Figure 29: Structure of a Payment Document

The clearing document that can be posted, for example, during incoming payment, consists only of a document header and the offsetting item(s).

The following information is stored in the offsetting items: the payment amount, the corresponding general ledger account, and information on the cleared document.

© Copyright. All rights reserved.

The document number of the clearing document, the clearing date, and the clearing amount are stored in the business partner items of the cleared document.

This means that both documents are linked as long as the clearing exists. The payment document does not maintain a business partner item because all information on the business partner item can be viewed in the linked, cleared receivables document.

If clearing is reversed, the connection between the clearing document and the receivable is deleted and the payment document receives a new business partner item with all posting information.

The clearing information is stored in the clearing history even if clearing is reversed.

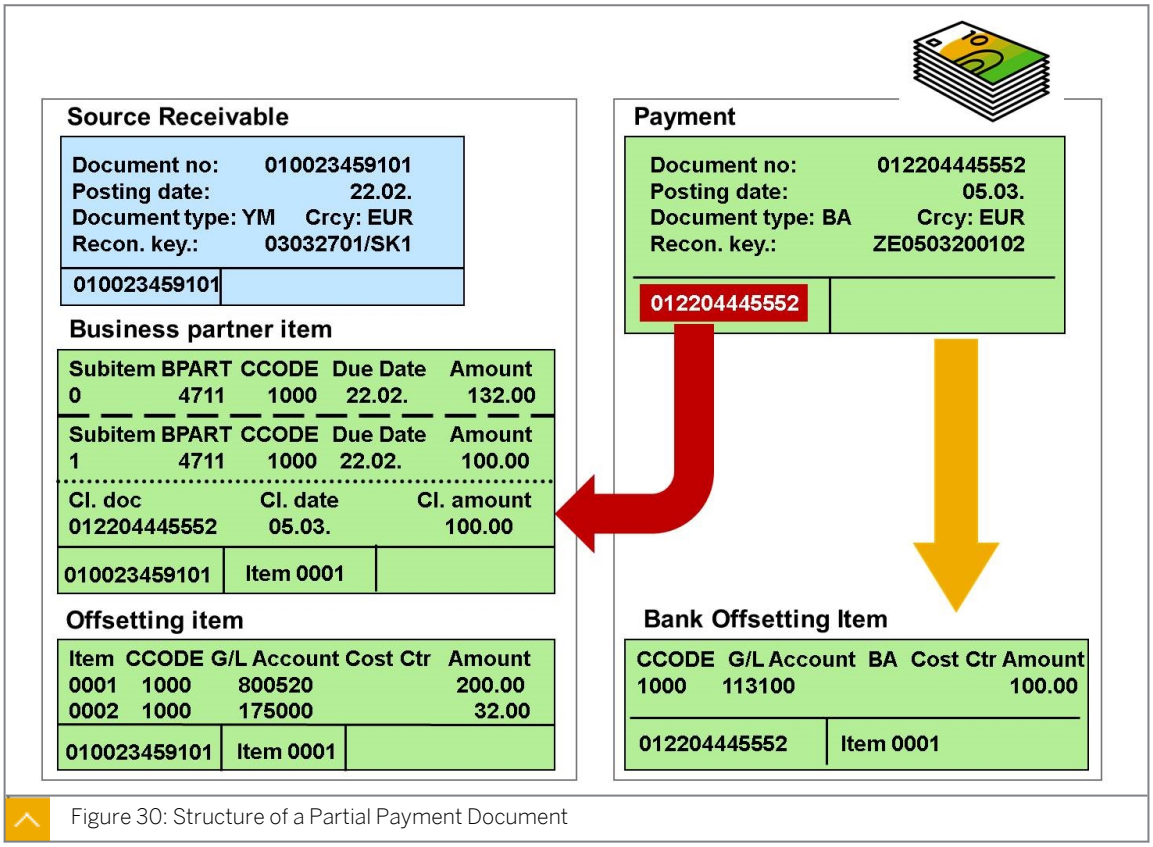


Figure 30: Structure of a Partial Payment Document

If the incoming payment results only in partial clearing, the item in the source document is split into a cleared partial item and an open partial item. The clearing data (that is, the partial payment amount and the payment document number) is stored in the cleared partial item.

© Copyright. All rights reserved.

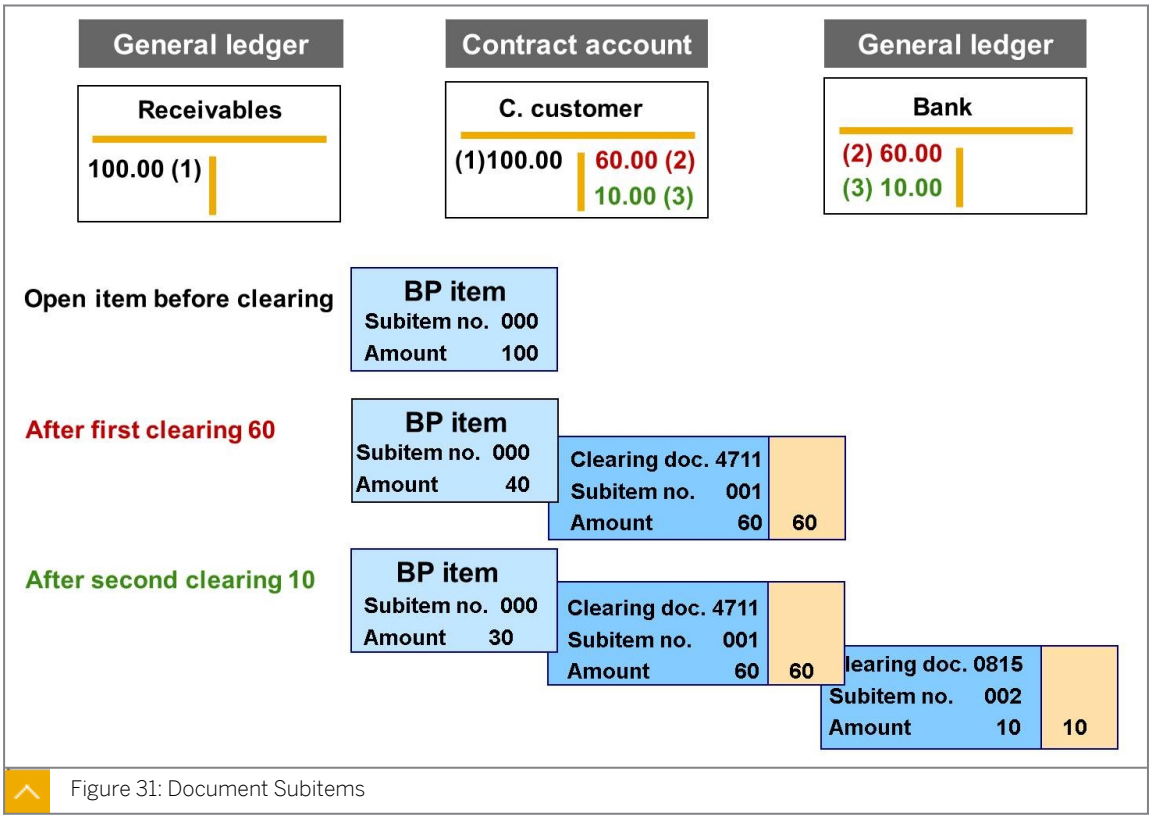


Figure 31: Document Subitems

In some cases, documents do not retain their status. Document changes and the clearing of open items sometimes require that the document is then saved in a different form.

This split is required if a partial amount of the open item is cleared. An entry in the subledger is split into two entries: the open portion and the cleared portion.

You also want to be able to recognize that new subitems resulted from one original item. To achieve this, an additional key field has been added to the Business Partner table: the subitem number.

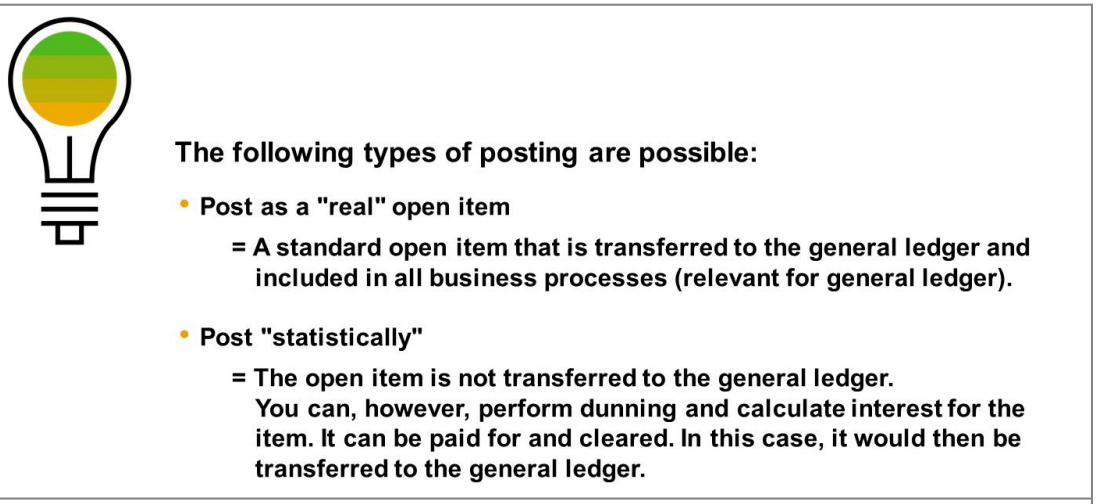


Figure 32: Statistical Postings

Statistical postings make it easier to deal with uncertain receivables, since these postings are not transferred to the general ledger and, as a result, are easier to reverse if they are not paid.

© Copyright. All rights reserved.

Typical examples of unpaid amounts include dunning charges or documents from an installment plan because the underlying source receivables have already been posted in the general ledger.

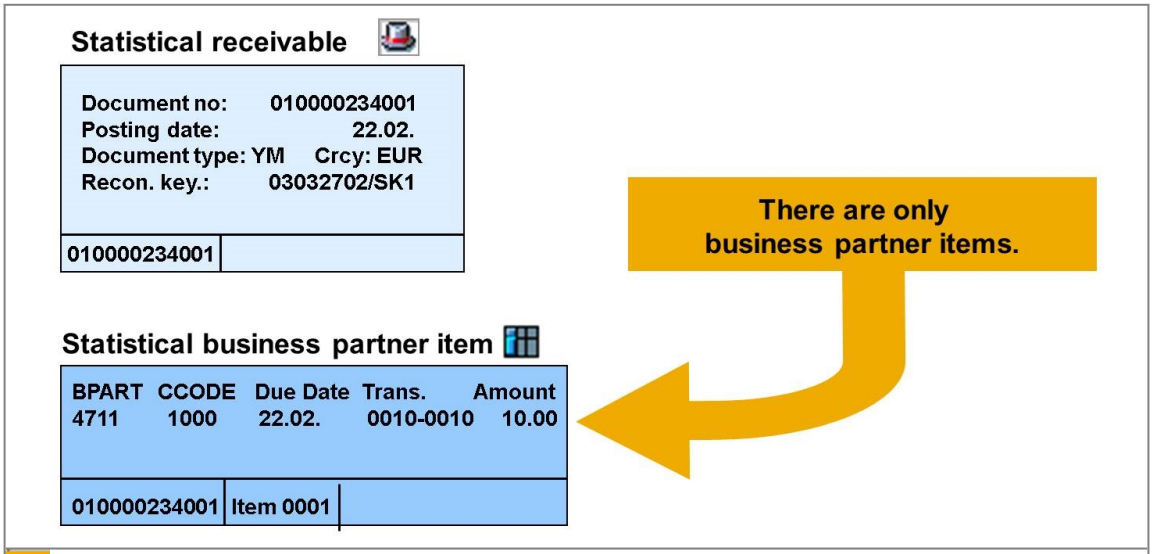


Figure 33: Structure of a Statistical Document

Statistical documents comprise only a document header and business partner items. These documents are not forwarded to the general ledger.

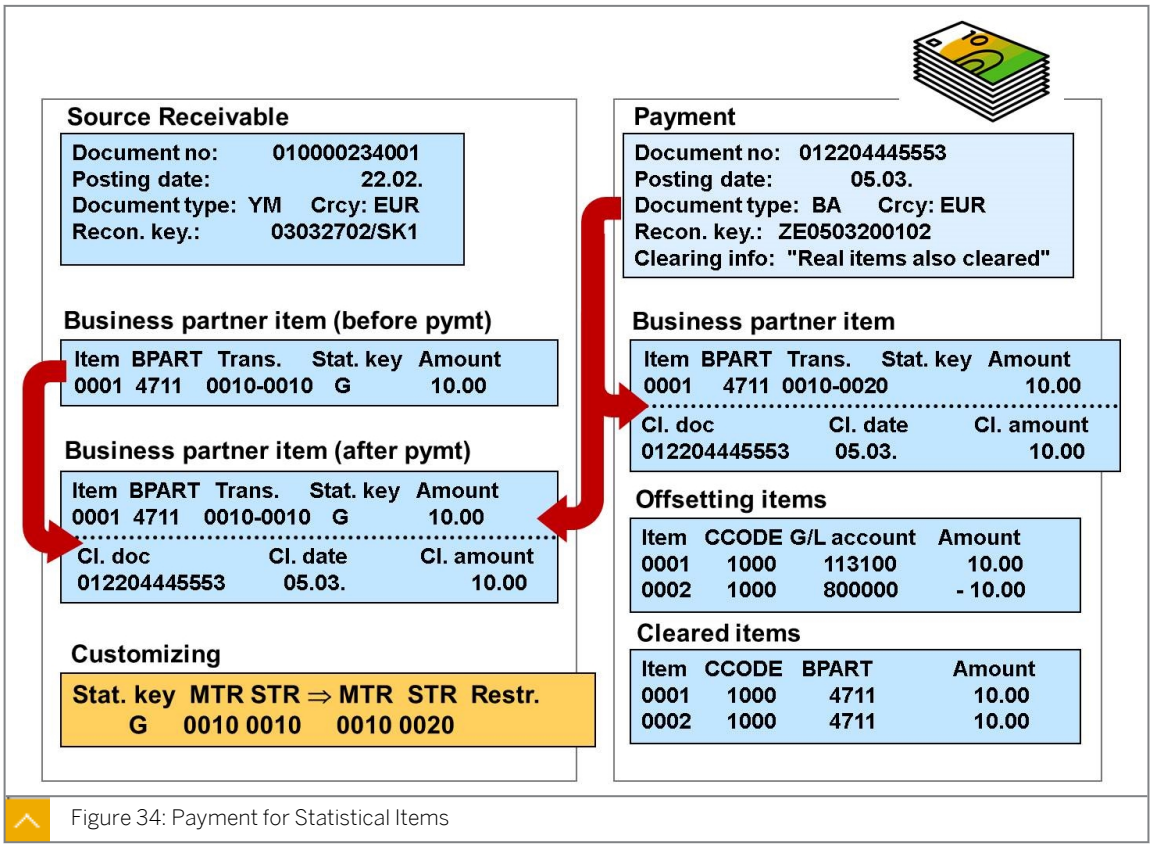


Figure 34: Payment for Statistical Items

When statistical items are cleared (for example by a payment), the clearing information is stored in the statistical document. A “real” business partner item (relevant for the general ledger) is created simultaneously in the payment document and cleared immediately. This

© Copyright. All rights reserved.

item transaction is determined from Customizing. Revenue and tax lines are added to the offsetting item.

LESSON SUMMARY
You should now be able to:

- describe the structure of a FI-CA document

© Copyright. All rights reserved.

Integration with General Ledger

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the integration of FI-CA with the general ledger.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the integration of FI-CA with the general ledger

Integration with General Ledger

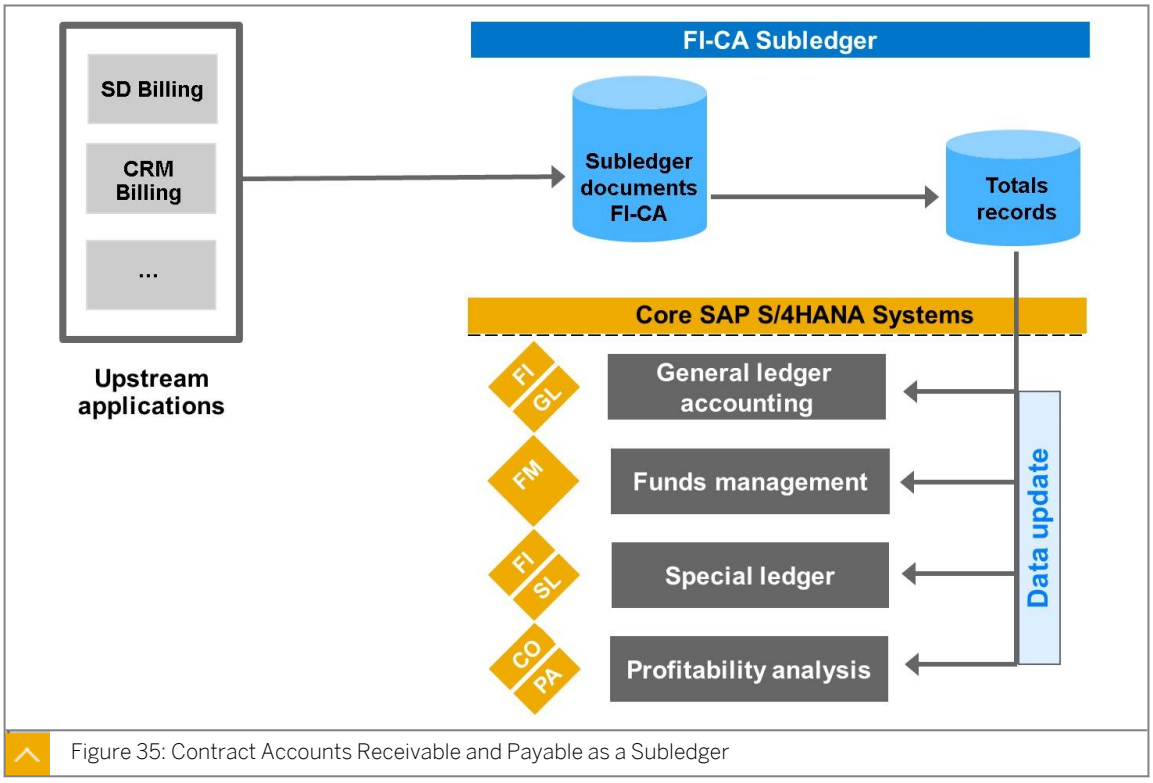
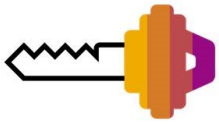


Figure 35: Contract Accounts Receivable and Payable as a Subledger

FI-CA serves as a subledger as well as an integrator of accounting data that originates (for the most part) from various upstream applications and systems. These applications transfer their posting data to FI-CA for further processing. Instead of individually posting each document created in the subledger to the general ledger and controlling, totals records are transferred (batch processing). Each totals record is posted to the general ledger. This summarization technique greatly reduces the volume of postings in the general ledger and results in a tremendous performance advantage.

© Copyright. All rights reserved.



Reconciliation key

- **Key under which totals records are listed for transferring the FI-CA documents to the general ledger**
- **Automatic determination in the case of mass postings (such as payment runs)**
- **Manual entry in the case of single postings (for example, when posting a document)**
- **Default values for individual postings**

Totals records

- **"Transfer unit" for postings from subledger to general ledger accounting**
- **The documents from subledger accounting are consolidated into totals records**
- **Summarization criteria and so on**
  - **Posting date**
  - **Account assignment data (G/L account, cost center ...)**

Figure 36: Contract Accounts Receivable and Payable Integration with FI General Ledger

Totals records are saved in the DFKKSUM* tables.

Other summarization criteria includes:

- Company code
- Business area
- G/L account
- Currency
- Additional account assignments of controlling (cost center, profit center, order)
- Additional account assignments of Funds Management (funds center, commitment item)

You can prevent summarization with other document items by using the *Single document* indicator. If you select this indicator, standard summarization of items in the totals record will not take place. If this indicator is set for a document, a separate document item is created in the transfer document for general ledger accounting.

Furthermore, the document type for the general ledger transfer can be individually predefined for each document in FI-CA. A function module, which is defined at event 0061, is used to make the specifications. Separate totals records are listed for FI-CA documents with different document types for the general ledger transfer. The documents for the general ledger transfer are generated separately according to these document types.

If no document type is issued for the general ledger transfer, posting is executed using the document type defined in Customizing for posting area 0100.

© Copyright. All rights reserved.

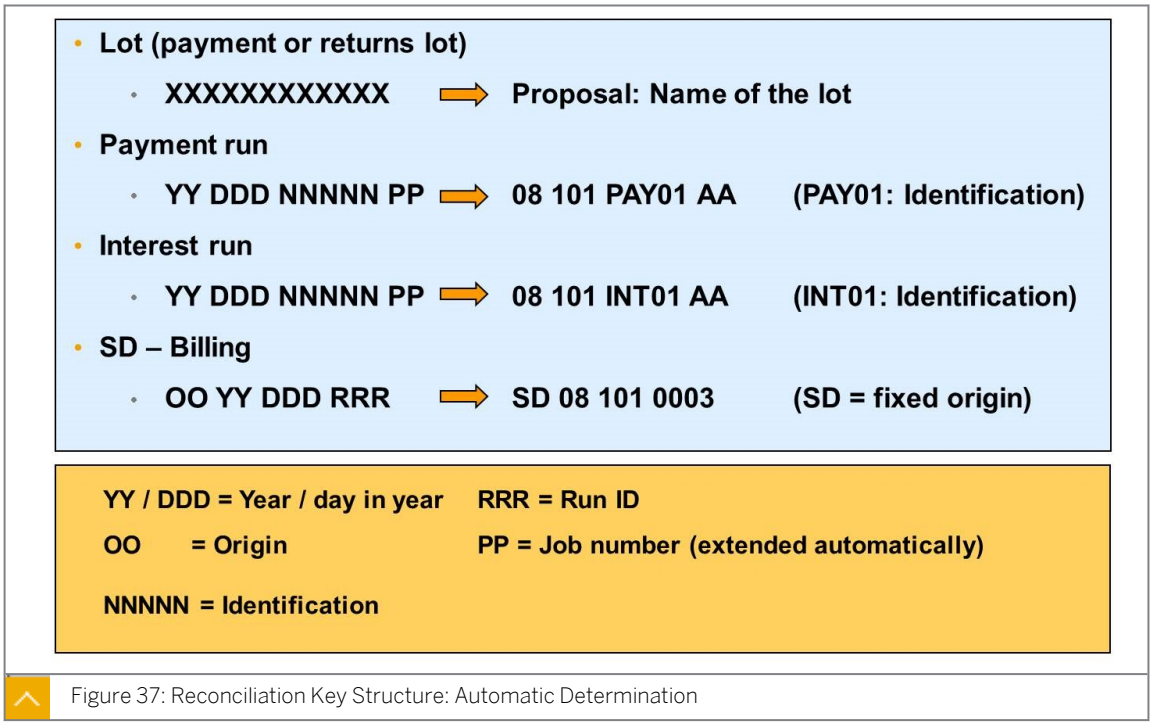


Figure 37: Reconciliation Key Structure: Automatic Determination

Various business processes create a reconciliation key in the system. The reconciliation key is identified by the current day in the business year, which is derived from the creation date, and the source or name.

Reconciliation keys that have been created automatically are closed automatically at the end of the business process.

The system can also propose reconciliation keys for manual business transactions (post document or payment at cash desk). To do this, reconciliation groups for default values must be maintained in Customizing. These reconciliation keys can be accepted or overwritten. You must close them manually before transfer to the general ledger.

© Copyright. All rights reserved.

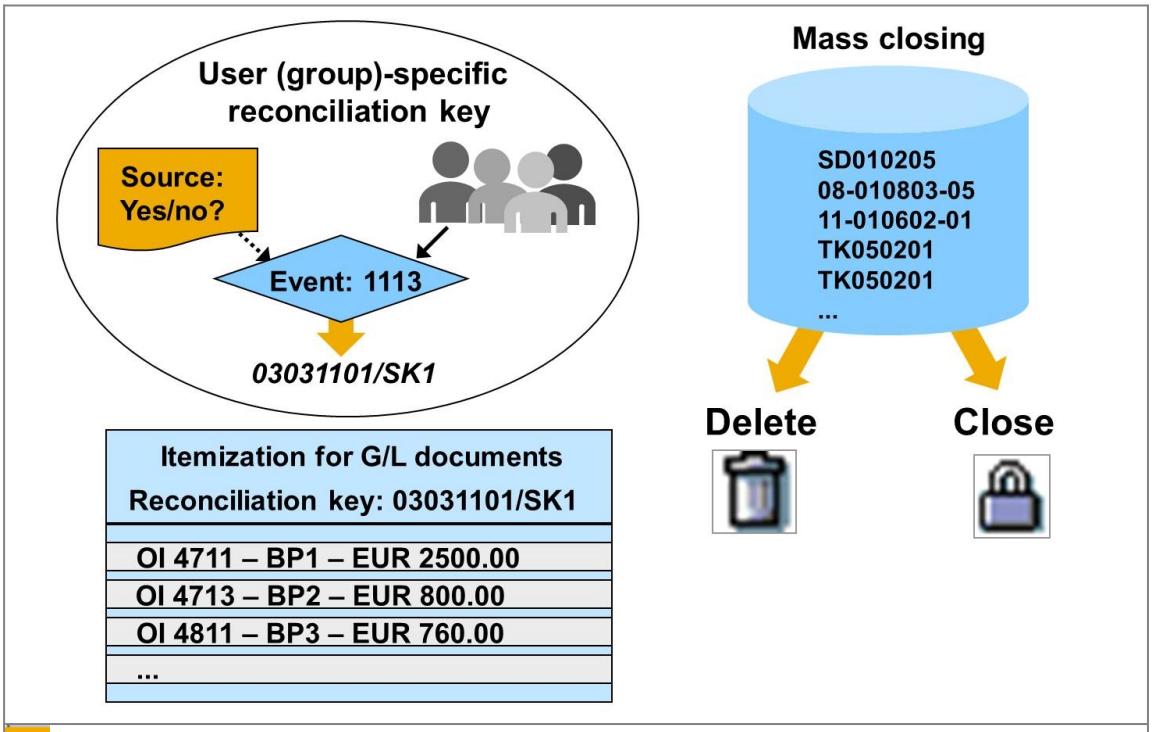


Figure 38: Reconciliation Key

The reconciliation key can be can be structured user (group) specifically for online postings. User-dependent and user-independent reconciliation keys can also be proposed for origin keys stored in Customizing. However, for this to happen, the SAP function module FKK_SAMPLE_1113_USER or FKK_SAMPLE_1113 must be used in event 1113.

During mass closing (transaction FPG4), the system closes all keys that are not reserved for a specific group of postings, such as postings for a payment run or a payment or returns lot.

In addition to this, keys that are reserved for posting invoicing documents from Sales and Distribution are also closed.

If necessary, you can also delete reconciliation keys that have been created but are not used. To do this, select the *Delete Unused Open Keys* or *Delete Unused Closed Keys* parameter.

Document itemization for reconciliation key (RFKKABS30): The report selects all FI-CA documents posted under a reconciliation key.

The FI-CA totals records are selected according to the selection criteria. The corresponding FI-CA document line items are selected and sorted.

© Copyright. All rights reserved.

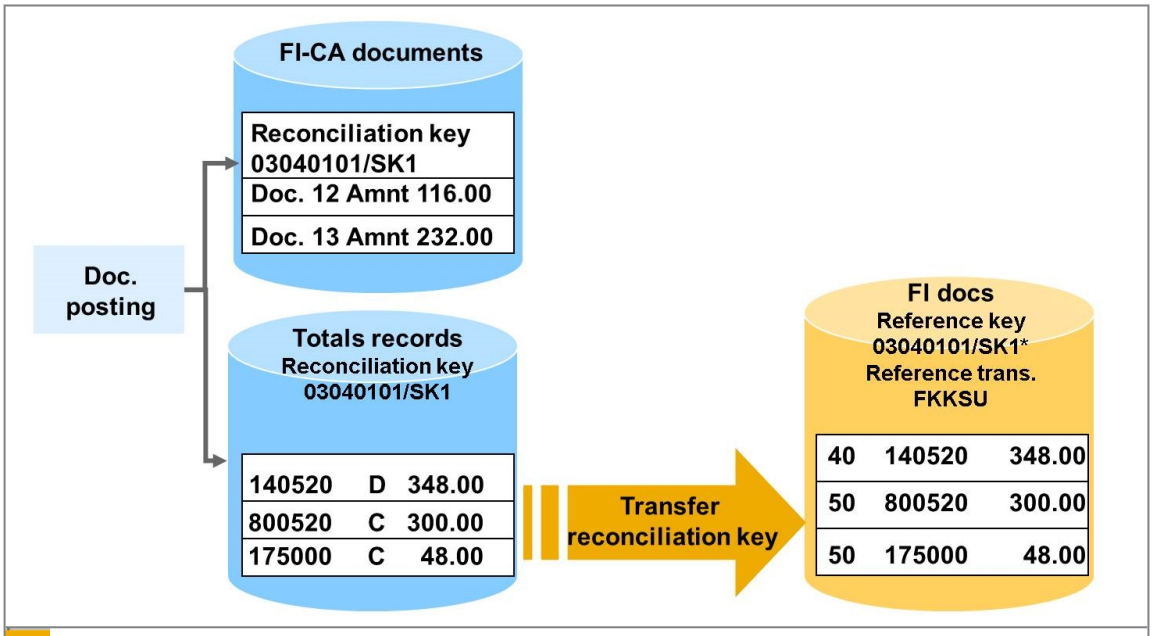


Figure 39: FI-CA Document – Totals Record – FI Document

Requirement for transferring a totals record: The reconciliation key must be *closed*.

Display transferred totals records in FI-GL: Transaction *FB03 (Document Display) → Document list* and enter reference transaction FKKSU and the reference key reconciliation key +* in the selection parameters.

Reference in FI document header: Reference key = reconciliation key + sequential transfer number used during the transfer process.

Checking/correcting totals records

Reasons:

- Due to reconciliation differences between the subledger and general ledger
- Due to technical problems (database problems, termination of a payment run, and so on)

Procedure:

- Check and correct totals records (RFKKABS1/RFKKGL20).
- Restructure totals records if necessary (RFKKABS8).
- Transfer totals records to the general ledger in correction mode (RFKKGL00) (provided that the totals record has been transferred already).

© Copyright. All rights reserved.

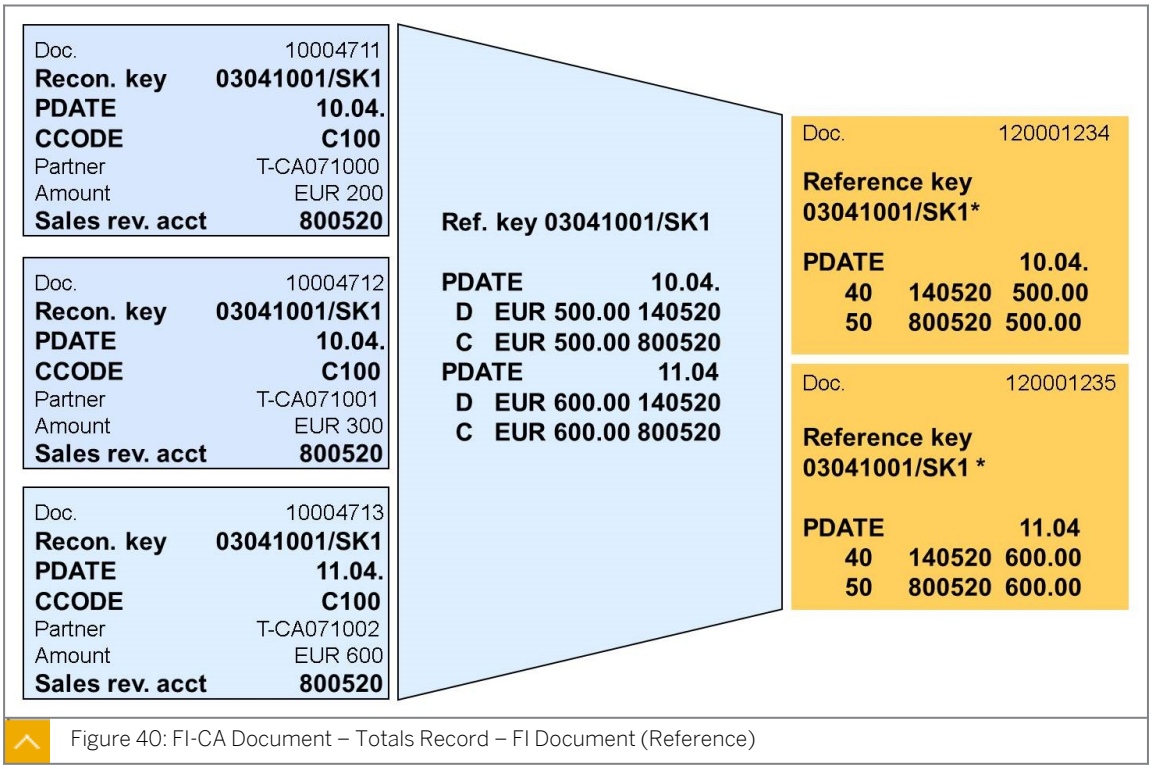


Figure 40: FI-CA Document – Totals Record – FI Document (Reference)

Documents in a reconciliation key are cumulated according to posting date and general ledger account.

Transferring totals records with a different posting date creates a general ledger document in the general ledger for each posting date.

The reconciliation key is transferred according to the key date. If the reconciliation key contains documents with posting dates in the future, then the reconciliation key is only partially transferred to general ledger accounting on the key date. The rest of the key is transferred if the future posting date is earlier than or the same as the transfer date.

If the number of lines in the general ledger document exceeds the maximum number of document lines allowed in financial accounting, the document is split and an additional document is created.

The required “zero balance” is posted via a transfer account.

© Copyright. All rights reserved.

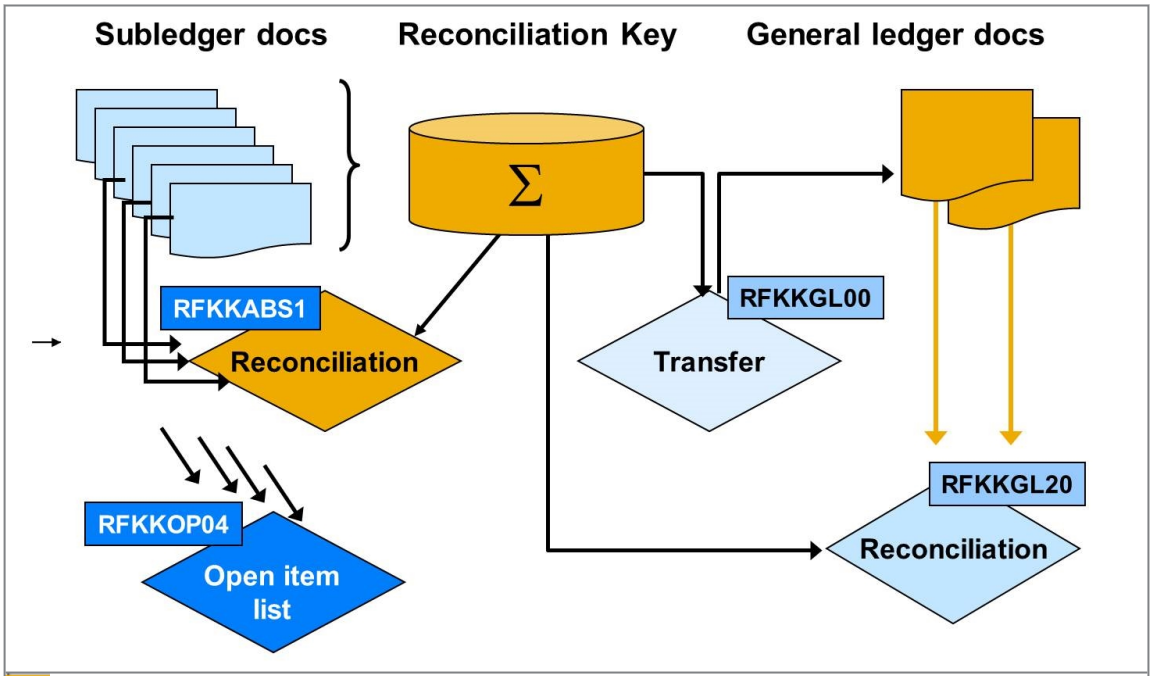


Figure 41: Reconciliation: General Ledger Documents

Report RFKKGL00 transfers the totals records accumulated in the reconciliation keys to the general ledger. Program RFKKGL20 is used to reconcile the general ledger with Contract Accounts Receivable and Payable. It reads the documents that were posted as a result of the FI-CA totals records transfer from the general ledger. The documents are then compared with the FI-CA totals records. Differences are displayed in color and marked with a red traffic light. You can select the corresponding menu option from the output list to correct any differences that occurred (for example, if posting was terminated) and that you were not able to post subsequently. If you select the *Correction Run* indicator, the system corrects the differences automatically in background processing.

Report RFKKABS1 (check totals records) checks whether the FI-CA postings totals match the totals of the associated FI-CA documents and that the balance of the FI-CA documents is zero. The program displays any discrepancies between the posting totals and the FI-CA documents. The differences can be corrected online or in background processing. If FI-CA documents do not have a balance of zero, the corresponding document numbers and reconciliation keys are output. These reconciliation keys cannot be exported and cannot be corrected automatically.

Report RFKKOP04 generates a key-date-specific list of open items for business partners in FI-CA. You can use the report during closing operations (month, quarter, year) or for reconciliation purposes.

© Copyright. All rights reserved.

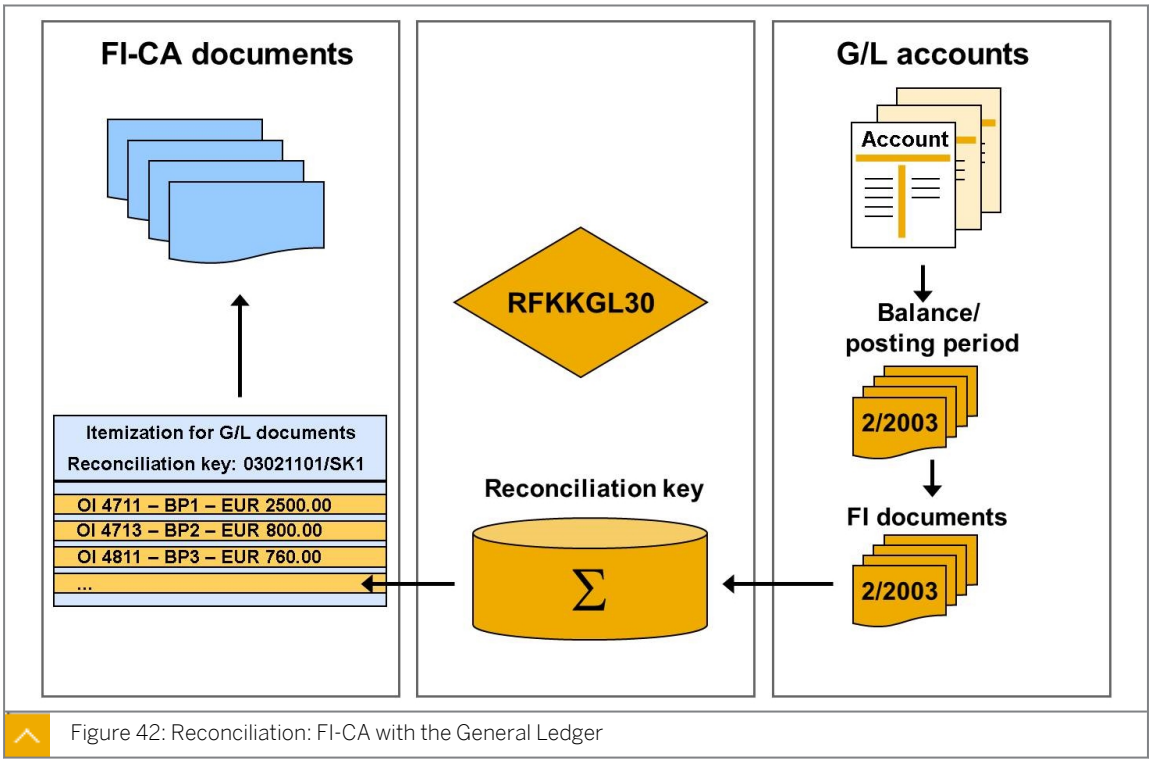


Figure 42: Reconciliation: FI-CA with the General Ledger

Report RFKKGL30: The program displays the documents from Contract Accounts Receivable and Payable (FI-CA) that have been transferred to the general ledger (FI) as totals records. The general ledger documents are read according to the selection criteria. The corresponding totals records and document lines from Contract Accounts Receivable and Payable are selected and sorted.

Report RFKKGL30 ensures that data can be audited in Contract Accounts Receivable and Payable, which means that you can determine and display the items and documents in Contract Accounts Receivable and Payable (subledger) for a general ledger document (transfer document) at any time. A general ledger document can, therefore, be explained by the items in the subledger at any given point in time.

You can use report RFKKABS6 to reconcile the general ledger accounts. The program outputs postings that were transferred to the general ledger. The postings are displayed as an overview of balances or as line items with the corresponding posting date and, if available, an alternative posting date.

© Copyright. All rights reserved.

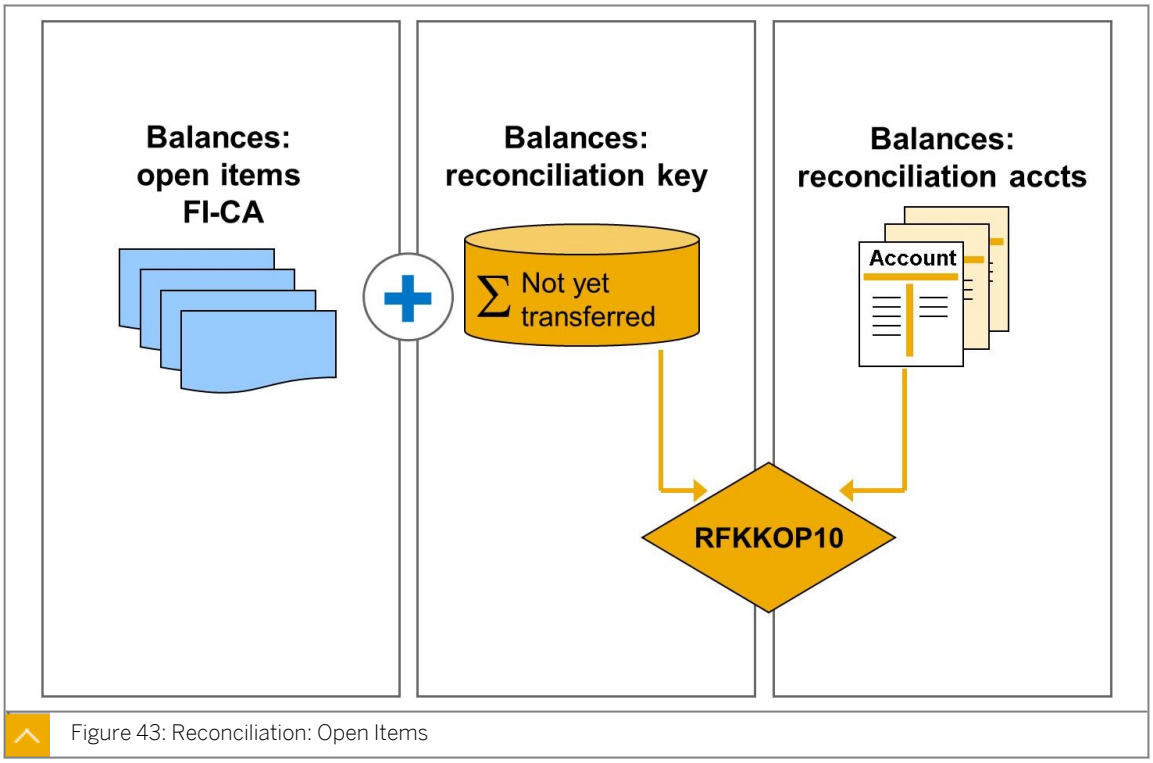


Figure 43: Reconciliation: Open Items

Report RFKKOP10 reconciles FI-CA with FI-GL. It reconciles the current balance for all reconciliation accounts or the reconciliation accounts specified, as well as clearing accounts.

The following balances are calculated for each company code and reconciliation account:

- Balance of current open items in FI-CA

  The tax on sales/purchases clearing account is also useful for down payments. Statistical items are not evaluated.

- Current balance of reconciliation accounts in FI-CA an FI-GL
- Balance of reconciliation keys in FI-CA that have not yet been transferred
- Balance of adjustment totals records in FI-CA that have not yet been transferred

Report RFKKOP10 creates a totals sheet with the balances for the reconciliation accounts. The *Status* field in the list specifies differences per company code, business area, and reconciliation account. The *Missing OIs* field informs you that a reconciliation account in the GL has a balance, but no corresponding open items were found in FI-CA. If you want to analyze in more detail which items or business partners are involved in specific differences, start report RFKKOP04 with the relevant reconciliation account as current OI list.

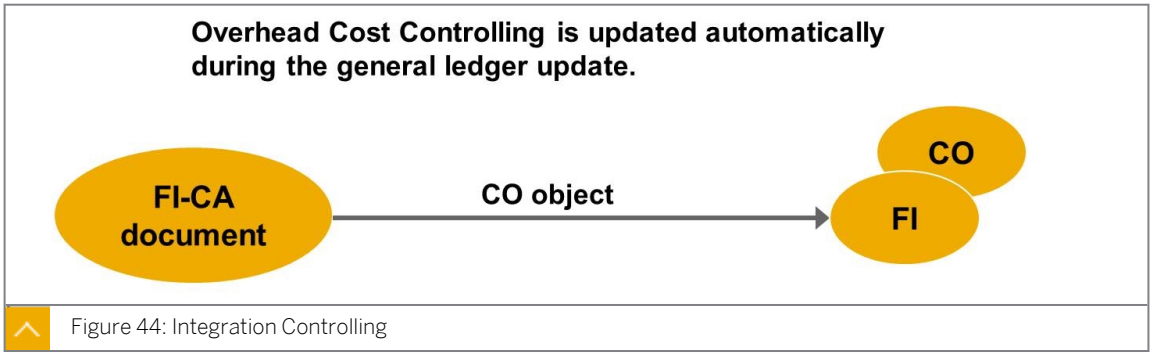


Figure 44: Integration Controlling

© Copyright. All rights reserved.

LESSON SUMMARY

You should now be able to:

- describe the integration of FI-CA with the general ledger

© Copyright. All rights reserved.

Unit 3
Lesson 4

Segment Reporting in General Ledger

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the integration of FI-CA with the segment reporting in general ledger.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the integration of FI-CA with the Segment Reporting in General Ledger

Segment Reporting in General Ledger

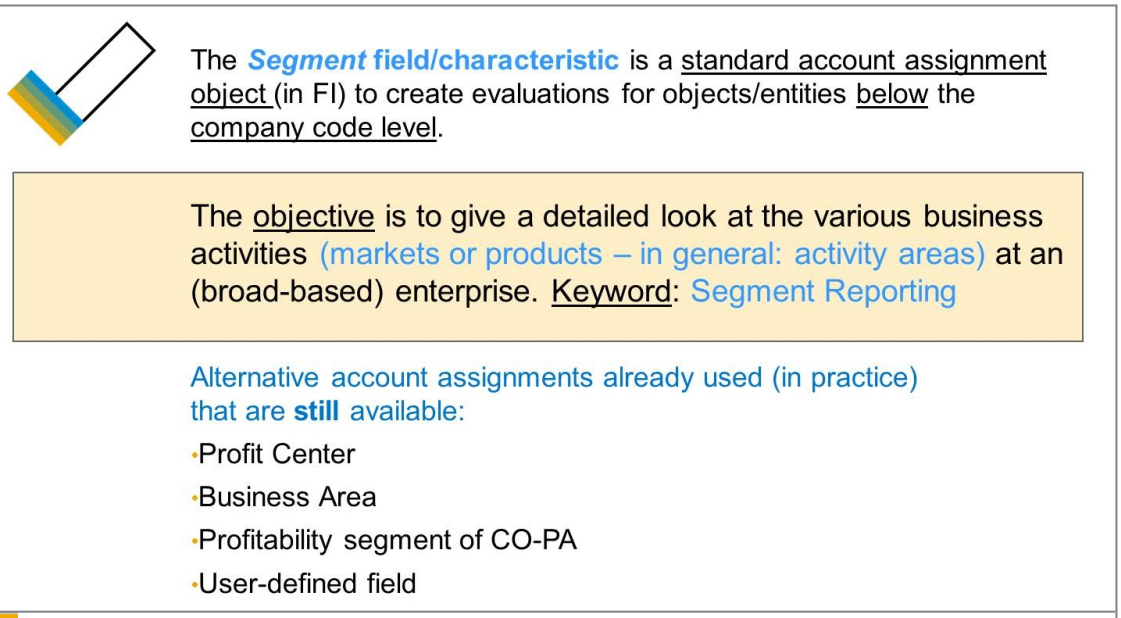


Figure 45: The Segment Characteristic: Definition and Usage

Segments can (and should) be used to meet the requirements of international accounting principles (for example IFRS or US-GAAP) regarding **segment reporting**.

However, the *Business Area* or *Profit Center* SAP standard objects can also (still) be used as alternatives.

© Copyright. All rights reserved.

Note:
IFRS 8: BUSINESS SEGMENTS - 5. A business segment is an area of a company

- ... a) that carries out business activities that generate revenues and for which expenses can be incurred (including revenues and expenses in connection with transactions with other areas of the same company),
- ... b) whose operating profits are regularly inspected by the main decision-maker of the company with regard to decisions about the allocation of resources to this segment and the evaluation of its profitability, and
- ... c) for which there is corresponding financial information.

Displaying the profit and loss statement by profit center, business area, or segment is never problematic because the positions that have an effect are always provided with unique corresponding objects by the original controlling object. However, if a balance sheet is to be created for one of these objects, the problem is that the line items in FI-GL (for example, receivables and taxes) cannot be split accordingly.

In classic FI-GL, the additional closing activity “Financial statement adjustment ” breaks the receivables, payables, and taxes down into the additional account assignments “Business Area” and “Profit Center,” which are stored in the G/L account items.

The document splitting in the (new) general ledger accounting replaces the functionality of the adjustments to financial statements.

Hint:
Document splitting is only for customers who have to or want to enter a further characteristic (such as a segment) on the balance sheet in addition to the company code.

In terms of compatibility of FI-CA with the FI-GL document splitting scenario, the following general statements apply:

1. A customer who uses FI-CA and splits documents in FI-GL must ensure that the required characteristics can be added in FI-CA. Segments are derived according to FI-CA-specific rules whose splitting logic differs in FI—G/L.
2. For reconciliation reasons, FI characteristics cannot be added to FI documents from FI-CA because reconciliation in FI-CA takes place at account assignment level (for example, business area, segment, and profit center).

© Copyright. All rights reserved.

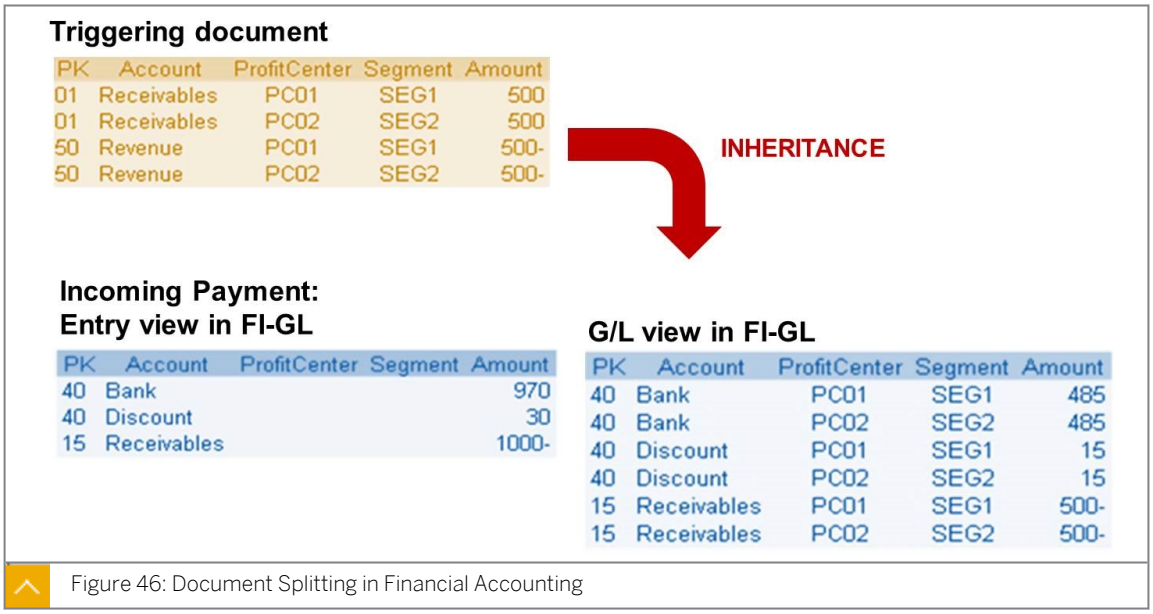


Figure 46: Document Splitting in Financial Accounting

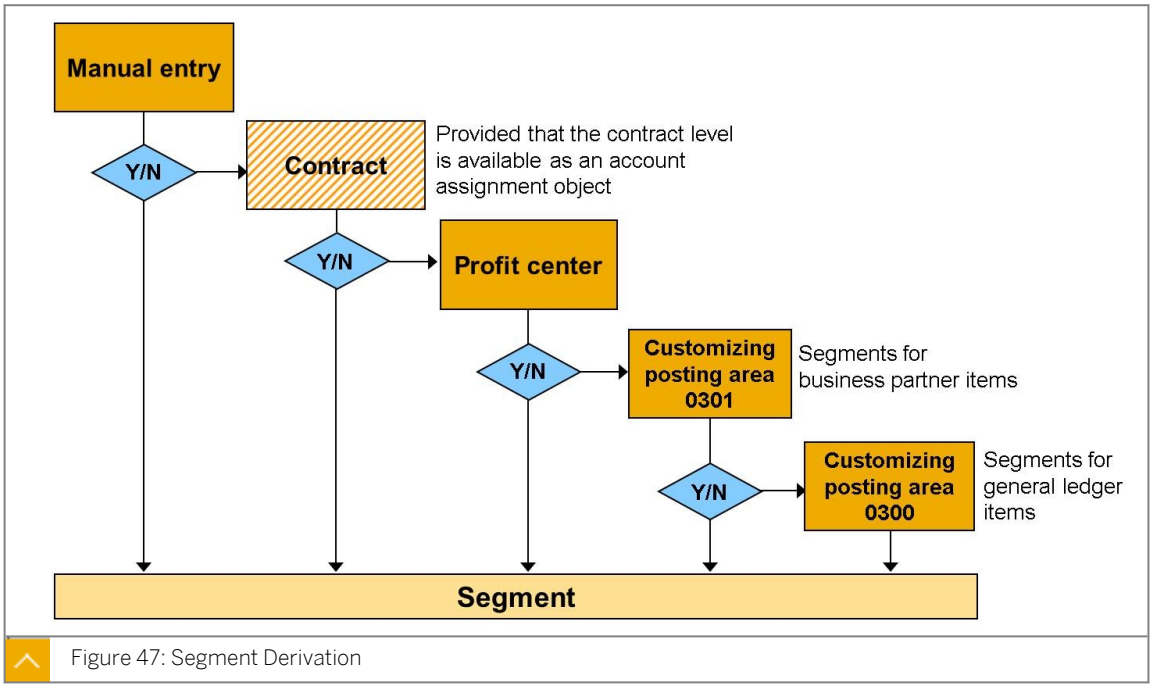


Figure 47: Segment Derivation

When a segment is derived in FI-CA documents, a distinction must be made between two cases:

- Segment derivation for documents for which no subsequent posting to previous documents is made (typical case: new receivable)
- Segment derivation for documents that are a subsequent posting to a previous document (such as incoming payments)

The segment in documents for which no subsequent posting to previous documents is made is derived as follows:

1. For manual postings, you can also enter the segment directly.
2. Automatic derivation using:

© Copyright. All rights reserved.

a) The contract, provided that the contract level exists and an account is assigned in the document.

b) The profit center master data.

c) Posting area 0301 “segments for business partner items.” The segment can be determined based on the company code, business area, division, G/L account, account determination ID, main transactions, and subtransactions.

d) Posting area 0300 “segments for general ledger items.” In this case, the segment can be determined based on the company code, account type, and G/L account.

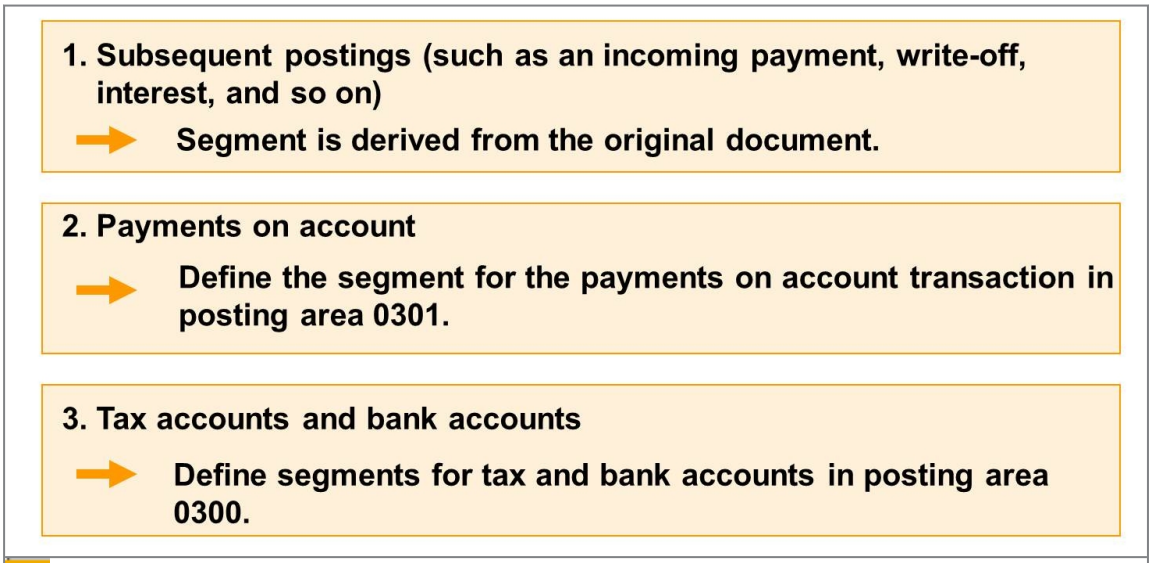


Figure 48: Segment Derivation (2)

For subsequent postings, such as incoming payments, the segment is derived automatically from the source document (for example, the outgoing invoice).

For postings on accounts that could not be assigned to a document, the segment is derived using posting area 0301 “segments for business partner items.”

For tax accounts and bank accounts, you can assign segments using posting area 0300 “segments for general ledger items.” Account type 1 is used for bank accounts and other cash accounts, and account type 2 is used for tax accounts.

LESSON SUMMARY

You should now be able to:

- describe the integration of FI-CA with the Segment Reporting in General Ledger

© Copyright. All rights reserved.

Account Balance Display

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the features of the account balance display.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the features of the account balance display

Account Balance Display

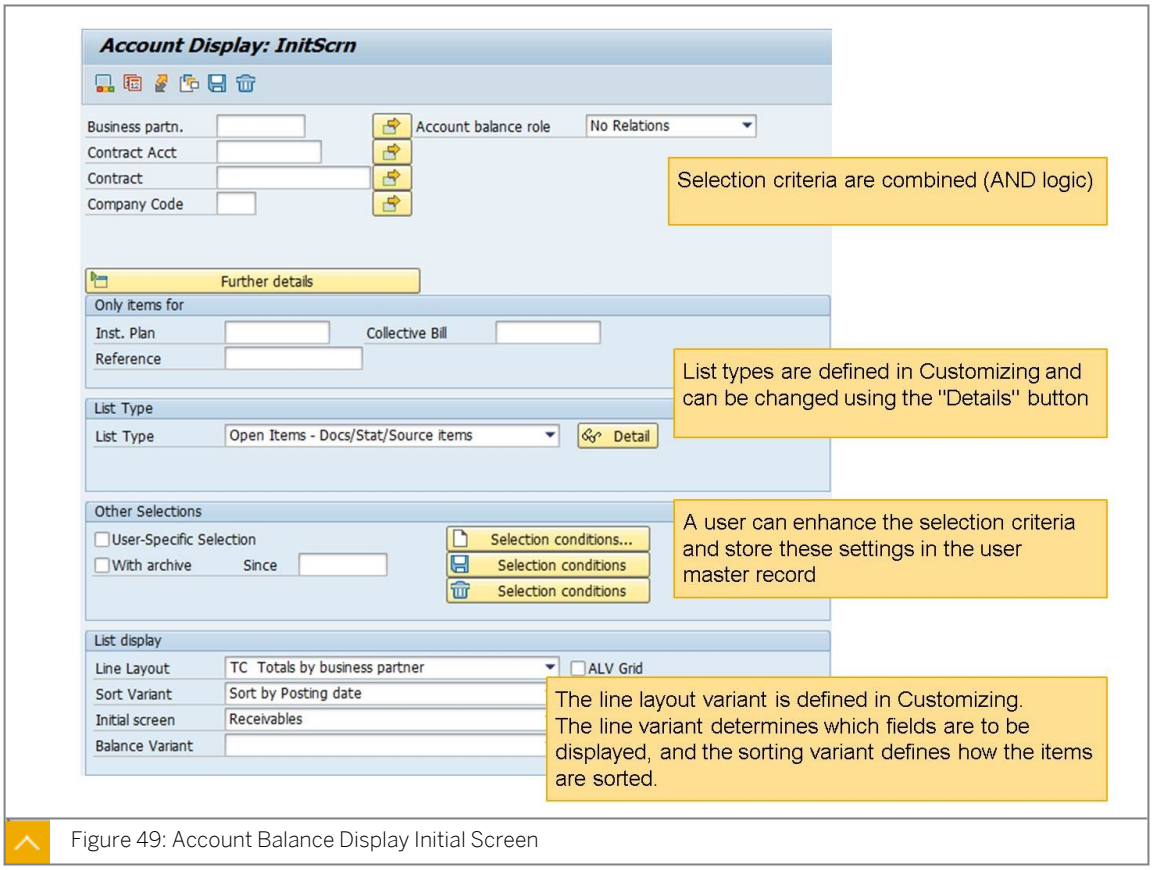


Figure 49: Account Balance Display Initial Screen

The account balance display function in FI-CA enables you to access comprehensive account information about open, cleared, and statistical items quickly.

The display functionality is flexible in that search criteria can be defined and maintained by and for the individual user. You can further restrict the search parameters by entering additional search criteria. For example, you may want to find only items in US dollars within a specific range. This could be done by maintaining the amount “search range” accordingly.

© Copyright. All rights reserved.

List types determine which type of line items are displayed (open items, cleared items, additional business partner items). They also determine which types of statistical items should appear and which document category to search by.

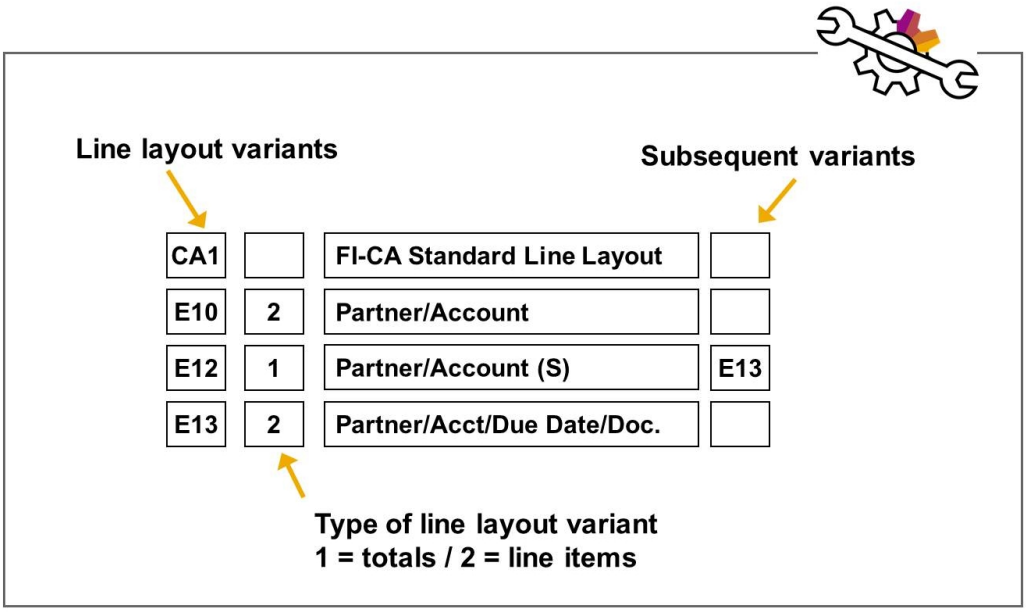


Figure 50: Line Layout Variant

Each line layout variant must either be defined as a “totals” variant or a “line item” variant.

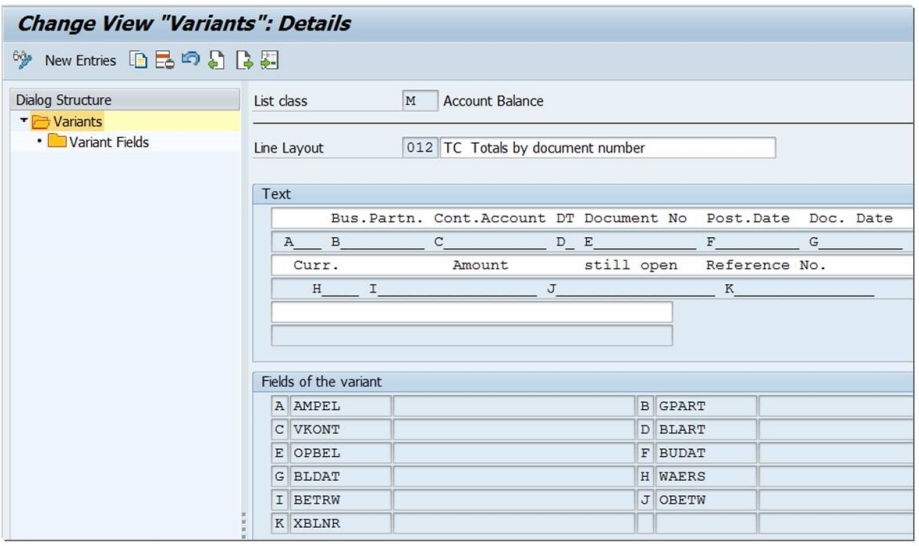


Figure 51: Line Layout Variant: Structure of Totals Variant

This example of totaling at document level can be useful for the summarized document display of items from several contracts as well as for the due dates of an installment plan. This means that you can view a customer's total amount for every due date.

Additional functions of Account balance display:

- Sort, find, total
- Change line layout; add field to line layout; list viewer

© Copyright. All rights reserved.

- View Clearing History
- View interest supplement
- View installment plan and/or source receivables
- View master data (business partner, contract account)
- Dunning, returns history
- Send account information
- Write-off
- Period restriction for item selection
- Context menu can be called

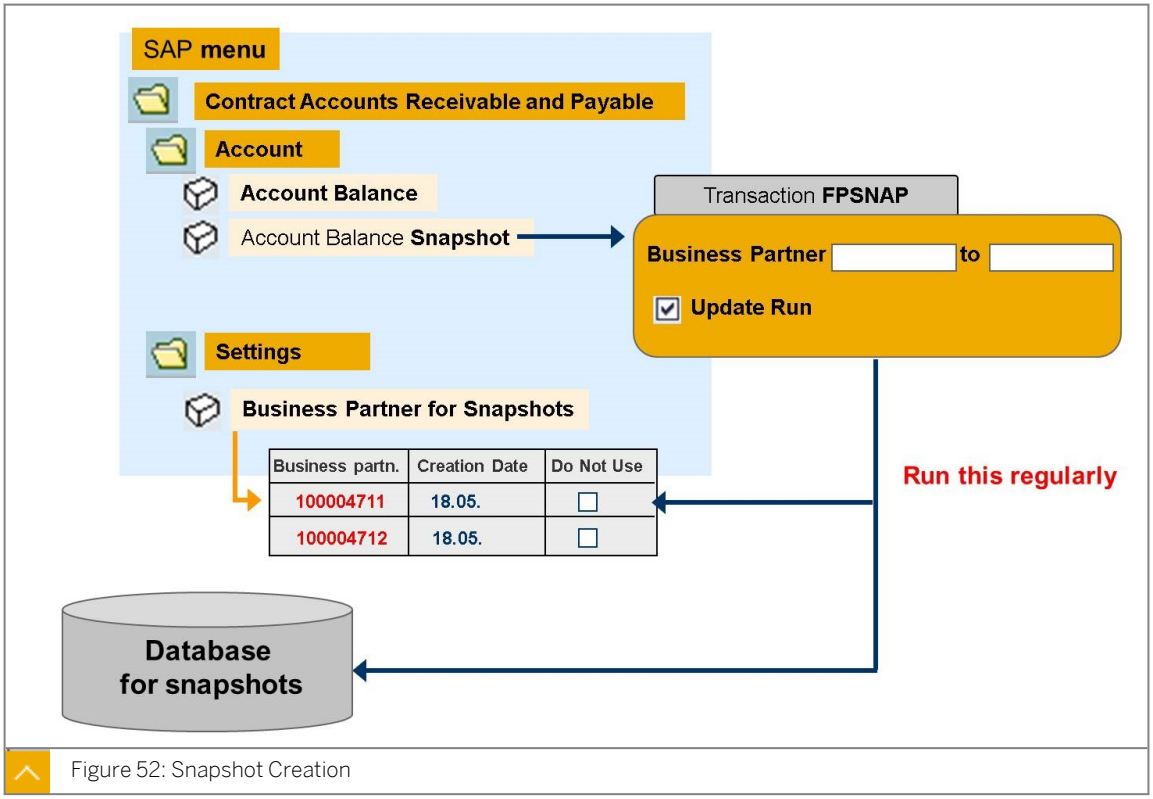


Figure 52: Snapshot Creation

For individual business partners whose contract accounts have a larger number of items, you can display the account balance from a previously selected set of items (a snapshot).

Reading the items in the account balance for a business partner with a large number of items usually takes up much time. To avoid long response times, you can use this report to preselect items for particularly large partners and display them in the account balance instead of the current list. To do so, enter the business partner with several items in Customizing for Contract Accounts Receivable and Payable under *Basic Functions → Account Balance Display → Define Business Partner for Creation of Snapshots*. This setting is one of the current system settings and, therefore, you can access it in the menu under *Current Settings* (*Business Partner for Snapshots*).

To ensure that the account balance is up-to-date, you should update it at regular intervals.

© Copyright. All rights reserved.

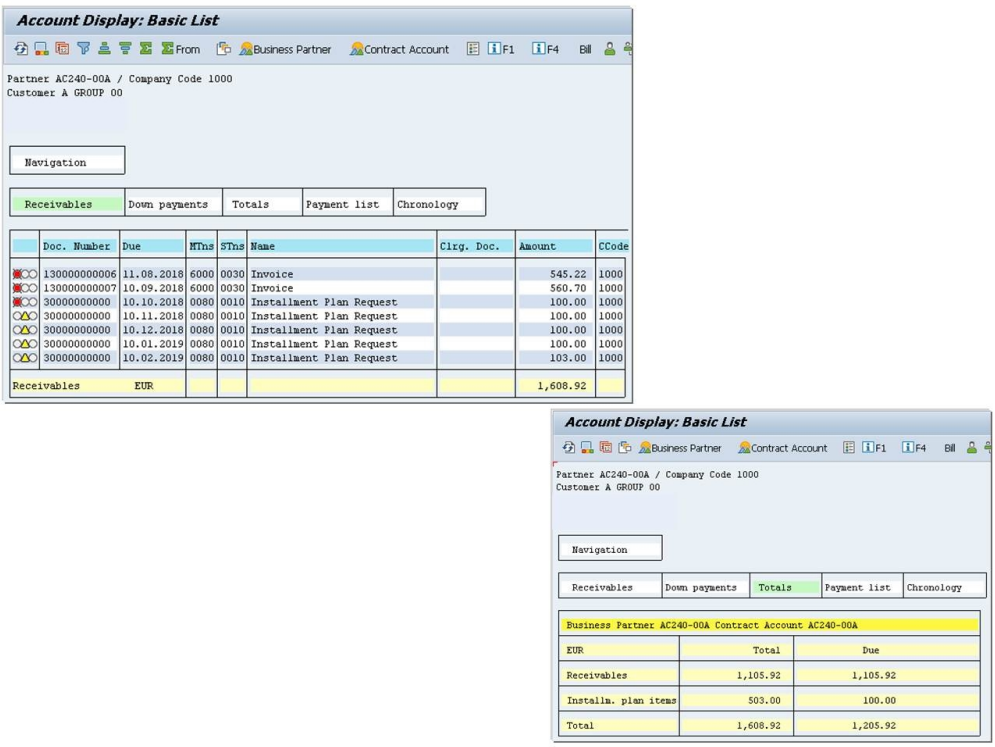


Figure 53: Snapshot Display

When you call up the account balance display, the system checks whether a unique business partner can be determined from the selection conditions.

If the system has determined a business partner and a snapshot exists for this partner:

- The system imports this snapshot
- The system checks the current selection conditions
- The system displays the result in the list with corresponding information that the data is not up-to-date and with the date of the snapshot.

If you are in a snapshot display, you can deactivate the snapshot from the menu via *Account Balance → Current Status*. The system then reads the current data.

LESSON SUMMARY

You should now be able to:

- describe the features of the account balance display

© Copyright. All rights reserved.

UNIT 4 Transactions and Account Determination

Lesson 1

Transactions 63

Lesson 2

Account Determination 69

Lesson 3

Tax Determination 75

UNIT OBJECTIVES

- describe the main transactions and sub transactions in FI-CA
- configure the automatic general ledger account determination in FI-CA
- configure the tax determination

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Transactions

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the main transactions and sub transactions in FI-CA.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the main transactions and sub transactions in FI-CA

Transactions

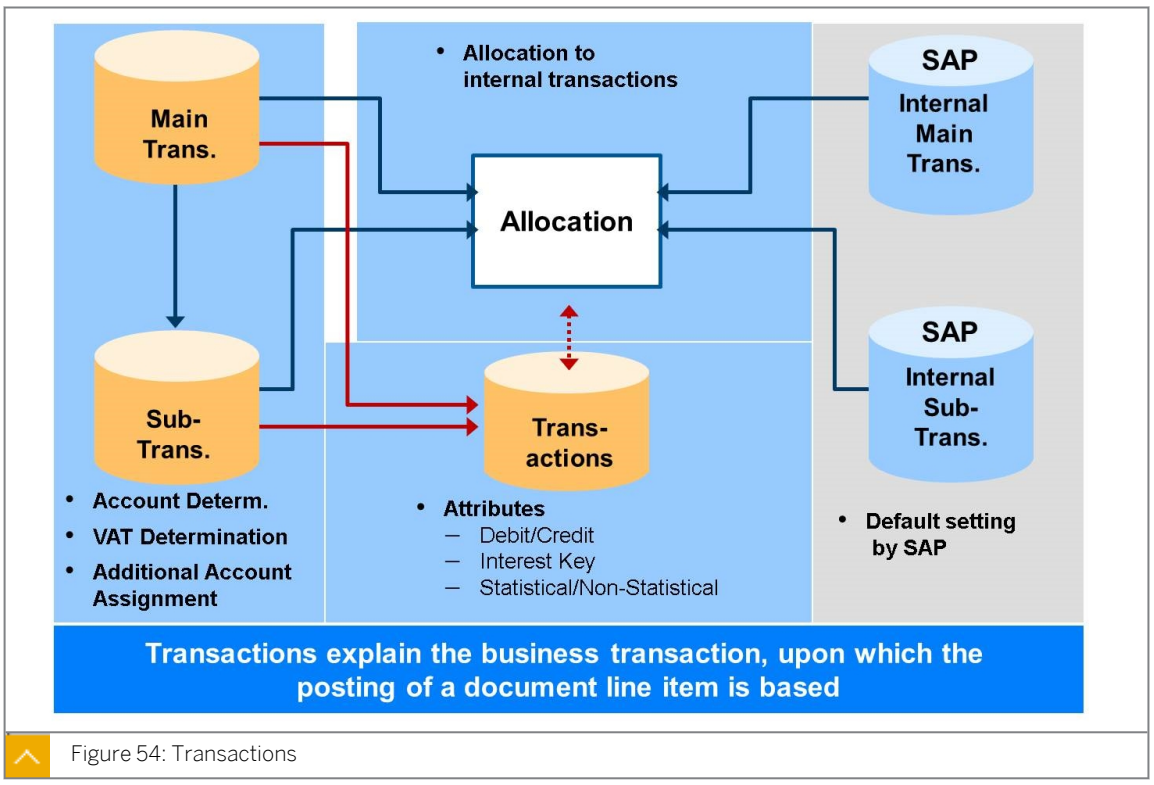


Figure 54: Transactions

The transaction is a combination of main transactions and sub-transactions.

The texts explain the business transaction and are available in all correspondence.

The main transaction controls the determination of receivables and payables accounts.

The sub-transaction controls revenue account determination, tax determination and information about any additional account assignment (business area, CO Account).

© Copyright. All rights reserved.

FI-CA and industry-specific versions use internal main transactions and sub-transactions that are assigned internally by various business processes and that control these processes. These internal transactions are assigned to the installation-specific transactions.

If all FI-CA functions or industry solutions functions are used, internal transactions represent the minimum of transactions. In addition to this, for manual posting, you can maintain any number of transactions that do not correspond to internal transactions.

Transactions in FI-CA must be specified by characteristics, such as the debit/credit indicator, interest key, statistic indicator, and so on. These characteristics are automatically transferred to the document during posting.

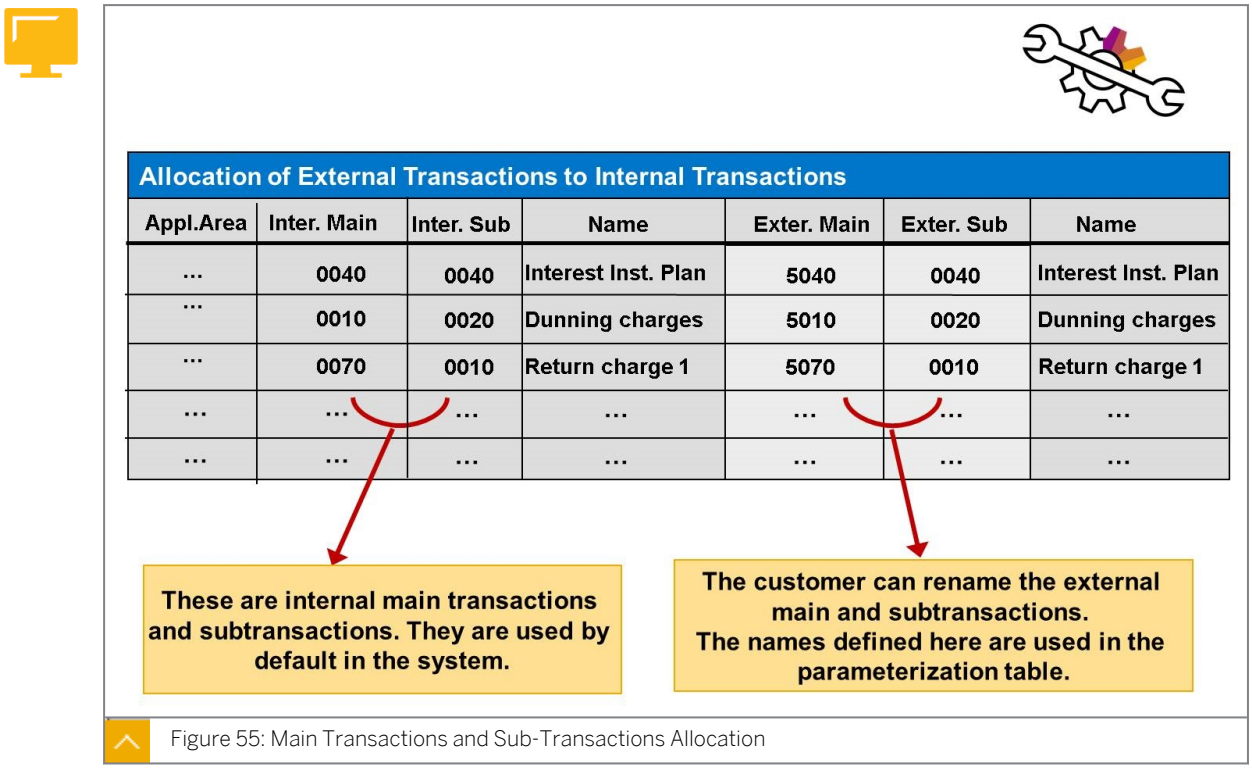


Figure 55: Main Transactions and Sub-Transactions Allocation

Internal transactions are those transactions that take place within FI-CA and its industry-specific versions. The main examples of these transactions are charges, interest, payments or clarifications. These main transactions and sub-transactions therefore provide the parameters needed to post these internal transactions.

Hint:
You have to assign each entry in this table to an ID, even if you have chosen not to rename the transactions. In this case, you have to make identical entries in the fields for external assignment.

Caution:
These internal transactions are used by default and should NOT be deleted.

Main transactions and sub-transactions are used to identify items based on their type (charge, interest) and the process from which they originated (payment, account statement).

© Copyright. All rights reserved.

This function links each item to a main transaction to which multiple sub-transactions are assigned. For example, there is a main transaction “charge” with assigned sub-transactions (dunning charge, return charge, correspondence charge, installment plan charge).

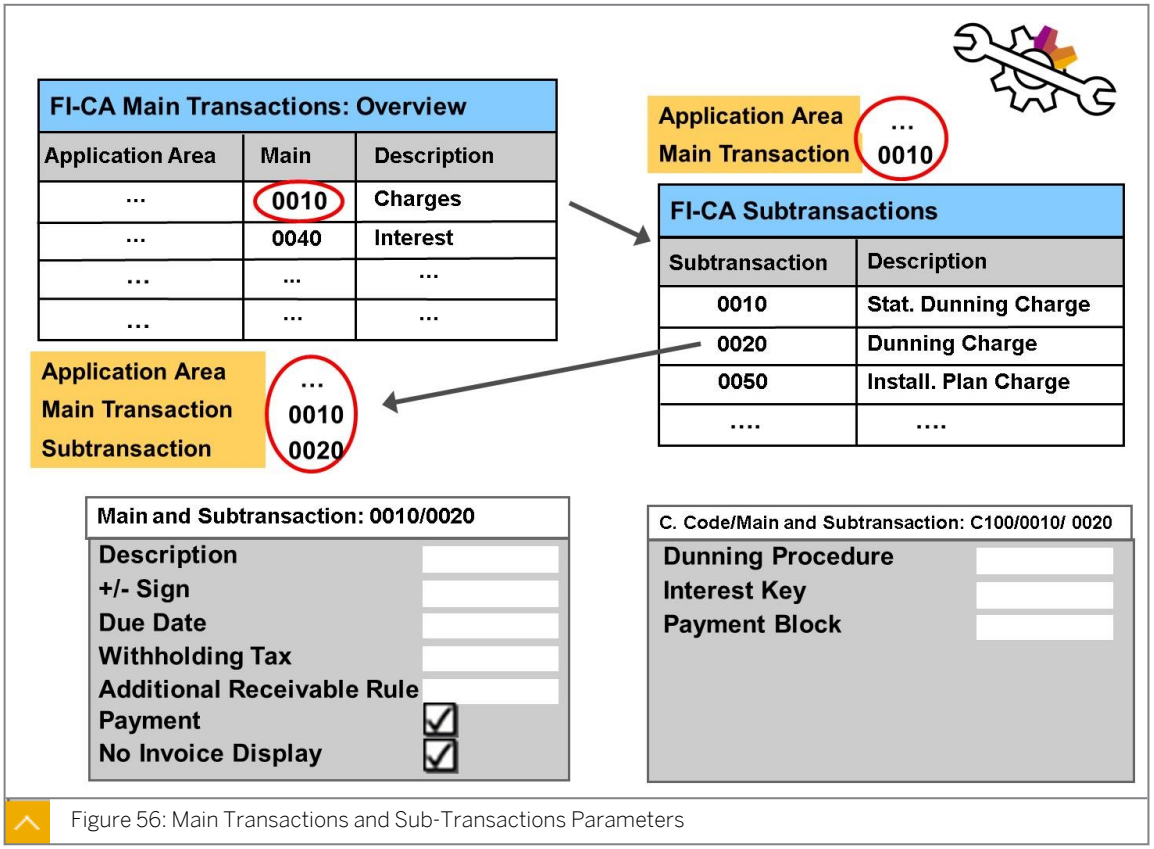


Figure 56: Main Transactions and Sub-Transactions Parameters

You can define new entries in this table for use in transactions not defined as internal to FI-CA. These additional transactions are used in general ledger account determination.

You can also define whether the amount entered can be negative or positive.

All postings in FI-CA contain information about the underlying transactions. You can assign additional attributes to the transactions in Customizing. These attributes are copied to the business partner item when the posting is made and can influence the business transactions.

© Copyright. All rights reserved.

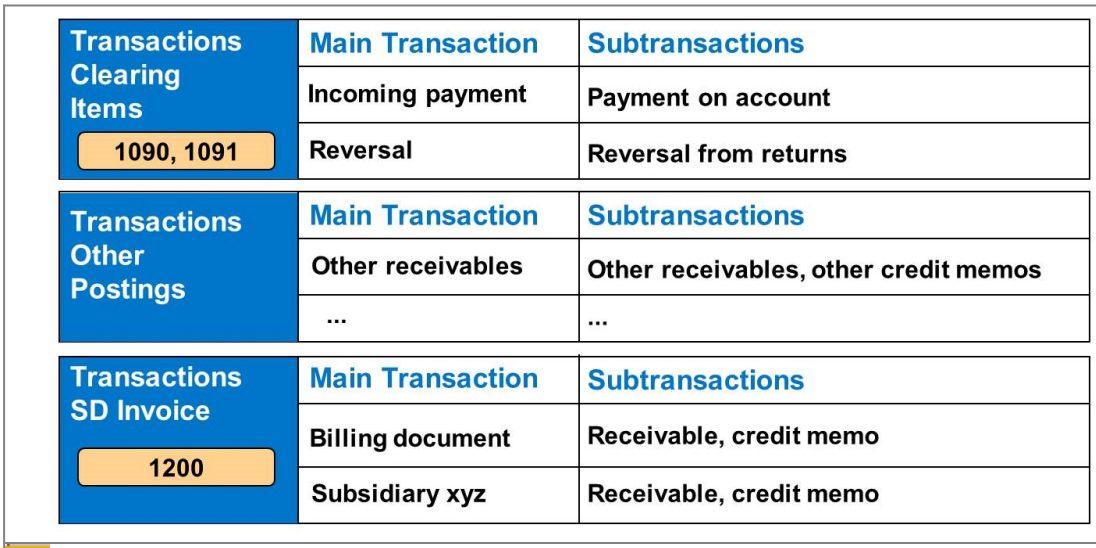


Figure 57: Freely Defined Transactions

If documents that do not have any business partner items are cleared themselves (by reversal or clearing cancellation), the system creates a business partner item to which the clearing information can be written. The transaction set in this item is determined from Customizing. Again, the original clearing reason is used for determination: posting areas 1090 and 1091.

Any sub-transactions can be specified for business processes that are not represented in FI-CA . These sub-transactions are allocated to the freely-defined main transactions. This enables you to model infrequent transactions and use them for manual posting.

For SD billing documents that are posted to FI-CA, the transactions are determined based on several characteristics of the SD billing document (posting area 1200).

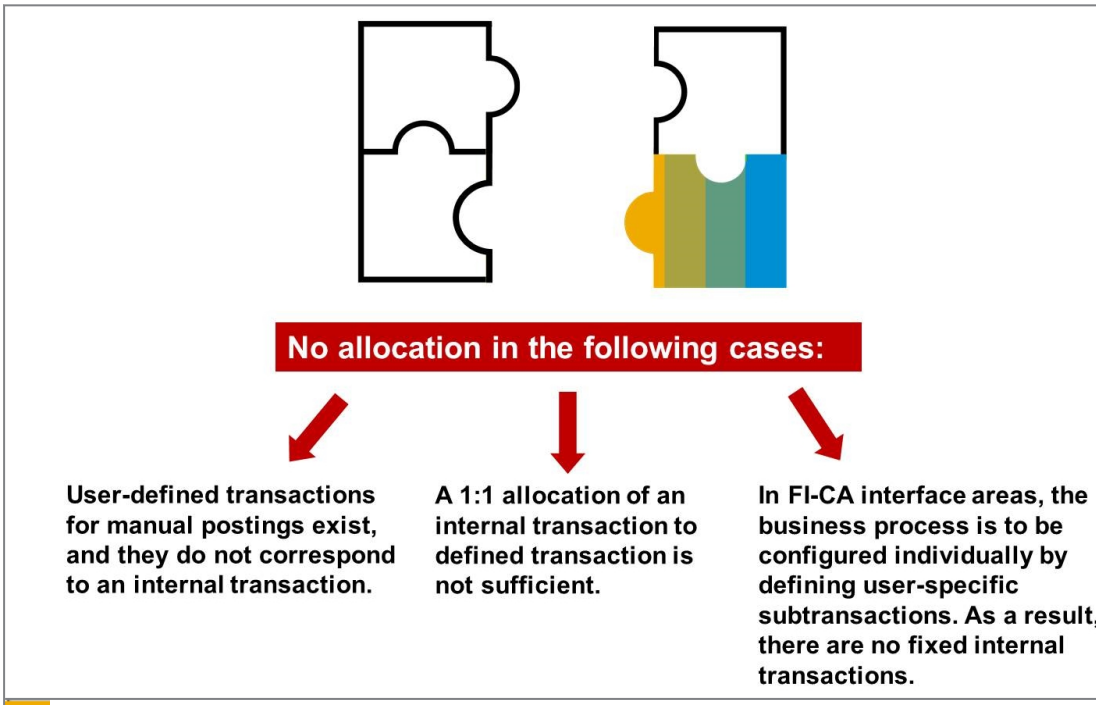


Figure 58: Allocating an Internal Transaction: Defined Transaction

Examples:

© Copyright. All rights reserved.

- Customer-specific transactions: Other receivables for manual postings (6000/0010 in the training system) do not correspond to internal transactions.
- Depending on the charge schedule selected in the dunning steps of a dunning procedure, dunning charges are to be posted either statistically or as relevant for the general ledger.

LESSON SUMMARY

You should now be able to:

- describe the main transactions and sub transactions in FI-CA

© Copyright. All rights reserved.

© Copyright. All rights reserved.

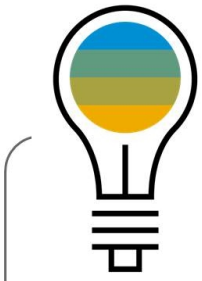
Account Determination

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to configure the automatic general ledger account determination in FI-CA.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- configure the automatic general ledger account determination in FI-CA

Account Determination



Definition of a posting area:

Key representing a business subfunction that supports automatic determination of certain data required to create documents. This data can include account numbers, transactions, and other specifications or defaults used in posting transactions and clearing transactions.

In Contract Accounts Receivable and Payable, Customizing tables are not defined for every posting area. Depending on the posting areas, tables are identified by their key and function fields.

Posting areas can be called up using Customizing activities or transaction FQC0.

Figure 59: Posting Areas

Posting areas are broken down into the following areas:

- Posting areas for all application areas (for example to identify a tax account)
- Posting areas for more than one application area (for example to determine the default values for incoming payments)
- Application-specific posting areas with different prefixes

The active application area is defined in the user parameters or by selection.

You can maintain posting areas either in transaction FQC0 or in the Implementation Guide.

© Copyright. All rights reserved.

You can select specific entries from the list of entries displayed by using the *Selection → By Contents* function in the Customizing transaction for account determination.

You can use transaction FQCR to select and display account determination data across all posting areas. In the list, you can use functions such as find, sort, and total. When you select the entry, the system branches to the display screen. You can navigate to the maintenance screen for the entry by choosing *Display → Change*.

By entering a search value, you can use the report, for example, to identify from what Customizing entry an automatically posted general ledger account was determined.

Access sequence: The system first attempts to determine an entry with the key fields that are used. If this does not work, the last key field is excluded at the next attempt. At the last attempt, only the first key field value is used. You can change this standard procedure with user-defined access sequences. To do this, you define:

- Which of the possible key fields are relevant for the determination of the G/L account
- Which order to use key field definitions for the determination of the G/L accounts

Test your Customizing settings by using the simulation. If the derivation cannot be simulated, an error analysis is run.

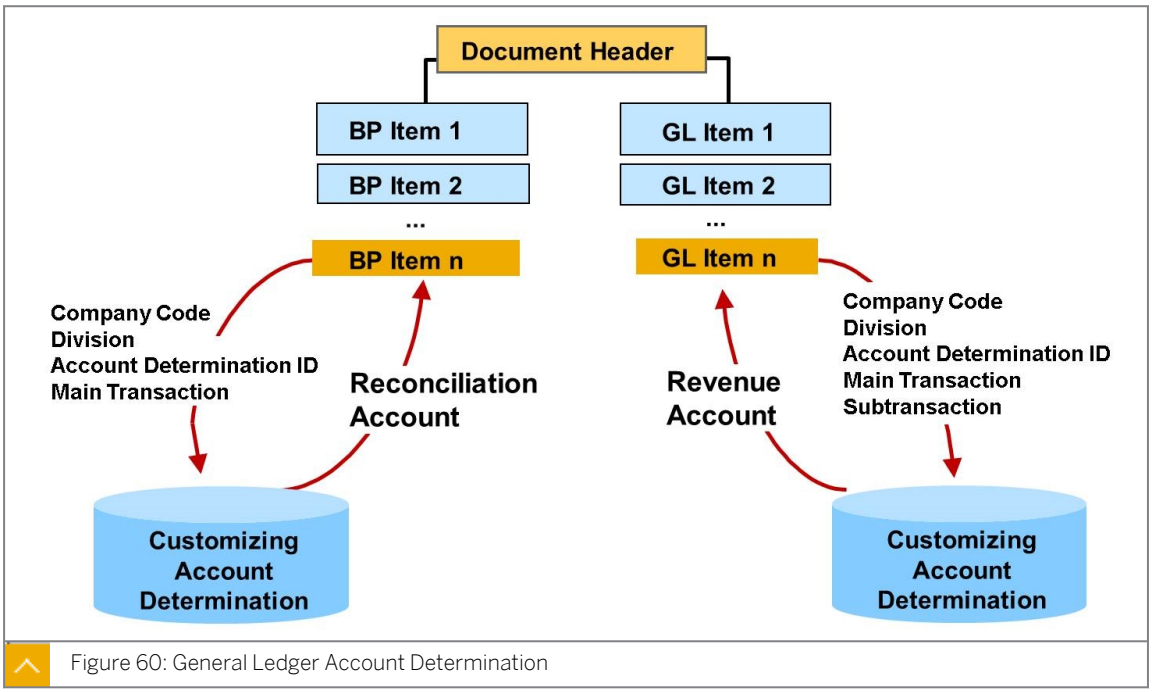


Figure 60: General Ledger Account Determination

G/L accounts are determined by standard account determination functionality. This function takes a subset of posting parameters and checks a special allocation table in FI-CA Customizing.

G/L account determination is done using main transactions and sub-transactions from the line items of postings and the account determination ID.

Depending on the industry component used, the account determination ID is derived from either the contract account or from the contract.

The event for determining the reconciliation account is 1101. The event for determining the revenue account is 1100.

© Copyright. All rights reserved.

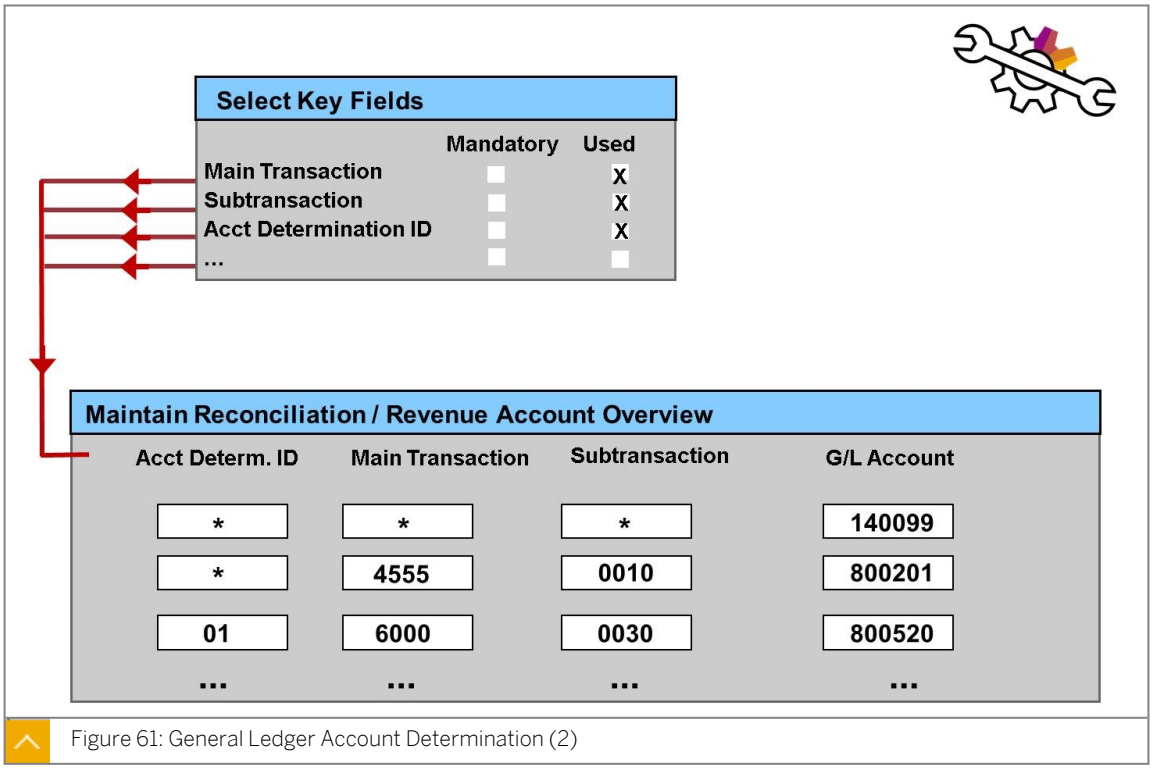


Figure 61: General Ledger Account Determination (2)

Each individual posting in the subledger is allocated to exactly one receivable/payable account in the general ledger. A negative transfer amount is a credit, and positive amount a debit.

Hint:
General ledger accounts used in line items for business partners (receivables, payables, down payments, and so on) must be designated as being reconciliation account category “V.” This prevents unintentional direct postings to these accounts, and thus avoids potential complication of the reconciliation process.

Revenue account: The account determination logic for the profit and loss statement is the same as for balance sheet account determination. A subset of fields is used from the documents to automatically determine the general ledger account to which to post.

© Copyright. All rights reserved.

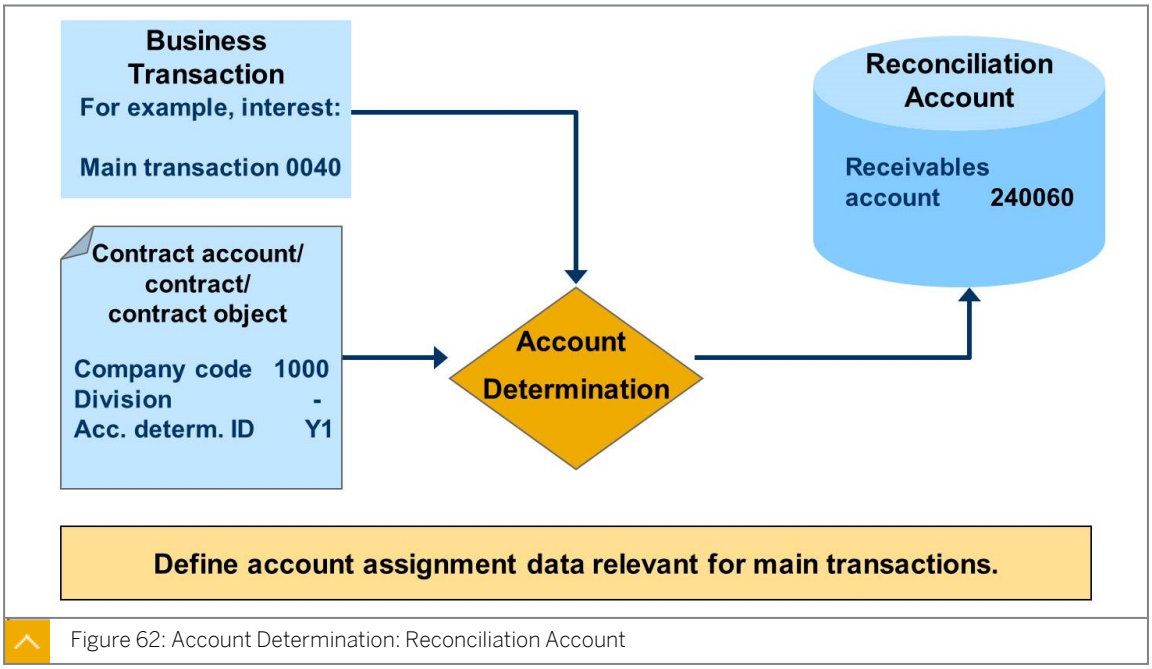


Figure 62: Account Determination: Reconciliation Account

The system determines the main transaction during business partner processing based on the internal transaction and its allocation to a defined transaction.

The account determination ID controls determination of the receivables account in FI-CA (together with the main transaction resulting from the business transaction). The company code and, potentially, the division are further criteria.

The same receivables account is determined for identical business transactions for contract accounts with the same account determination IDs, such as residential customers or companies connected inland.

You can use different account determination IDs to access different receivables accounts in general ledger accounting.

The account assignment data relevant for main transactions is stored in the posting areas S000 (FI-CAX), R000 (IS-U), T000 (IS-T), M000 (IS-M), and P000 (Public Sector).

© Copyright. All rights reserved.

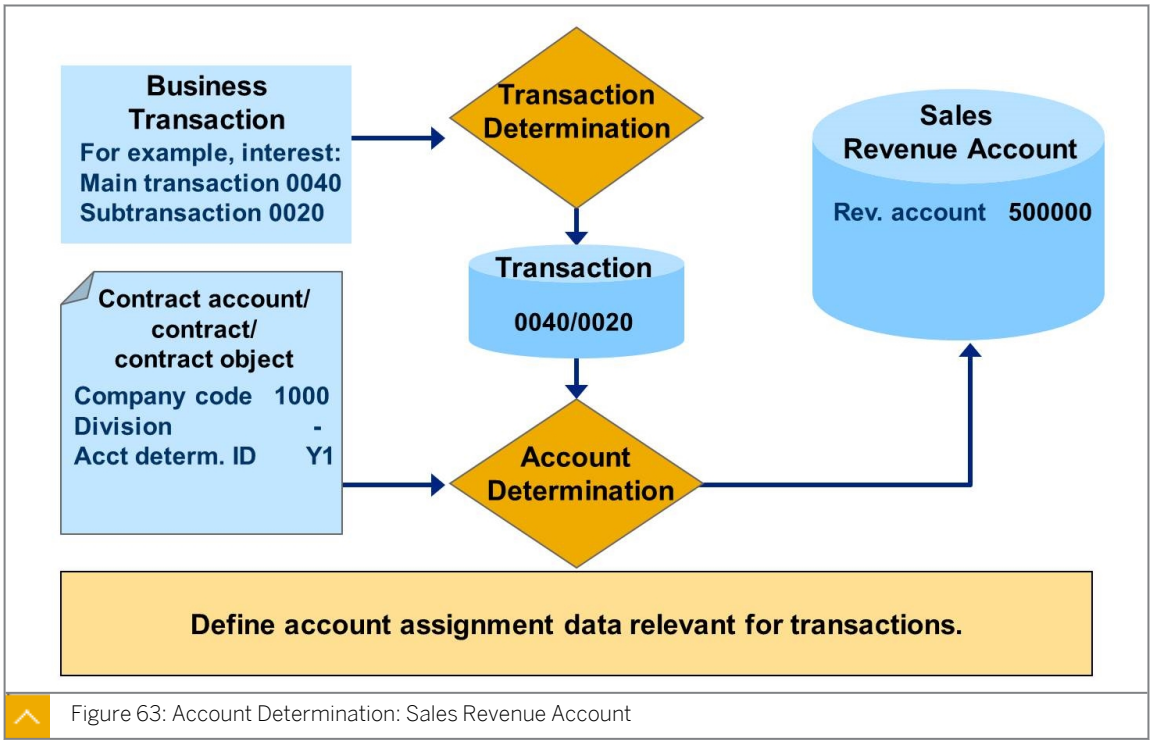


Figure 63: Account Determination: Sales Revenue Account

Sales revenue account determination also requires the sub-transaction.

This enables you to allocate different revenue accounts to one business transaction (main transaction) by defining special sub-transactions. It is also possible to allocate different revenue accounts for each company code and division.

The business area and tax on sales and purchases determination code are defined in revenue account determination. Further account assignment characteristics (such as cost center and profit center) are also stored there using the CO account assignment key.

The account assignment data relevant for transactions is stored in the posting areas S001 (FI-CAX), R001 (IS-U), T001 (IS-T), M001 (IS-M), and P001 (Public Sector).

In SAP S/4HANA, the account assignment for a profit center is supported not only for expenses and revenues, but also for other line items. These enhancements have been made for:

- Postings to bank accounts, bank clearing accounts, and cash accounts
- Postings to receivables and payables accounts and down-payment accounts
- Postings to tax accounts

To use these profit center enhancements in FI-CA, make the following in customizing settings:

- Activate the profit centers for business partner items.

  Activate the profit centers for each company code. In Customizing for Contract Accounts Receivable and Payable, choose *Organizational Units → Set Up Company Codes for Contract Accounts Receivable and Payable*.

- Check the field status groups.

  There is a field status group (on the *Create/Bank/Interest* tab page) in the G/L account master records for receivables accounts, payable accounts, down payment accounts, bank accounts, cash accounts, and tax accounts. You can display the values for the group

© Copyright. All rights reserved.

by double-clicking the group. The *Profit Center* field should be an optional entry field. If you need to change the setting of a field status group, choose *Financial Accounting → Financial Accounting Global Settings → Ledgers → Fields → Define Field Status Variants*. On the next screen, select the field status variants for the required company code and navigate to the maintenance for the field status groups.

- Define default values for the cash desk.

  Specify default values for the profit center and business area in Customizing for Contract Accounts Receivable and Payable by choosing *Business Transactions → Payments → Processing Incoming and Outgoing Payments → Cash Desk/ Cash Journal → Define Default Account Assignments*.

- Adjust the account assignment keys for CO objects.

  If you have defined account assignment keys for which you derive CO objects dependent on company code, business area, or segment, check whether you now need to make the settings for each profit center. This is necessary, for example, if you derive a cost center and a profit center is defined in the cost center. In this case, the profit center in the derived cost center should be the same as the profit center previously copied from a business partner item. You make the settings in Contract Accounts Receivable and Payable by choosing *Basic Functions → Postings and Documents → Document → Define Account Assignment for Automatic Postings → Define CO Account Assignment Keys*.

LESSON SUMMARY

You should now be able to:

- configure the automatic general ledger account determination in FI-CA

© Copyright. All rights reserved.

Unit 4
Lesson 3

Tax Determination

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to configure the tax determination.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- configure the tax determination

Tax Determination

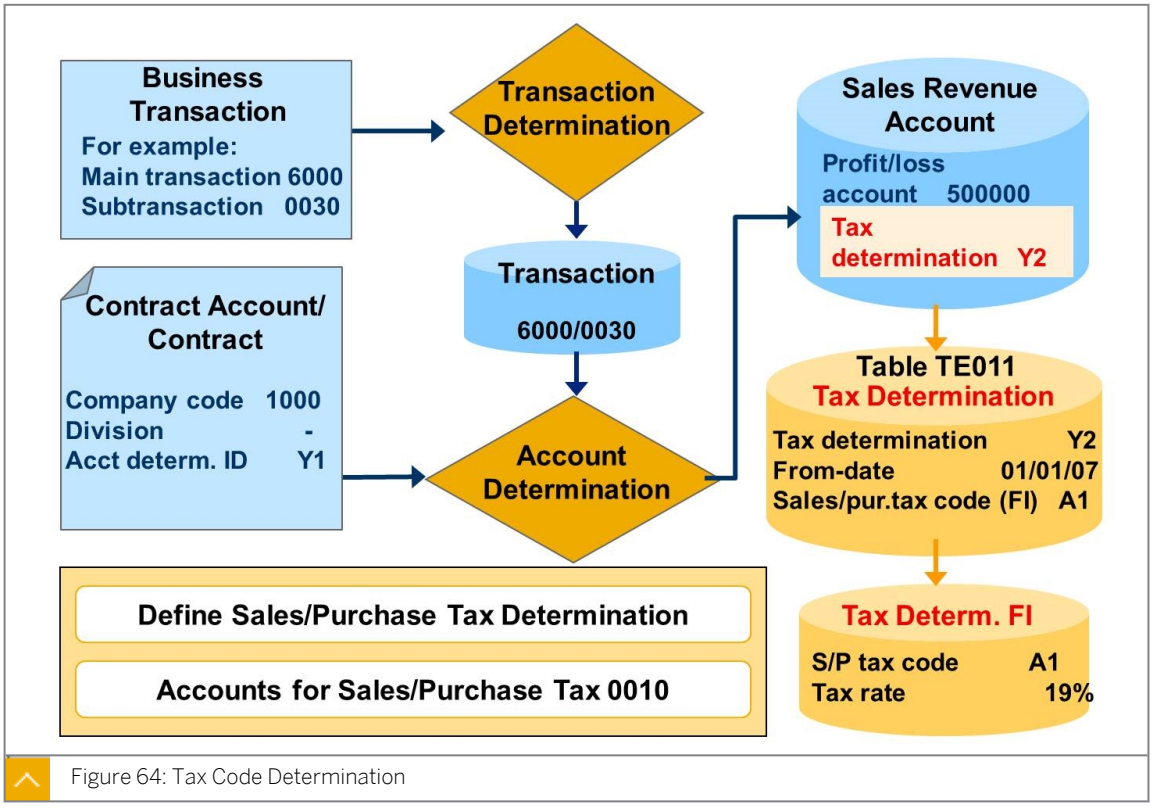


Figure 64: Tax Code Determination

The determination of the indicator for posting sales tax is connected with the determination of the revenue account for a business transaction.

In table TE011, the valid sales tax code for general ledger accounting is determined historically (that is, the periods for which a tax code is valid are defined) based on the tax determination code determined in revenue account determination.

The tax accounts to be posted are specified in posting area 0010 depending on company code, sales tax code, and tax transaction.

© Copyright. All rights reserved.

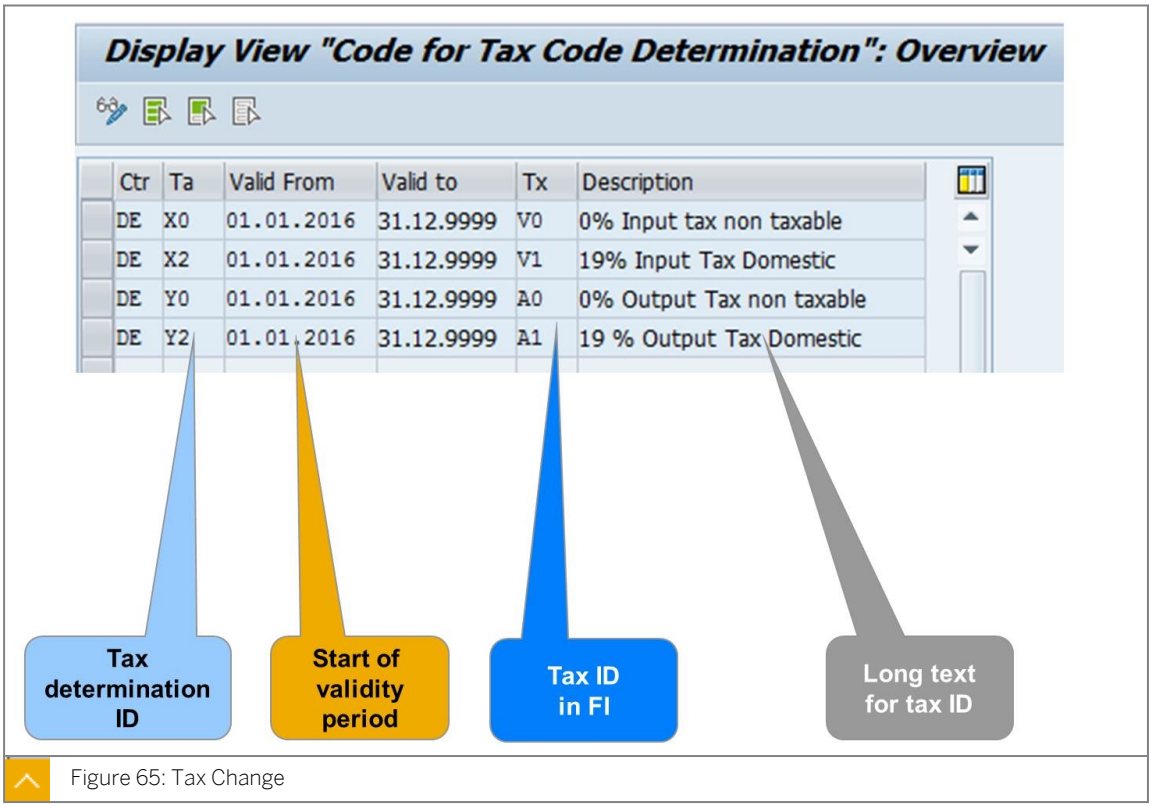


Figure 65: Tax Change

Example:

- The tax on sales and purchases determination code Y0 is valid from 01/01/2016 to 12/31/9999.
- The tax on sales and purchases code A0 is valid in general ledger accounting for this period.

© Copyright. All rights reserved.

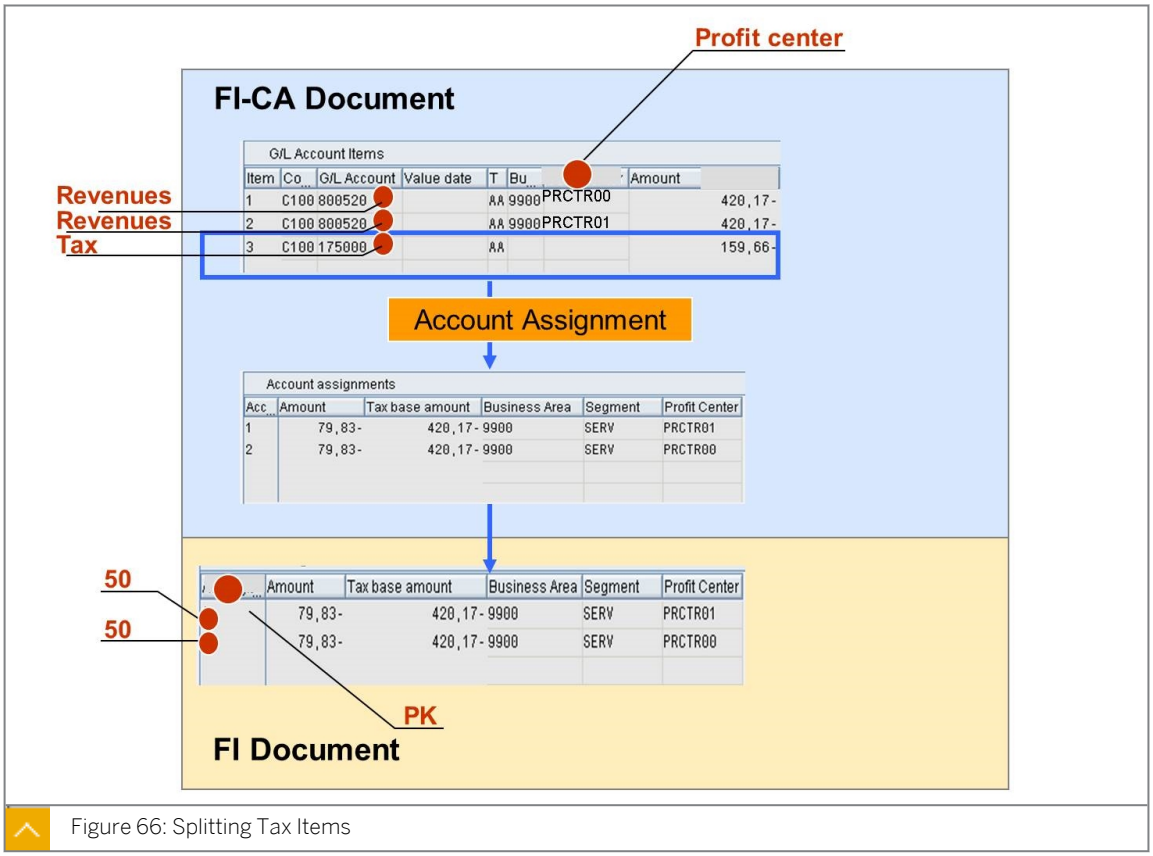


Figure 66: Splitting Tax Items

In FI-CA, an enhanced account assignment of postings to accounts for tax on sales and purchases is available. This also includes the option of splitting tax amounts and tax base amounts across different account assignments.

The enhanced account assignment option applies to the following fields: business area, segment, profit center, commitment item, funds center, fund, functional area, funded program, and grant.

If you want to use the enhanced account assignment for tax items, you have to activate this option in Customizing for each company code. If the new function is active, the system determines, for each tax item, all other related G/L items that have the same tax code. These items can contain various combinations of the account assignments listed above. The system determines the total amount for each combination. The tax item is then mathematically split into subitems and the relevant account assignment combination is assigned to each subitem.

The subitems are relevant for updating totals records for the reconciliation key and, therefore, also for updating the general ledger.

In the FI-CA document display, the tax items are initially displayed as usual. If the account assignment is unique, the tax item is displayed in the same way as for other general ledger items. If there are differing account assignments, you can display the split using the *Account Assignment* button.

LESSON SUMMARY

You should now be able to:

- configure the tax determination

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 5 Payments

Lesson 1

Incoming and Outgoing Payments 81

Lesson 2

Payment Lots and Check Lots 83

Lesson 3

Clarification 93

Lesson 4

Cash Desk and Cash Journal 99

UNIT OBJECTIVES

- describe the processing of incoming and outgoing payments
- describe the processing of payment lots and check lots
- describe the clarification processing
- describe the functions of cash desk and cash journal

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 5
Lesson 1

Incoming and Outgoing Payments

LESSON OVERVIEW
At the conclusion of this lesson, you will able to describe the processing of incoming and outgoing payments: customer-initiated and company-initiated.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the processing of incoming and outgoing payments

Incoming and Outgoing Payments

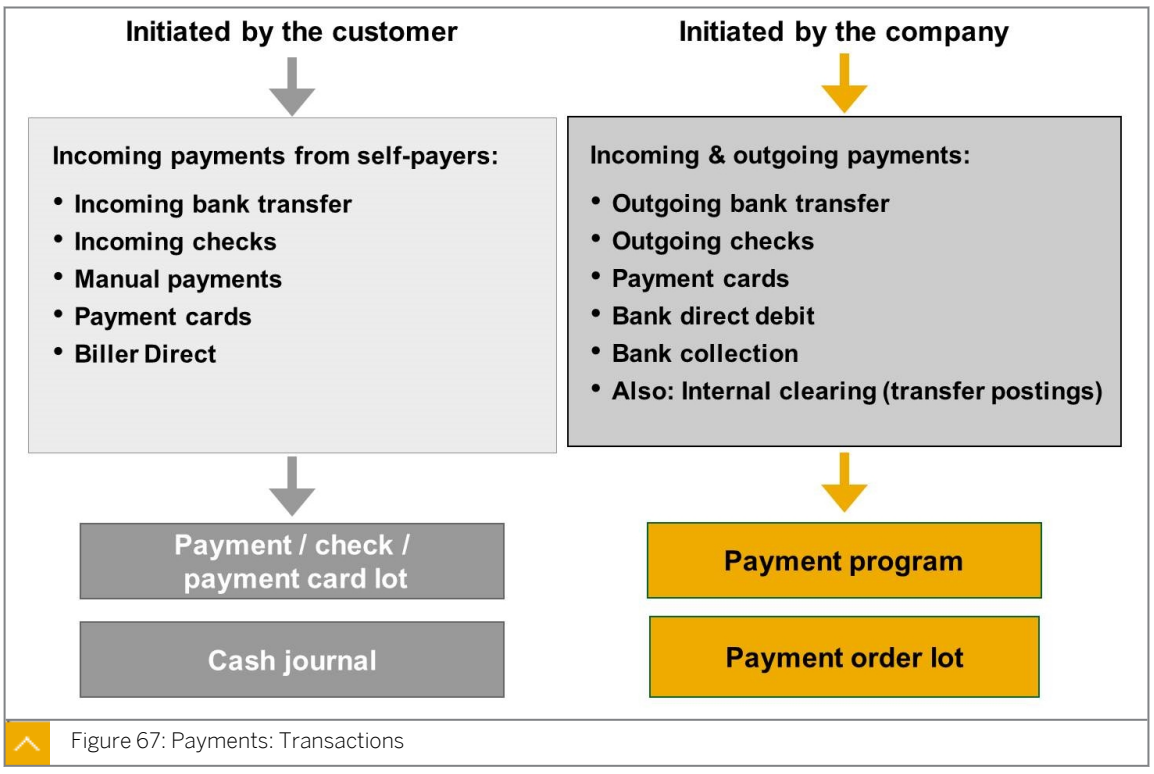


Figure 67: Payments: Transactions

The payment program considers the open items due from all business partners or contract accounts that have been selected. It can be used to process both incoming (direct debits) and outgoing payments.

When payment is initiated by the customer, the customer decides when to pay. Payments initiated from outside can be processed by a payment lot/check lot and automatic clearing. Alternatively, payments can be handled through the cash desk (cash journal).

When payment is initiated by an organization, the organization determines when it will collect or disburse payments to/from the business partner. All payments initiated by the organization are processed by the payment program.

© Copyright. All rights reserved.

The open item that corresponds to an incoming payment is found and cleared as much as possible (by partial or overpayment, if necessary). Most open items are cleared automatically (clearing procedure). If it is not possible to determine the open item to be paid automatically, you can assign payments manually to one or more open items.

Customer-initiated incoming payment methods are generally posted through the use of payment lots.

Payment card payments can be posted manually online and then processed as a customer-initiated payment method, as well as an internally generated payment method.

Payments that are not assigned to an open item can be posted on account or placed in the clarification worklist to be reviewed.

LESSON SUMMARY

You should now be able to:

- describe the processing of incoming and outgoing payments

© Copyright. All rights reserved.

Payment Lots and Check Lots

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the processing of payment lots and check lots.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the processing of payment lots and check lots

Payment Lots and Check Lots

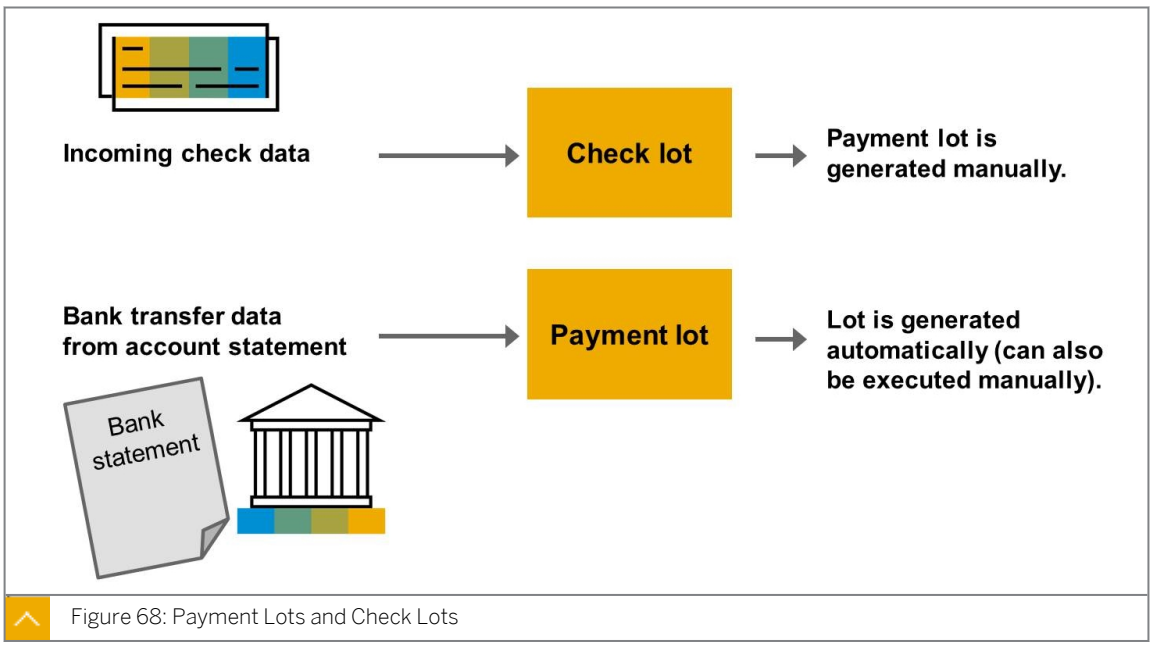


Figure 68: Payment Lots and Check Lots

Payment/check lots are used in connection with payments initiated by business partners. Data from payments that have a common origin or that should be processed together are stored in one lot.

Payment/check lots are created manually if the payment information exists in written form. This is normally the case for check payments, although incoming bank transfers can also be entered manually.

Payment/check lots are created automatically if payments are transferred in the form of an electronic bank statement.

© Copyright. All rights reserved.

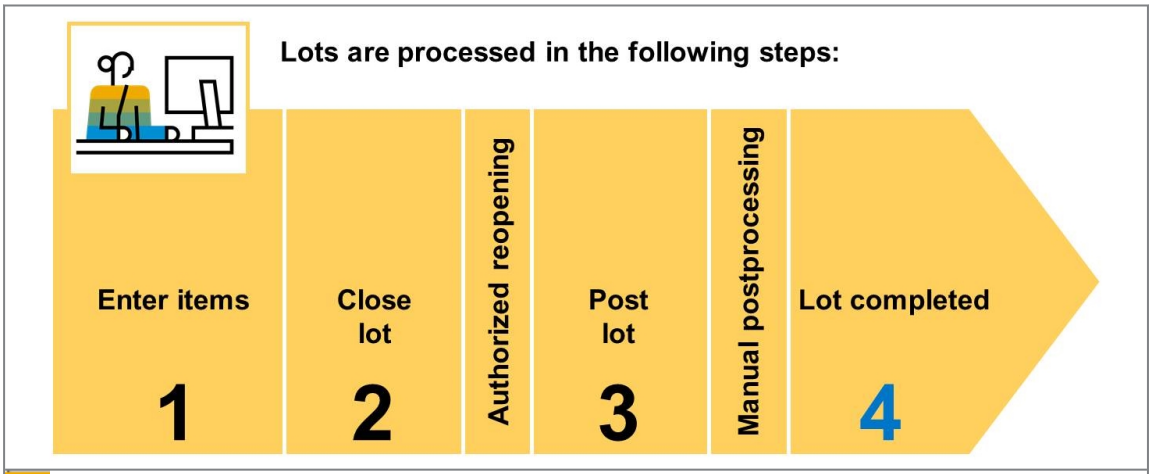


Figure 69: Payment Lots and Check Lots: Posting

The general steps in payment/check lot posting are as follows:

- Create and save the payment/check lot. It can be created manually (check lots) or by a program (incoming bank transfers from an account statement)
- Display or change the payment/check lot (if necessary). Items can be inserted or deleted.
- Close the payment/check lot. Insertion or deletion of items is no longer possible; however, corrections to items in the payment/check lot are permitted. It is no longer possible to add payments to or delete payments from the lot.
- Post the payment/check lot. Posting can only take place if the lot has been “closed.” Upon posting, payments are transferred to the contract accounts and posting is made to the appropriate clearing account. Payment differences can be automatically posted to special profit and loss accounts.

Further or postprocessing is required if postings to a clarification account have been created or if postings were not possible (for example, incorrect/missing Customizing). You can further process the data as follows: Trigger repayments, post to an interim account (if the contract account cannot be determined), or post a payment to a contract account (if the account can be determined but the open-item to be cleared cannot).

© Copyright. All rights reserved.

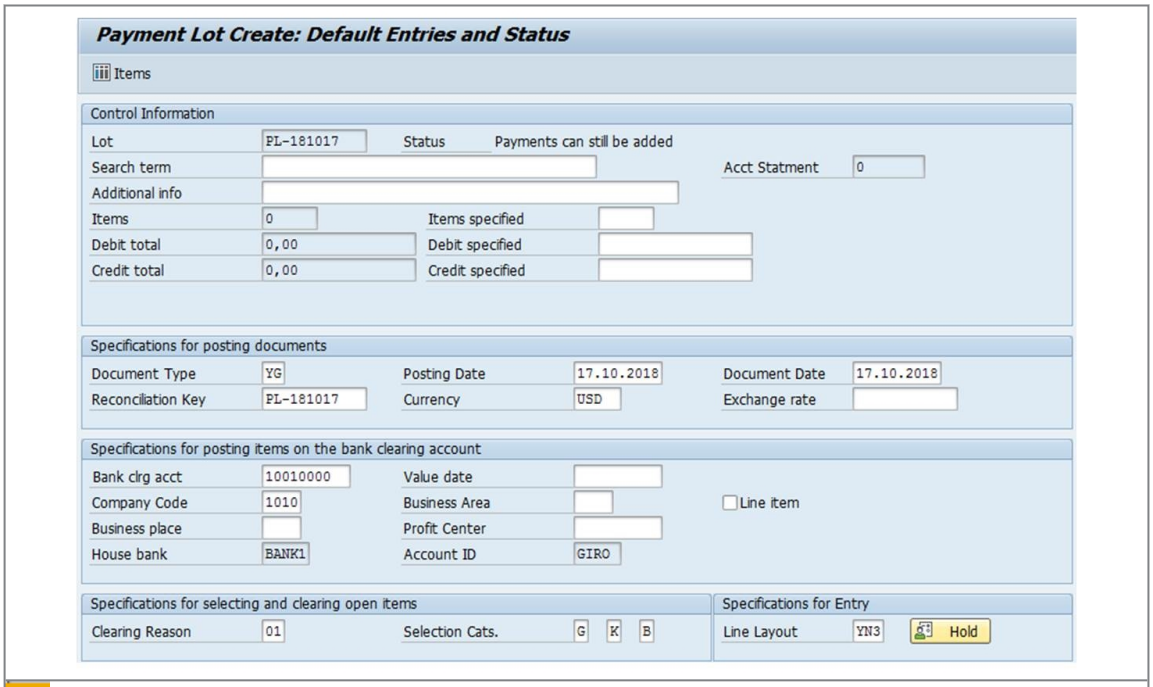


Figure 70: Payment Lots and Check Lots: Header Data

A manual payment or check lot comprises a header entry, one item for each payment, and (optionally) several subitems for each payment. The payment order header contains data that applies to the entire lot as well as data that is used as default values for the items.

The document type, search term, posting date, bank clearing account, company code for the bank posting and the reconciliation key for G/L accounting are valid for the entire lot. The currency and value date also have to be defined in the header.

The most important default values for the items are the clearing reasons (such as incoming payments) and the selection categories (such as partner number or contract account number).

Selection information is used to identify the open items that have to be cleared with payments or to prepare the data for payments on account.

Information is always given in the form of the selection category/selection value. For example, “K” indicates a contract account, “G” indicates a business partner, and “P” indicates a period key.

© Copyright. All rights reserved.

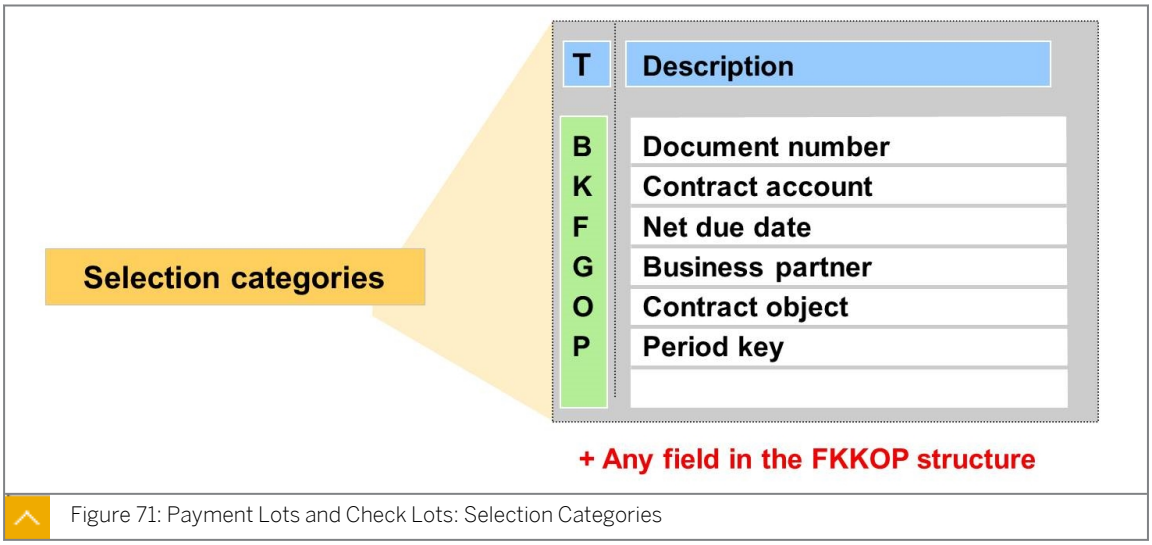


Figure 71: Payment Lots and Check Lots: Selection Categories

Selection categories enable you to decide which fields are to be used to select open items within a screen variant.

Fields for selection categories can be defined in Customizing and may be taken from structure FKKOP (business partner items in contract account document). Fields from a customer-defined structure may be used, but a function module must be coded for event 210.

If you want to post a document manually, you can use the following fields to select open items: business partner, contract account, contract, contract object, payment method reference number (reference number assigned to a payment method from an external system), document number, reference document number, payment form number, and due date for net payment. Of all possible fields, the system displays only those that were specified as a selection category for your application in this activity.

.

.

.

© Copyright. All rights reserved.

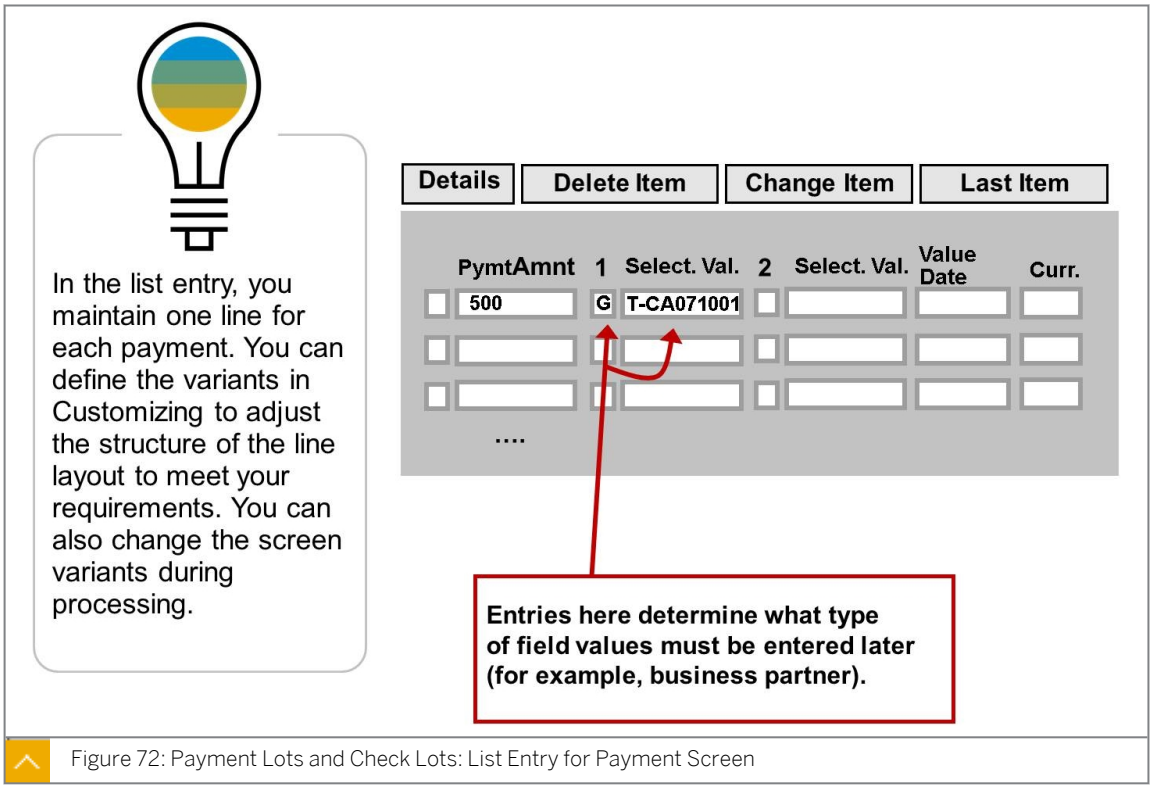


Figure 72: Payment Lots and Check Lots: List Entry for Payment Screen

The selection details that can be created from the note to payee are defined in the item. If multiple allocations (such as multiple account numbers or contract numbers) are specified in the note to payee, you can enter further selections. They are then saved as subitems.

In addition to the selection details, partial amounts can also be allocated (for example, with a total payment of 500, you can allocate 200 to account 1 and 300 to account 2).

If you choose the *Further Details* button, or double-click a selected line, the system displays the details screen for the selected item. You can then enter additional data for the payment.

On the detail screen, you can enter further specifications that are required for the allocation of payments or a subsequent clarification.

Selections within a line are linked by AND logic, while the different lines of the selections are linked by OR logic.

It is possible to transfer post payments to clearing accounts using short account assignment for which a company code and general ledger account are defined in Customizing. This type of posting is necessary if a payment was received by the wrong department.

A standing order is used when a business partner has instructed his bank to transfer a certain amount from his/her account every month to a public sector organization. If you set this indicator, the bank ID and note to payee information is transferred with the item. The system can learn, if an item is sent with the same, incorrect data each time (used in Germany).

The *refund method* field is used when a payment is received by mistake from someone who is an unknown business partner.

In the display for a payment lot item, you can now also reset the payment allocation or go to clarification processing, if the case has not yet been reserved for other users.

© Copyright. All rights reserved.

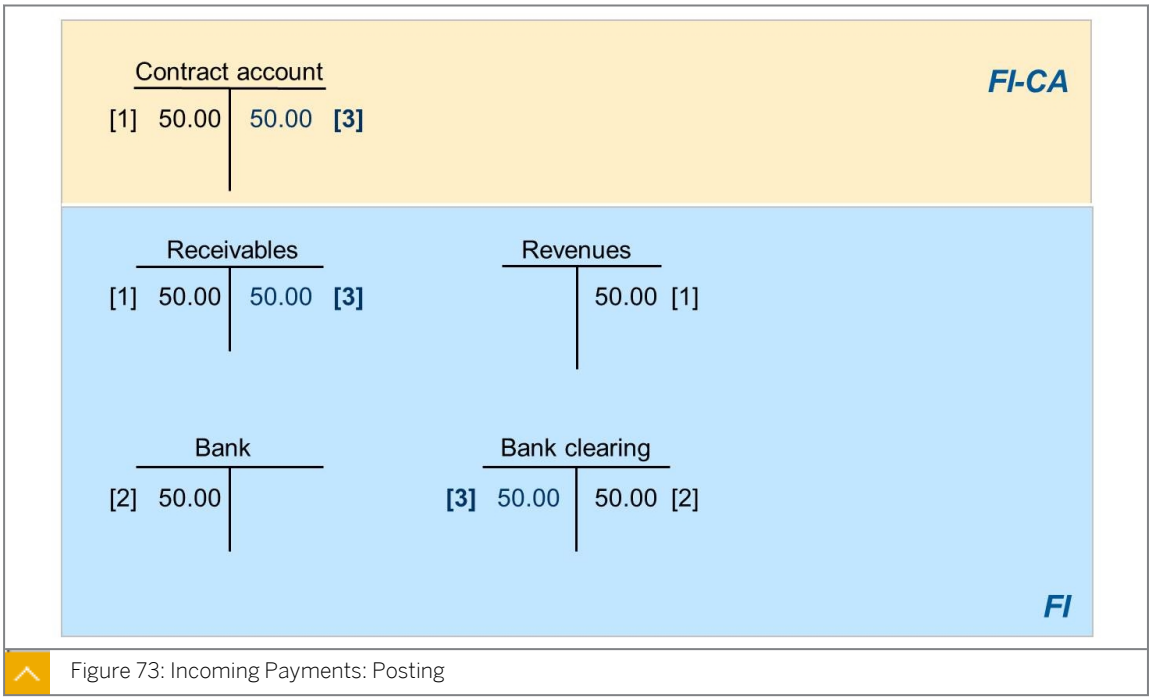


Figure 73: Incoming Payments: Posting

1. Debit entry from invoicing (shown without tax posting)
2. Incoming payment at the bank (the bank statement is posted in the general ledger)
3. Payment allocation by processing the payment lot

In the case of payment lots, items from the bank clearing account are posted to **Payment usage** or to the interim account. The document number is recorded in the associated items in the payment lot. The payment usage can include the following:

- Clearing or partial clearing of open items
- Postings on account
- Expense or revenue (payment difference)
- Creation of new debit entries that are cleared via payment allocation (charges, interests)
- Down payments

© Copyright. All rights reserved.

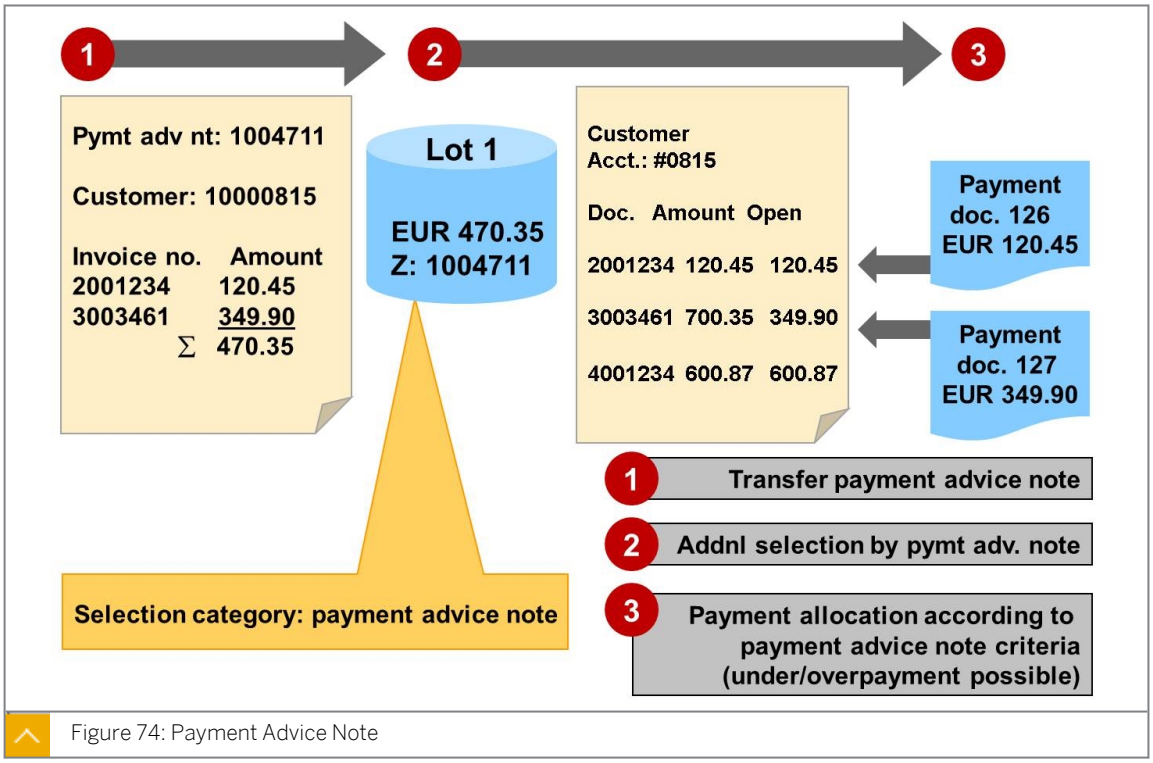


Figure 74: Payment Advice Note

You can use payment advice notes (PAN) to enter details on authorized payments. You can use the key created during the generation of a PAN as selection criteria for open items.

In addition to the business partner or the contract account, you can also use the PAN number as selection criteria when entering a payment lot. When the payment is posted, the system selects the open items of the business partner in the PAN. The system uses the entries in the PAN items to allocate clearing amounts to the selected items. Any amount differences that occur if the amount from the payment advice cannot be completely distributed (that is, if the open item amount is smaller) are combined into a posting on account.

Report RFKKAV00 also transfers payment advice notes from a sequential file and uses the data to generate one or more payment advice notes. It carries out the following activities:

- Reads the application server file specified and checks the data contained therein
- Creates one or more payment advice notes provided the data records are correct
- Closes the payment advice notes, provided the corresponding indicator is set
- Defective data records are saved separately and can be transferred after correction.

© Copyright. All rights reserved.

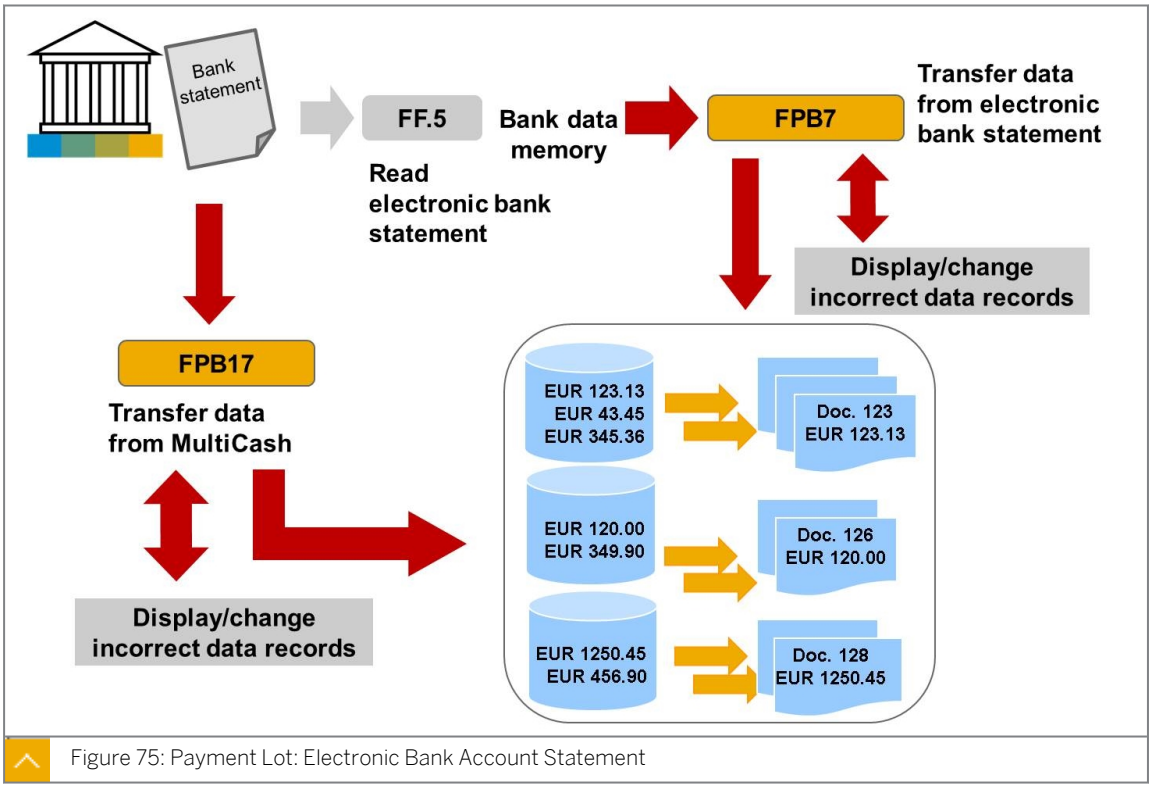


Figure 75: Payment Lot: Electronic Bank Account Statement

The bank transfers from an account statement are stored in a payment lot. Payments are assigned when the payment lot is processed.

Data transfer from electronic account statement to payment/returns lot:

- RFKKKA00 (transaction FPB7): The report selects payments, returns, and payment orders that are imported into the bank data memory during the processing of electronic bank statements for the Cash Management component. If necessary, the FI-CA data can be transferred directly to a payment lot, payment order lot, or returns lot. Alternatively, you can output selected data from the bank data memory in a file. In another step, you can then import the created files into payment lots, payment order lots, or return lots. You can do this using the FI-CA transfer programs RFKKZE00 (payments, payment orders) and RFKKRL00 (returns). The system uses the business transaction and the amount +/- sign to decide the lot type to which a payment position is transferred.
- RFKKKA00 (transaction FPB17): If you convert country-specific bank formats into MultiCash format, you can use this report to transfer data from the MultiCash statement file and line item file to payment and returns lots in FI-CA. However, to be able to process MultiCash files, you must configure the system settings described in the “Prerequisites” section of the report documentation.

The files can also be generated using neutral interfaces. However, these must have the format specified by SAP, which means they must not contain any country-specific formats from the electronic bank statements.

© Copyright. All rights reserved.

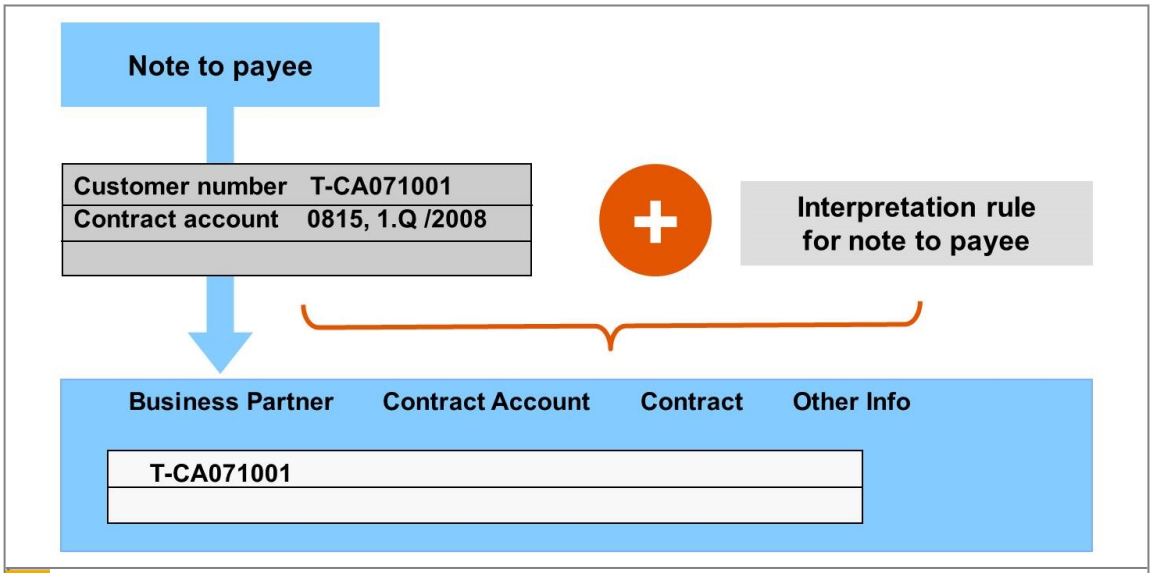


Figure 76: Interpretation Rules: Note to Payee

Define interpretation rules for note to payee: In this activity, you define the rules for the automatic analysis of note to payee texts for the automatic transfer of payment data to payment lots in Contract Accounts Receivable and Payable. Using the values determined, the system then determines the selection criteria for the assignment of payments to receivables.

If you want to subject the values found in this way to an additional check, you can specify a check procedure for each structure sample. This check procedure has already been defined for the interpretation of the note to payee based on sample function module FKK_SAMPLE_SEL_TYPE_CHECK in the check procedure Customizing activity.

To simplify the interpretation rule settings for the note to payee, you can test the note to payee analysis in an IMG activity.

When payment data is transferred using the reports RFKKZE00 or RFKKKA00, you can still use the function module called up at event 0950 to make application-specific or customer-specific enhancements for payment or additional selections. For more information, see the report documentation or the event description (FQEVENTS).

SAP has enhanced the options for the evaluation and further processing of the note to payee specified for the transfer of FI bank statement data to the payment lot. The system accesses the interpretation rules that were defined in Customizing for contract accounts receivable and payable.

To simplify the Customizing settings for the interpretation rules for the note to payee, you can use transaction FP_NOTE_TEST to test the note to payee analyses.

LESSON SUMMARY

You should now be able to:

- describe the processing of payment lots and check lots

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 5
Lesson 3

Clarification

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the clarification processing.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the clarification processing

Clarification

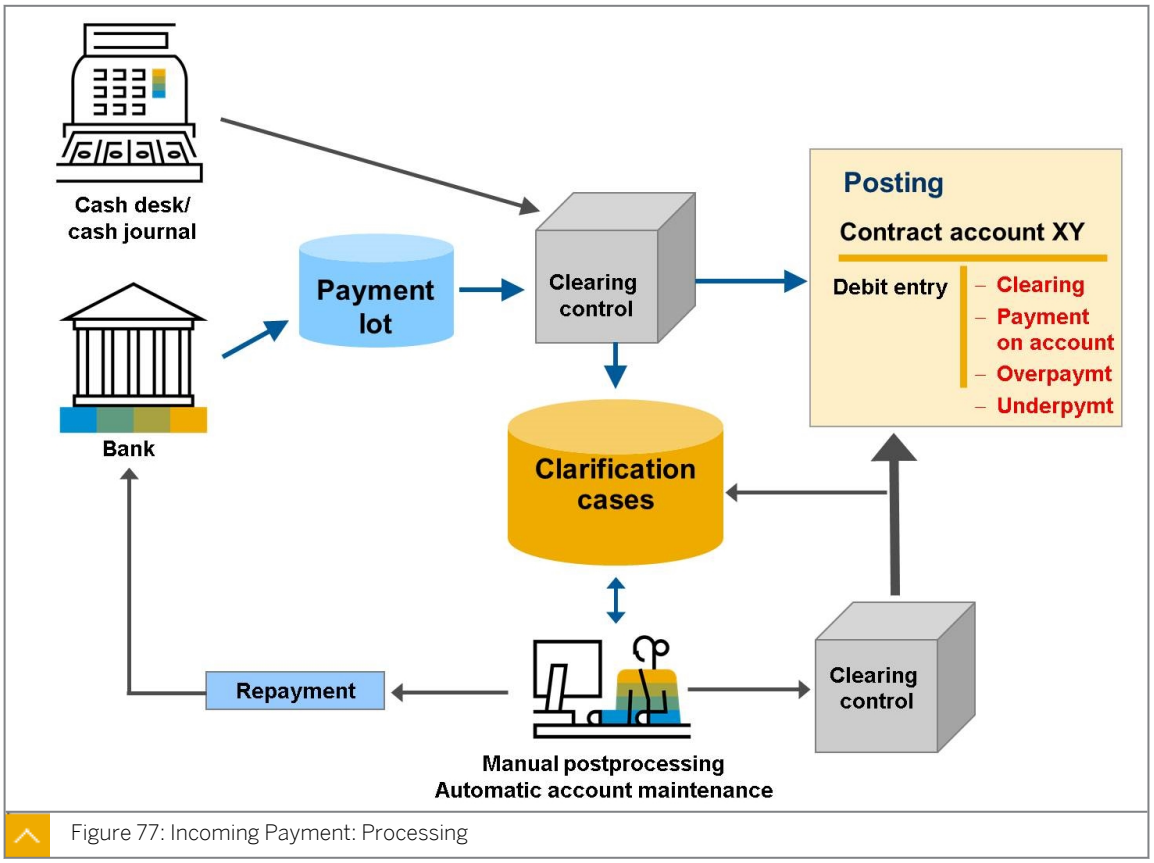


Figure 77: Incoming Payment: Processing

Items requiring clarification arise where you post a payment/check lot but either some or all payments could not be posted. When you post a payment/check lot, these items are posted to a) an interim account (Customizing) and b) included in a clarification worklist. If you process the worklist, you can transfer these items from the interim account to a contract account. You can process the posting for a payment, for a payment lot, or for all clarification cases (for more than one payment/check lot).

You can clarify items from the payment or payment lot as follows:

© Copyright. All rights reserved.

- Correct the payment items (the data used to select the items) and restart the posting of the selected items (clearing open items or payment on account).
- Perform the posting and clearing manually (with clearing of open items or payment on account). It is possible to clear some items during clarification. Partial clearings can be posted more than once. It is also possible to transfer posting items by using short account assignment defined in Customizing. In connection with this posting, you can start a workflow (for example, you can send an e-mail to the department receiving the posting).
- Create a repayment request if you were unable to allocate the incoming payment amount to an individual item. The system then reposts the amount from the interim account to a repayment clearing account.

Clearing control is responsible for automatically allocating payments to open items and can be used in various processes and transactions (manual/automatic account maintenance, processing payment lots).

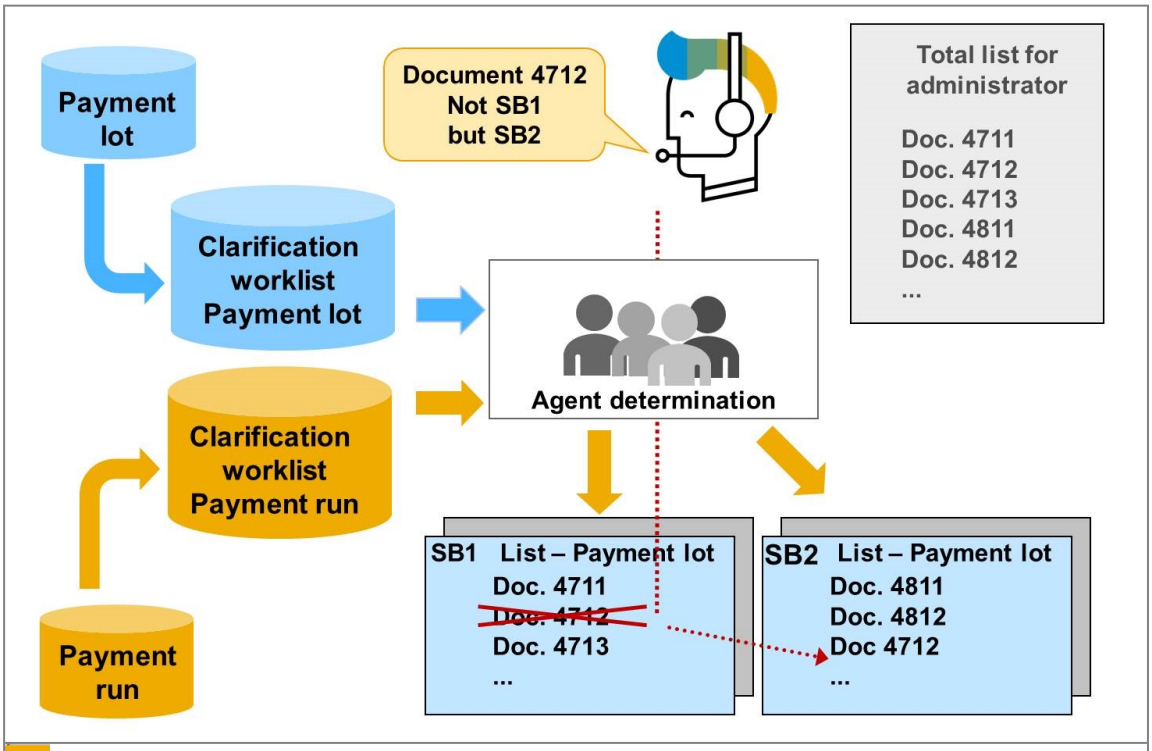


Figure 78: Incoming Payment: Agent Allocation

The clarification worklist can be included in a workflow. SAP supplies the following two sample workflows for this. They can be used as sample to create individual workflows:

- Standard workflow – WS21000078

  A clarification case must be allocated to a processor before it can be sent to an agent in the workflow inbox. Agent assignment and agent restriction ensure that clarification cases are only assigned to an agent once. This means that if an agent cannot process and complete a clarification case, the case is sent automatically to another agent.

- Ad hoc workflow – WS21000077

  No agent allocations or restrictions have to be made for this workflow. If an agent cannot clarify a case, he or she determines the next agent and forwards the case to them. For this

© Copyright. All rights reserved.

workflow, configure the Customizing setting *Workflow with direct switching* in the general workflow settings so that the next processor query appears immediately after processing.

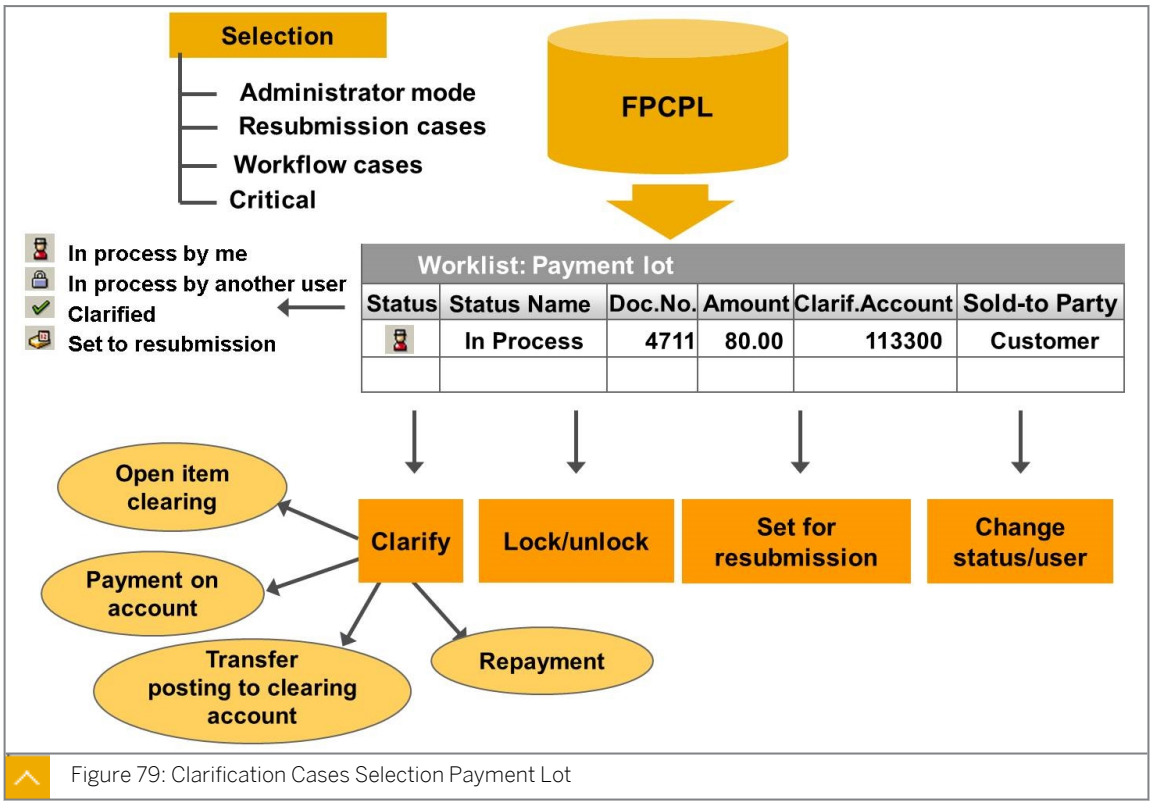


Figure 79: Clarification Cases Selection Payment Lot

The selection options of the *Payment* clarification list enable you to restrict the open clarification cases according to clarification accounts and account holders.

You can also define mapping rules using the roles 2100008 (Limited Selection Clarification Worklist) and 2100009 (Limited to Acute Clarification Cases) and thereby assign each clarification case to at least one processor or group of processors.

In the SAP Easy Access screen, choose *Tools → Business Workflow → Development → Definition tools → Rules for Agent Assignment → Create* to create these mapping rules. After that, activate the roles for the clarification process in the IMG under *Financial Accounting → Contract Accounts Receivable and Payable → Technical Settings → Prepare Processing of Clarification Worklist* for the application object PLOT (Payment Lot).

After a predefined period, you can use a program to transfer payments from payment or check lots that are in clarification and that you cannot assign, and thereby remove them from the clarification worklist. Carry out the transfer posting by specifying a short account assignment to which a minimum retention period is assigned. The transfer posting program is RFKKUMBKL.

© Copyright. All rights reserved.

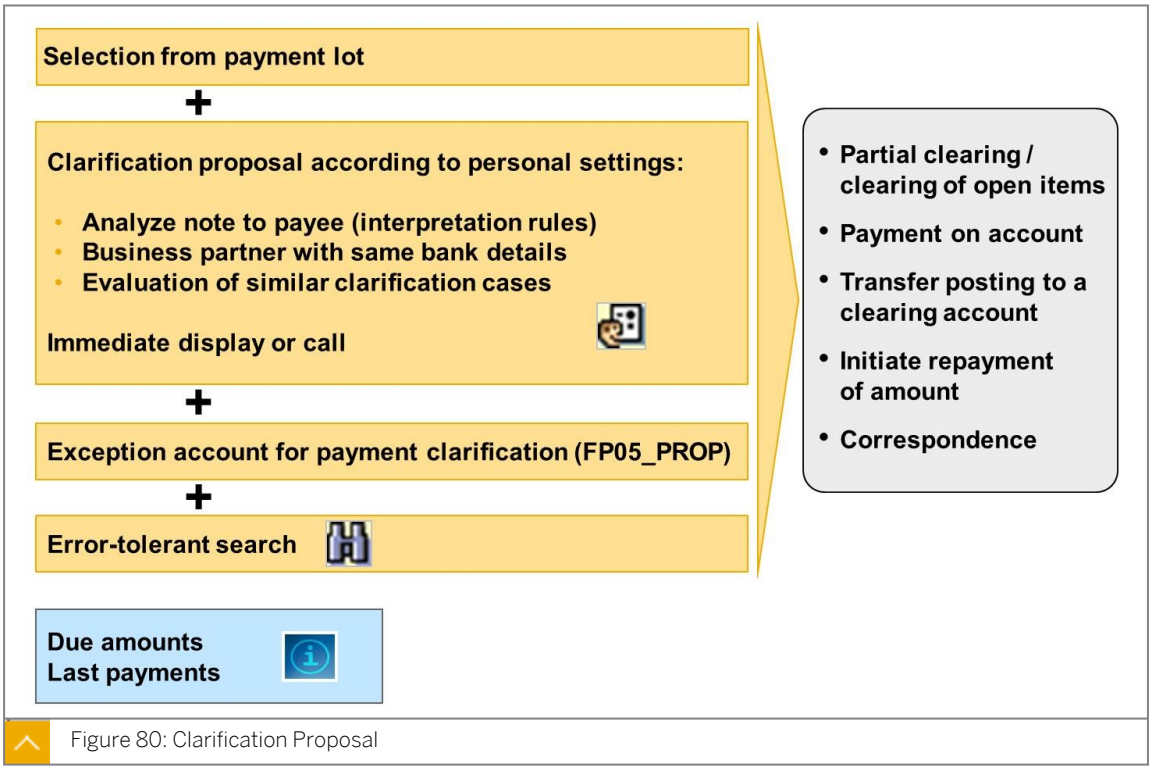


Figure 80: Clarification Proposal

When you call up a clarification case, the system automatically suggests a clarification proposal. You can define the range of the clarification proposal in your personal settings. In addition to the proposed business partners, the system can display their most recent payments and due items, search for similar numbers (for example document and account numbers), and switch to the clarification processing screen so that you can distribute the payment amount between several partners, contract accounts, or contracts.

In the clearing proposal, you can delete proposed lines, select all proposed lines, or reverse the selection in all lines.

In some cases, the clarification proposals from previous clarification cases are not helpful.

Examples of this are previous, incorrect clarifications. If a payment was allocated to the wrong business partner and re-allocated later, the system will always propose the wrong business partner whenever a payment is made using that bank account.

You can use the *Maintain Exception Accounts for Payment Clarification* function to define alternative rules for selected business-partner bank accounts, as well as to create proposals when incoming payments are clarified. As a result, any problematic selection proposals are suppressed when subsequent payments are made using this bank account.

© Copyright. All rights reserved.

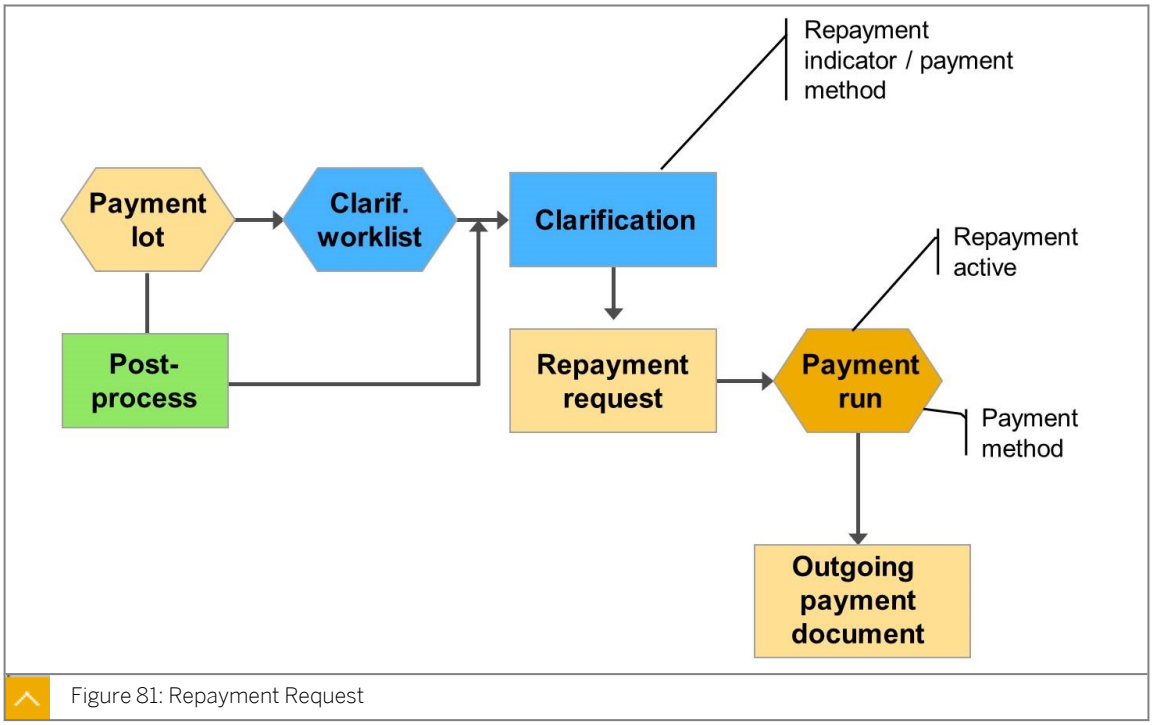


Figure 81: Repayment Request

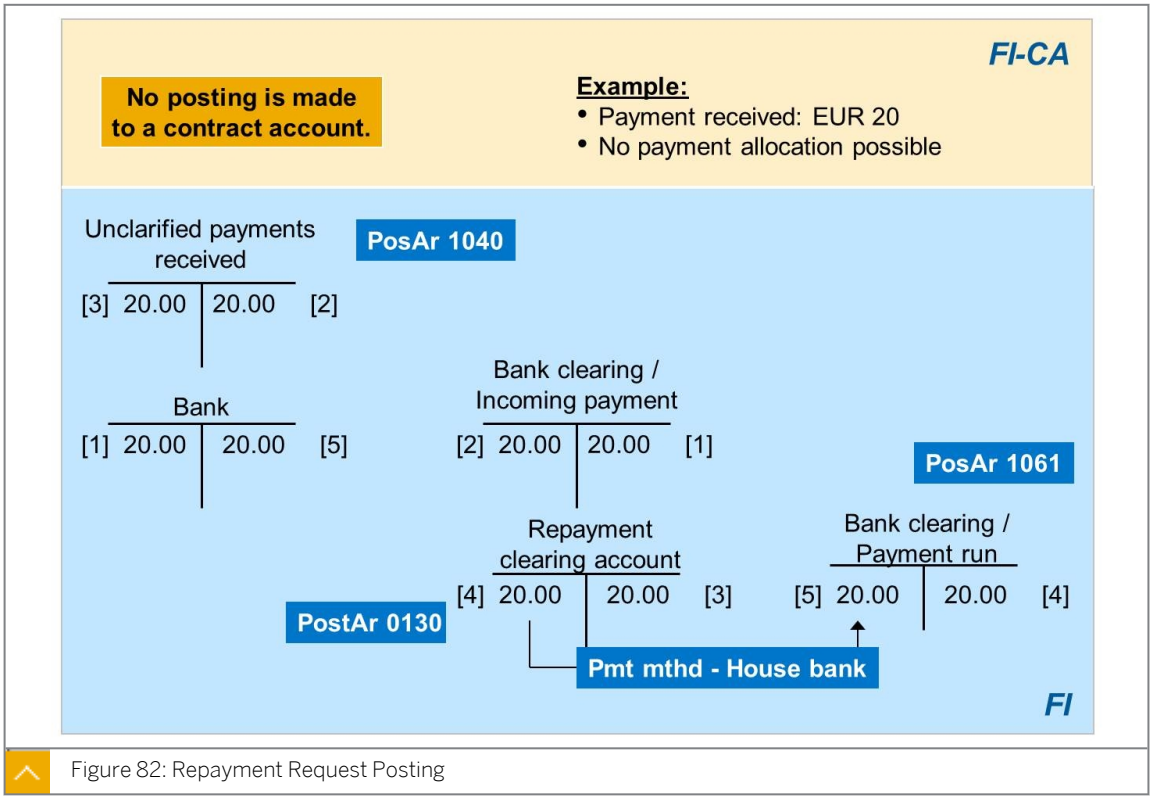


Figure 82: Repayment Request Posting

1. Incoming payment: bank to bank clearing account
2. Allocation not possible (clarification worklist): bank clearing to clarification account
3. Clarification not possible (repayment): clarification to clearing account
4. Repayment in payment run: repayment clearing to bank clearing account
5. Electronic bank statement (outgoing payment): bank clearing to bank account

© Copyright. All rights reserved.

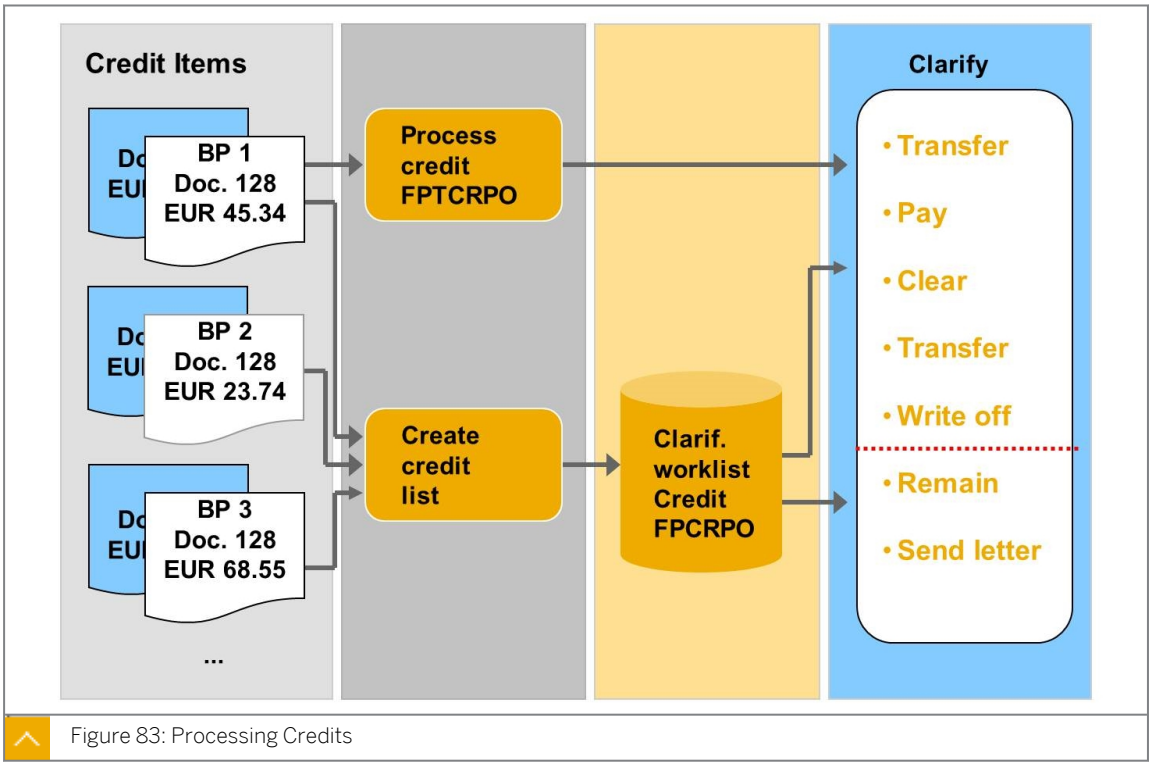


Figure 83: Processing Credits

You can use the following functions if the credit use has to be clarified for your business partner's contract accounts:

- Credit clarification
- Credit processing

The following types of credit can be processed with the *credit clarification* function:

- Credit that was previously selected by the mass activity *Generate Credit List* and sent to clarification processing
- Credit that was directly included in the clarification worklist as a result of Customizing settings

The *Process Credit* function should only be used to manually process individual credit that has not been entered by the credit list.

The *Remain* and Send Letter processing activities are available only within credit clarification.

LESSON SUMMARY

You should now be able to:

- describe the clarification processing

© Copyright. All rights reserved.

Unit 5
Lesson 4

Cash Desk and Cash Journal

LESSON OVERVIEW

At the conclusion of this lesson, you will be able to describe:

The cash desk and the role-based authorization concept

The cash journal and its functions for posting and evaluating cask-desk postings

The correspondence of receipts and cash desk withdrawals

LESSON OBJECTIVES

After completing this lesson, you will be able to:

- describe the functions of cash desk and cash journal

Cash Desk and Cash Journal

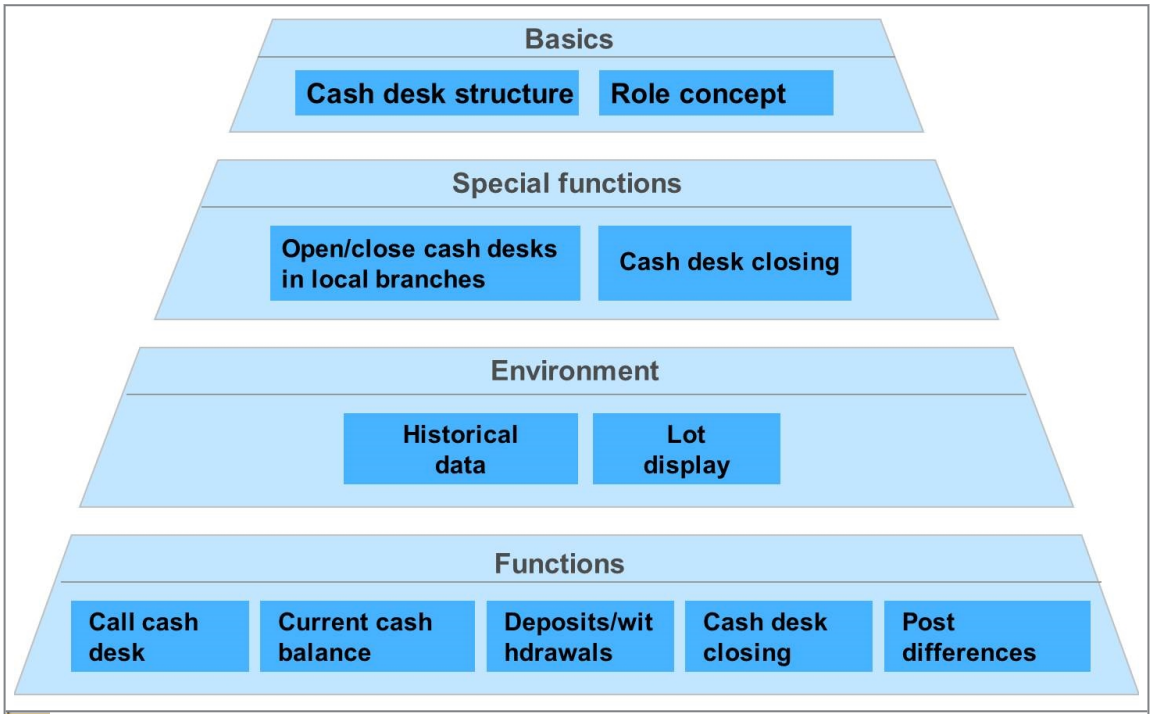


Figure 84: Cash Journal

The cash desk functionality includes the mapping of a cash desk structure and a role-based authorization concept. Deposits, withdrawals, and differences can be posted and the proof of posting for the document can be displayed in detail. In contrast to the original cash desk functionality and its evaluation options (only via the payment lot), evaluations can now be made in the cash journal based on payment type and currency, cash desk, and current or historical documents.

© Copyright. All rights reserved.

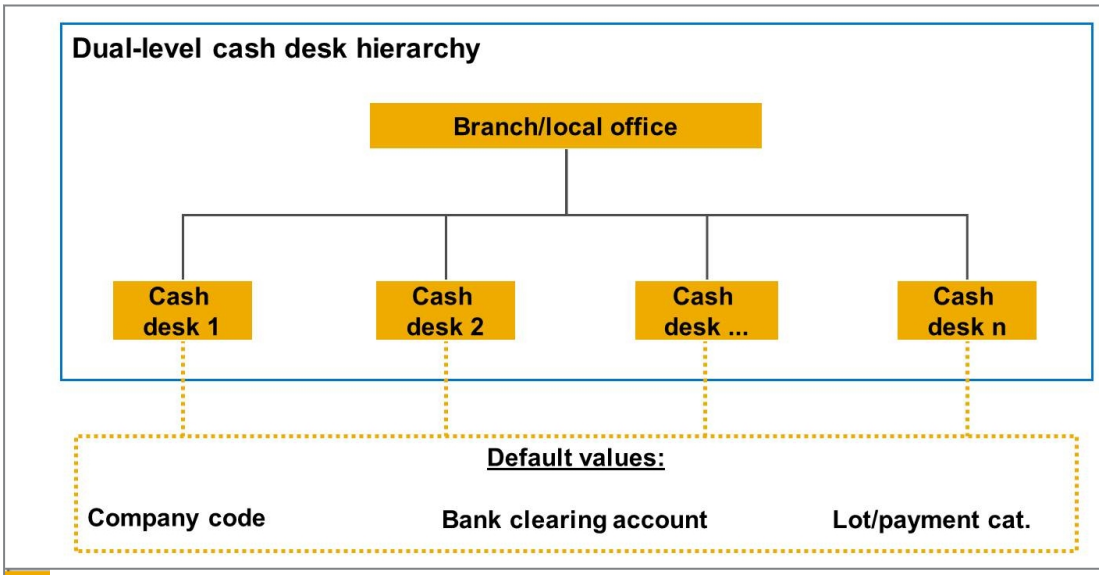


Figure 85: Cash Desk

The cash journal can model the cash desk structure of a company. The cash desk structure includes the cash desks in the individual branch offices of a company. The cash desks in the branch offices form the master data of the cash desk structure and are, therefore, a prerequisite for the cash journal.

The company code and the bank clearing account, as well as lots that have already been created according to the payment category, are proposed depending on the cash desk. If an open lot is not available, the system automatically creates a corresponding payment lot. The branch and the cash desk are the first five figures of the name.

Role-specific activities

Activity / Role	Call cash desk	Open and close	Withdrawal	Deposit	Differences	Transfer responsibility	Cash balance	Historical data	Create and close lot
Branch office manager	YES	YES	YES	YES	YES	YES	YES	YES	YES
Cashier with special tasks	YES	YES NO	YES	YES	YES	YES	YES	YES	YES
Cashier	YES	NO	NO	YES	NO	NO	YES	YES	YES

Figure 86: Role Concept

Role concept (optional – can be activated/deactivated in Customizing):

- Branch office manager: Standard role 21000058

© Copyright. All rights reserved.

- Cashier with special tasks: Standard role 21000059
- Normal cashier: Standard role 21000060

  Users are allocated to roles using transaction PFAC_INS or in the Customizing settings for responsibilities. In Customizing, activities can also be individually allocated to the roles or configured according to the standard system. The overview displayed above represents a standard allocation.

Activity per role

- Branch office manager

  All activities for all cash desks in the branch office: Entering incoming and outgoing payments, posting deposits, transferring responsibilities, posting differences, posting withdrawals, historical evaluation of all cash desks in the area of responsibility, and opening/closing cash desks

- Cashier with special tasks

  All branch office manager activities except for closing cash desks in the branch office

- Cashier

  Entering incoming and outgoing payments in the cash desk and posting deposits

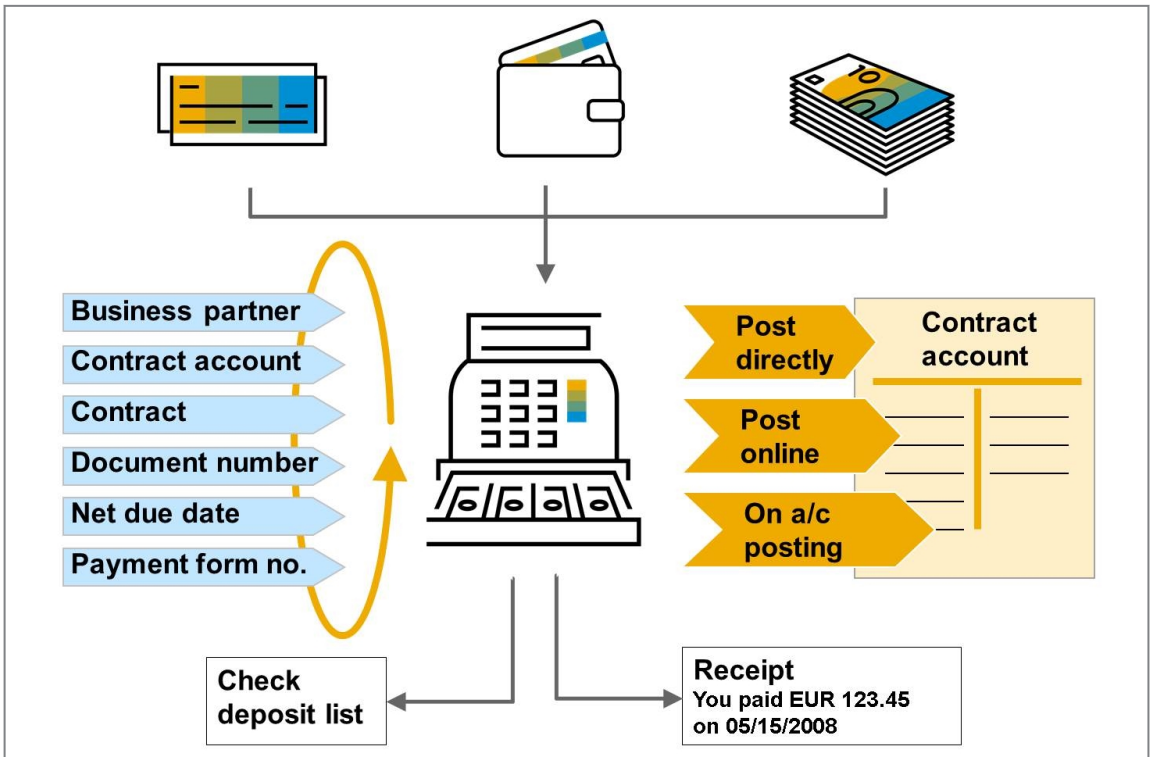


Figure 87: Cash desk

The cash desk has been integrated into the cash journal. This means that all incoming and outgoing payments are posted using the cash desk. You can navigate directly to the cash desk from the cash journal and back. The system transfers the cash desk allocated to an agent and other allocations (made the system or the user) to the cash desk. When the *Cash Journal* transaction is activated, you cannot directly call up the *Cash Desk* transaction.

© Copyright. All rights reserved.

Note:
Even if you activate the cash journal at a later stage, you cannot evaluate the postings that were made before the activation. You should therefore avoid changing settings (*cash journal active/not active*) during operation.

You can allocate payments directly to the open items of a business partner within the *Cash Desk* function. You can use a payment proposal from clearing control or allocate the payment manually.

Payment at cash desk includes cash, check, or credit card payments.

After the posting has been carried out, you can print a receipt. You can select the application form for printing the receipt in the *Define Application Forms for Correspondence* activity (under Basic Functions for Contract Accounts Receivable and Payable).

If an overpayment is made in cash, the remaining amount is used to decide whether a posting on account is to be made or whether this amount is to be paid to the customer.

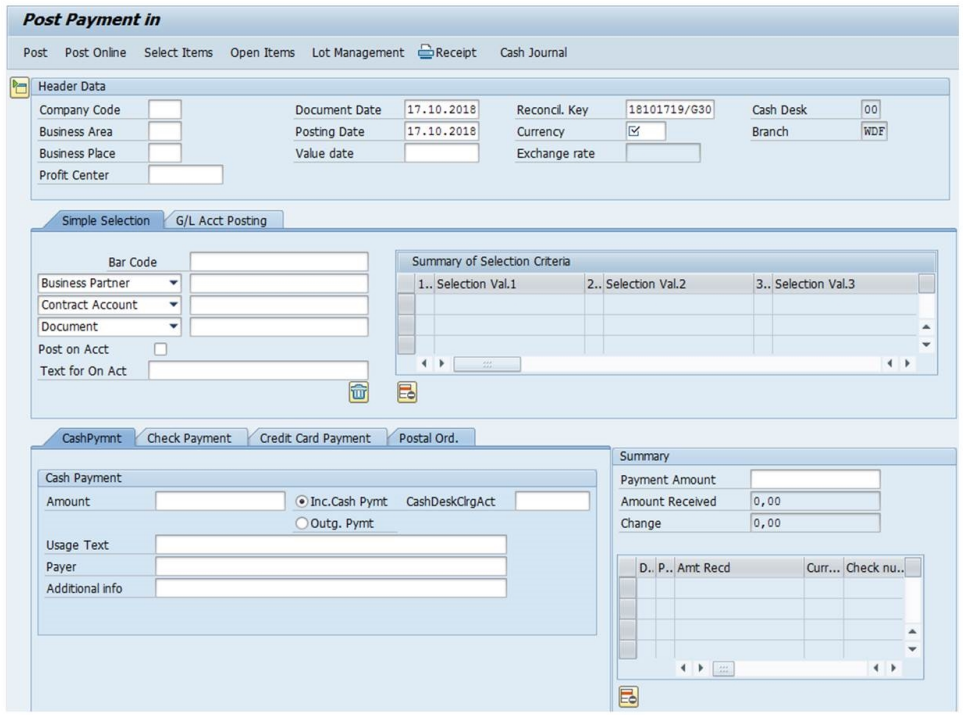


Figure 88: Manual Cash Desk Payments with Business Partner

The cash desk allows a user to enter payments manually or automatically. Automatic assignment takes place the same way it does for payment/check lots (specifications for posting and selection criteria are also based on payment lots). Cash, card, and check payments are all permitted within the cash desk.

If you post a payment or check lot using the cash desk transaction, you can only generate, post, and close the payment or check lot (within this transaction); a payment or check lot that has been created and can be displayed in the payment or check lot transaction.

The default settings for the transaction shown above are configured in Customizing for payment processing. Expense and revenue accounts for posting of differences are also defined in Customizing (in the automatic G/L account determination section).

© Copyright. All rights reserved.

The initial screen is divided into three parts:

- Header Data

  The header area contains the static data of a payment, such as the payment date and the company code. You can display or hide this screen area by choosing the relevant button.

- Simple selection / general ledger accounting posting

  The middle area contains two tab pages: one for entering payment selection criteria and another for entering data about the general ledger account postings. In both cases, the cash desk supports multiple entries.

- Details of payment category

  In the area for payment categories, there is a separate tab for each payment category: *Cash Payment*, *Check Payment*, *Credit Card Payment*, and *Postal Order*. With the exception of cash payments, multiple entries are possible. The system displays the payment categories and amounts entered in a totals table. You can create individual documents in the general ledger and payments on account by setting the corresponding indicator.

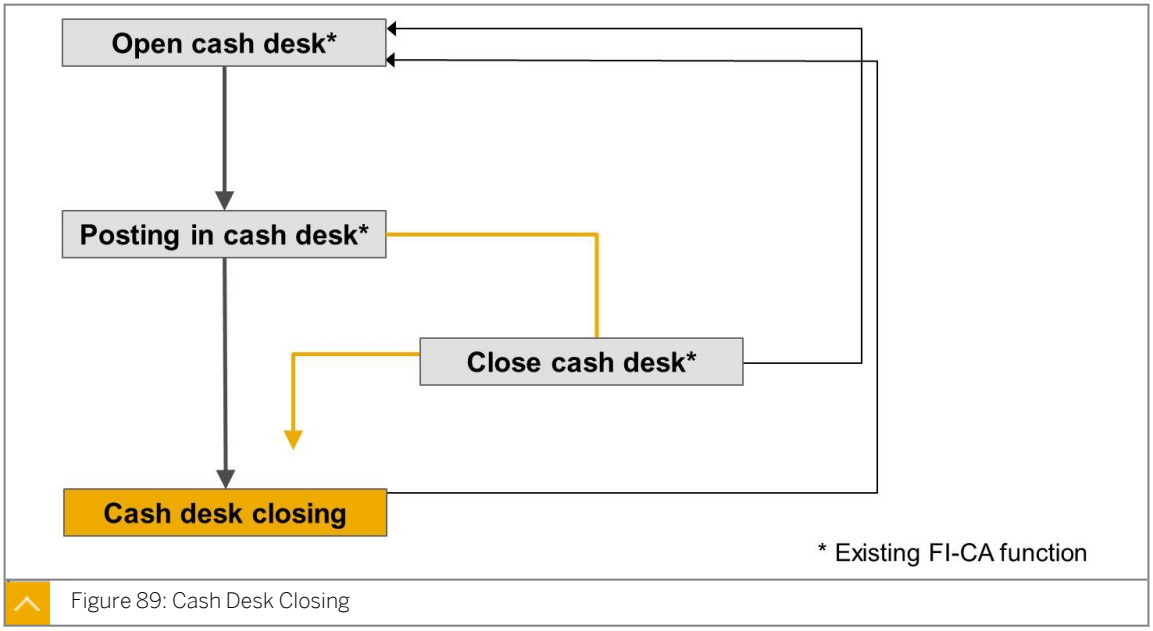


Figure 89: Cash Desk Closing

When the cash desk is closed, the system compares the actual, and the target balances in the cash desks of the cash journal and highlights any differences. A currency sheet makes it easier to enter actual cash desk balances by allowing you to enter the units of coins and bills for each currency. Once you have saved, you can print the day-end closing.

Irrespective of whether you carry out day-end closing for a cash desk, you can still open and close it. Cash desk closing does not have to be executed for opening and closing cash desks. However, if cash desk closing is has been carried out for a cash desk, the cash desk is closed automatically. If you want to make further postings to this cash desk, you have to reopen it.

You can use the overview (*Payments → Cash Desk*) to display the closing carried out in the cash journal across all cash desks and all branches. In the cash journal, you can only display cash desk closing for the current cash desk and branch. The transaction enables you to display the cash desk closing dependent on the following selection criteria:

- Cash desk

© Copyright. All rights reserved.

- Branch
- Date of cash desk closing
- Closing carried out by
- Status of closing

LESSON SUMMARY
You should now be able to:

- describe the functions of cash desk and cash journal

© Copyright. All rights reserved.

UNIT 6 Payment Run

Lesson 1

Prerequisites 107

Lesson 2

Payment Program 113

Lesson 3

Payment Cards 119

Lesson 4

Check Management 121

UNIT OBJECTIVES

- describe the prerequisites of the payment run
- execute postings and repayments using the payment run
- execute payments with credit cards
- execute outgoing checks

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 6
Lesson 1

Prerequisites

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the prerequisites of the payment.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the prerequisites of the payment run

Prerequisites

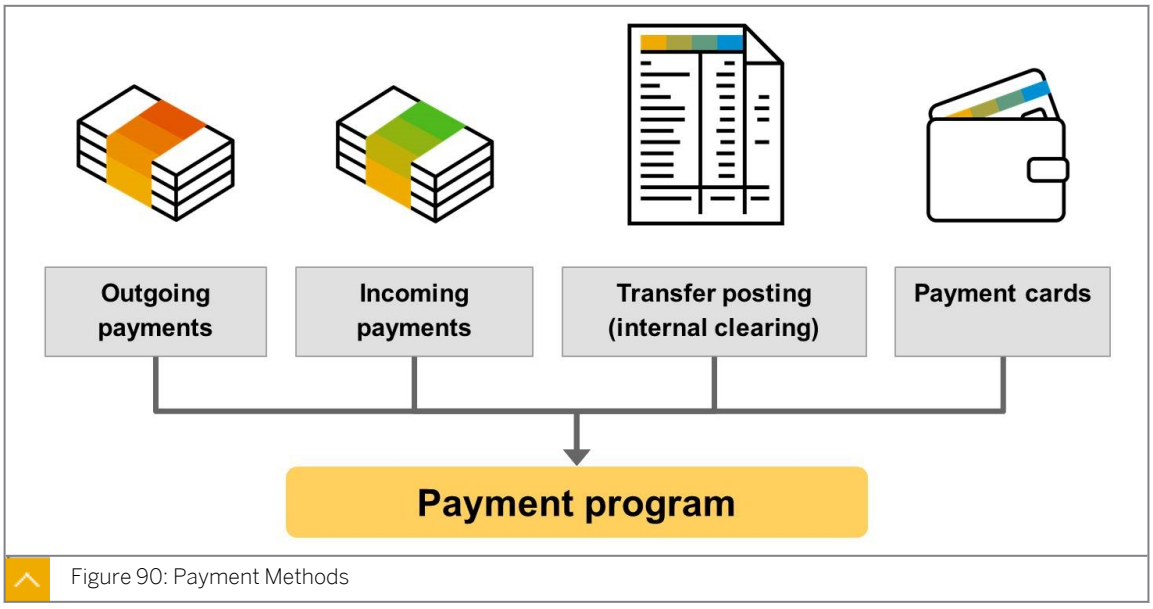


Figure 90: Payment Methods

There are several types of payment methods in FI-CA that are initiated internally. These payment methods are mainly used in connection with the payment program (see the next lesson for further details).

Hint:
If an incoming payment method is valid (not locked), it is the responsibility of the company to collect the money. For this reason dunnings do not include open items of this kind.

© Copyright. All rights reserved.

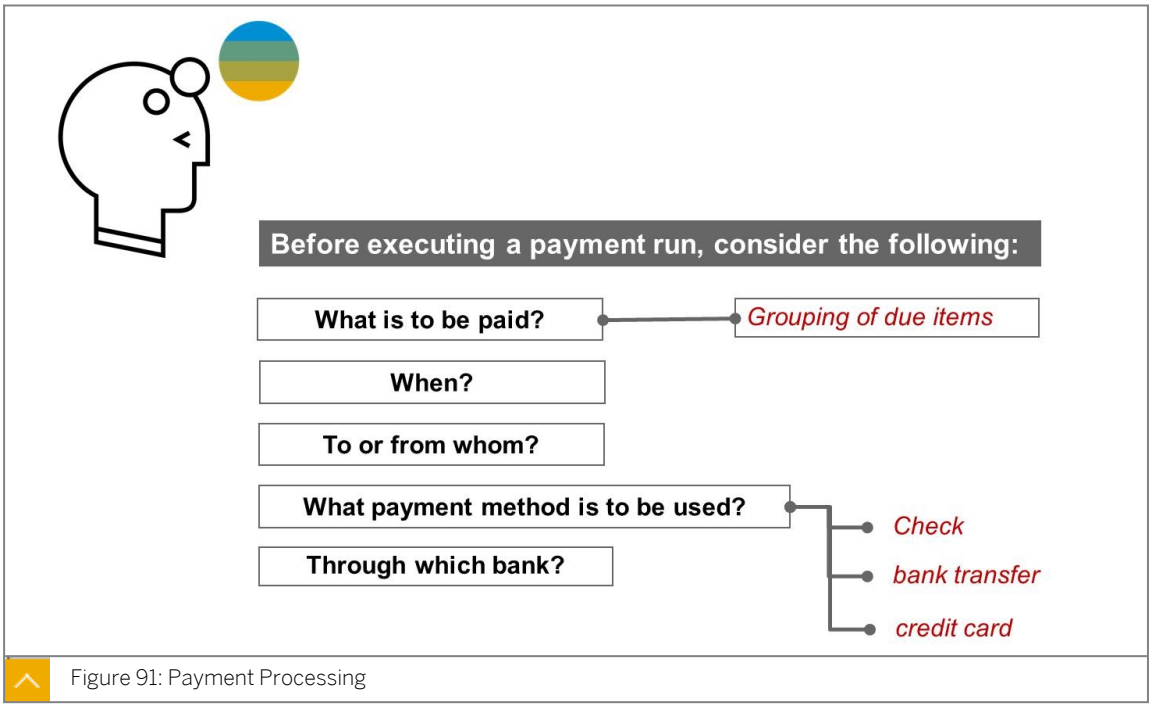


Figure 91: Payment Processing

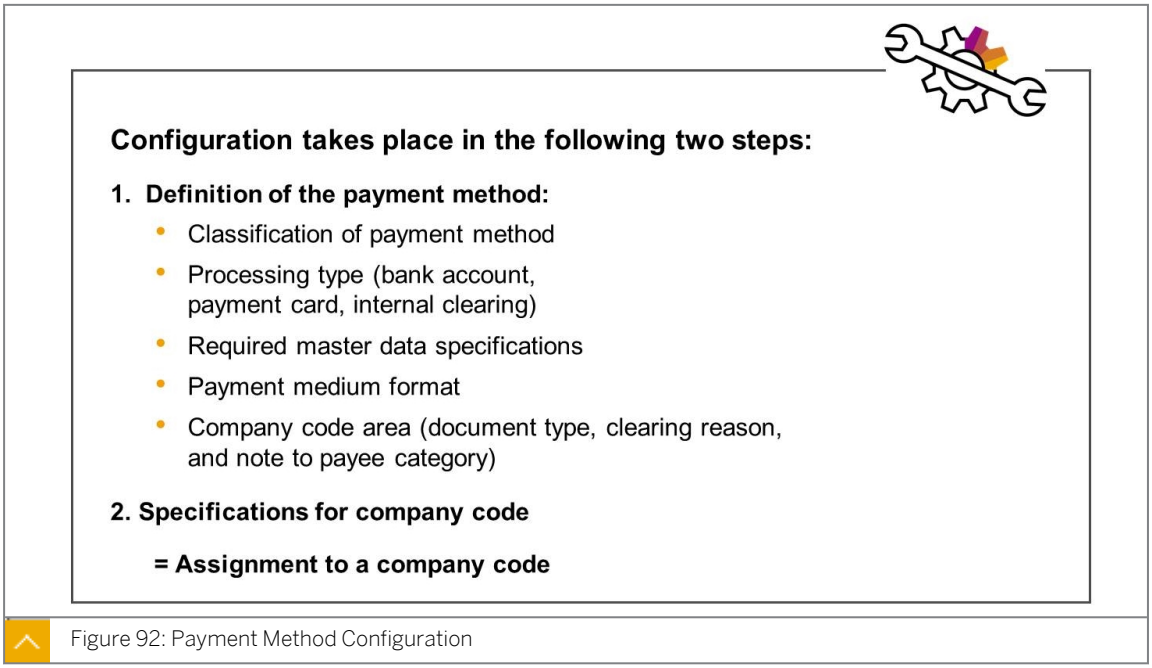


Figure 92: Payment Method Configuration

By using the payment method, it is possible to ensure that items with payment methods and items without payment methods are processed separately. The payment method of the document is not compared with the payment method of the contract account. By entering a payment method in an item, you can ensure that any minimum or maximum amount limits specified for this item are ignored (so that, for example, after the contract is canceled, minimal amounts that would not usually lead to a transfer or a collection can still be paid automatically).

Payment method classification specifies whether a check is to be created, if the payment is from a post office bank account, or if the payment method is to be used for incoming payments.

Payment Program Control

© Copyright. All rights reserved.

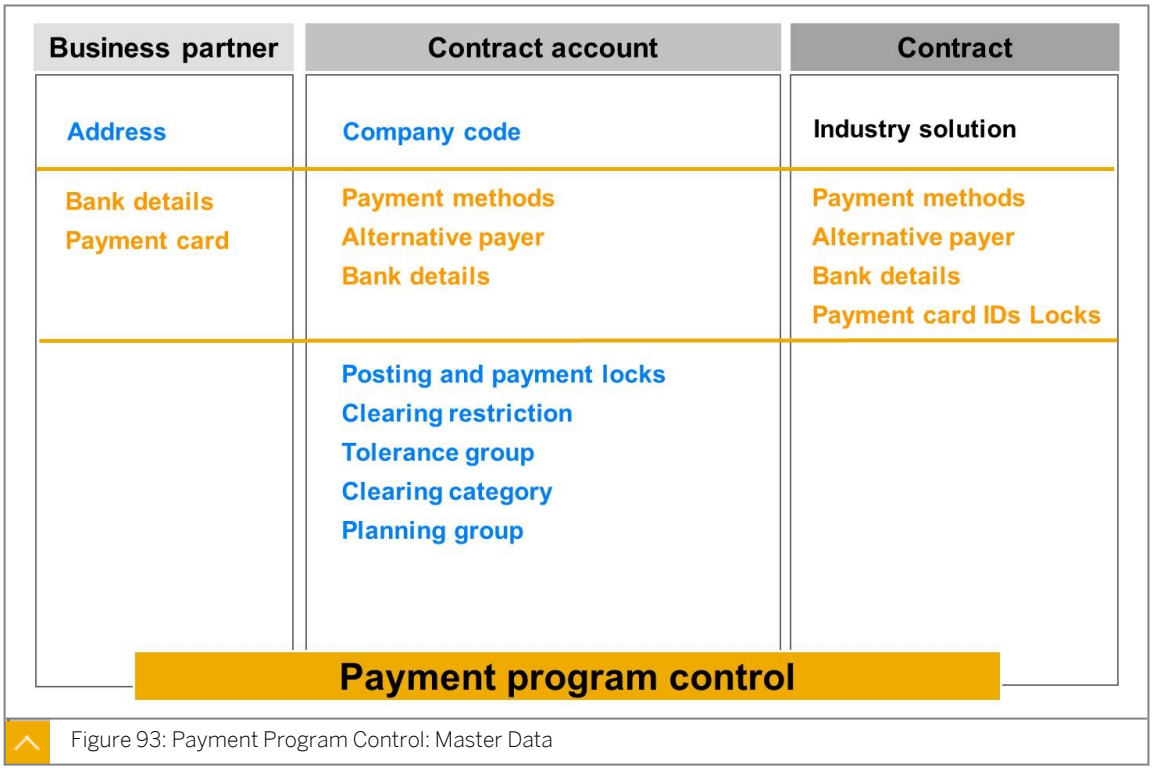


Figure 93: Payment Program Control: Master Data

The responsible company code has the same function as the paying company code in Financial Accounting (posting the bank line item responsible for house banks, sender of payment orders, and so on).

Other entries relating to payment are determined separately for outgoing and incoming payments within a contract account master record. In both cases (incoming and outgoing):

- A business partner bank (or that of an alternative business partner) can be specified for one or both cases.
- Payment methods specified can be overwritten by entries in the document.

A contract account can be locked for outgoing or incoming payments. You can enter default values for payment locks for the duration of a lock in Customizing. The system uses the specified values as the default dates when you create a payment lock without specifying the duration of its validity. Furthermore, when debit memos fail, automatic debits can be prevented until a processing lock date is reached.

If an alternative payer is specified for a contract account, the contract account items of a business partner are all paid together. Payment methods, banks, and locks are determined using this offsetting contract account.

© Copyright. All rights reserved.

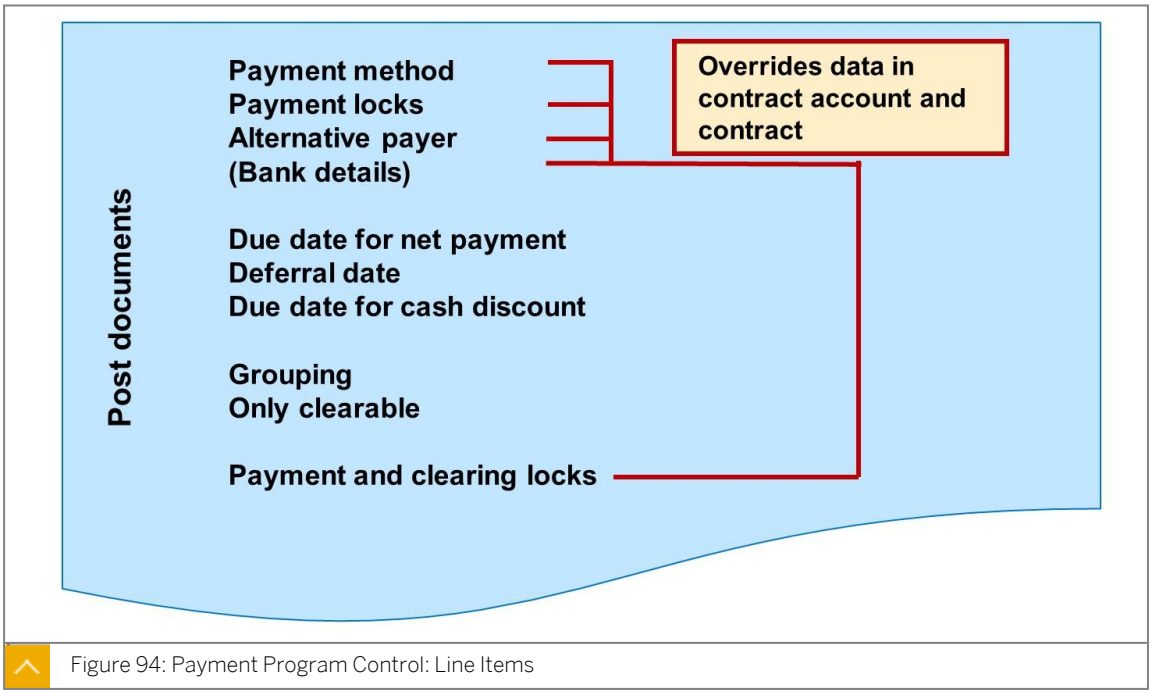


Figure 94: Payment Program Control: Line Items

A due date is determined by three dates: the cash discount date, the specified due date for net payment, and the deferral date.

Grouping ensures that items with the same grouping term are paid together (the grouping criteria must match). You can use this, for example, if you send your customer an invoice with multiple items, but all items are to be collected with one amount.

By selecting the *Only Clearable* indicator when posting an item, you ensure that items cannot be paid out (or collected). Instead, the amount to be collected or paid out can be cleared only with other debit entries. In event 0652, you can override the automatic selection of partner banks created by the payment program. In the standard system, the partner bank is selected as a result of the bank details defined either in the contract account or contract (differentiated by incoming payment and outgoing payment). You can override this by explicitly specifying bank details in the line item. However, it is not possible, for example, to select a partner bank based on the currency of the items paid if these bank details are not entered in each of the items to be paid.

Using event 0652, you can set a different bank details ID based on the items to be paid, or prevent payment.

© Copyright. All rights reserved.

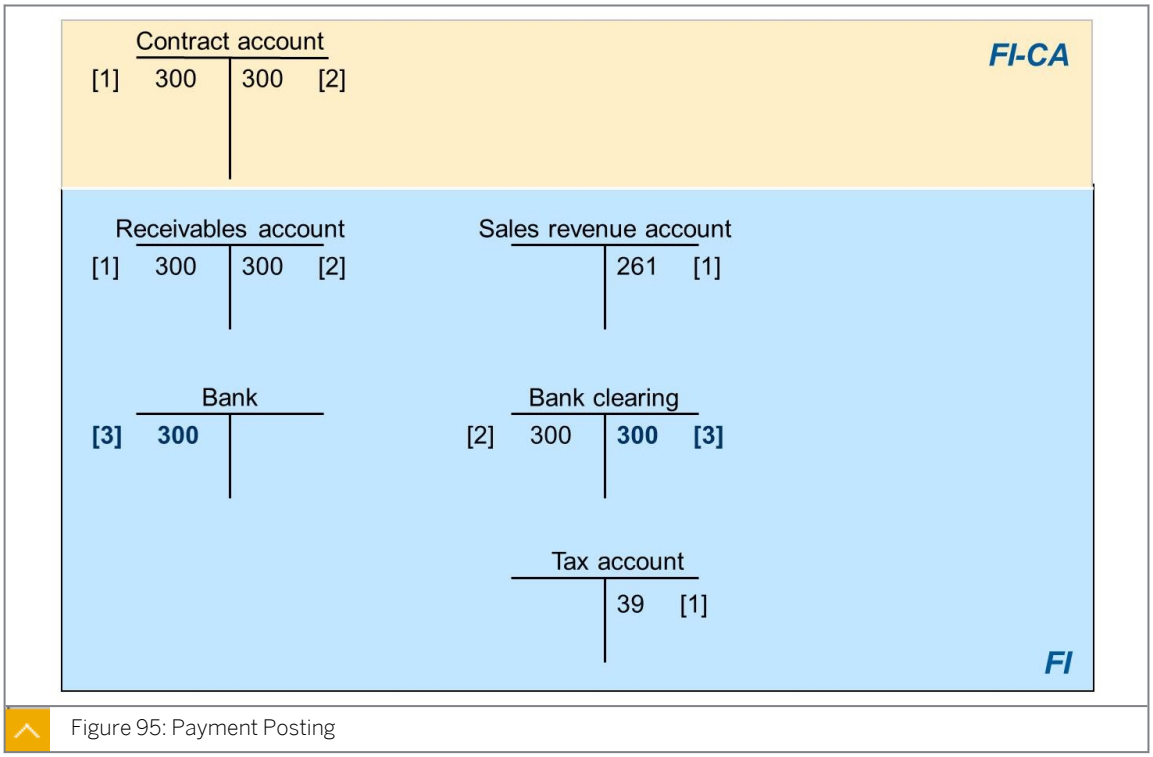


Figure 95: Payment Posting

[1] Debit position of a receivable

[2] Payment in FI-CA by the payment run

[3] Incoming payments in General Ledger Accounting (posting the account statement)

LESSON SUMMARY

You should now be able to:

- describe the prerequisites of the payment run

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Payment Program

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to execute postings and repayments using the payment run

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- execute postings and repayments using the payment run

Payment Program

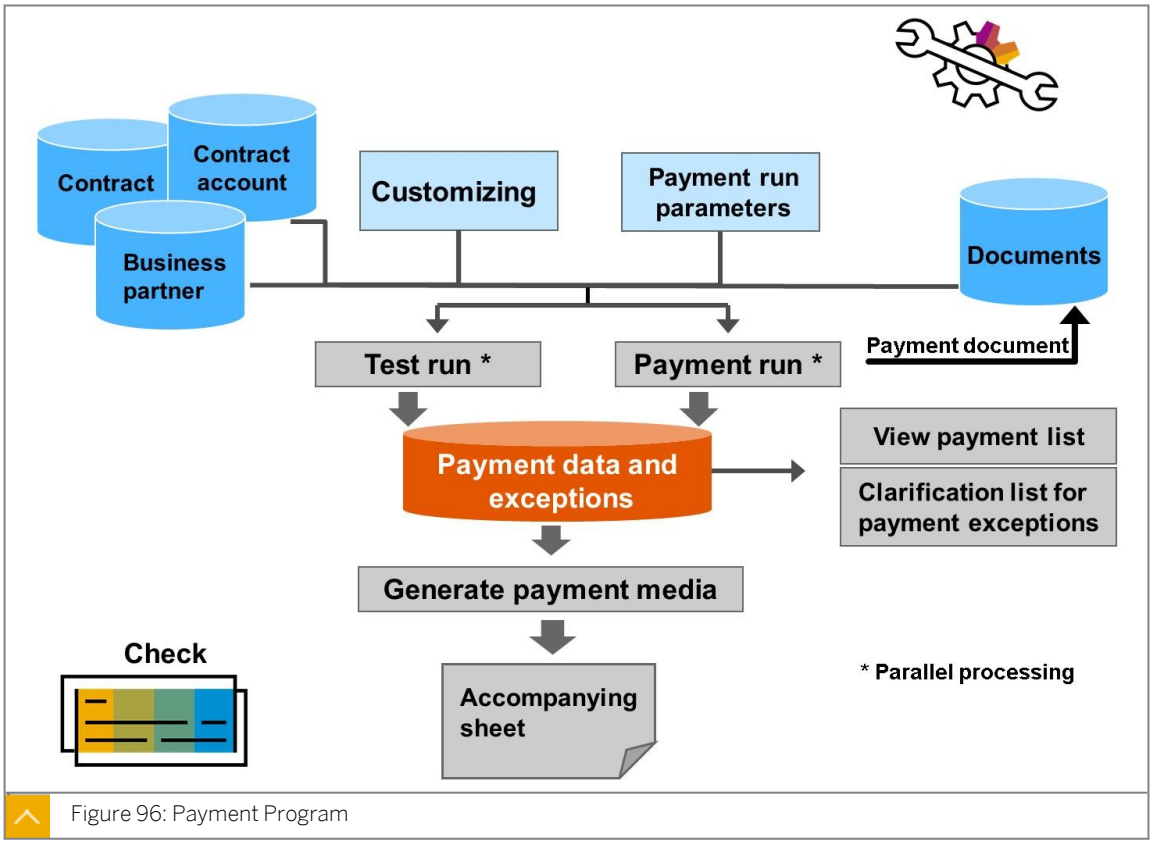


Figure 96: Payment Program

The process flow of the payment program is as follows: Open items are selected, open items are grouped for payment, items requiring special processing are determined, payment methods and bank details are determined, the value date determination and account determination take place, payments are posted, and payment media are created.

If desired, you can execute a test run of the payment program prior to the actual payment run. The test run creates a payment list but no payment documents. (tables DPAYH, DPAYP).

© Copyright. All rights reserved.

Payment data and payment exceptions can be viewed (but not changed) in the payment list.

Payment media (in electronic form or as printouts) is created based on the payment data.

The payment run program uses the technique of parallel processing.

You can specify, for each item indicator for exceptions (in the payment program), whether an item is to be placed in the clarification list.

The data that controls the payment run is specified in the master data, the document, Customizing, and the current payment run parameters.

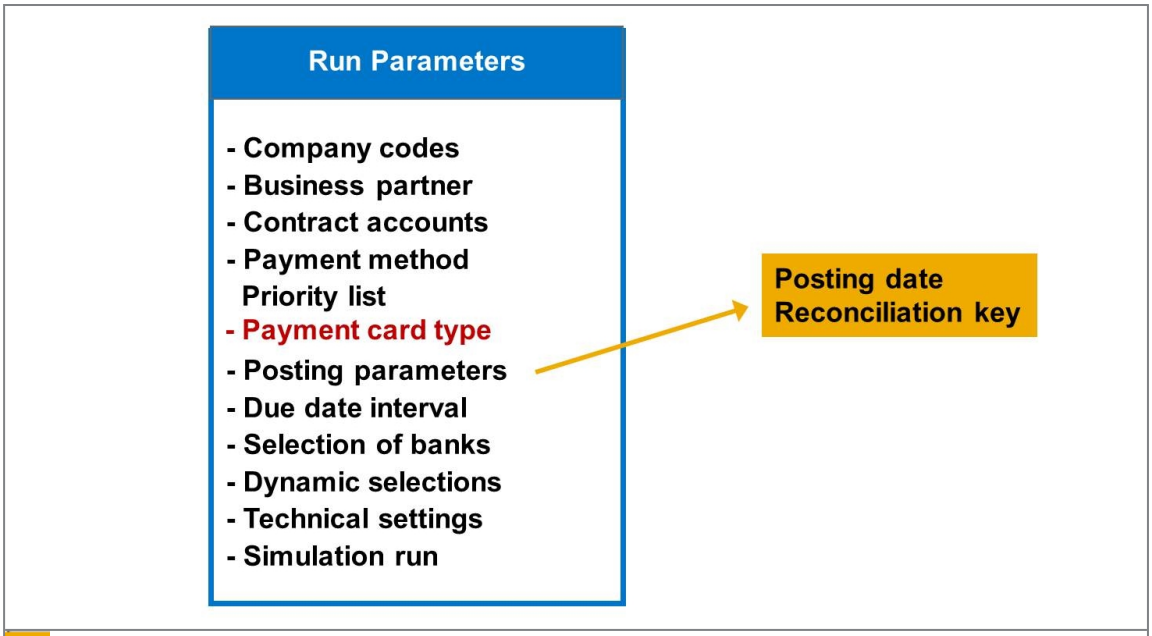


Figure 97: Payment Program Runtime Parameters

Payment runs can be protected by freely definable authorization groups. An accounting clerk may only process a payment run (change parameters, start a payment run, and so on) if he or she is authorized for the activity and has been added to the relevant authorization group.

Selection criteria according to business partner, contract account, and dynamic selections are available for use in the test-run phase.

You can now also use preselections for master data in the payment run to select business partners or contract accounts. Up to now, you could use these selections in the items list, for example (see *Periodic Processing → Evaluation of Open Items → Execute Evaluation*). To create preselections, choose *Technical Preparations → Define Preselection* and create a set of master data using any master record attributes.

Selection according to company code is mandatory. The defined payment methods are country-specific. For this reason, it is only possible to select company codes within a country that has the same currency in each payment run.

The posting date of the payment run is applied as the baseline date for determining the due date, except in the following cases:

- If a deferral date has been entered in an item, it is always used to determine the due date.
- If the cash discount date is prior to the posting date, the cash discount due date is used to determine the due date and the item is paid minus the cash discount.
- If the cash discount period has expired, the due date for net payment is used.

© Copyright. All rights reserved.

Hint:
The due date for an item that is determined in this manner must fall within the due date interval entered in the *General Selections* section of the payment run parameters for the item to be paid.

You can restrict the payment run to one payment card type. You can then run separate payment runs for each payment card type, even though the payment method category of “card payment” is always the same.

Grouping of Open Items

- Business partner
- Alternative payer
- Payer's bank details
- Responsible company code payment lock
- Contract account, which is used for the payment transactions
- Payment method
- Currency key
- Grouping term for open item
- Free grouping of application area

A business partner’s items are grouped together into payable groups. Items can only be grouped together if a business partner’s items are not restricted by the selection of a contract account.

The company code responsible and the account being offset are determined using the assigned contract account in the document.

The application area can enter data in its own grouping field in the designated event 0600. This data could, for example, include reference details from the contract. This event can also be used to block items while the payment program is running.

© Copyright. All rights reserved.

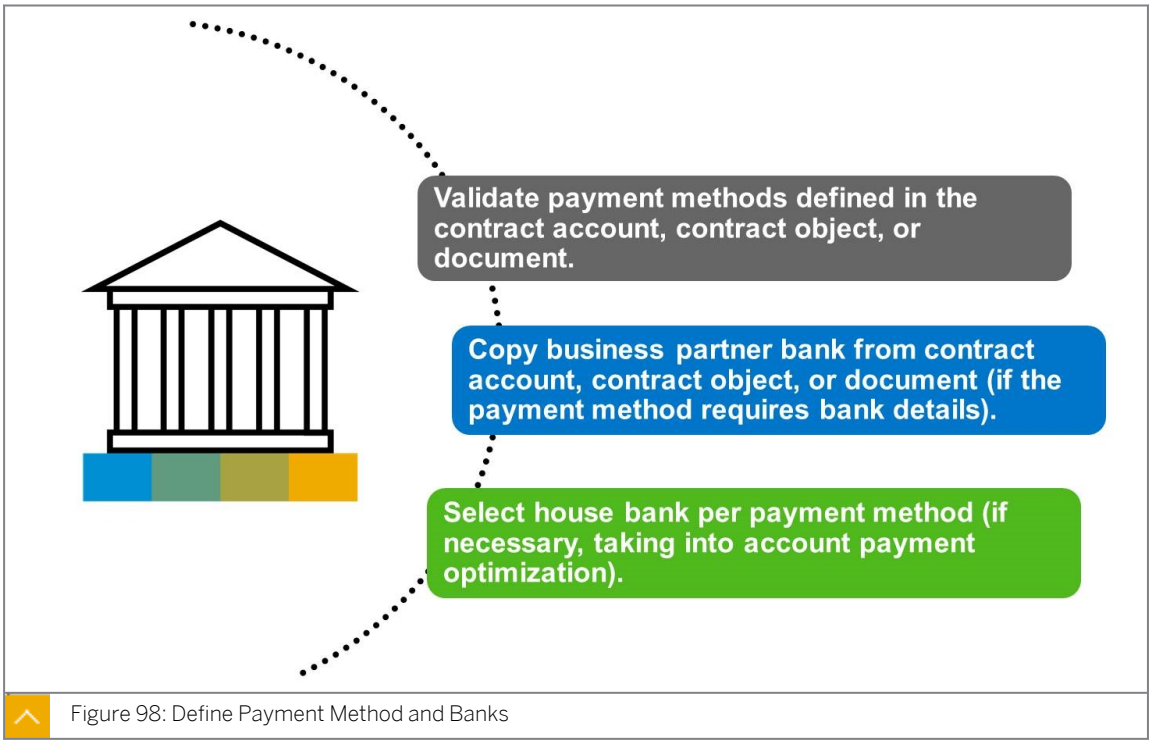
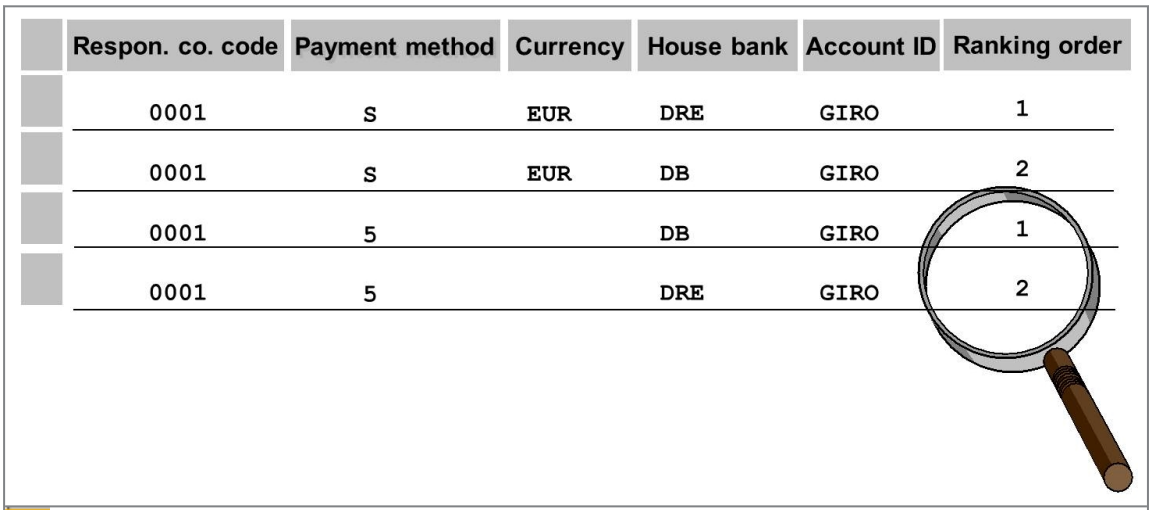


Figure 98: Define Payment Method and Banks

You can specify multiple payment methods for outgoing payments in a contract account's or contract object's master data. In this case, the checks outlined in the figure above are carried out for each payment method until a valid payment method is found.

If payment optimization is not required, the house bank with the highest priority is always selected (see bank selection in parameter maintenance).



Respon. co. code	Payment method	Currency	House bank	Account ID	Ranking order
0001	S	EUR	DRE	GIRO	1
0001	S	EUR	DB	GIRO	2
0001	5		DB	GIRO	1
0001	5		DRE	GIRO	2

Figure 99: Run Parameters: Selection of Banks

The payment program is implemented as a mass activity.

Once open items have been grouped, the system determines the appropriate payment method, and selects a bank from the bank parameters entered in the payment run.

Currently, it is only possible to prioritize banks for bank selection optimization. It is not yet possible to enter available amounts for each of the respective bank accounts. You can maintain bank selection for all company codes simultaneously.

© Copyright. All rights reserved.

For cross-company-code postings, the company code belonging to the contract account must also be the responsible company code for the company codes in the line items.

If other company codes are billed using the contract account, incoming payments on receivables in these company codes are always posted to a company code settlement account in the responsible company code first (same procedure for outgoing payments).

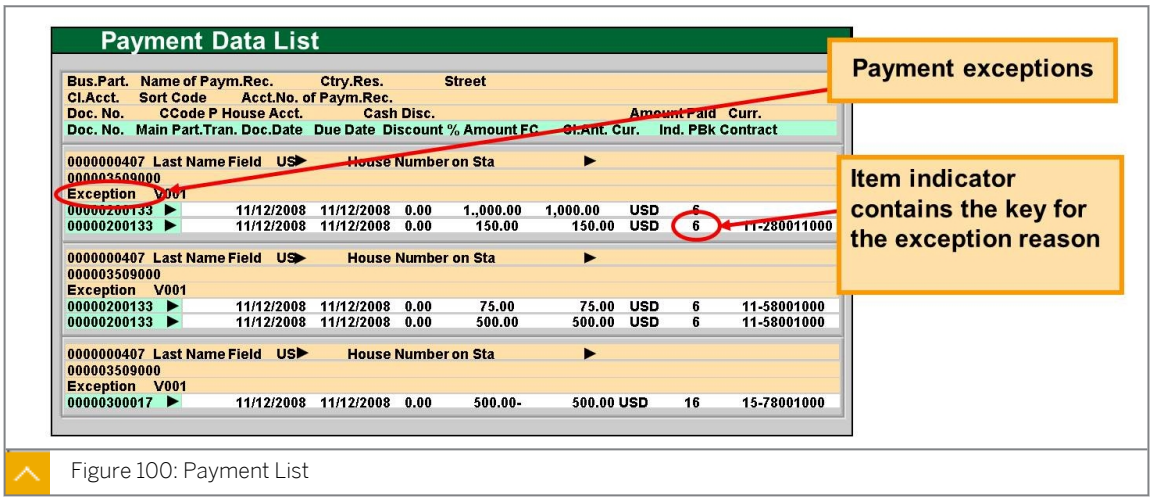


Figure 100: Payment List

Extended checks for creating outgoing payments

In addition to setting processing locks on a contract account or contract object and payment locks on an account or document, in the FI-CA payment program, you can also exclude items from payment. In Customizing, you can define the necessary payment lock reasons to exclude certain items from automatic payment.

This type of payment lock is always applied to both incoming and outgoing payments.

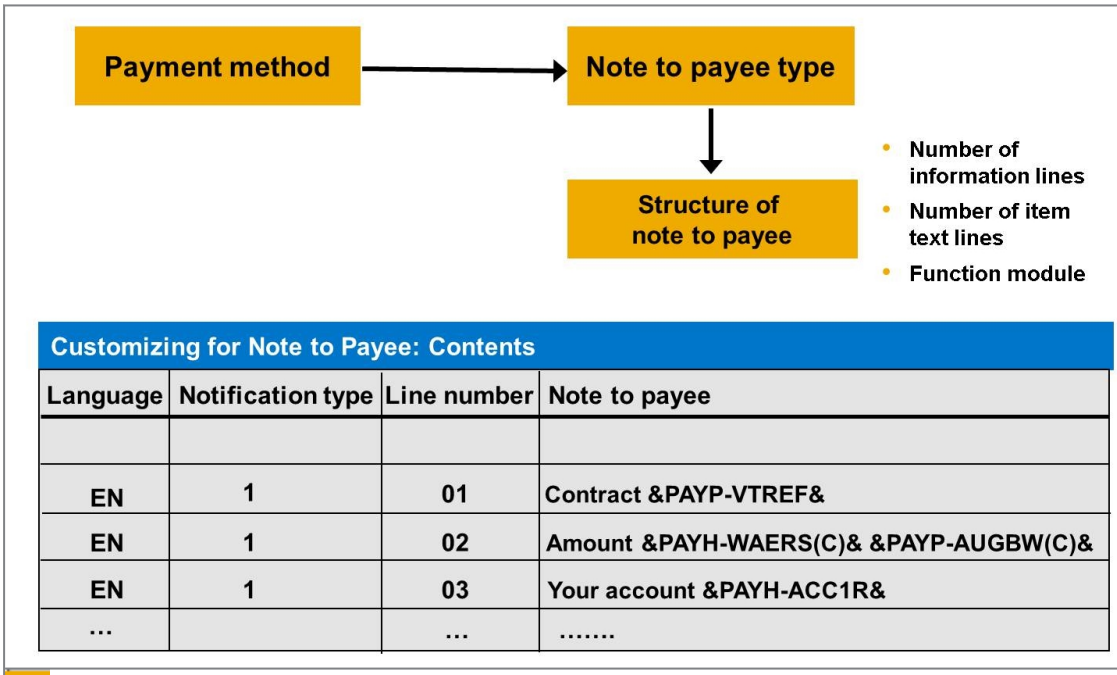
Items that cannot be paid automatically based on their item and contract account categories are excluded from further processing by the payment program and appear in the exception list of the payment program.

Payment list and exception list

You can use the list viewer functions to adjust the structure of the payment list so that it meets your individual requirements. This means that the display layout of the payment list report can be structured and defined as required by individual users.

© Copyright. All rights reserved.

Payment Run Processing



Customizing for Note to Payee: Contents

Language	Notification type	Line number	Note to payee
EN	1	01	Contract &PAYP-VTREF&
EN	1	02	Amount &PAYH-WAERS(C)& &PAYP-AUGBW(C)&
EN	1	03	Your account &PAYH-ACC1R&
...		...	.....

Figure 101: Note to Payee Content

You can specify that payment media is to be created in the language of the business partner. If this indicator is not selected, the system searches the content table (depicted in the figure above) for a blank language key (“”) and uses the parameters specified for this table entry. It is therefore important to enter a language key “” for each note to payee category in the content table.

To determine whether or not this indicator has been selected, call transaction `SE38`, enter the program ID **`SAPFKPY3`**, and choose *Execute*. Then search for the *Text in recipient's lang.* indicator.

LESSON SUMMARY

You should now be able to:

- execute postings and repayments using the payment run

© Copyright. All rights reserved.

Payment Cards

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to execute payments with credit cards.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- execute payments with credit cards

Payment Cards

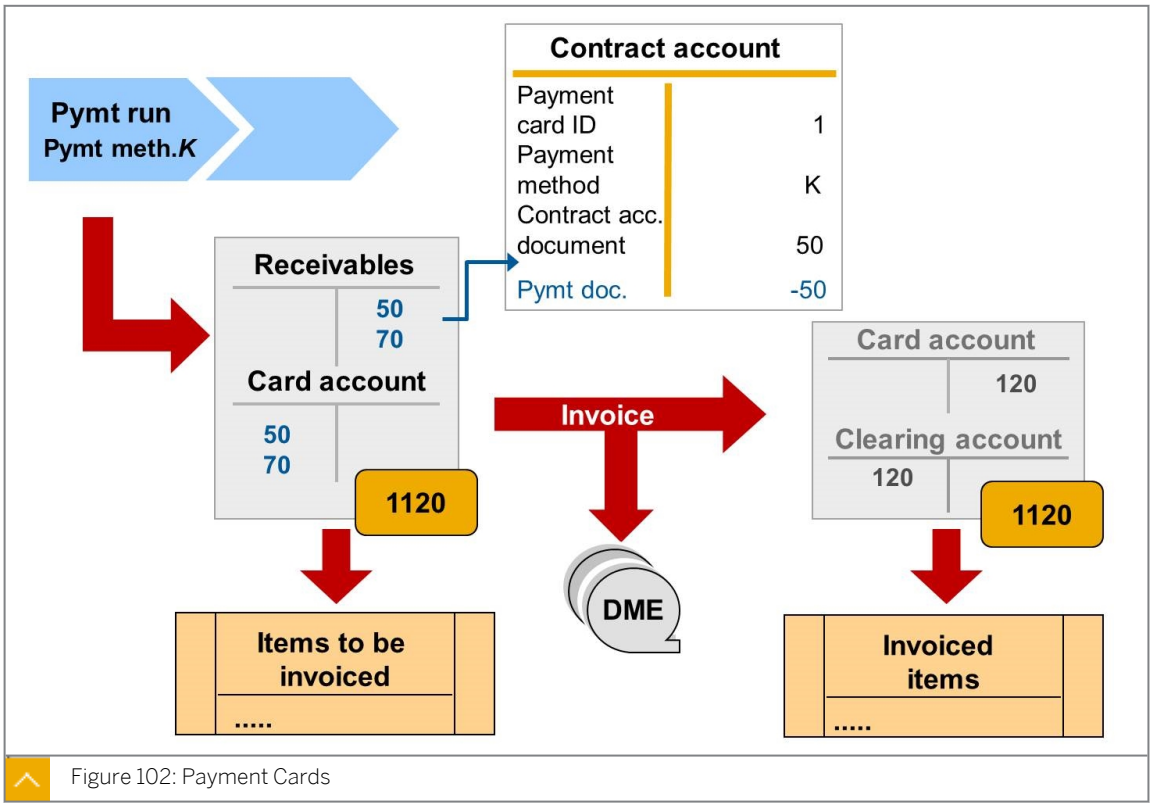


Figure 102: Payment Cards

When open items to be paid by payment cards are processed, the card details and not the bank details from the business partner are used. The card number, locks, and validity intervals are checked. The card ID is saved in the contract account for incoming and outgoing payments.

When open items are processed, the details for the card with the debit memo, which are stored in the the business partner, are used instead of the bank details.

- Card number checked

© Copyright. All rights reserved.

- Locks, validity periods

If a customer uses a payment card to pay for goods and services, open receivables have to be reported to the payment card company. The payment program clears the customer's open items and creates new open items on the payment card company's clearing account (reporting account).

The open items to be reported to the payment card company (those open customer items cleared by the payment program) are then determined. When credit card payments are processed in the payment run, no entries have to be made for this payment method in the bank selection. You must define a card account in posting area 1120. The amounts reported to a credit card institute are posted here, as are the receivables that are sent to the credit card institute when the notification is created (transfer posting).

The final step is to issue the invoice (billing). Billing can be repeated.

You also have the option to use parallel processing for billing payment card payments (as a mass activity). On the SAP Easy Access screen, choose *Periodic Processing → Data for Externals → Payment Card Organizations → Parallel Billing by Direct Call*.

The system does not create a file when you use this variant. Instead the event (1421) is made available for the payments being settled. The payments are grouped by card institute, company code, agent ID, currency, and value date. The new event allows online billing with immediate return of the result (that is, billing was successful or unsuccessful, with a corresponding error message). The system stores the details of any errors that occur.

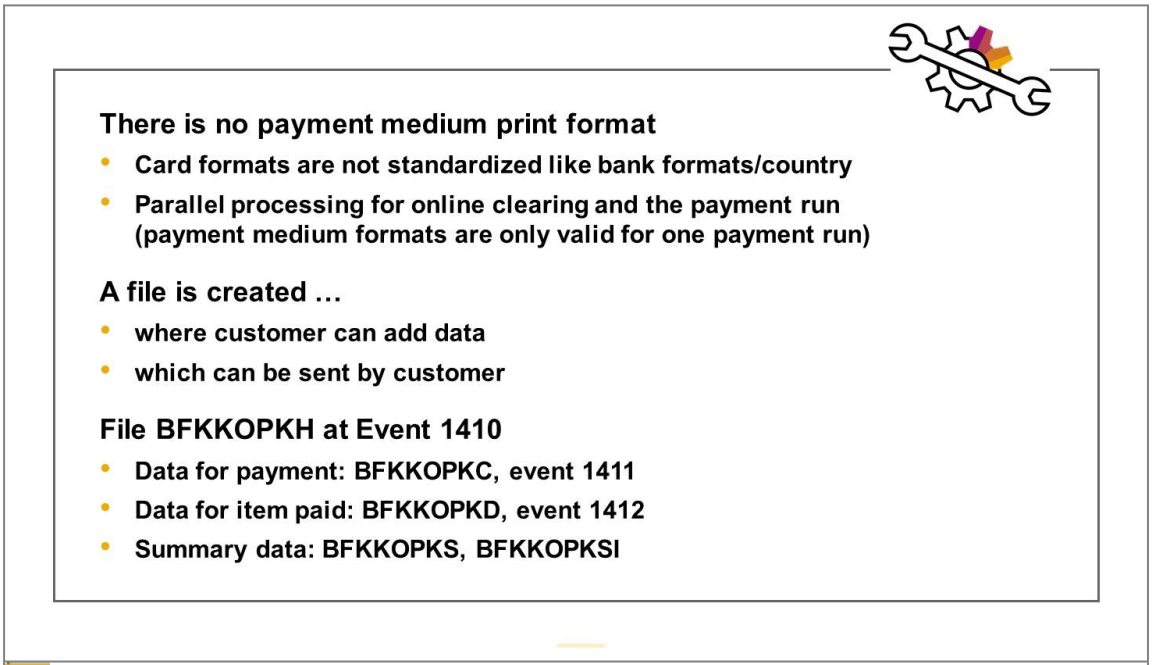


Figure 103: Formats

LESSON SUMMARY

You should now be able to:

- execute payments with credit cards

© Copyright. All rights reserved.

Unit 6
Lesson 4

Check Management

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to execute outgoing checks.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- execute outgoing checks

Check Management

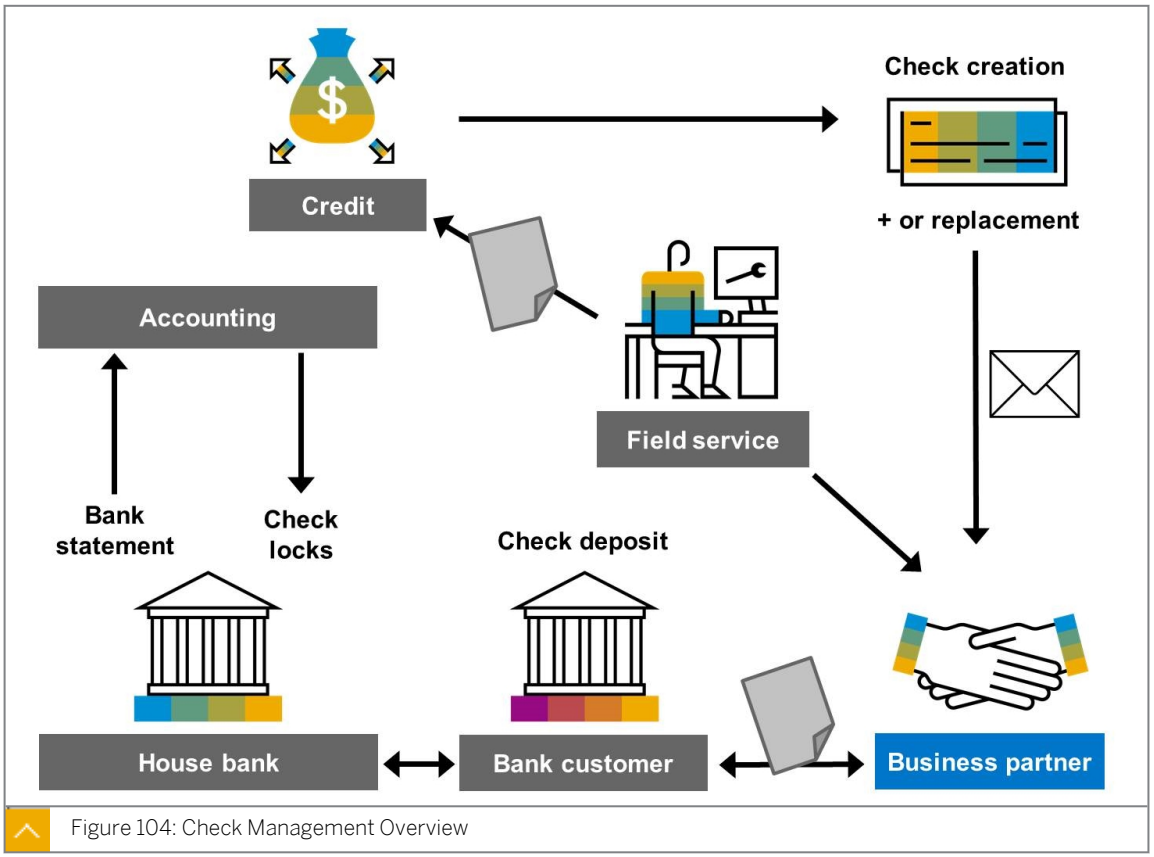


Figure 104: Check Management Overview

A check can have the following status: Open, Cashed, Invalid, Locked.

You can lock a check and report the lock to the bank, without having to reverse the related payment or issue a replacement check. The check is locked in check management and reported to the bank using transaction FPCHX. After a specific deadline (usually 24 hours) the bank guarantees that this check can no longer be cashed.

You reverse the related payment document after this deadline by regularly scheduling transaction FPCHS so that the cleared items are open again. By running the payment run

© Copyright. All rights reserved.

again, you can create a new check if required. If checks are cashed within the deadline, you can define, in the settings for the voiding reason, whether the checks are to be deemed “cashed” automatically or whether clarification cases are to be created.

This procedure is interesting for US customers and is known as “Stop Payment”. It is an alternative to the previous way of issuing a replacement check. Invalid checks that have not yet left the company premises should be voided and reissued as previously. A check lock is not necessary in these cases.

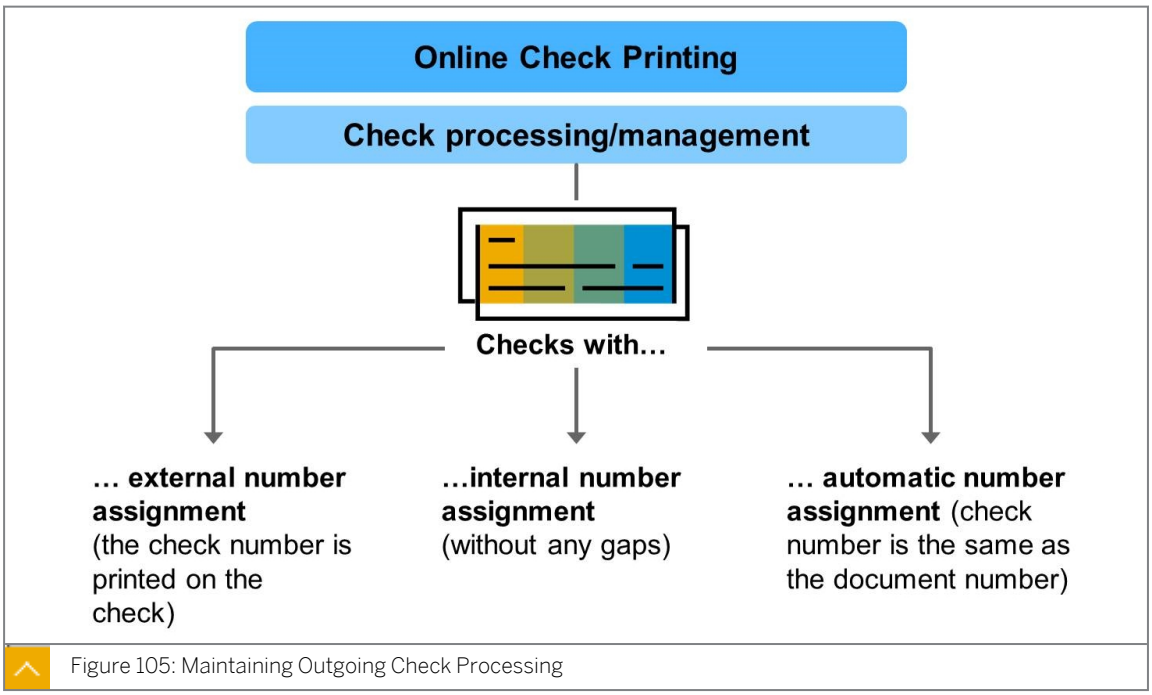


Figure 105: Maintaining Outgoing Check Processing

The bank clearing account used in the payment document must be defined in Customizing to enable the system to determine bank data, and the indicator for *Online Check Printing* must be selected. When you select this indicator, you have to use the corresponding clearing account in online check printing.

Application form FI_CA_DME_CHECK_SAMPLE serves as a template for a check form with an accompanying letter.

The check is printed. The checks for the document are managed in the check repository together with the check numbers used.

If you try to print a check again for the same payment document, a replacement check with a new check number is created in the check repository.

The program makes the following available:

- A log of any special events (when a check is invalidated, for example). You can display the log for the check or for the payment document.
- The status of checks can be changed. This allows you to record in check management which checks have been cashed.
- You can void checks separately, but you must define a reason for doing so.
- If you use prenumbered checks, you can use a check issue file to record which checks have actually been issued. This allows you to keep tabs on existing prenumbered checks that have not yet been issued.

© Copyright. All rights reserved.

- If you need to state the name of more than one recipient on a check (two-party checks), you can enter additional recipient information separately and save this.

LESSON SUMMARY
You should now be able to:

- execute outgoing checks

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 7 Returns

Lesson 1

Definition 127

Lesson 2

Processing 135

UNIT OBJECTIVES

- describe the definition and the posting of returns
- describe the processing of returns

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Definition

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the definition and the posting of returns.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the definition and the posting of returns

Definition

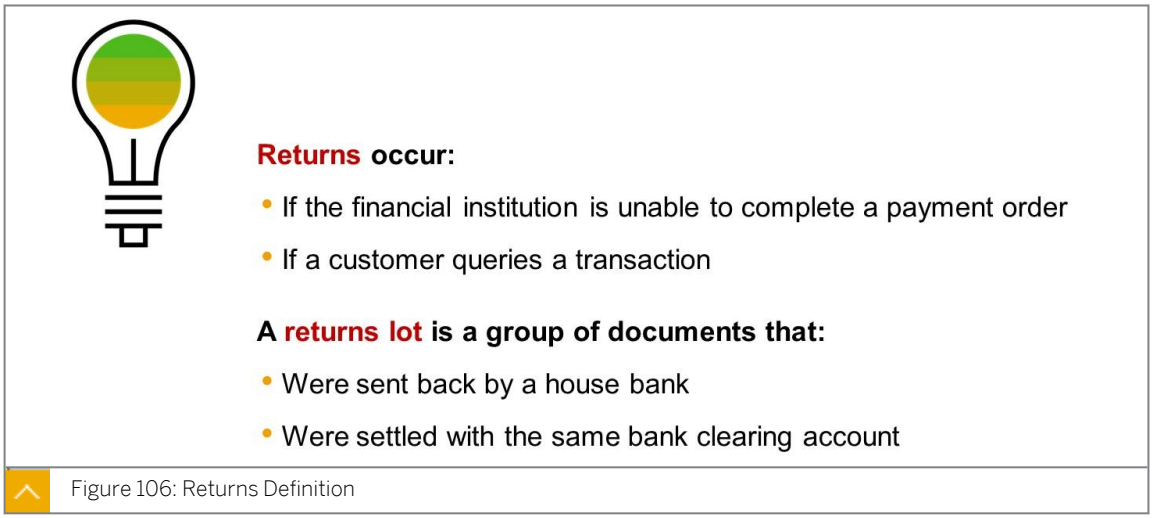


Figure 106: Returns Definition

The returns component enables you to process bank returns, which may occur as part of a debit memo or collection procedure or as check deposits or outgoing payments. Returns are combined in return lots. The return lots can be created either manually (using return slips), or automatically by copying return data from the electronic bank account statement file.

Returns can occur in connection with the following payment methods:

- Checks
- Debit memos
- Credit card collections

Returns are typically the result of expired or closed accounts, insufficient funds in an account, incorrect accounts, or stopped payments on a check.

After a return has been included in a return lot, an additional document is posted. This document is different from a reversal posting because it is always posted to a clearing account for returns. You can enter the data automatically or manually in a lot.

© Copyright. All rights reserved.

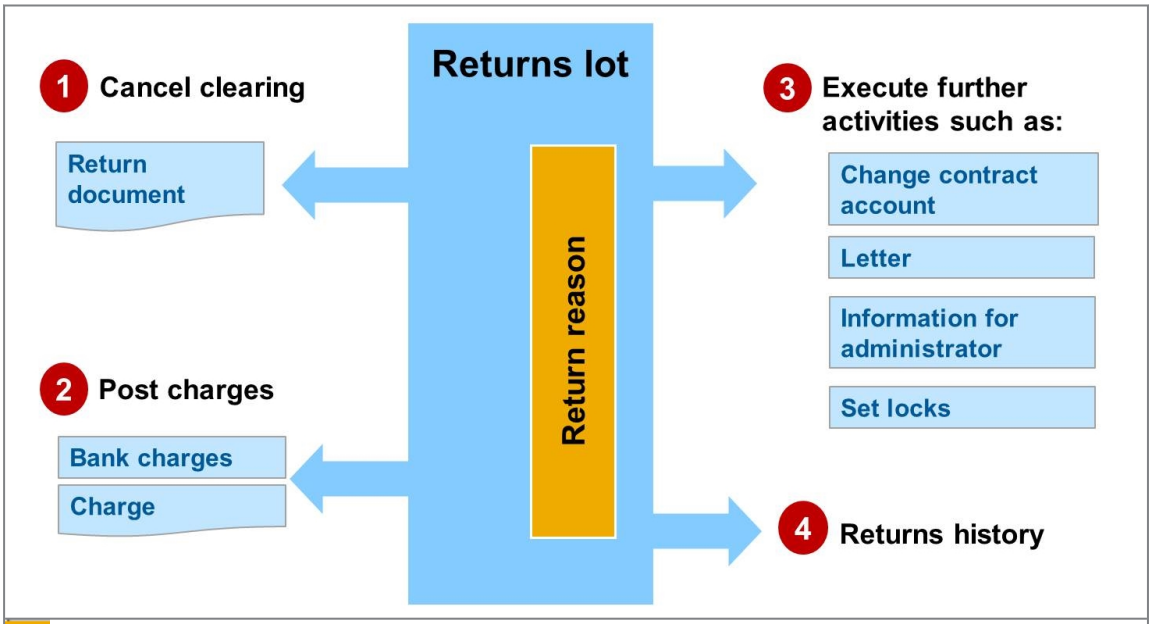


Figure 107: Returns Processing

First, the system determines the receivables or payables that were cleared by incoming or outgoing payments. This payment clearing can then be canceled (normal case) so that the original receivables or payables are open again. The system then generates a returns document containing the offsetting items for the items in the payment document.

Bank charges are posted in the general ledger. You can charge any bank fees to your business partners. You may choose to make your business partner liable for other charges as well. The return charges for the business partner can be posted either statistically or to the general ledger.

Possible follow-up activities include changing the item, setting a deferral date, setting a dunning or payment block, blocking outgoing payments, or changing the incoming payment method (for example, from a direct debit to payment on demand).

Other activities are also possible, such as workflow, creating information for the accounting clerk, or creating correspondence for the business partner. The industry solutions offer these activities, but customers can adapt them to suit their own needs.

The system records all relevant data in a returns history. This history is referred to when determining creditworthiness. The returns history is used, for example, to determine the number of returns for a business partner.

© Copyright. All rights reserved.

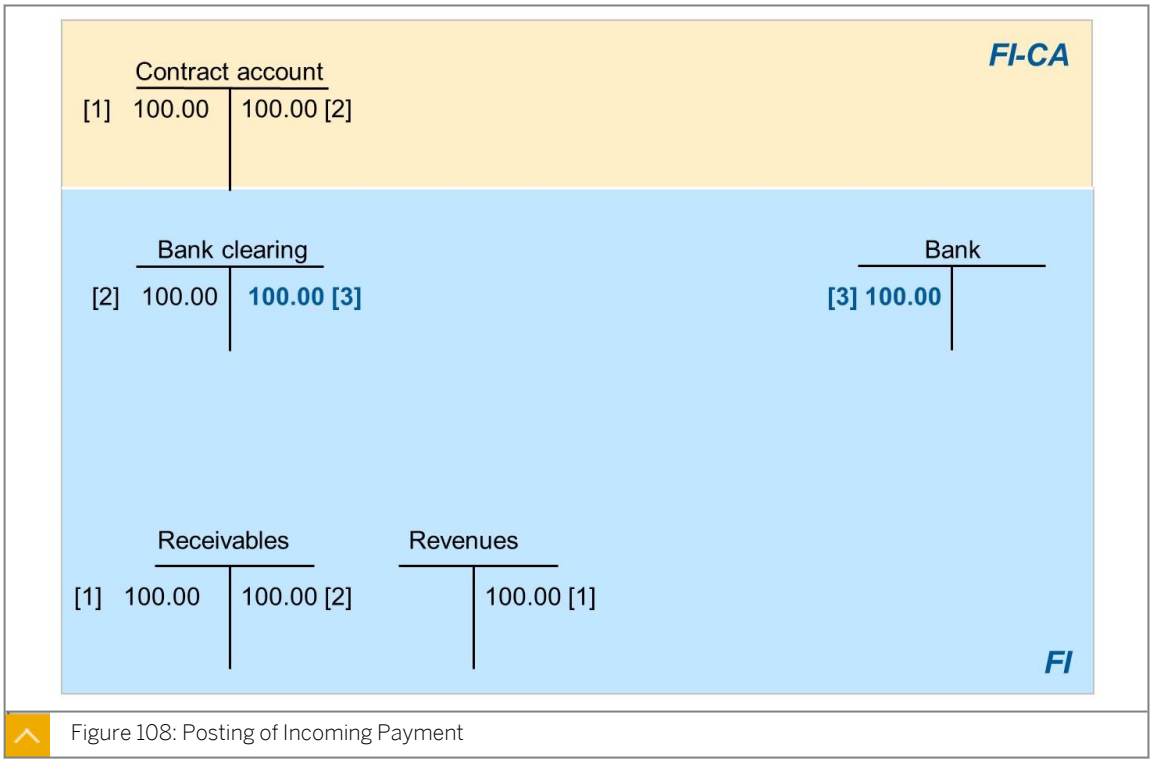


Figure 108: Posting of Incoming Payment

1. Debit entry from invoicing (tax not shown)
2. Payment settlement by bank collection
3. Incoming payment (account statement)

There are different types of returns postings:

- Net returns (returns document does not contain charges)
- Gross returns (returns document does contain charges)
- Charges including taxes (gross charges)
- Charges without taxes (net charges)

The allocation takes place using the source document number (note to payee).

© Copyright. All rights reserved.

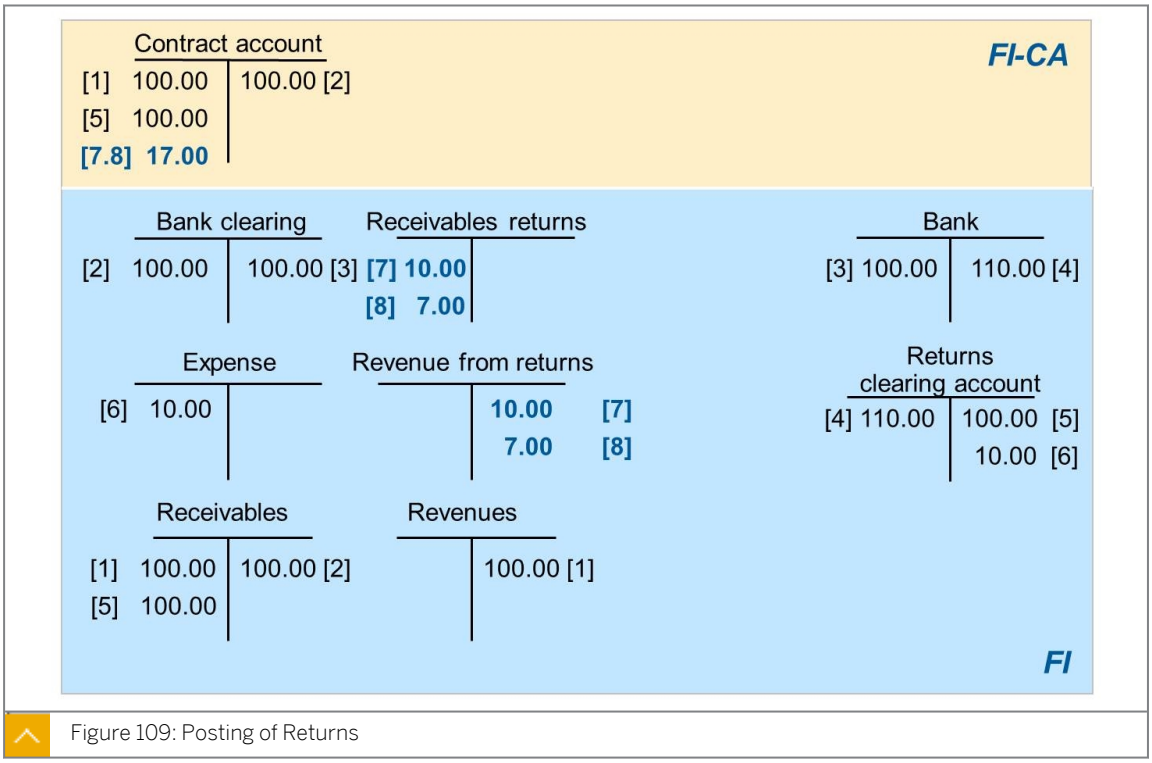


Figure 109: Posting of Returns

1. Debit entry from invoicing (tax not shown)
2. Payment settlement by bank collection
3. Incoming payment (account statement)
4. Incoming payment (account statement)
5. Reverse clearing (return in subledger account)
6. Post expense from bank charges
7. Pass on bank charges to business partner
8. Raise and debit charges

Step 7 does not take place if bank charges cannot be passed on to the business partner.

Step 8 does not take place if you choose not to levy your own charges on the business partner.

Levying your own charges for processing returns is optional.

In the system, postings 5 to 8 are carried out in one step.

© Copyright. All rights reserved.

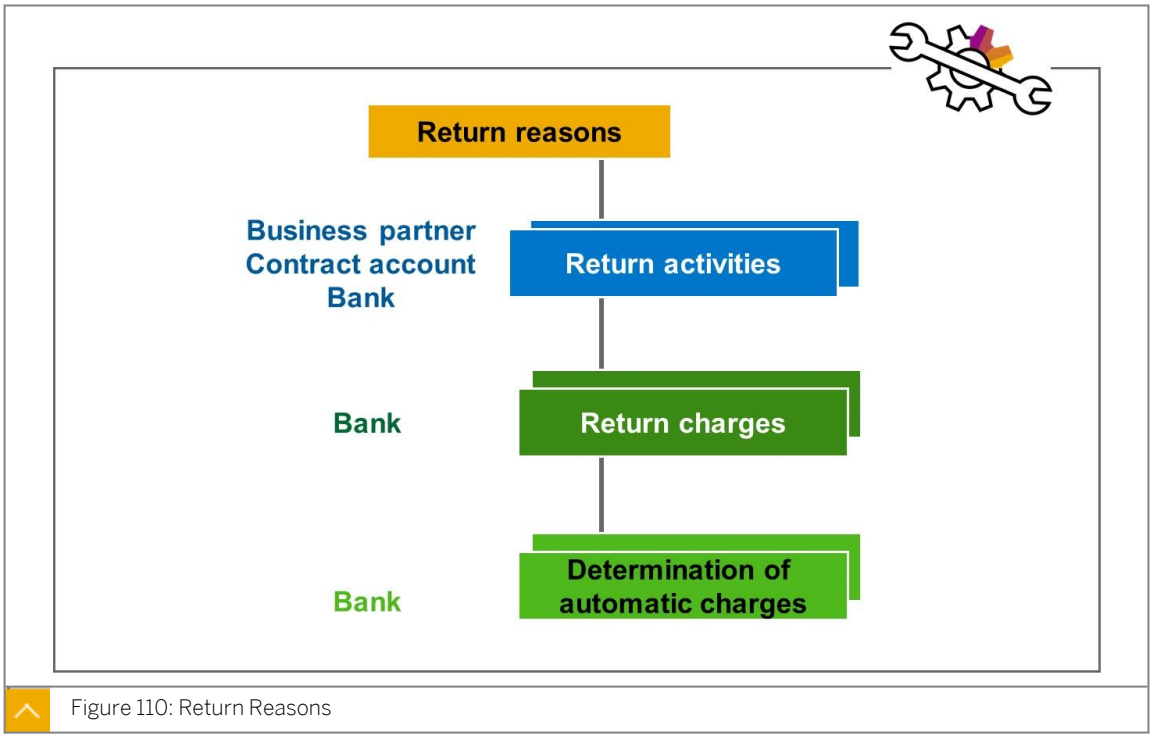


Figure 110: Return Reasons

You can use the activity keys in Customizing to define several activities that are carried out in the case of a return, such as setting payment and dunning blocks. In Customizing, you must assign the returns reasons given by the banks to your own, company-specific reasons. This allows you to treat different returns reasons as defined by individual banks in a uniform way.

Hint:
You can assign a returns reason to a house bank only when you define the reason for the first time. Afterward, changes are possible, but not a reassignment to a house bank.

The activity key is made up of the *Company Code*, *No. of Returns*, *Creditworthiness*, and *Tolerance Group* fields.

The returns reason triggers a number of activities. It is used to determine the general ledger accounts to which the returns charges are posted (as well as the offsetting revenue account). It is also used for the bank clearing. In each case, two charge accounts and expense accounts can be used to clear charges.

History days define the maximum number of days in the past in which a posting may lie so as to be considered in the return history evaluation. If you set the value 0, all postings will be considered when viewing the returns history. The number of returns is determined from the returns history and always refers to a business partner and a contract account (F1 help).

© Copyright. All rights reserved.

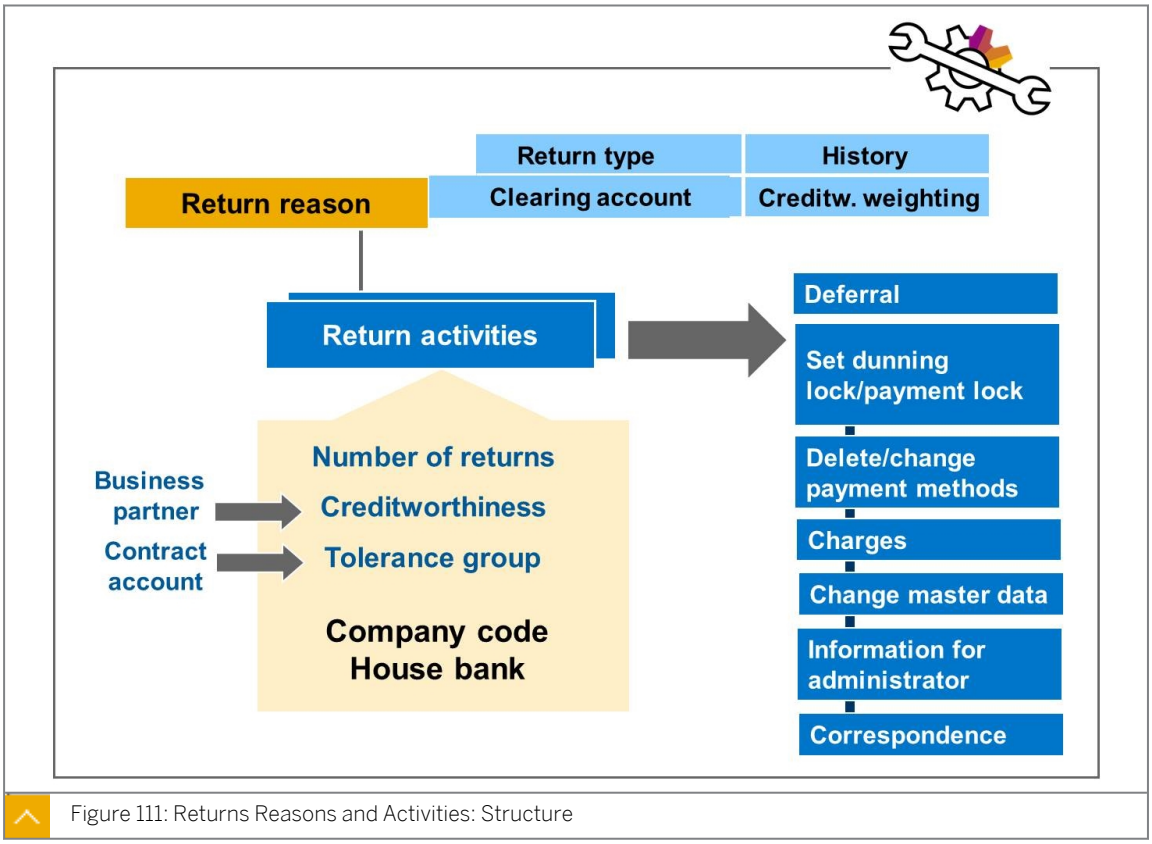


Figure 111: Returns Reasons and Activities: Structure

Number of returns

Hint:
When defining activities to take place based on the number of returns, the system takes the first return that takes place on an account to be return number 0, **not** return number 1.

Dunning blocks for accounts or items

In case of a return, the dunning block reason entered here is stored in the contract account master record (or in the item, if you are using an item dunning block) of the business partner in question.

The system determines the new due date for the receivable by taking the document date of the return and adding the number of deferral days (if an entry is made in the *deferral days* field).

Hint:
Dunning notices cannot be issued for an item or an account that uses a debit memo or automatic debit as the incoming payment method.

Other Activities enables you to use additional events (function modules). Event 295 (Returns: Process contract account) is the function module that is used in conjunction with these settings. For example, correspondence could be triggered.

© Copyright. All rights reserved.

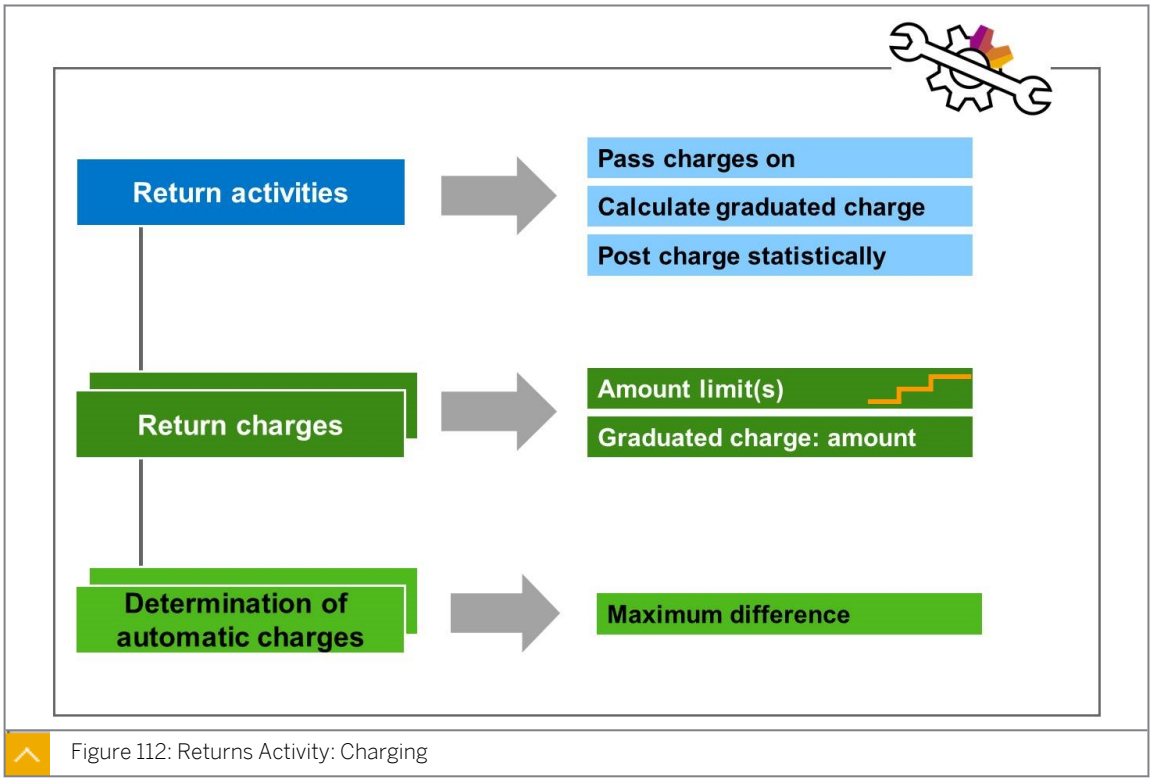


Figure 112: Returns Activity: Charging

You can configure how charges are processed so that all returns fees charged by the bank(s) are passed on to the business partner (“pass charges on”). If desired, you can charge the customer an extra fee for the processing of returns (“calculate graduated charge” flag). Charges can be posted statistically or nonstatistically (with update to the general ledger). Default main and subtransactions for these receivables (for both debit and credit postings) are assigned in Customizing (posting area 0111).

For lot charges to be calculated and debited to a customer’s account, the amount limit (total of the return items) must be reached for the currency in question. This makes it possible to scale charges.

The maximum difference between the amount returned by the house bank and the original payment is the amount tolerated for automatic posting of charges. Provided that the difference amount is smaller than the maximum difference amount, the system always considers it to be a posted charge. If you do not specify an amount, no difference will be tolerated and posting will only take place automatically when the return amount is the same as the original payment amount.

Note:
The standard function module FKK_SAMPLE_0270 is for determining differences in charges.

LESSON SUMMARY
You should now be able to:

- describe the definition and the posting of returns

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 7
Lesson 2

Processing

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the processing of returns.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the processing of returns

Processing

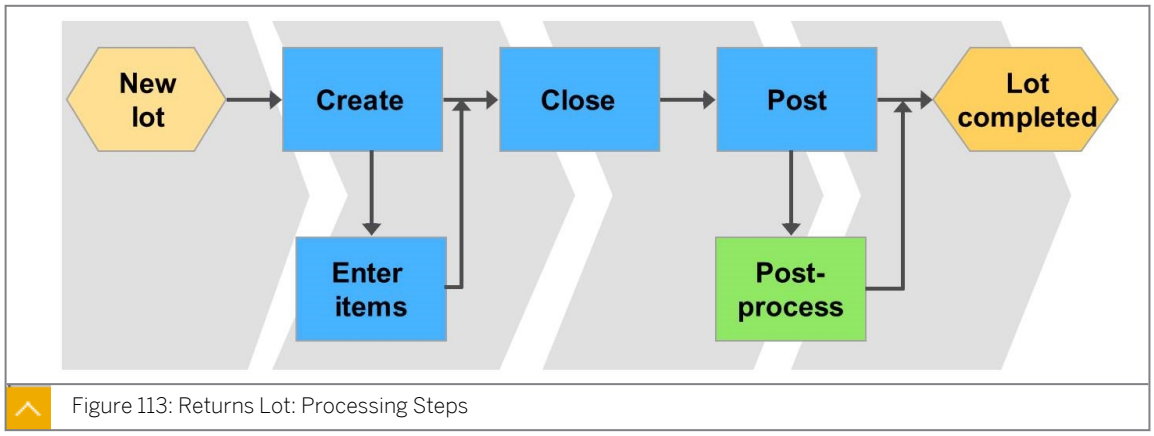


Figure 113: Returns Lot: Processing Steps

Processing steps:

1. Create: You can create a lot online or by means of a program (for example, returns lot for returns from a bank statement).
2. Change: You can add and delete items in a lot, provided that the lot has not been closed. Data for items that have already been entered can also be corrected.
3. Close: When you close a lot, you can no longer make any changes to the header data or the individual items. However, a lot can be opened again for processing. Postings can be initiated only once the lot has been closed.
4. Post: Once the lot has been closed, returns are posted using the processing step *Post*.
5. Postprocessing: is required if the returns could not be posted.

© Copyright. All rights reserved.

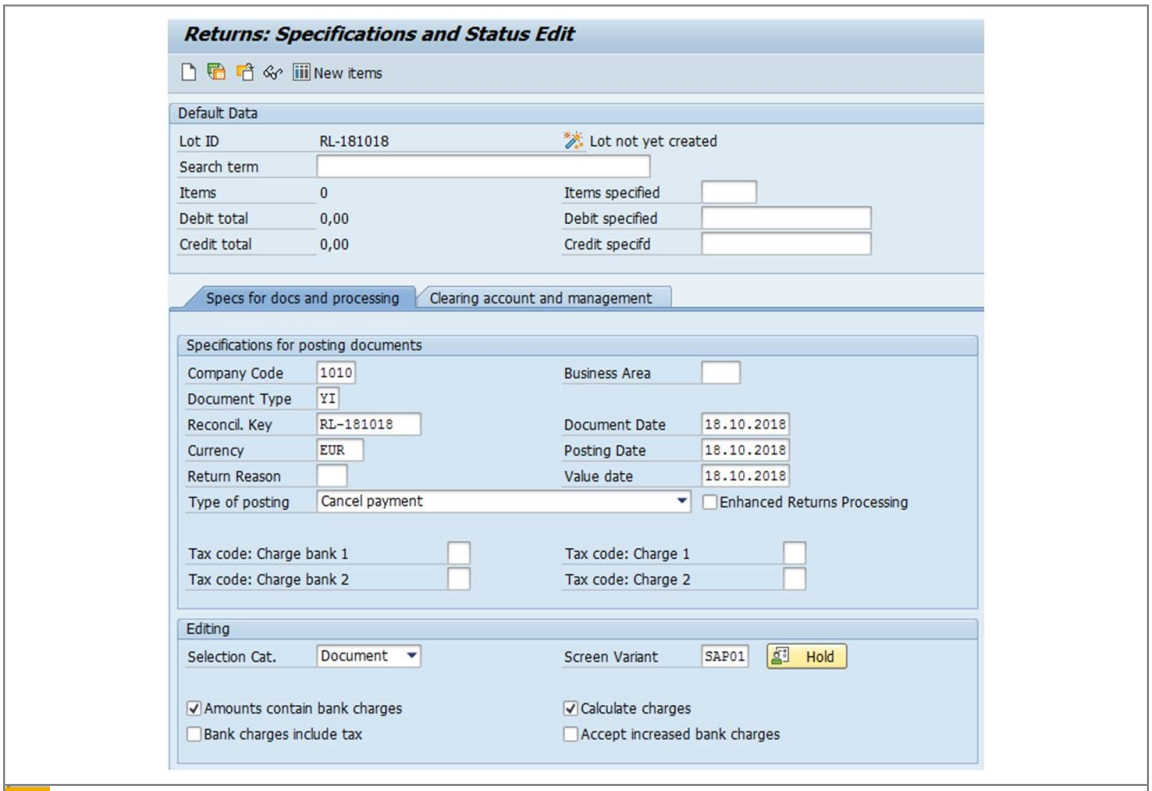


Figure 114: Returns Lot: Manual Creation

If the *Amount includes charges* indicator is set, all return amounts belonging to this return lot are evaluated by the system as gross amounts. The net amount is then calculated as follows: Net amount = Return amount - charge amount. If the indicator is not set, the return amounts are evaluated as net amounts (net amount = return amount).

If you set the *Charge includes tax* indicator, all charges relating to this returns lot (bank charges, charges passed on) are evaluated by the system as gross charges. The net charge is calculated as follows: Net charge = Charge amount - tax amount ELSE Net charge = Charge amount.

The selection categories available here are the same ones that are available when posting a payment lot. You can also specify your own selection categories and code the underlying function module to meet your own requirements.

It is possible to define a field status definition for the fields in the header of a return lot.

Delivered selection categories include document and check number. You can define your own selection categories using event 0255.

Previously, returns could not be posted to payments that contained down payments or postings on an account where these items had been cleared again. Using the indicator *enhanced return processing*, you can now reverse the clearing in these situations.

Within configuration, defaults can be set for document type, clearing reason, company code, screen variant, and selection category that will be used when posting a return lot.

If you do not enter a bank clearing account number in the returns lot item, the system will automatically use the bank clearing account defined in Customizing for the given return type (bank return, check return) when the return lot is posted. If you do not know the actual bank clearing account number, but you do know the house bank and account ID, you can enter both and the system will determine the appropriate clearing account.

© Copyright. All rights reserved.

If you set the *Line item* indicator, a separate line item is created in the general ledger transfer document for this line item. This item is not summarized with the other line items, even if the same account is assigned (often used in conjunction with a return lot for an outgoing checks account).

LESSON SUMMARY

You should now be able to:

- describe the processing of returns

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 8 Clearing Control

Lesson 1

Definition 141

Lesson 2

Configuration 145

UNIT OBJECTIVES

- describe the concept and the purpose of clearing control
- use the tools to configure clearing control

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Definition

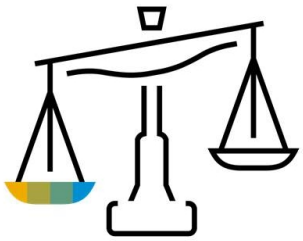
LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept and the purpose of clearing control.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept and the purpose of clearing control

Definition

Every open item (that is, every open receivable or payable) must be cleared at some point. There are different procedures that enable you to clear an item.



The most frequent are:

- **Externally initiated payment:**
  The customer clears their receivable by paying
- **Clearing:**
  Receivables and credit for a contract account or business partner are cleared against each other in account maintenance

Since these clearing processes are normally mass processes, the system must be able to automatically determine the payment usage or automatically create the clearing proposal based on predefined rules.

Figure 115: Clearing Control: Concept

Definition

- Clearing control is a tool used to configure a company's clearing strategy.
- Clearing control contains rules for an automatic clearing proposal and an automatic payment assignment.
- By splitting the clearing algorithm into several steps and combining some rules, clearing control allows you to configure clearing scenarios flexibly.

© Copyright. All rights reserved.

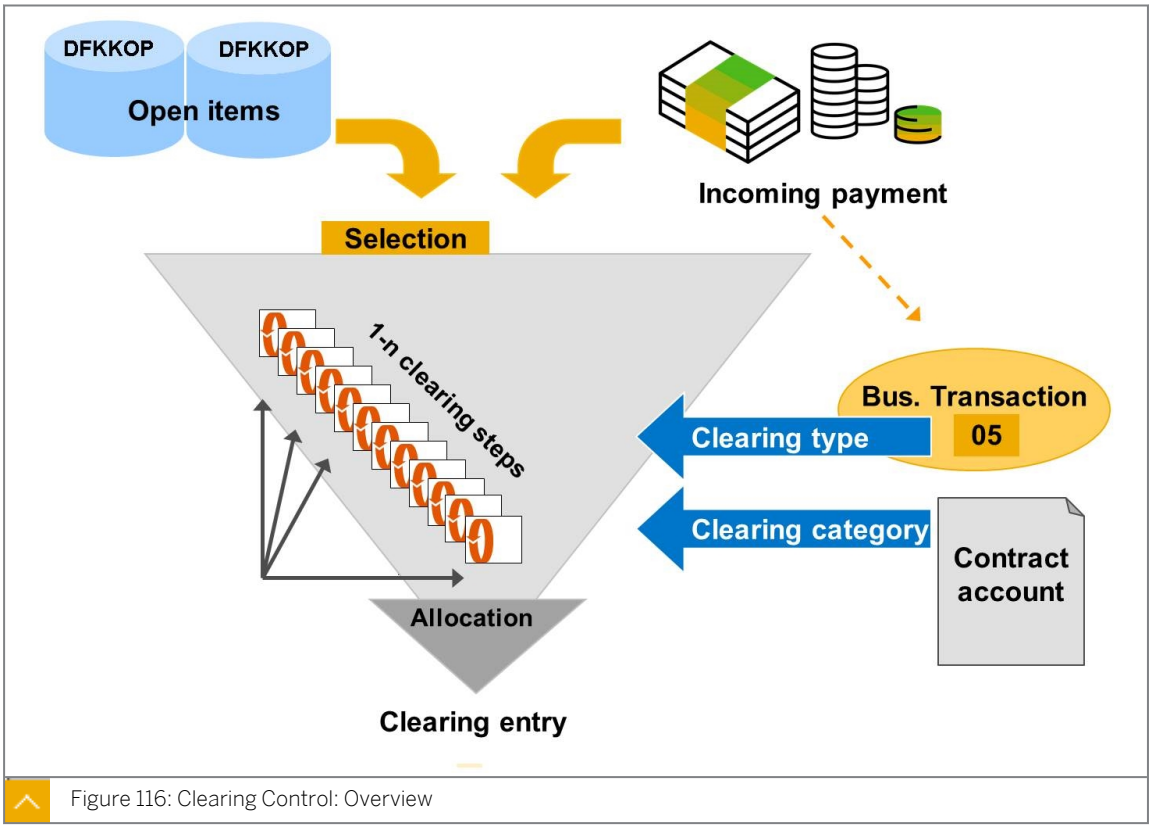


Figure 116: Clearing Control: Overview

Clearing variants are determined based on the clearing type of the underlying business process and, optionally, on the clearing category of the contract account in which clearing is to take place.

The clearing type represents the business transaction in which items are allocated or grouped for clearing postings:

- Example: payment lot (05), Post Manually (01), manual account maintenance (03)
- With the exception of a few scenarios, the clearing type is the same as the origin used in the clearing process (HERKF_KK).

Clearing types are structured according to their areas of use (for example, incoming payment, account maintenance).

Clearing categories are defined in the contract account. As a result, you can use the clearing category to allocate individual clearing rules to different customer groups, such as household, commercial, and industrial customers.

If no clearing category is assigned, the clearing variant defined for the clearing type will be taken.

© Copyright. All rights reserved.

Overview of clearing types used in the standard processes (FI-CA)

CIType	Name	Usage	Inc_Pymt
01	Post Manually	1	X
03	Manual Account Maintenance	2	
04	Automatic Account Maintenance	2	
05	Payment Lot	1	X
19	Cash Desk: Cash Payment	1	X
20	Cash Desk: Payment by Card	1	X
21	Cash Desk: Payment by Check	1	X
25	Check Lot	1	X
55	Credit Card Lot	1	X
20R	Distribute Payment to Installment Plan	3	X
20S	Distribute payment to collective bill	3	X
...	...	...	...

Use = FI-CA
1. Incoming payment
2 Account maintenance
3 Distribute clearing amount amongst dependent items
4 Payment run

Inc_Paym = Assignment of available amount, such as payment

Figure 117: Clearing Control: Clearing types

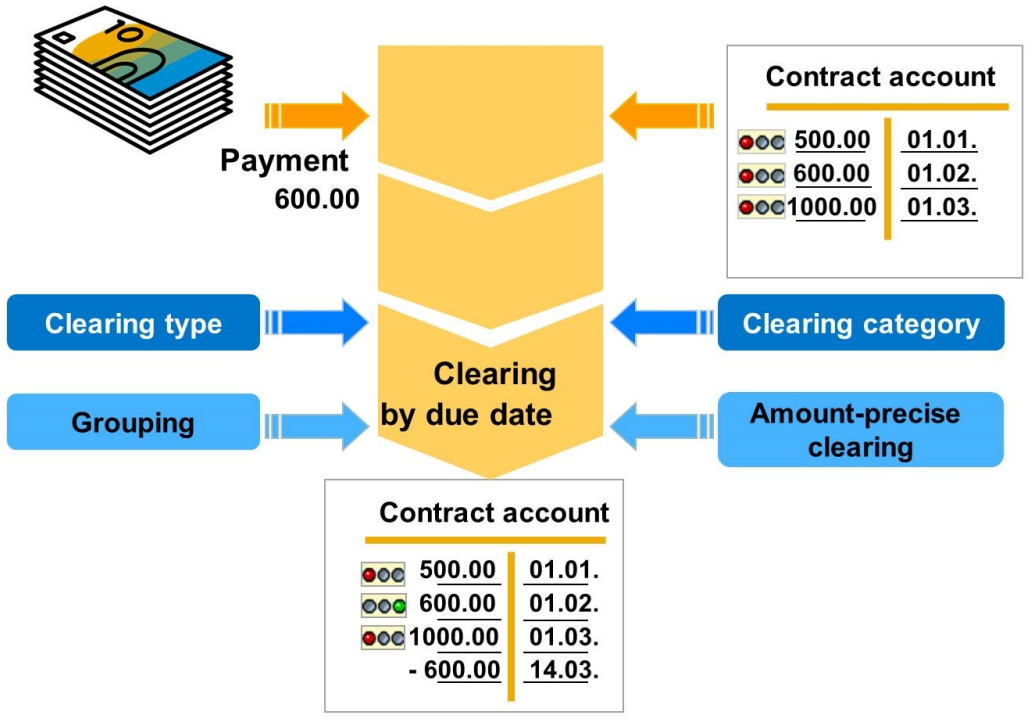


Figure 118: Example 1 - Payment

One of your business partners makes a payment to his/her contract account without specifying the payment use in more detail.

Payment must be assigned automatically according to a strategy set up in the system. The system checks the due date of an item or an item group. It also has to check whether the paid amount corresponds exactly to a receivable. Only then can the payment be assigned.

© Copyright. All rights reserved.

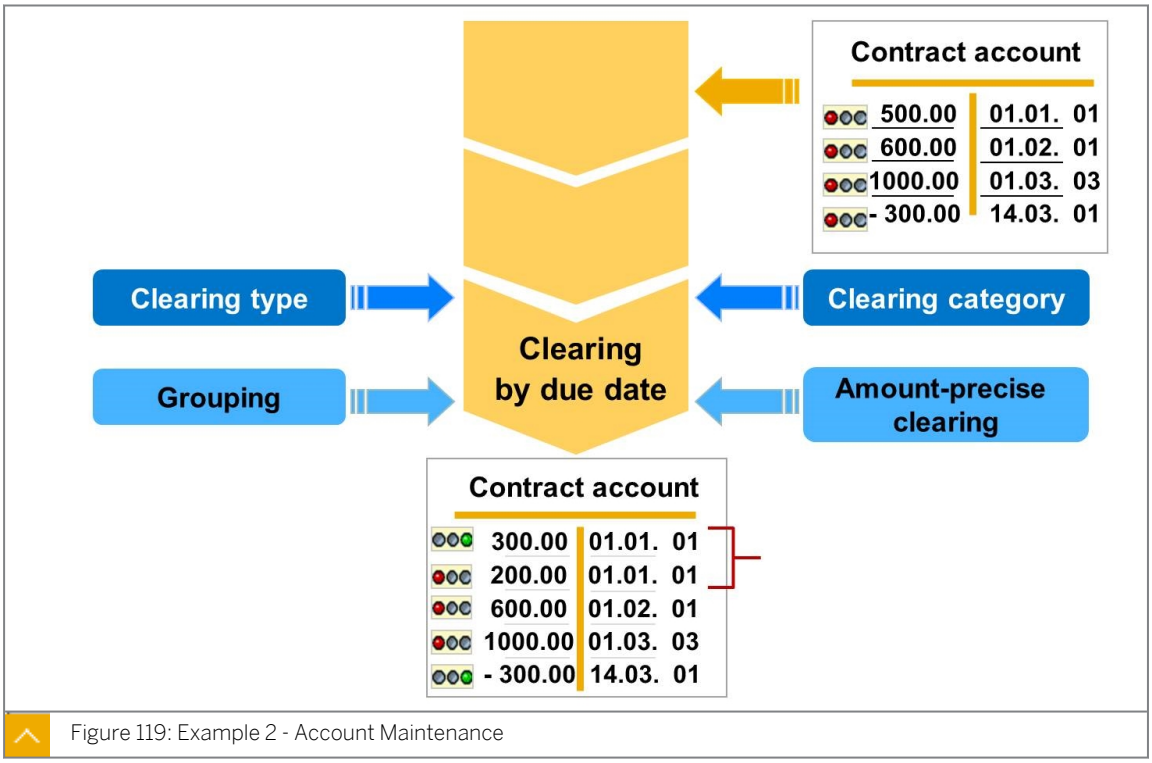


Figure 119: Example 2 - Account Maintenance

A contract account contains open receivables and credit that were posted with reference to a certain division. In account maintenance, the system has to clear items for the same division against each other, taking into consideration the due date.

The item of 500.00 with due date 01/01 and division 01 is the highest-priority item that has to be cleared against the credit of 300.00 and division 01. To do this, the item is split into a subitem of 300.00, which is cleared by the credit, and a subitem of 200.00, which remains open.

LESSON SUMMARY

You should now be able to:

- describe the concept and the purpose of clearing control

© Copyright. All rights reserved.

Configuration

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to use the tools to configure clearing control.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- use the tools to configure clearing control

Clearing Strategy Configuration 1

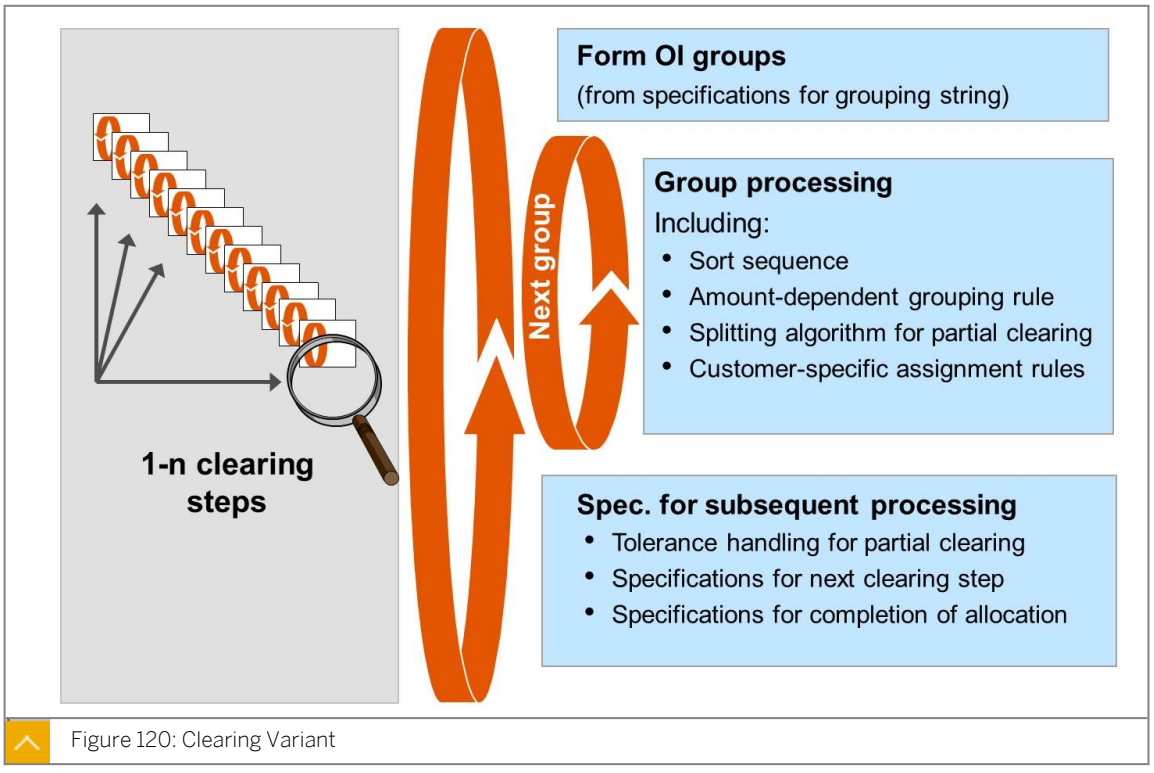


Figure 120: Clearing Variant

A clearing variant contains several steps. The individual steps control the selection, grouping, sorting, and amount-dependent assignment of the open items for clearing. The steps are executed in number sequence, although you can also call them up directly according to each clearing rule.

The individual clearing steps inherit the clearing proposal and the remaining open amount from the previous steps.

Items that are completely cleared in a clearing step are not included in subsequent steps.

© Copyright. All rights reserved.

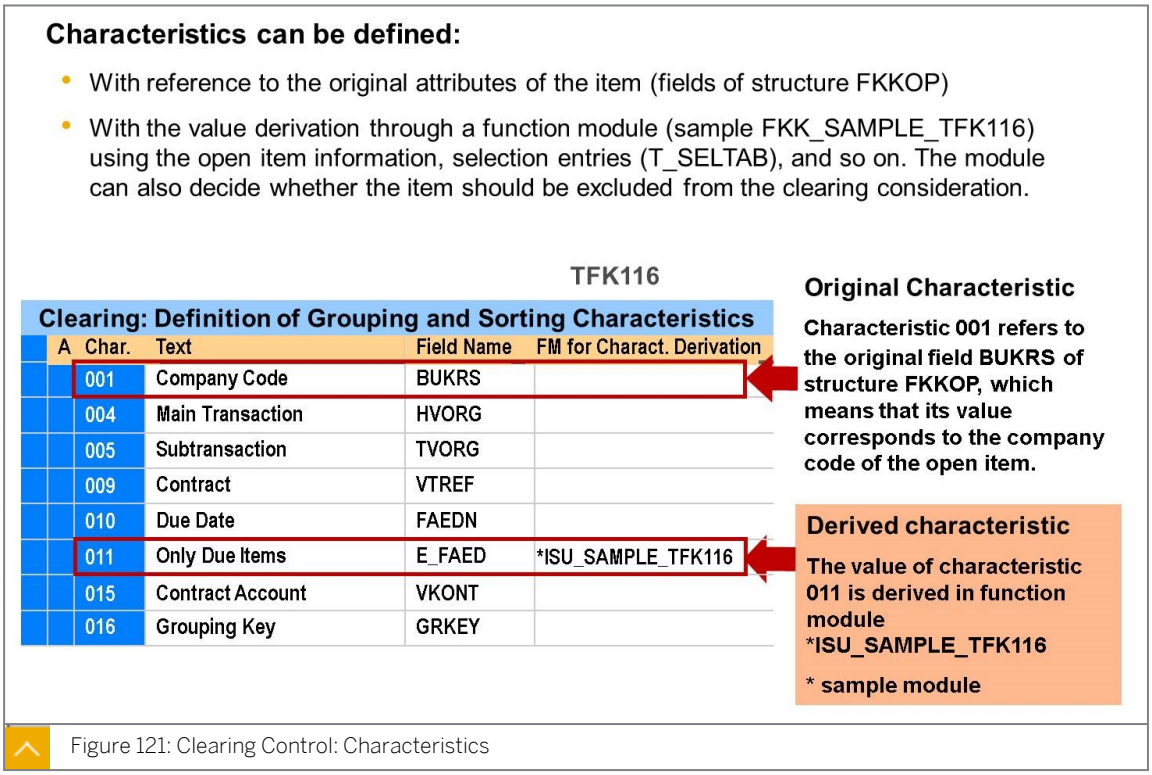


Figure 121: Clearing Control: Characteristics

Characteristics usually describe a specific feature of an open item (for example, whether the item is a payment on account or due) or the occurrence of a certain event (for example, a document number is specified on payment).

Characteristics are used to:

- Group open items. Open items that have identical characteristic values are grouped into one clearing step and processed as one unit (for example, all items that belong to the same company code).
- Specify (filter) the items that are to be processed in a clearing step (for example, only those due or only those in company code 0001).
- Define (switch) the condition that states whether a clearing step should be executed at all (for example, only carry out the step if a document number is specified on payment).
- Sort open items. Sorting determines the sequence of the groups themselves and the sequence of the assignments within the group.

© Copyright. All rights reserved.

Clearing Strategy Configuration 2

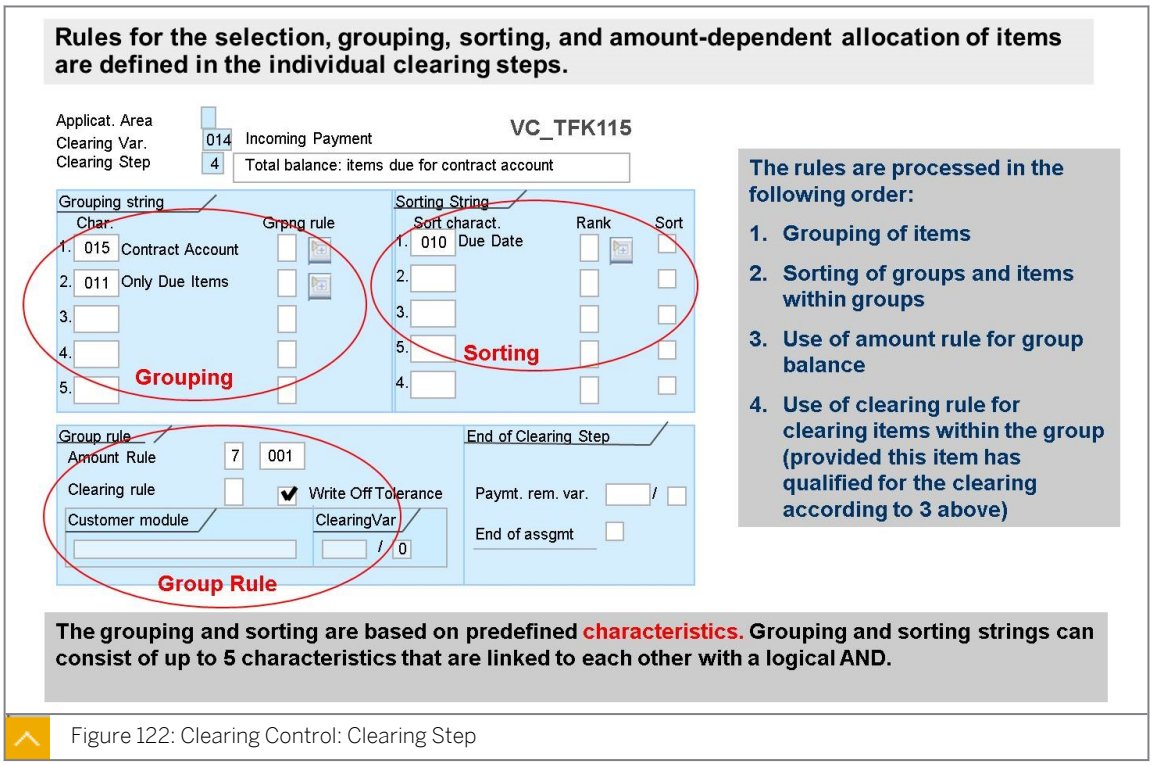


Figure 122: Clearing Control: Clearing Step

Up to five grouping characteristics can be defined in a grouping string. The characteristics are connected with a logical AND.

You can also define a grouping rule for each grouping characteristic. Depending on each rule, you can define an alternative characteristic value for the individual values of a grouping characteristic. Examples: Combine two attributes of a characteristic into one group (company code 0001 = company code 0002), exclude certain characteristic values (from the clearing analysis in the current clearing step or in general), or restrict the clearing analysis to certain values (such as company code 0001 only).

The sorting string controls the processing sequence of individual item groups, as well as the sequence in which the open items are cleared within a group.

From a technical point of view, the groups are sorted according to the smallest value in their sorting string. For example, if items are grouped according to company code and sorted according to due date, the group (company code) with the oldest due date is placed first in the sequence.

If no partial clearing proposal has been made, you may wish to stop the clearing program (enter value **1** in the field for *end of assignment*).

© Copyright. All rights reserved.

Example: Characteristic 001 "Company Code".

The characteristic refers to the original field FKKOP-BUKRS. As a result, the value for this characteristic is transferred directly from the open item field BUKRS.

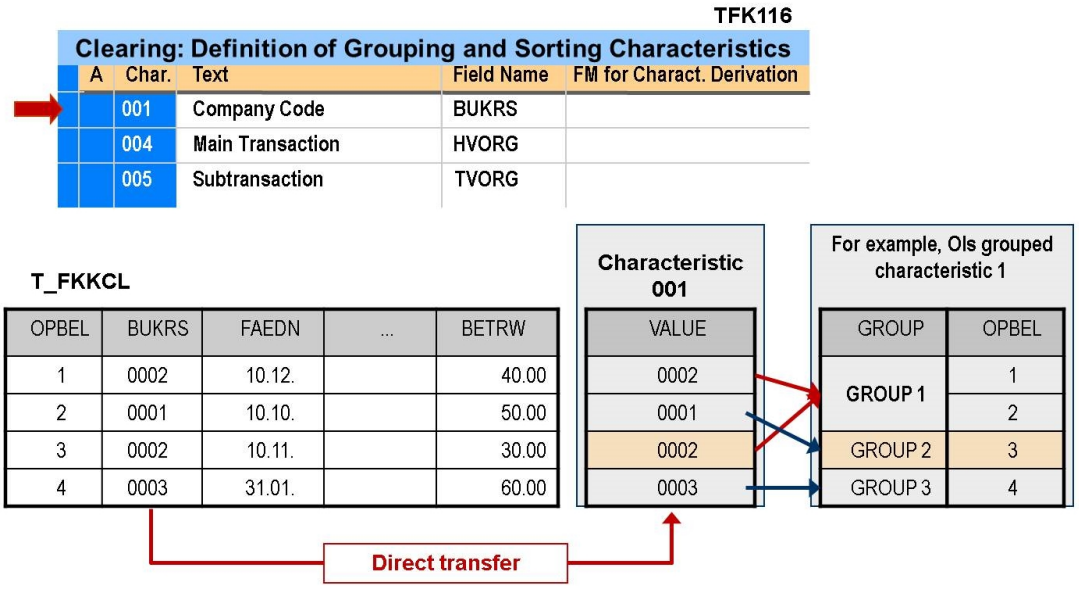


Figure 123: Clearing Control: Grouping Characteristics

Grouping characteristics can be attributes in table FKKOP or can be specifically derived in a function module (use the customer name space).

Example: Characteristic 010 "Due Date".

The characteristic refers to the original field FKKOP- FAEDN. As a result, the value for this characteristic is transferred directly from the open item field FAEDN.

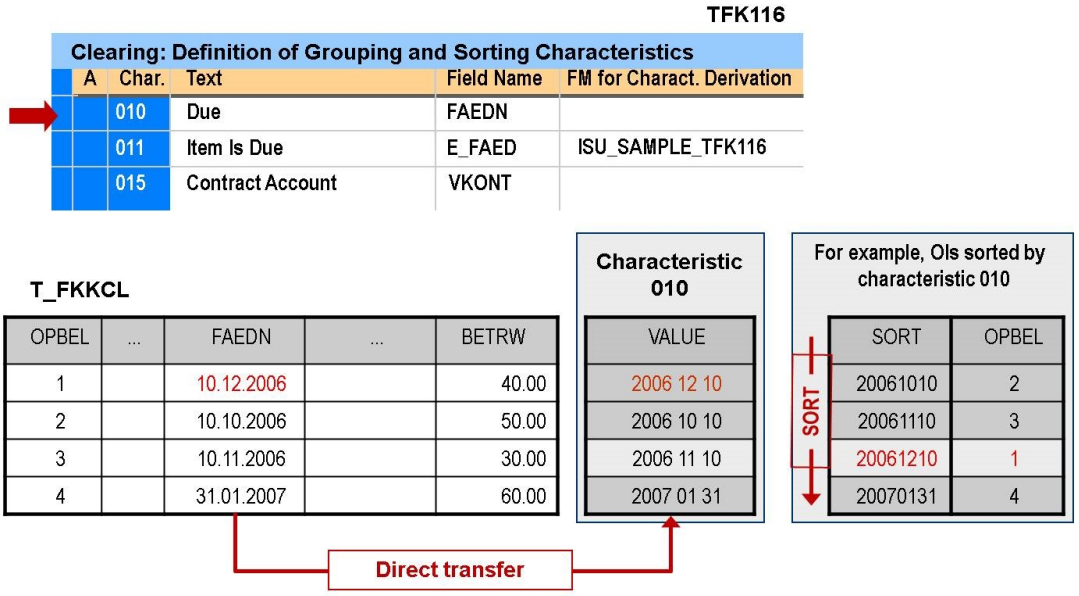


Figure 124: Clearing Control: Sorting Characteristics

© Copyright. All rights reserved.

Sorting is generally used when a company is unsure how a payer will group payments and, therefore, uses custom priorities to clear items. For example, the company may wish to clear open items of a certain revenue type before any additional charges and interest.

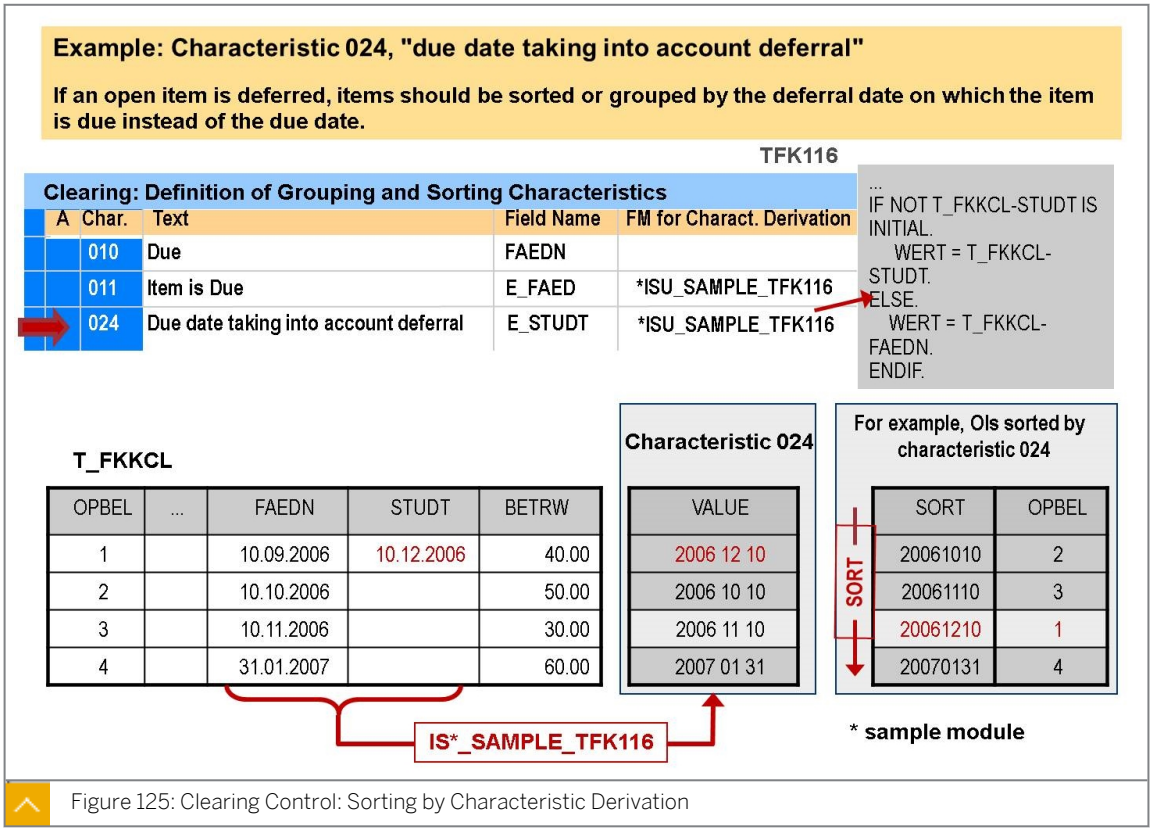


Figure 125: Clearing Control: Sorting by Characteristic Derivation

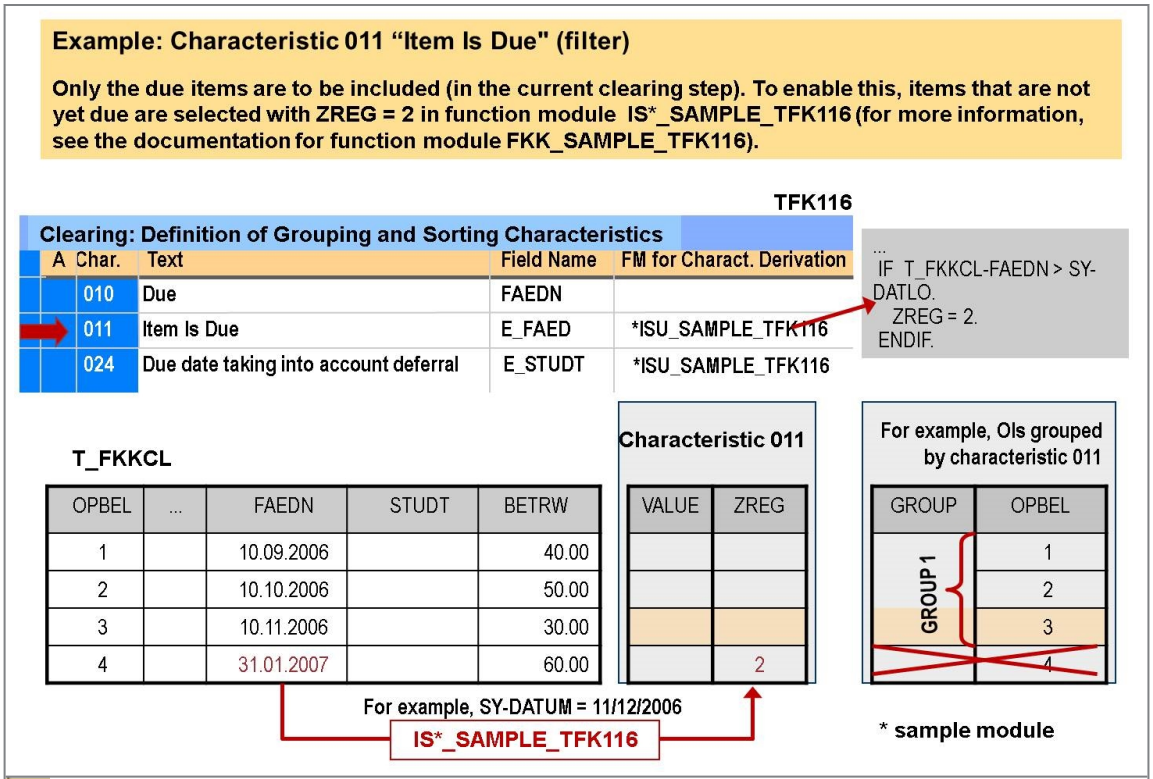


Figure 126: Clearing Control: Characteristic Derivation

© Copyright. All rights reserved.

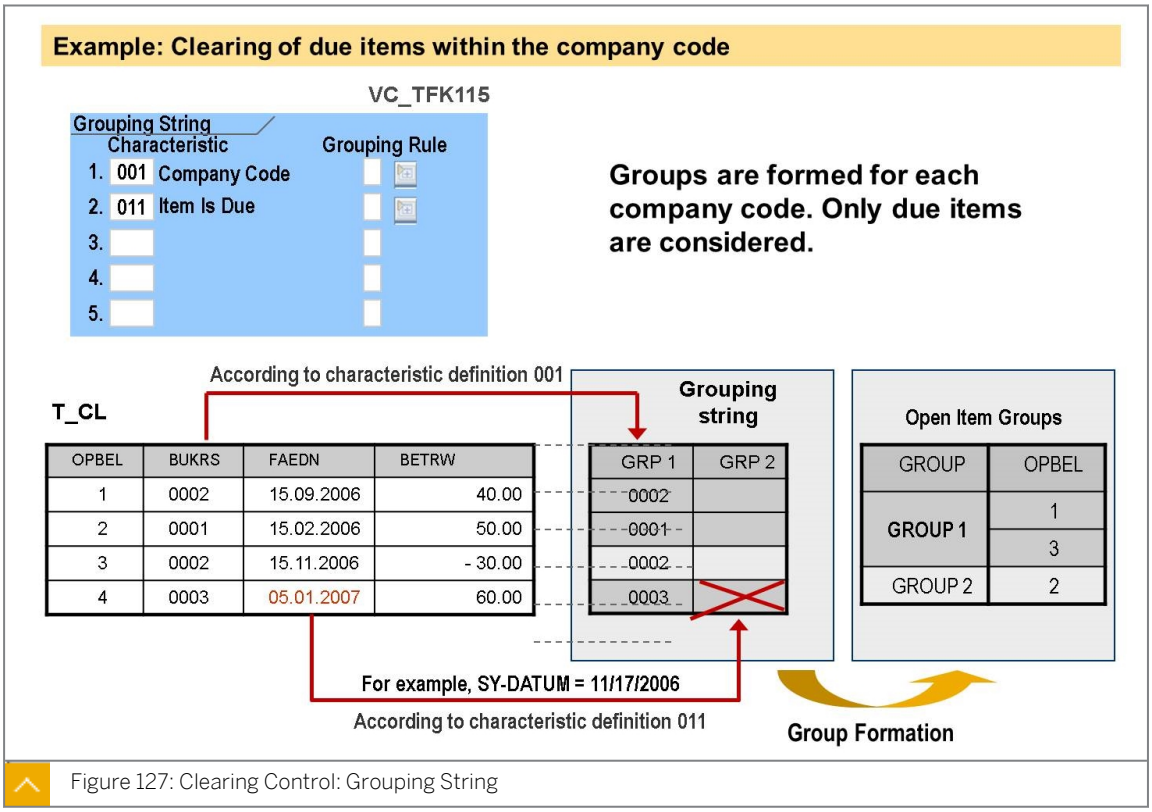


Figure 127: Clearing Control: Grouping String

.

.

.

.

© Copyright. All rights reserved.

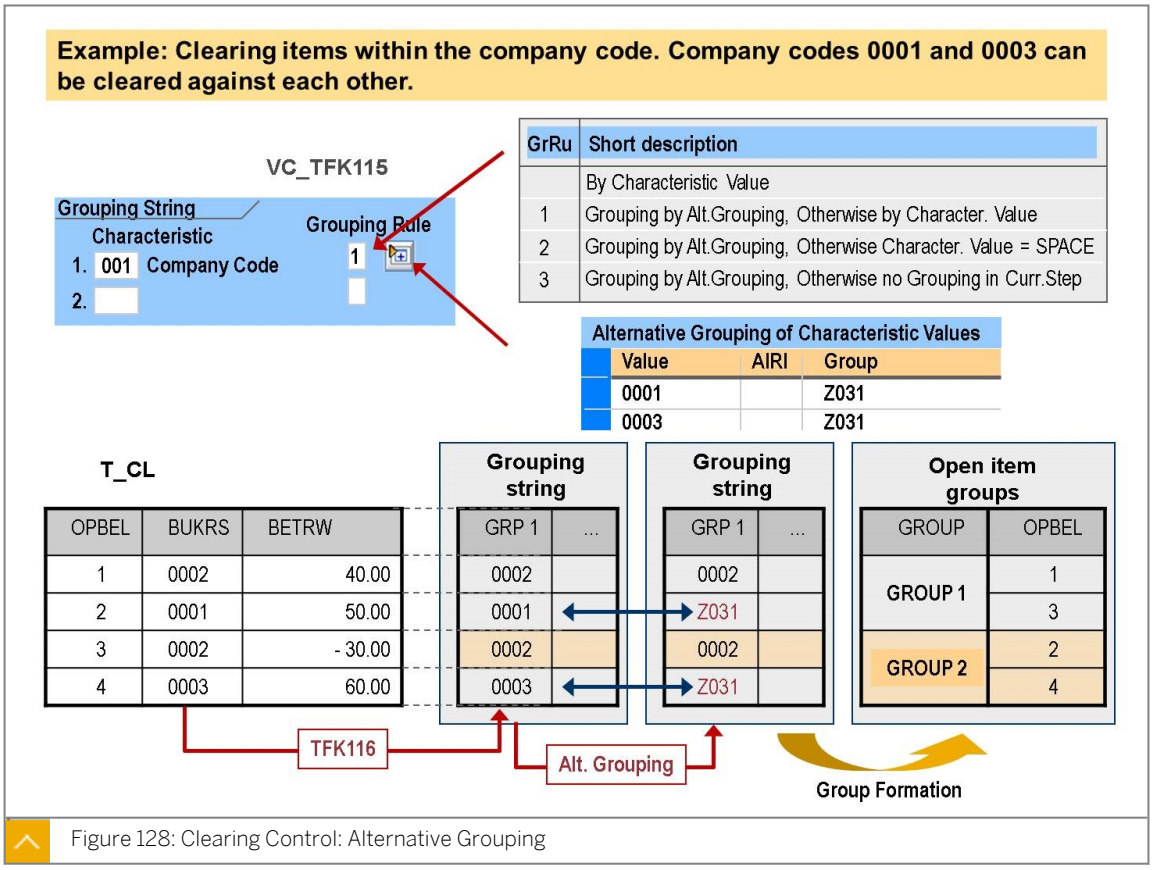


Figure 128: Clearing Control: Alternative Grouping

You can use the rules to influence the grouping string and, therefore, the grouping. The following grouping rules are available:

- “”– Group according to the characteristic value.
- “1”– Group definition (use if you want to combine several groups into a single group). Any characteristic values that cannot be grouped can be allocated to a separate group based on the characteristic value. For example, you are grouping by product group and there are three possible values. Product groups 1 and 2 are grouped using an alternative grouping and form one group. Product group 3 forms the second grouping.
- ‘“2” – Group definition similar to “1,” except that any non-specified values for the characteristic all contain the value SPACE and are therefore grouped into one additional group. This is used to exclude certain groups.
- “3” – Group definition where any values for the characteristic not specified in the grouping rule will not be considered for payment.

To enter an alternative grouping (not available with rule ‘ ’), choose *Alternative Grouping* on the right of the grouping rule after you have confirmed the rule with *Enter*.

© Copyright. All rights reserved.

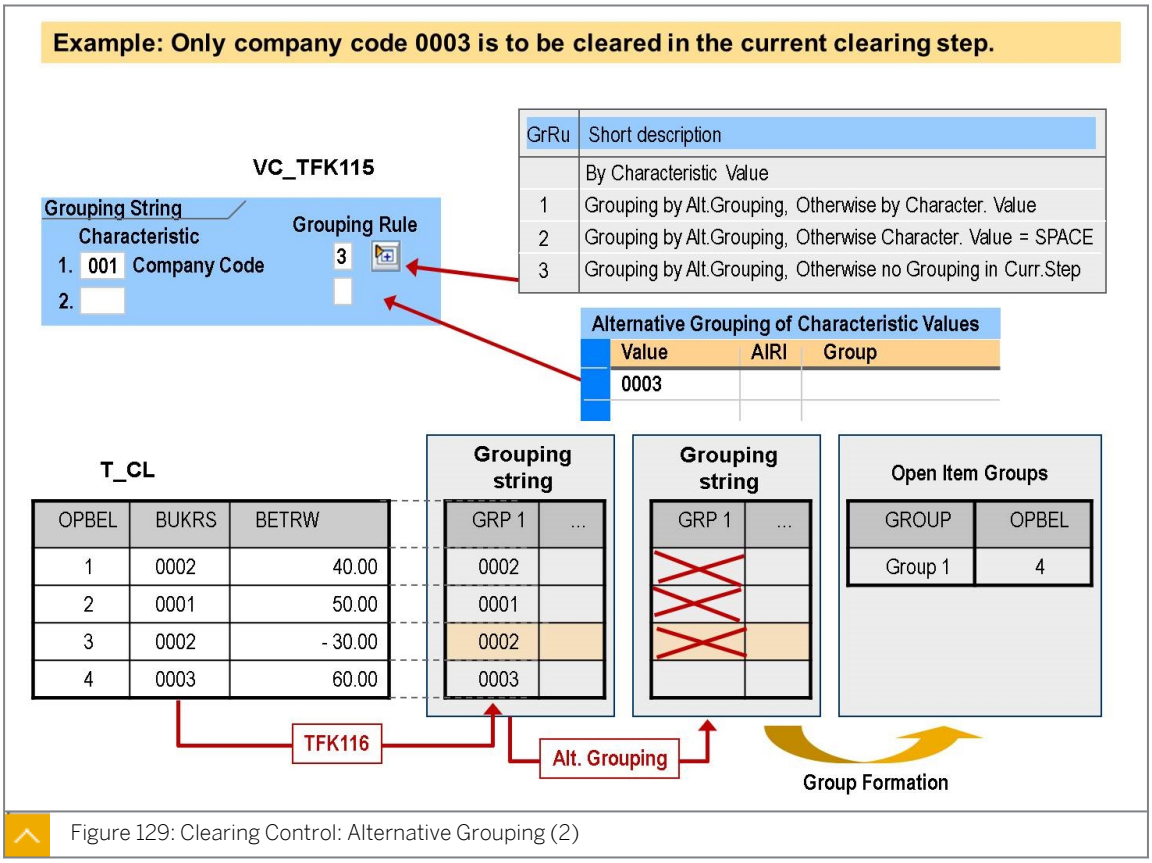


Figure 129: Clearing Control: Alternative Grouping (2)

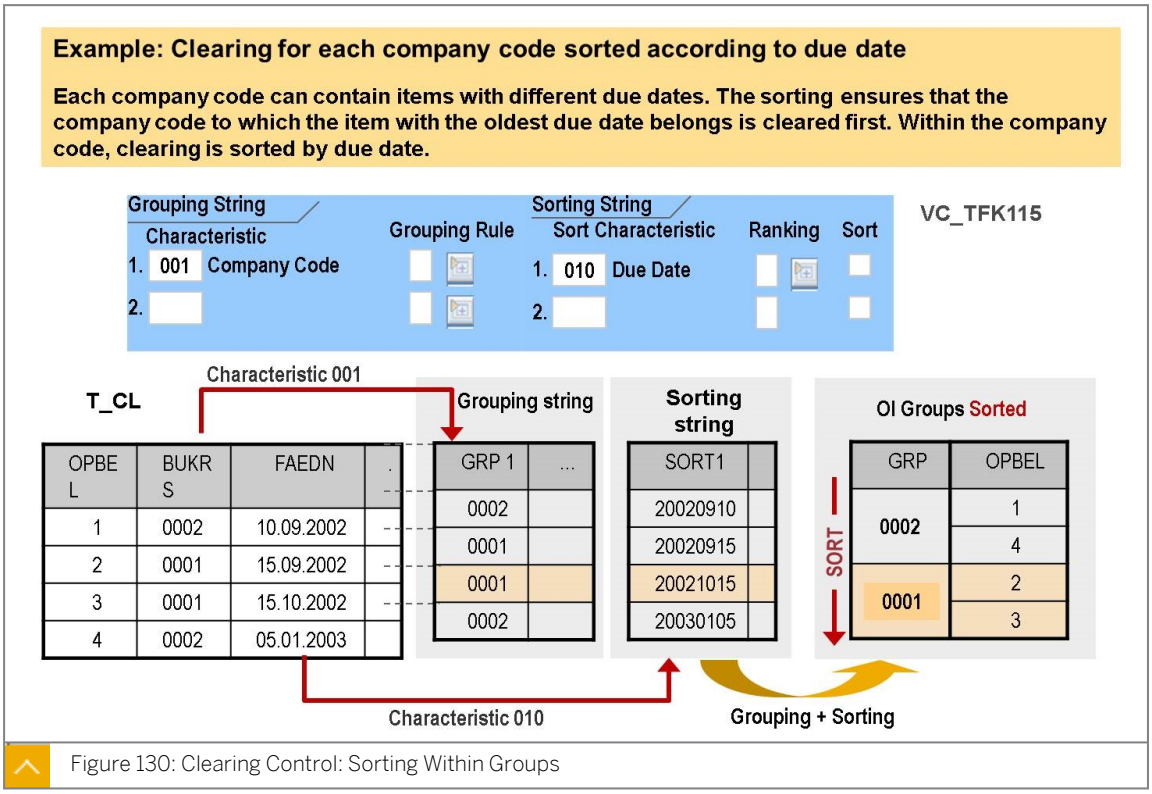


Figure 130: Clearing Control: Sorting Within Groups

In some cases, it is useful to group and sort at the same time, for example, if two or more groups have the same amount due but one group is to be processed before the other(s). In this case, sort the groups and not the items.

© Copyright. All rights reserved.

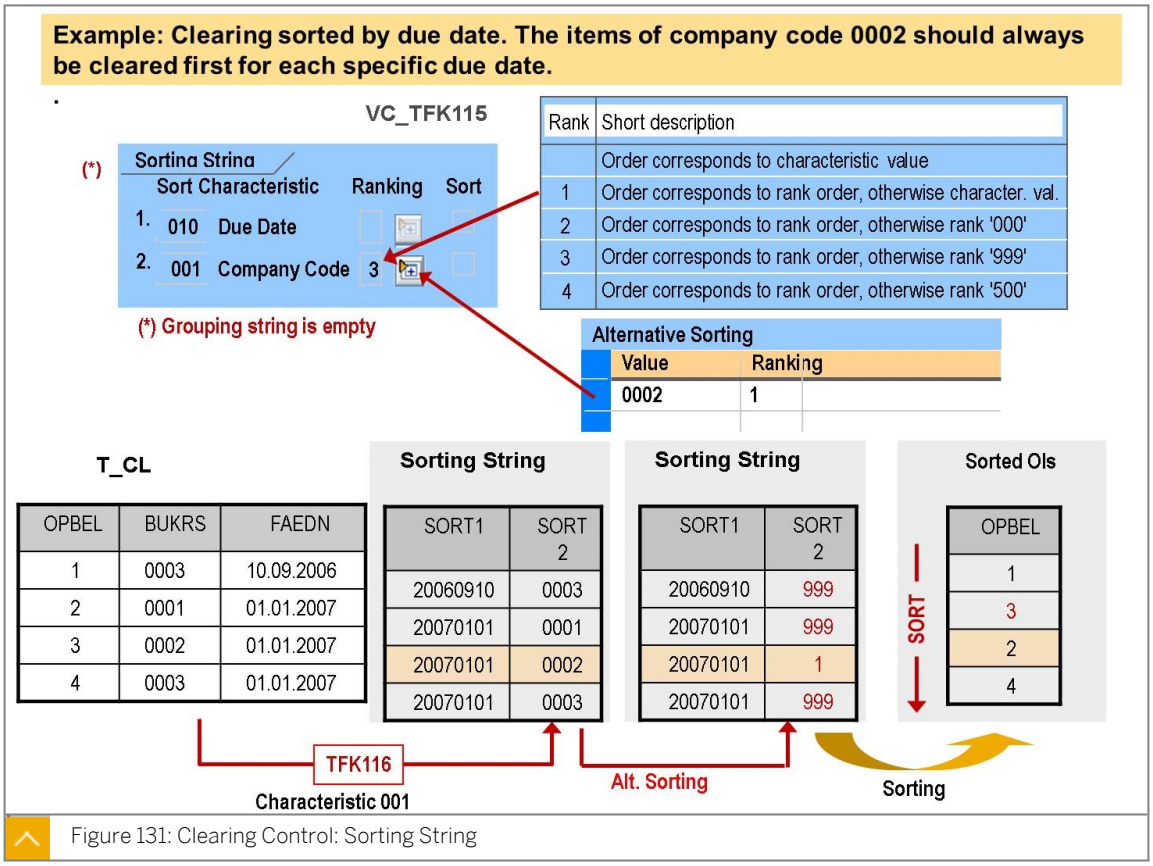


Figure 131: Clearing Control: Sorting String

For most characteristics, sorting them according to their values does not lead to the desired results. For example, if you want to clear charges first (STAKZ = G), you cannot achieve this simply by sorting the characteristic values by statistics key. To get the result you want, you can define a ranking order rule for each characteristic. Depending on this rule, you can sort a specific characteristic value so that it appears at the start or the end of the table.

The following four values are delivered:

- “” – Sort by the value of the characteristic (for example, due date).
- “1” – Sort by value ranking first and then by the value of the characteristic. Not all values must be specified explicitly. For example, if there are four items with the values 1, 2, 3, and 4, priority 1 is assigned to value 4 and the remaining values are not ranked. The result of sorting will then be that values 1 and 4 (same rank) are allocated first, followed by 2, and then 3.
- “2” – Unranked characteristic values have top priority and the others are handled in ranked order (1, 2, 3, 4).
- “3” – Unranked characteristic values have the lowest priority (after all other ranked values) (4, 1, 2, 3).

To enter an alternative sorting (not available with rule “”), choose *Alternative Sorting* to the right of the grouping rule after you have confirmed the rule with *Enter*.

© Copyright. All rights reserved.

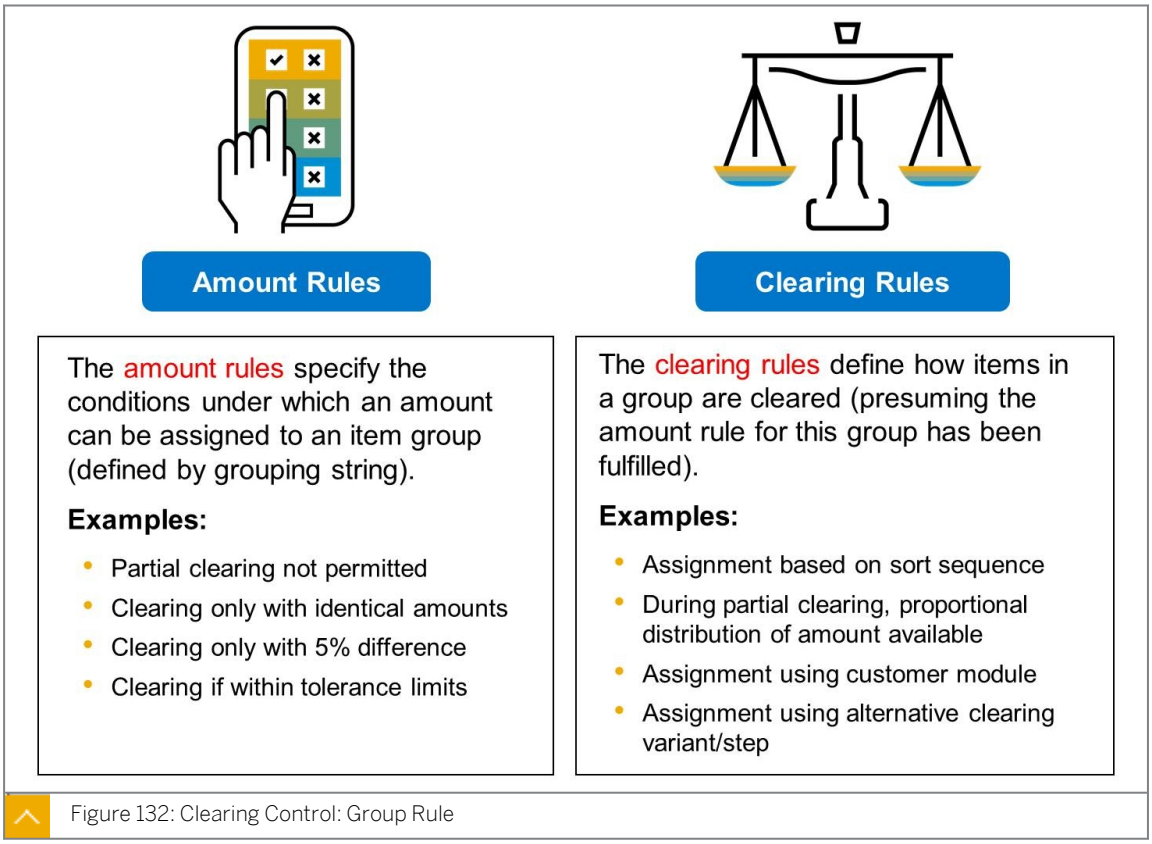


Figure 132: Clearing Control: Group Rule

Amount rules ‘ ‘, 0, 1, 2, 3, and 4 are used most often:

- “‘ ‘” – No amount restriction (only use when not using a ‘grouping’).
- “0” – Clear only when amounts are equal.
- “1” – No partial clearing allowed, but overpayment is permitted.
- “2” – No overpayment allowed, but partial clearing is permitted.
- “3” – Maximum amount difference according to tolerance group. Post tolerance.
- “4” – Maximum amount difference according to amount check group. Partial clearing takes place (difference is not written off when using a tolerance group). If the difference between the payment amount and open item amount is greater than this amount, the payment will be posted on account. Amounts specified here are not “added” to tolerance group amounts.
- For other rules, see the online documentation.

With clearing rule “1,” the system makes proportional payments. For example, a payment of 90 is made to two open items with 100 and 50: (100/150)*90. This means that a payment of 60 is made to the item with 100, and a payment of 30 is made to the item with 50.

© Copyright. All rights reserved.

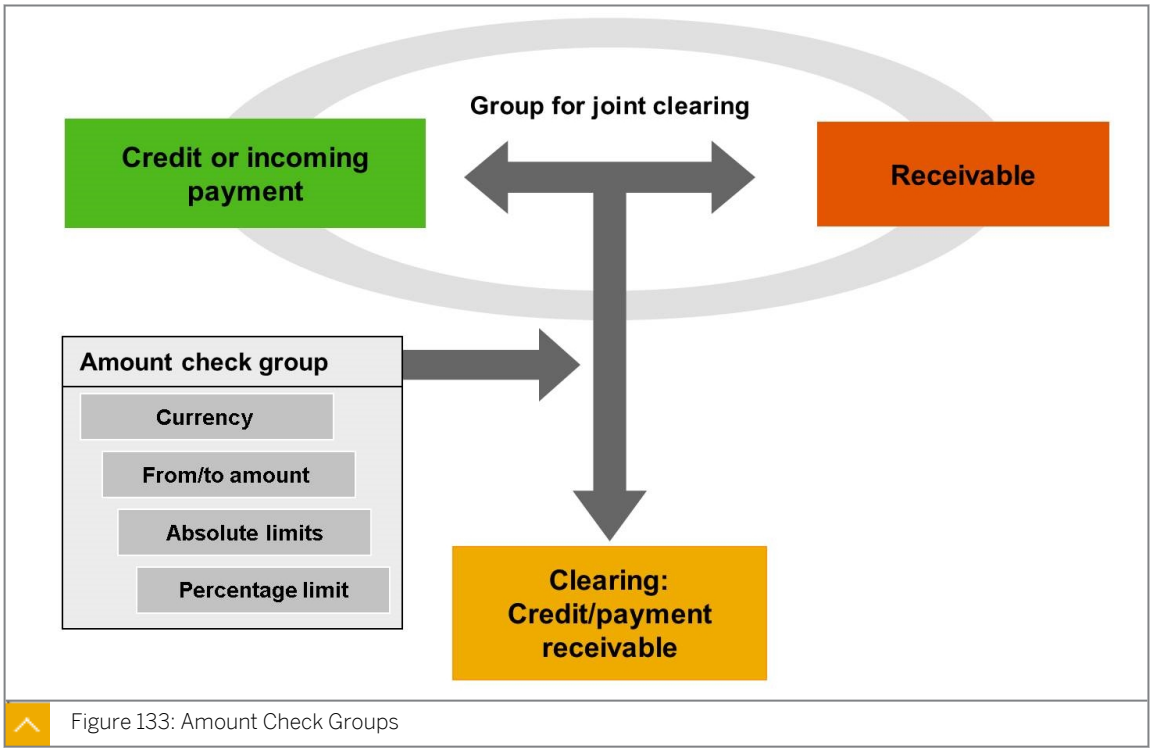


Figure 133: Amount Check Groups

Amount check groups are used in a clearing step to define amount-dependent clearing conditions. The check groups are used within a group of open items in the following way:

- In the case of incoming payments, the difference between the available payment amount and the total balance of open items in a group that have already been posted undergoes an amount check.
- For all other business transactions, the difference between the total credit items and the total receivable items undergoes a standard check.

Amount check groups allow you to specify differentiated amount variances within which a clearing is permitted.

You must make sure that the amount group does not have the same functionality as the tolerance group defined in the contract account. It only has to specify whether a clearing takes place or not. The amount differences that were calculated from the payment and item allocation, in accordance with the information in the amount check group, are not implicitly written off. Instead, they can be written off, cleared, or posted on account depending on the additional specifications in the clearing step.

The amount check group is defined according to currency.

© Copyright. All rights reserved.

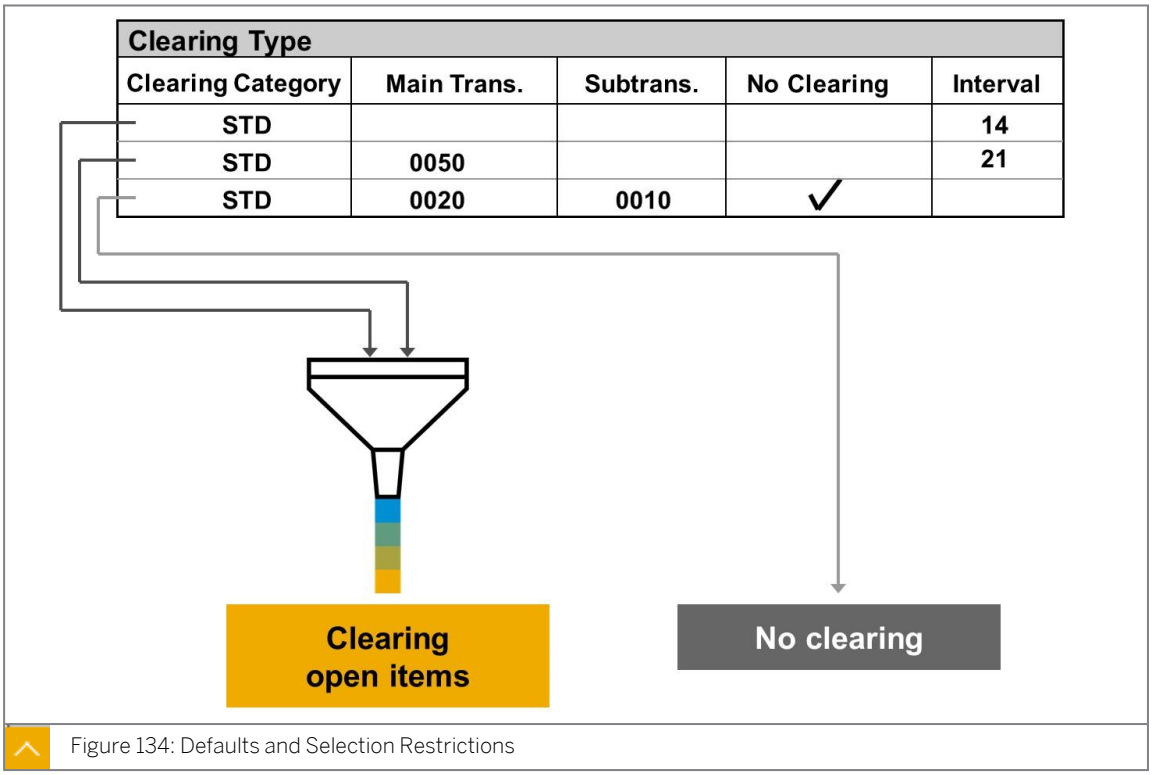


Figure 134: Defaults and Selection Restrictions

In the selection criteria, you can specify, for every clearing type, which item is to be included in the clearing analysis based on transaction and due date. You can use the clearing category, main transactions, and sub-transactions to specify whether an item is to be included and, if so, within which due date interval.

You can determine the selection criteria at the following levels:

1. Clearing category, main transaction, sub-transaction
2. Clearing category, main transaction, *not specified*
3. Clearing category, not specified, *not specified*
4. *Not specified*

The restrictions are interpreted in up to four steps: starting with the specified clearing category, main transaction, sub-transaction and finishing with an unspecified entry. Normally, the level found first is used. If the system cannot determine any selection restrictions for open items, the items are considered to be “unfiltered” in the clearing analysis.

The selection criteria can be used to exclude items with specific main transactions and sub-transactions or to define how many days into the future the system should look for open items for possible clearing (*Grace Days* column). If you select the *NC* indicator, the items of the corresponding main transaction and sub-transaction are excluded from the clearing analysis. You can also exclude items from clearing in the corresponding clearing step.

Statistical items can be written off automatically in several ways when posting a payment to an account with statistical postings on it.

In the *Control data: payment on account* folder you can define rules for posting on account. For example, it could be set that any amount over X will be posted directly to the clarification (interim) account and not posted on account (payment lot status would be *not posted*).

Program enhancements allow for the use of two function modules: one for the selection of open items, and the other for how statistical items should be written off.

© Copyright. All rights reserved.

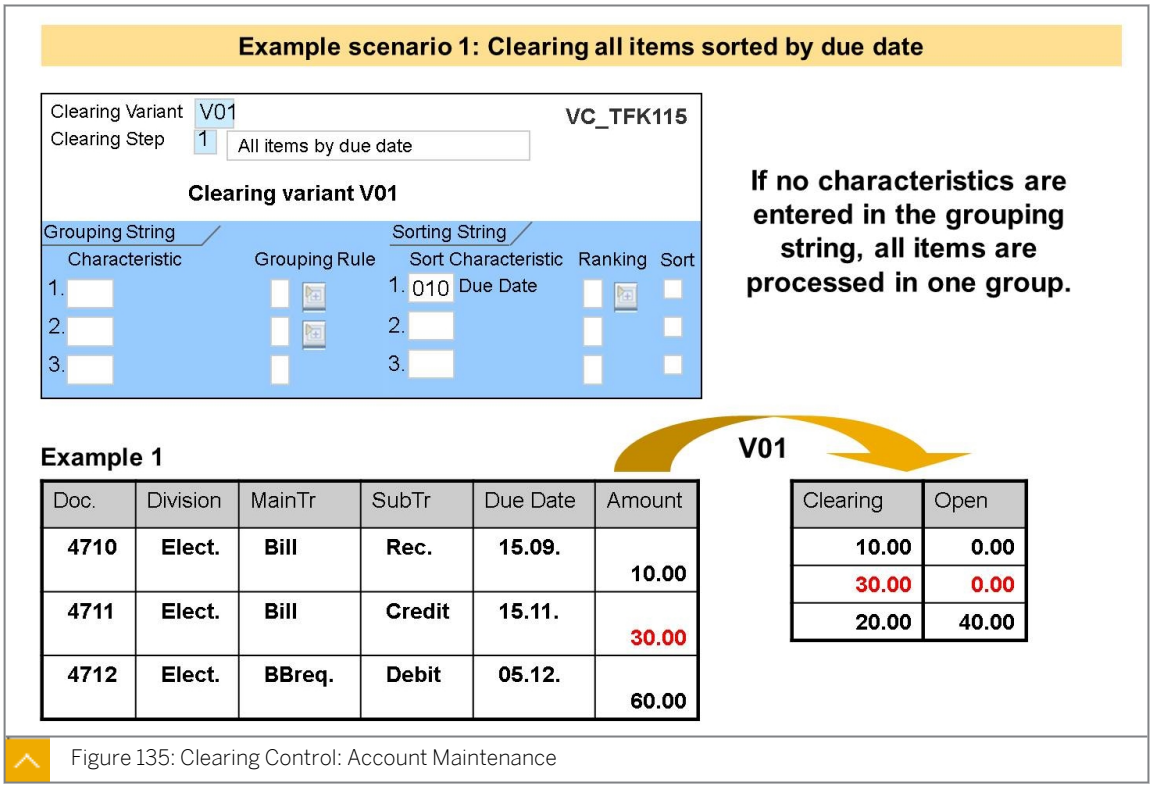


Figure 135: Clearing Control: Account Maintenance

Example: Since no characteristics have been entered, the open items of documents 4710, 4711, and 4712 form a group.

Within the group, the items are sorted according their due dates.

The invoice credit of 30 is calculated step by step as follows:

- First, the invoice request of 10.00 from September 15 is cleared.
- The remaining credit of 20.00 is cleared using the budget billing request of December 5. The budget billing request remains open at 40.00.

© Copyright. All rights reserved.

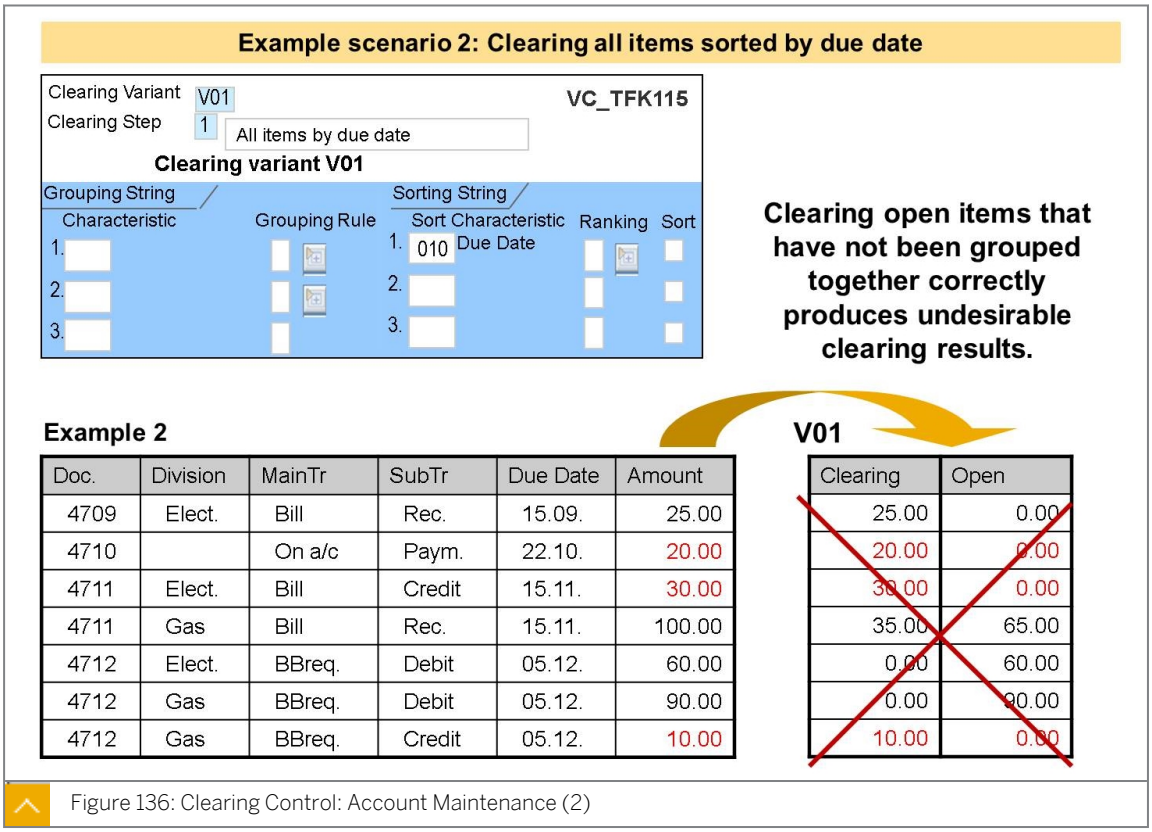


Figure 136: Clearing Control: Account Maintenance (2)

Example: Since no characteristics have been entered, the open items of documents 4709, 4710, 4711, and 4712 form a group.

Within the group, the items are sorted according their due dates.

The clearing algorithm produces the following processing steps:

- The payment on account of 20.00 is used to clear the invoice request of September 15.
- This is cleared completely using the invoice credit from November 15.
- The remaining credit of 25.00 means that the invoice request for the gas division (dated November 15) is partially cleared.
- The budget billing repayment request (10.00) is cleared against the remaining invoice request for the gas division dated November 15. The outstanding receivable from invoice 4711 is 65.00.

© Copyright. All rights reserved.

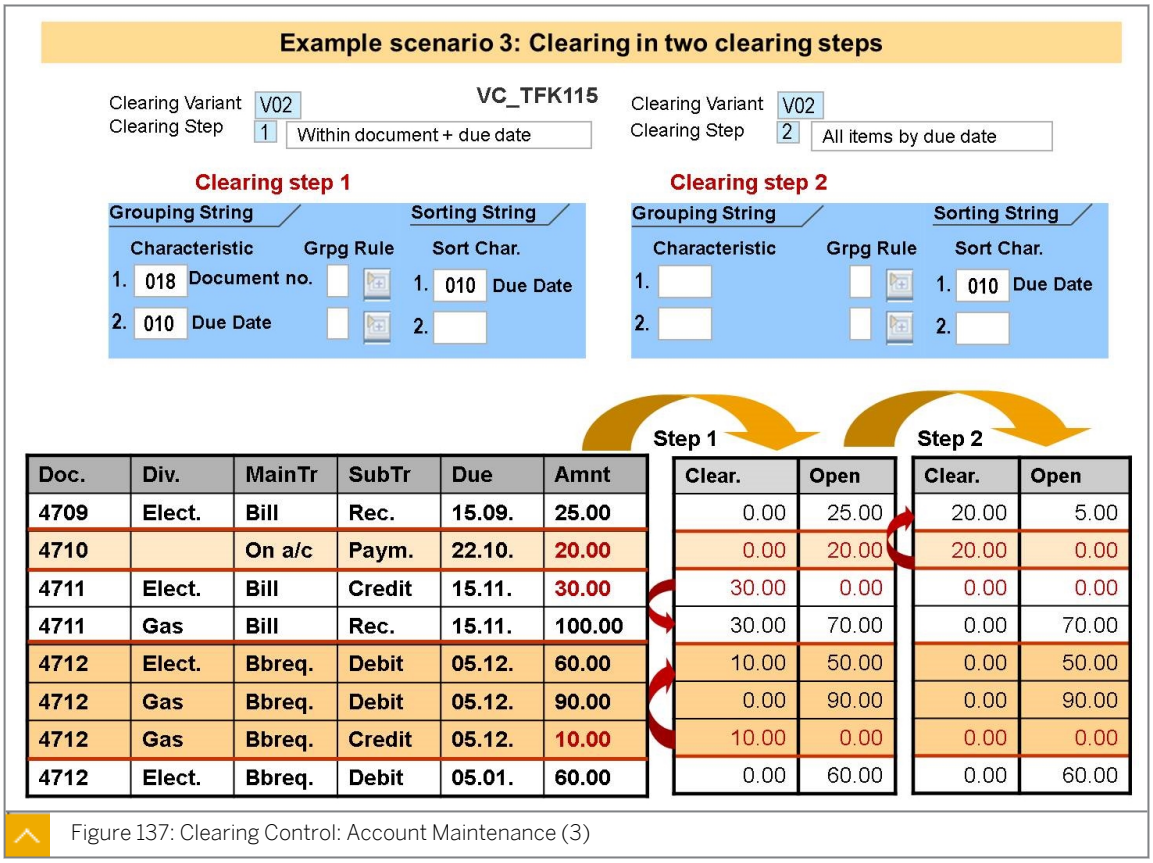


Figure 137: Clearing Control: Account Maintenance (3)

Example: Clearing step 1 leads to the following processing steps:

Document number and due date are specified as characteristics with the result that the following groups are created:

- **Group 1**: Open item document 4709
- **Group 3**: Open item document 4711
- **Group 2**: Open item document 4710
- **Group 4**: Open item document 4712 with due date December 5
- **Group 5**: Open item document 4712 with due date January 5

The following clearing steps take place:

- No clearing takes place in groups 1, 2, or 5.
- In group 3, the credit of 30.00 from the electricity division is cleared against the gas receivable of 100.00, which leaves an outstanding receivable of 70.00.
- In group 4, the budget billing requests from December 5 are balanced so that a budget billing amount of 140.00 is due on December 5.

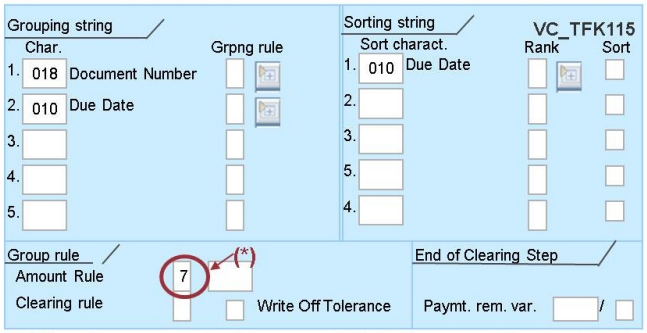
The second clearing step leads to the following results:

- No further characteristics have been specified. As a result, all items still open are grouped together.
- The payment on account of 20.00 can still be used for clearing and is cleared with the oldest open invoice. There is still an outstanding receivable of 5.00.

© Copyright. All rights reserved.

> Caution:
> Grouping by due date is necessary because the due dates of a budget billing plan or installment plan have the same number. The clearing consideration should usually take place at the level of the individual due dates.

Example scenario: The payment should only clear a document/document combination if it corresponds to the balance of this document/document combination.



The customer wants to pay the invoice 4709. He or she can pay the full amount of 25.00 or the remaining amount of 5.00 after withholding the credit of 20.00 (doc. 4710).

The additional grouping according to due date is required because a document may have items with different due dates (for example, installment plan or budget billing plan).

(*) When the amount check group = SPACE, the amount is checked

7 = Combination of 01 Groups

Doc.	Item	MainTr	SubTr	Due	Amount
4709	1	Bill	Rec.	15.09	25.00
4710	1	On a/c	Paym.	22.10	- 20.00
4711	1	Bill	Credit	15.11	- 30.00
4711	2	Bill	Rec.	15.11	100.00
4712	1	BBreq.	S	05.12	60.00
4712	2	BBreq.	S	05.12	90.00

Group	Bal.
1	25.00
2	- 20.00
3	80.00
4	150.00

In this example, the amount rule 7 can determine the payment for any combination of four groups.

Figure 138: Clearing Control: Incoming Payment

The additional grouping according to due date is required because a document may have items with different due dates (for example, installment plan or budget billing plan).

Example: The customer wants to pay invoice 4709. The customer can pay the full amount of 25.00 or the remaining amount of 5.00 after withholding the credit of 20.00 (document 4710).

LESSON SUMMARY

You should now be able to:

- use the tools to configure clearing control

© Copyright. All rights reserved.

UNIT 9 Dunning and Collections

Lesson 1

Definition 163

Lesson 2

Dunning Processing 165

Lesson 3

Collection Processing 177

UNIT OBJECTIVES

- describe the concept and the purpose of dunning and collections
- configure and execute the dunning process
- configure and execute the collection process

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Definition

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept and the purpose of dunning and collections.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept and the purpose of dunning and collections

Definition

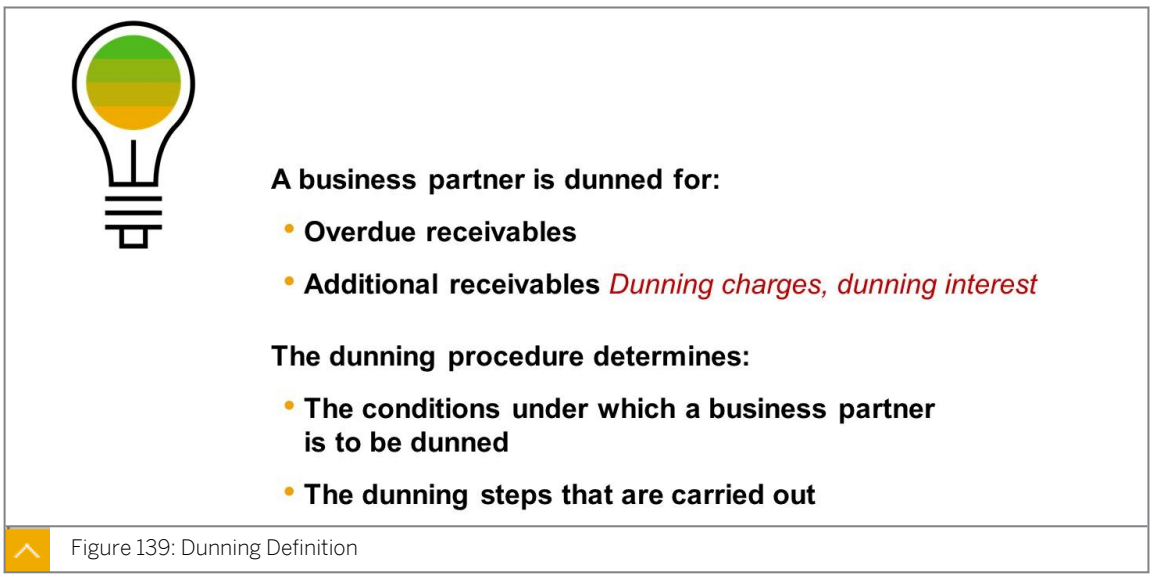


Figure 139: Dunning Definition

An additional receivable is a receivable that is caused by another receivable, such as dunning charges or interest. In several cases, these additional receivables should not be dunned or interest calculated for them independently.

Interest can be calculated for an item that is not marked as an additional receivable in the transaction attributes (main receivable) and a dunning notice issued if no blocks are set.

© Copyright. All rights reserved.

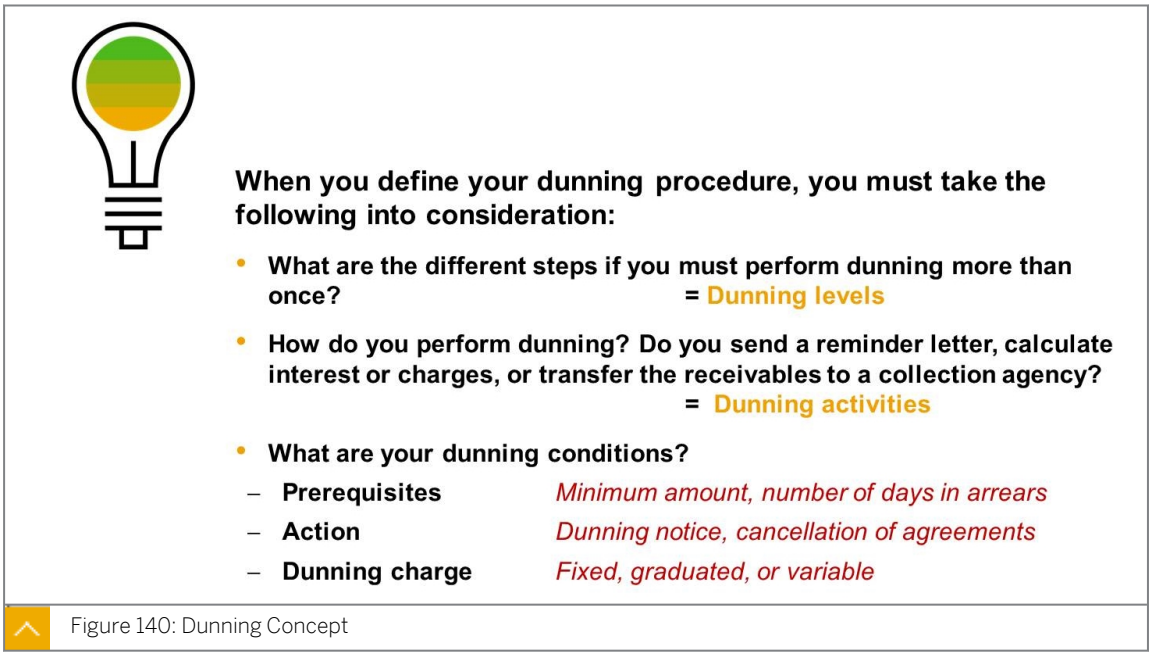


Figure 140: Dunning Concept

A dunning procedure is made up of individual dunning levels. You enter various information for each dunning level, such as the minimum amount of an overdue item and the number of days in arrears that must be reached before the item is placed in the next dunning level.

One of the most common dunning activities is creating a dunning notice. Other examples of dunning activities include posting interest and charges, processing a note for an agent, or starting a workflow.

The dunning level indicates how often this item has already been included in a dunning run.

The highest dunning level reached by any of the items determines the dunning activities.

The dunning level of an item can also be decreased by the dunning program if, on the basis of the amount limits, the item would no longer reach this dunning level (for example, after a partial payment).

LESSON SUMMARY

You should now be able to:

- describe the concept and the purpose of dunning and collections

© Copyright. All rights reserved.

Unit 9
Lesson 2

Dunning Processing

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to configure and execute the dunning process.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- configure and execute the dunning process

Configuration of Dunning Procedure

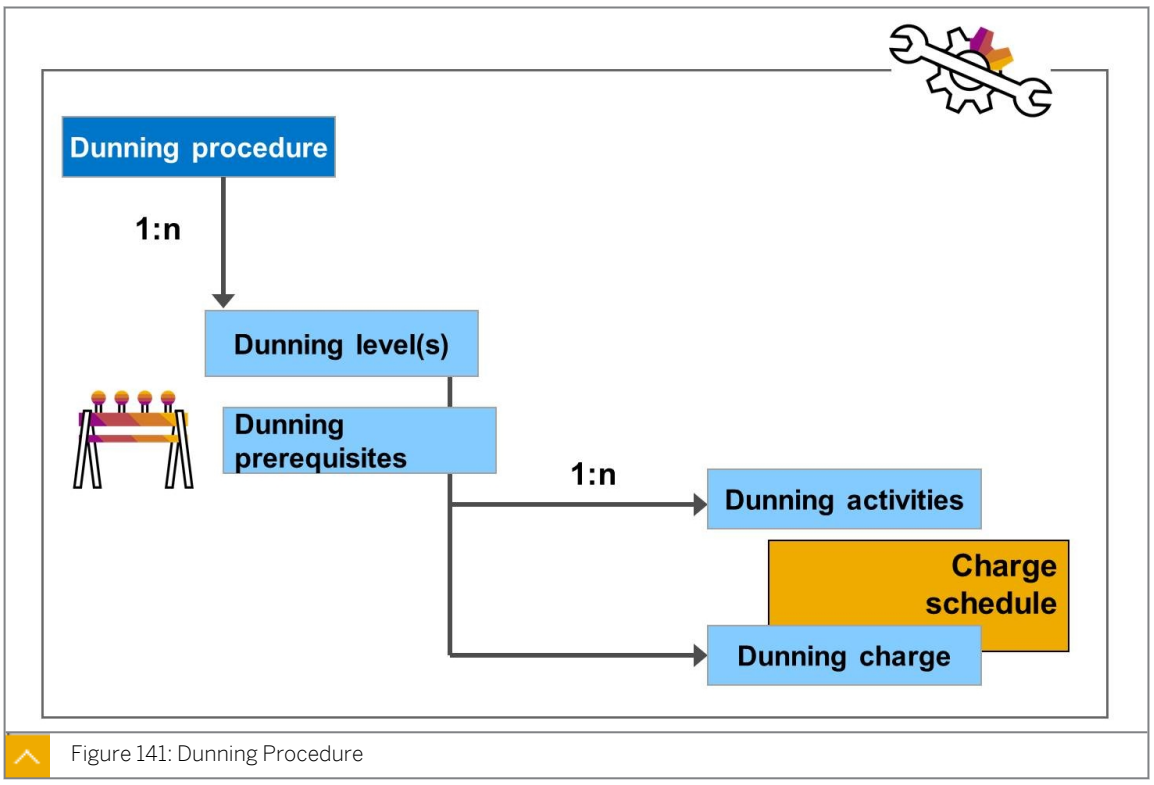


Figure 141: Dunning Procedure

The **dunning procedure** is the driver for dunning. You can define different **dunning levels** for each dunning procedure. They determine the dunning frequency, the calculation method (dunning charges) and the calculation and posting of interests. For each dunning level, you can define currency-specific minimum amounts and **dunning activities**.

You can select "Always dun" for the last dunning level so that items there are not skipped.

You can allocate a dunning procedure to contract accounts or for each individual line item.

The category of dunning procedure and dunning level are required for the insurance industry.

© Copyright. All rights reserved.

The dunning data is saved in the dunning history.

In Customizing for the dunning procedure, you can select an indicator (*Do Not Reduce Dunning Levels*) that prevents the system from reducing dunning levels. This indicator is processed by the dunning proposal run.

For the interest calculation integrated in the dunning run, you can also specify the minimum interest due for each dunning level so that it is posted.

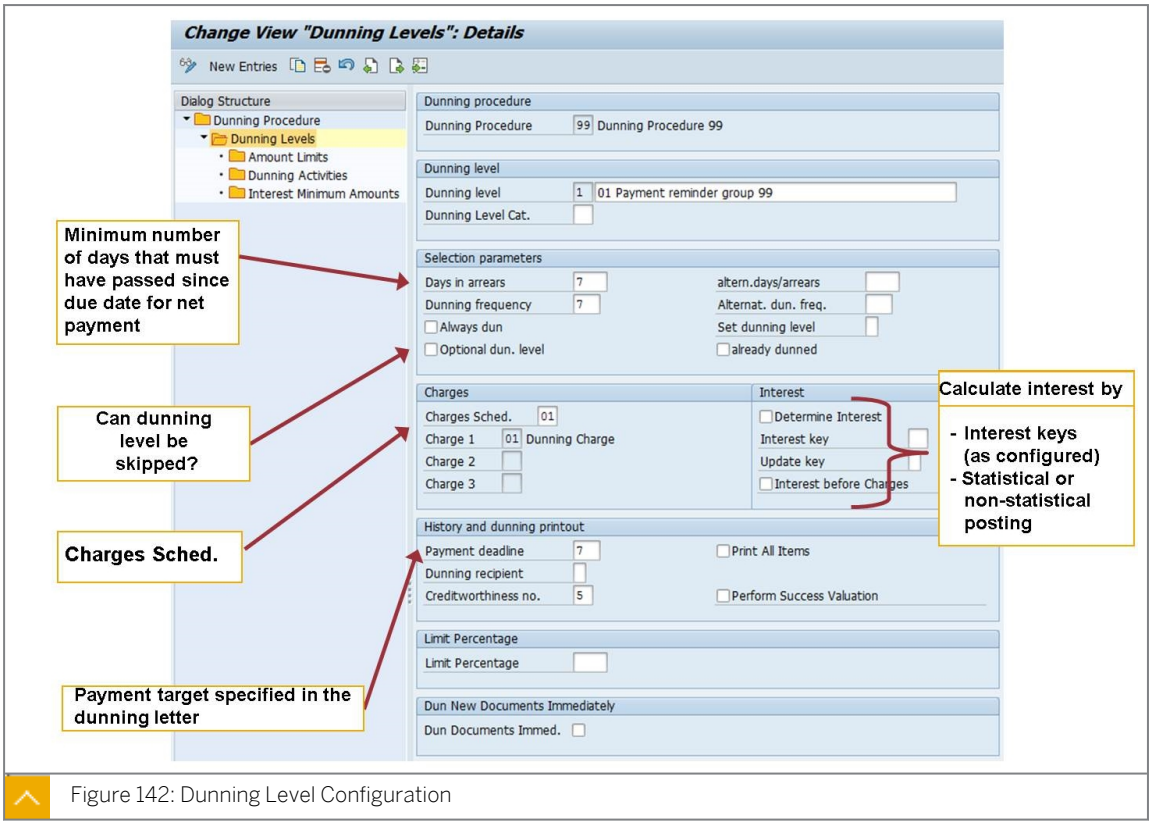


Figure 142: Dunning Level Configuration

Dunning frequency: Minimum number of days that must have expired since the issue date of the last dunning notice.

Print all items: If you set this indicator, all items that fulfill the same criteria for dunning grouping are listed in the dunning notice, regardless of whether they are due.

Always dun: If you select this indicator, a dunning notice is triggered at this dunning level as soon as the dunning frequency is reached in the dunning program, regardless of whether the days in arrears or minimum amounts have been reached.

Charge schedule: Key for defining a schedule that determines the charges that are usually levied in connection with the creation of dunning notices and other correspondence.

You can use the *Interest before Charges* indicator in Customizing for the dunning level to make the calculation of dunning charges dependent on whether interest has been calculated for items due for dunning. SAP provides the FKK_SPECIALCHARGE_0360 function module as an example of a calculation of this type. Usually, interest in the dunning activity run is calculated and posted in accordance with the charges.

You can also restrict the amount of the dunning charge if dunning interest is also to be charged alongside the dunning charge (penalty charges). SAP provides the FKK_SPECIALCHARGE_0360 module as a template.

© Copyright. All rights reserved.

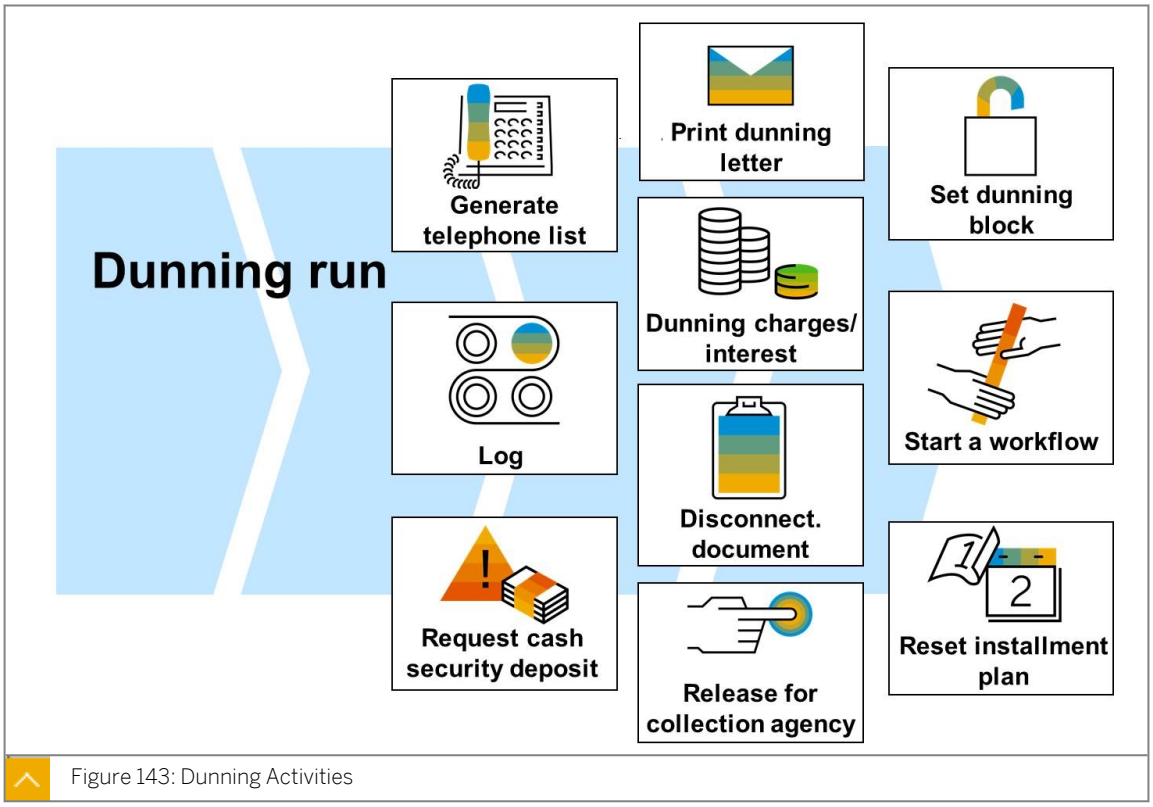


Figure 143: Dunning Activities

All activities that were carried out are recorded in an application log.

Application forms from the print workbench form the basis of the dunning notice.

In the dunning procedure (for installments), you can specify an activity that deactivates the installment plan. After the installment plan has been deactivated, the source receivables are dunned again.

Disconnection documents can be created automatically in industry solutions. These documents are used, for example, to set and monitor counter blocks (electricity) for business partners. In industry solutions, cash security deposits can also be requested in conjunction with the dunning run.

A workflow can be used, for example, to trigger an agent notification.

In the dunning procedure, you can release a receivable for submission to an external collection agency.

In the dunning run, you can automatically set a dunning lock for the dunned contract account. You can use the example function module FKK_SAMPLE_0350_LOCK_VKONT to do this. The module writes a dunning lock reason in the master data.

You can enter default values for dunning blocks for the duration of a block in Customizing. The system uses the specified values as the default dates when you create a dunning block without specifying the duration of its validity.

© Copyright. All rights reserved.

Configuration of Dunning Activities

Define Dunning Activities

Act.	Name of Activity	AC	Function Module	Form for correspondence
0003	Creation of Dun. Notice	01	FKK_SAMPLE_0350_CCC	ZIS_U_CA_DUNNING_SF
0006	Rel for Subm. to Ext...	01	FKK_COLL_AGENCY_RELEASE_0350	
0007	Recall Document Item from Collection Agency	01	FKK_RECALL_FROM_AGENCY_0350	

You can define your own function module.

Figure 144: Dunning Activities Configuration

Dunning activities consist of a function module (FKK_SAMPLE_0350_CCC) and a correspondence form (optional). The function modules provided by SAP, which you can use as a dunning activity, contain the character string "_0350" and start with "FKK_" or an industry-specific key.

Form for correspondence: If this is an activity for creating paper records as part of correspondence, you need to define the application form for the printout.

You can assign any number of dunning activities to various dunning levels. For example:

- Print dunning form with different recipients (legal department and so on).
- Start workflow.
- Send note to agent using SAP Office.
- Deactivate installment plan.

You can define your own function modules for standard activities. For example, you can trigger an activity in a dunning run that informs the contract system (using RFC) that a contract is to be written off due to non-payment.

© Copyright. All rights reserved.

Rules for Additional Receivables

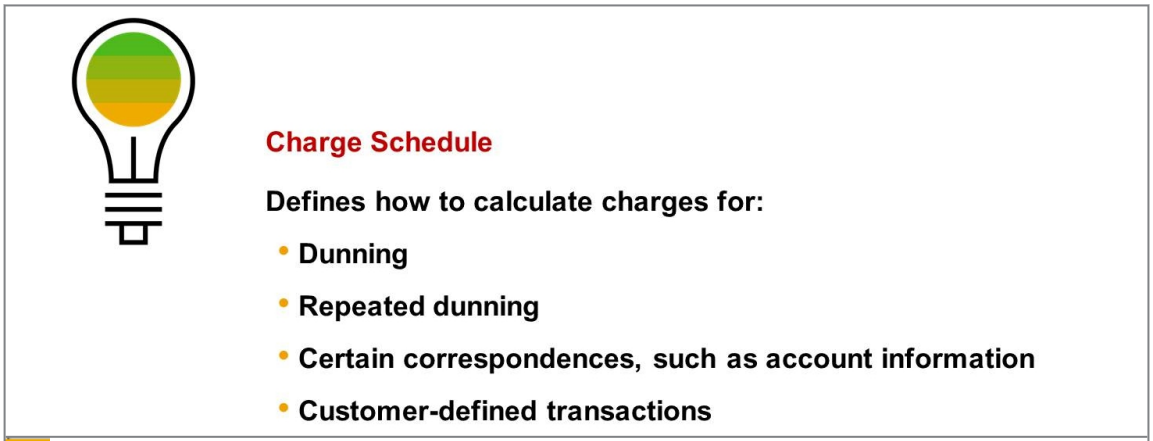


Figure 145: Charge Schedule

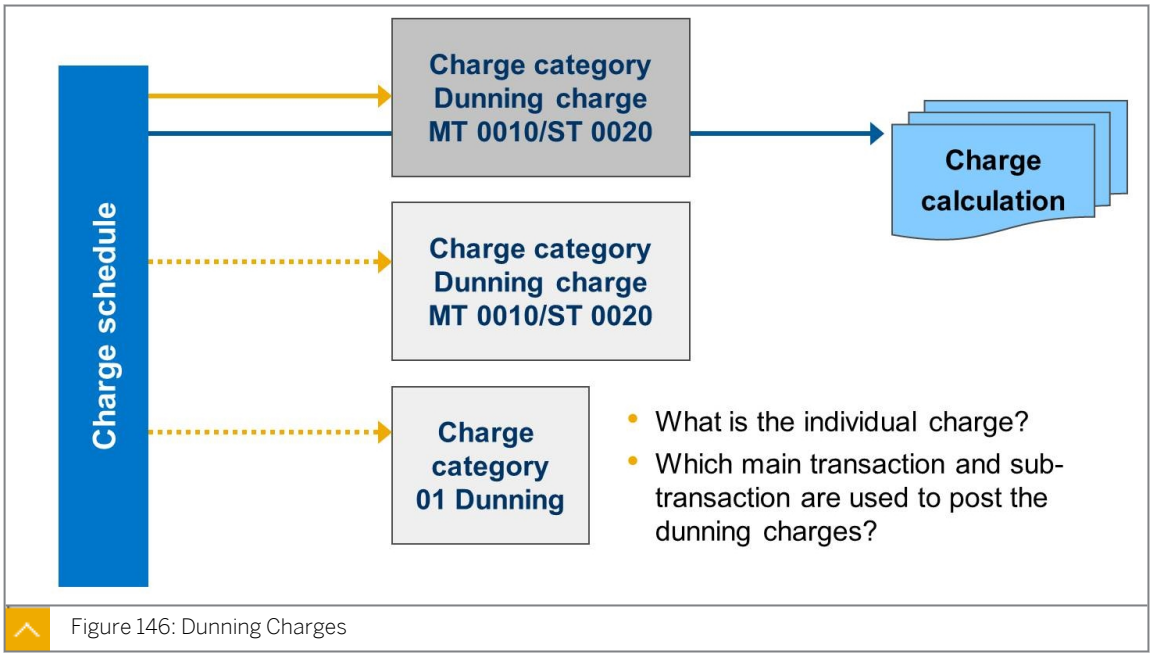


Figure 146: Dunning Charges

A charge schedule can manage charge data for a maximum of three charge categories. These charge categories can be dunning charges, payment document charges, postage charges, industry-specific charges (such as disconnection, reconnection, or administration charges), or customer-defined charges.

For the charge category, the main transaction and sub-transaction with which the charge is to be posted are determined (actual or statistical posting).

For each combination of a charge schedule and a charge category, you can set up how charges are to be calculated depending on the currency, the dunning balance, and creditworthiness.

When you define a correspondence variant, you can assign a charge schedule to some correspondence types. When these correspondences are created, the system automatically posts the charges defined in the charge schedule.

© Copyright. All rights reserved.

Dunning Run

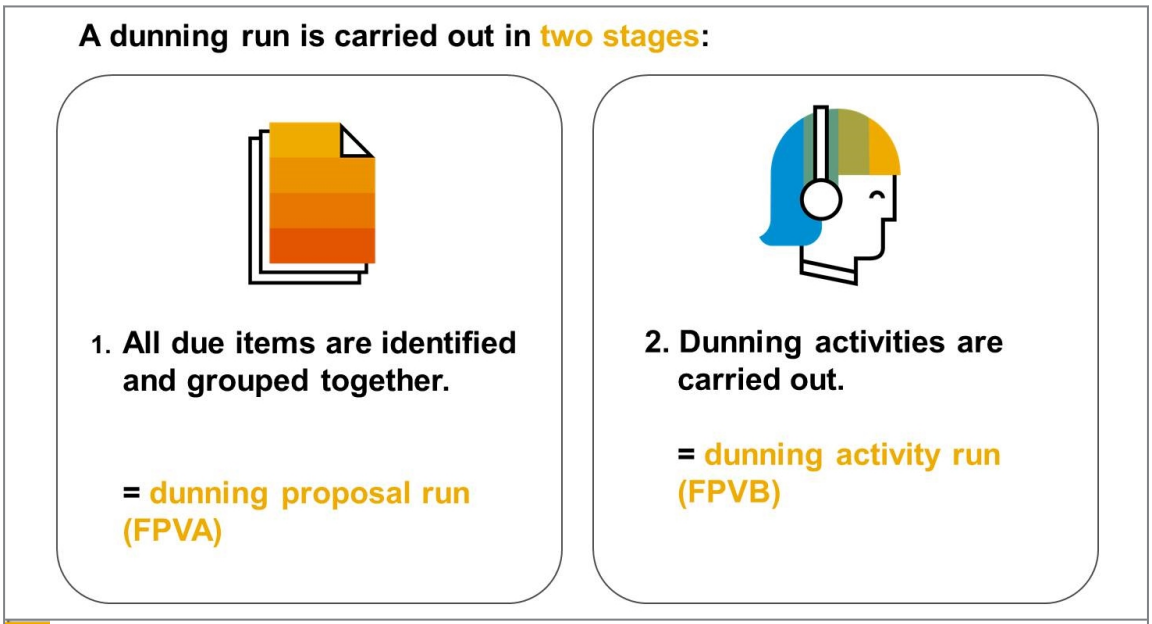


Figure 147: Dunning Program

Before starting the dunning run, you should ensure that the posting situation is as up-to-date as possible, which means that all existing payments should be posted and a clearing run executed. This way, you avoid dunning items that have already been paid.

You can schedule the dunning proposal run and the dunning activity run together or separately. If you schedule both runs together, you lose the option of deleting and recreating the dunning proposal.

You can reverse dunning notices from the dunning proposal. If you would like to have a different dunning proposal, you can delete it, make the necessary changes in the master data, open items or Customizing, and then start the dunning proposal run again.

Along with the dunning history, a dunning activity run results in correspondence, notes for the administrator, and so on, as well as charge, and interest postings. Along with the dunning history, a dunning activity run results in correspondence, notes for the administrator, and so on, as well as charge, and interest postings.

.

© Copyright. All rights reserved.

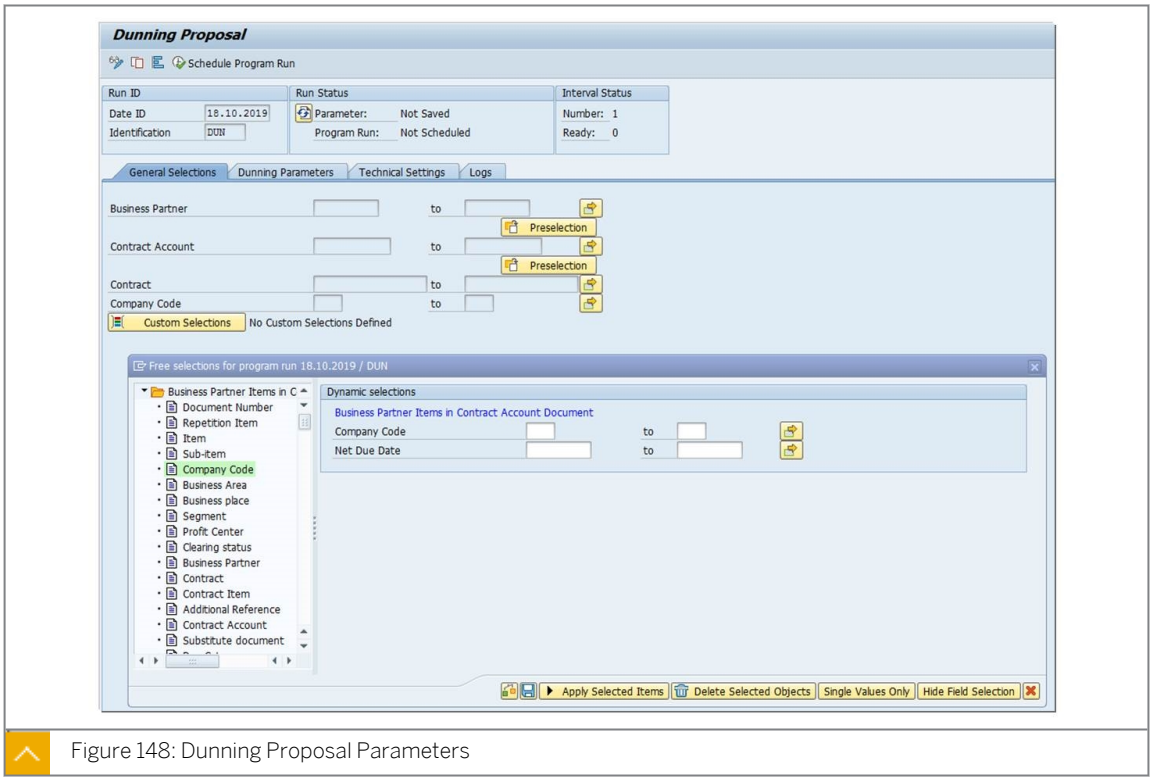


Figure 148: Dunning Proposal Parameters

You must enter parameters for a dunning proposal run whenever you want to create a dunning proposal. Alternatively, you can also define templates, which can then be used to create a dunning proposal run.

The system looks at the “date of issue” and compares this date to the due date within the document to determine which dunning level is appropriate (see “days in arrears” in Customizing of a dunning level) and to determine appropriate charges, if applicable.

In the dunning proposal run, you can use preselection for master data to select business partners or contract accounts.

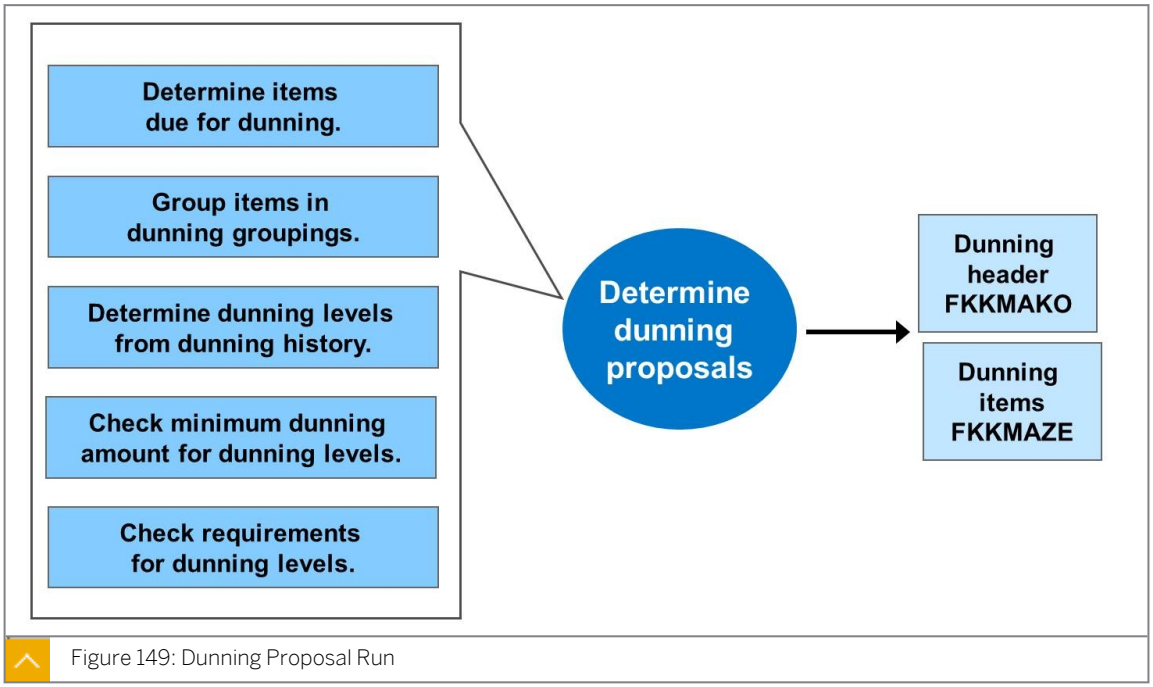


Figure 149: Dunning Proposal Run

© Copyright. All rights reserved.

The dunning proposal run determines all items due for dunning and combines them in a dunning grouping.

Hint:
Once a business partner is included in a dunning proposal, he or she will not be included in another proposal run. Only the dunning activity run enters the system date as the execution date of the dunning (MDRKD) in the dunning header. The dunning proposal then becomes dunning history. This check prevents duplicate dunning letters in case you postpone the dunning activity run.

You cannot run a second proposal run over the same items/accounts unless the first run is deleted (choose *Environment* → *Delete Dunning Proposal Run*).

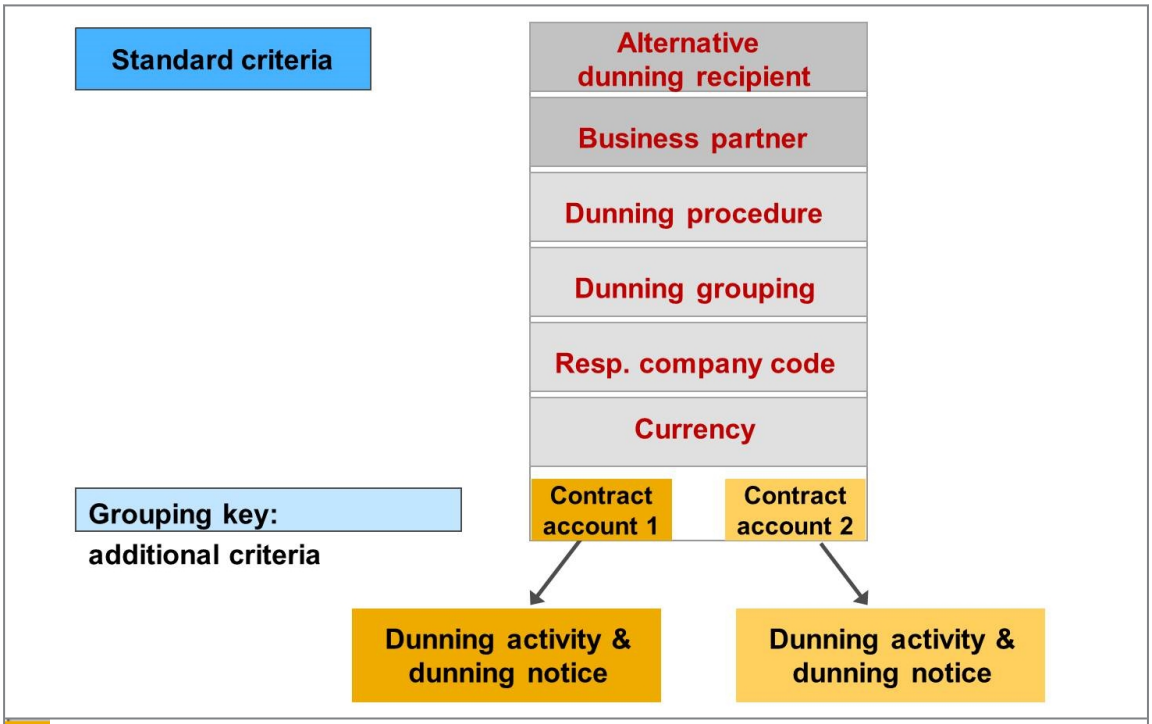


Figure 150: Dunning Grouping

If it is possible, all items of a business partner are grouped together on one dunning notice.

However, there are criteria that dictate separate dunning notices for certain items. These items are then grouped together into dunning groups on the basis of these criteria.

The items are used for checking dunning relevance (that is, amount limits and days in arrears) per dunning group.

The grouping key enables you to use other desired criteria such as business area and division in addition to the standard criteria (dunning procedure, currency, main company code).

You then enter the grouping key in the contract accounts for which the grouping is to apply.

© Copyright. All rights reserved.

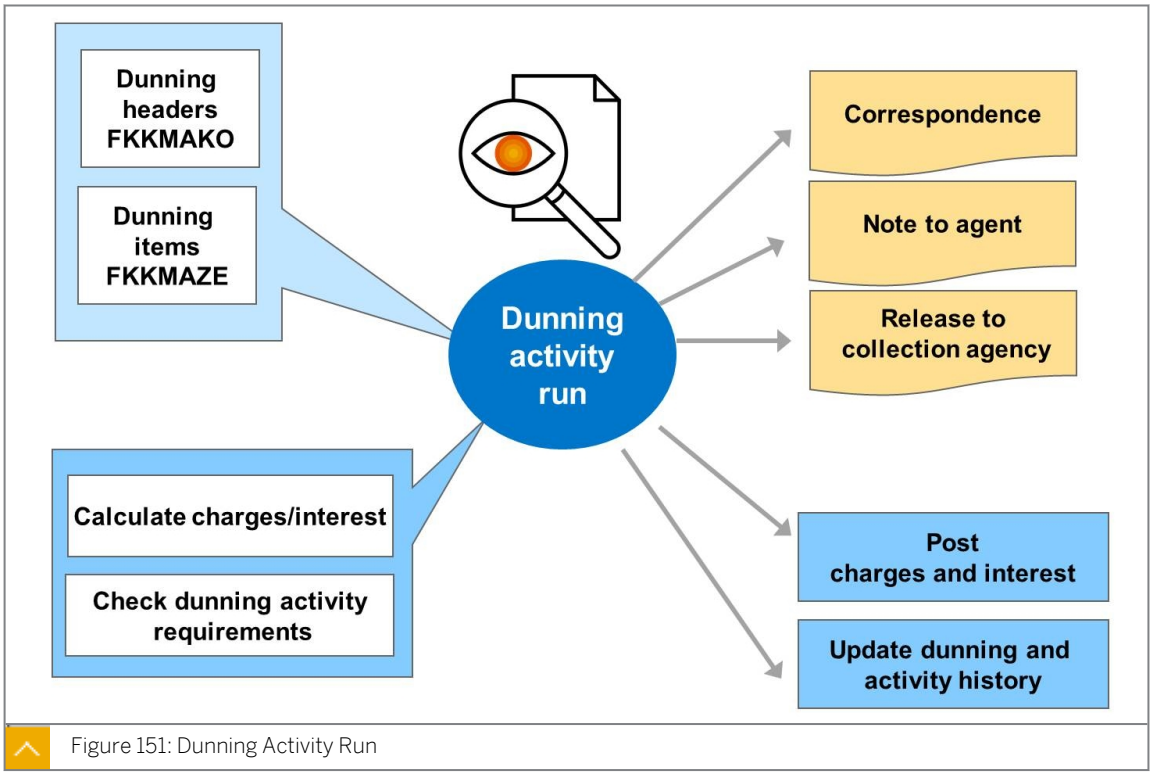


Figure 151: Dunning Activity Run

You initiate a dunning activity run in much the same way as a dunning proposal run. You enter the necessary parameters and then schedule the program run.

If you have configured the correct settings in Customizing, the date you entered in the *Issue Date* field will appear on the dunning letter. It will also be displayed in the dunning history as the dunning execution date.

The dunning levels and appropriate dunning activities are determined based on the dunning groupings and items for dunning.

A dunning activity run can result in a charge or interest posting, or updates in the dunning history and dunning activity history.

Hint:
Unlike a proposal run, you cannot delete a dunning activity run after its execution, even if the intended action was not executed. Instead, you must reverse the entire dunning run (transaction FPVC) or cancel dunning for certain items. Choose *Environment* → *Dunning History* → *Overview* → *Cancel...* (the button with the red arrow).

© Copyright. All rights reserved.

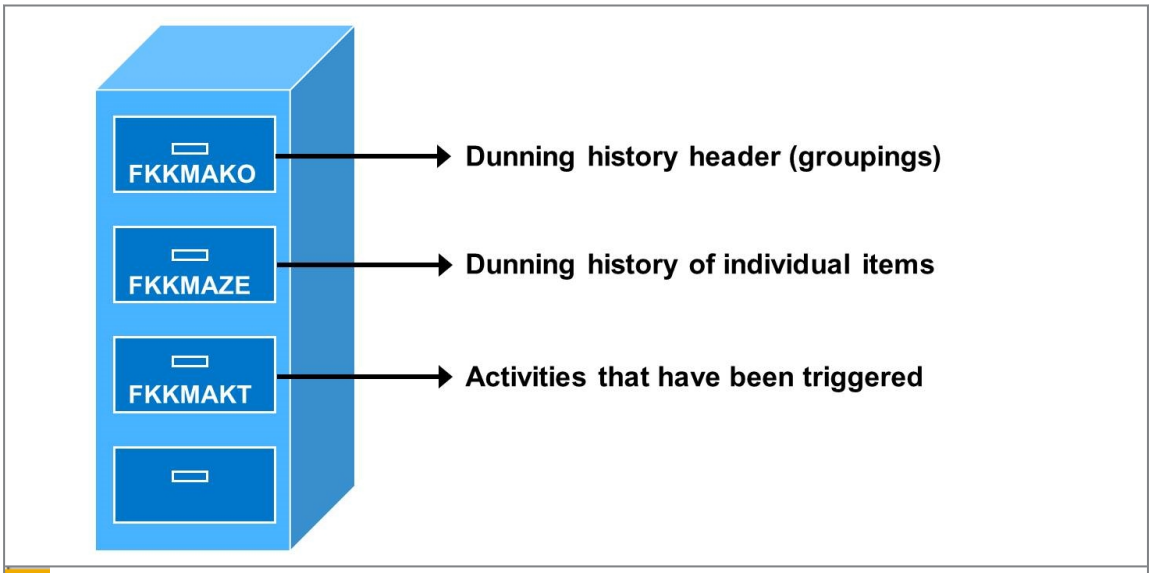


Figure 152: Dunning History

You can call dunning history information using the account balance display (FPL9) or by selecting *Dunning History* (FPM3) from the menu.

In the dunning history, you can see dunning activities (charge documents and interest documents).

On the selection screen you can specify (*Selection by Print Date*) whether you want to display dunning notices that have been executed or not executed. This enables you to select only those dunning notices without a print date, for example.

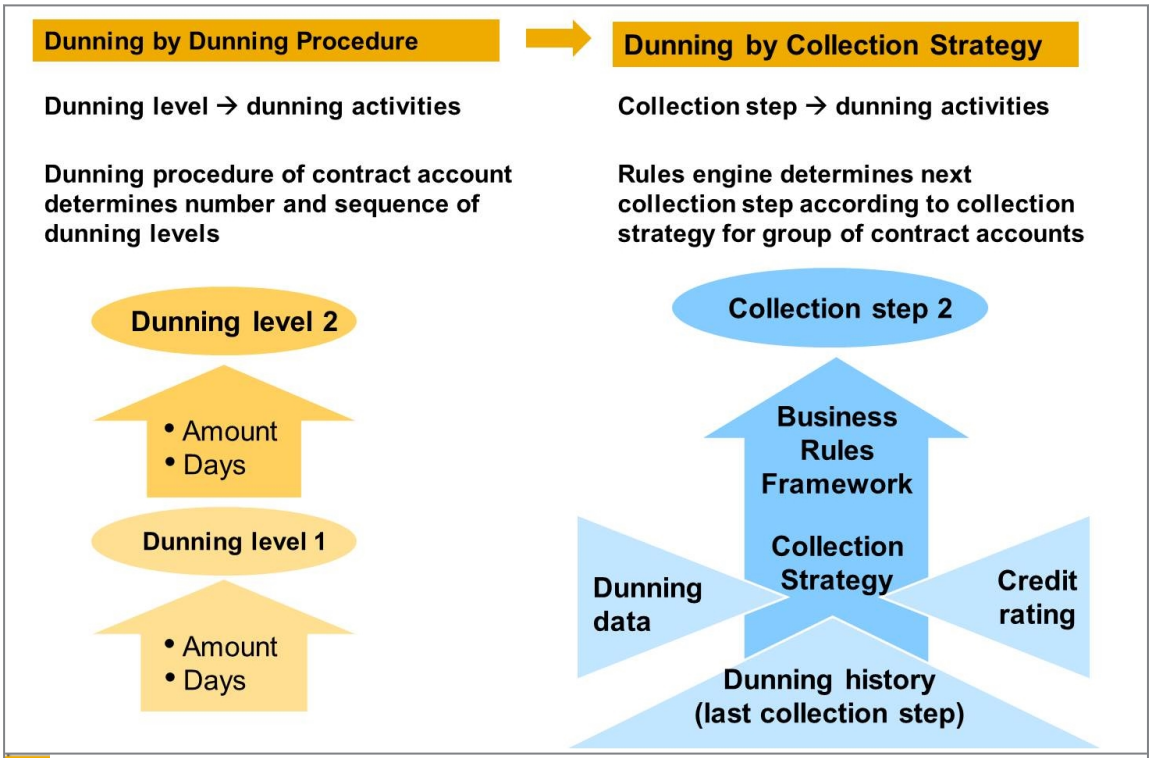


Figure 153: Dunning by Collection Strategy (Excursion)

In the classical dunning the dunning procedure assigned to each contract account determines the number of dunning levels and the respective dunning activity sequence. This

© Copyright. All rights reserved.

determination of the next dunning level is mainly based on the days in arrears and the amount of debt.

Dunning by collection strategy is based on business rules that are evaluated at run-time. This allows for a flexible evaluation of a broad range of parameters. A collection strategy is assigned on master data level. Contract accounts (or contract) can be treated individually or can be grouped together for collections. The evaluation of the business rules within the strategy return the next collection step (and related activities) to be carried out. There is not necessarily a fixed sequence of steps to be carried out one after the other. It is the specific circumstance of an account that determines the next collection step. The data that can be evaluated in the rules engine include the dunning data, dunning history, credit risk data and many more (including customer-specific tables).

Attention: Collections Management in FI-CA is a different solution than FSCM Collections Management which is integrated with FI-AR and cannot be used with FI-CA. FI-CA Collections Management is tailored to the specific needs of a mass sub-ledger.

LESSON SUMMARY

You should now be able to:

- configure and execute the dunning process

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Collection Processing

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to configure and execute the collections process.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- configure and execute the collection process

Collection Processing 1

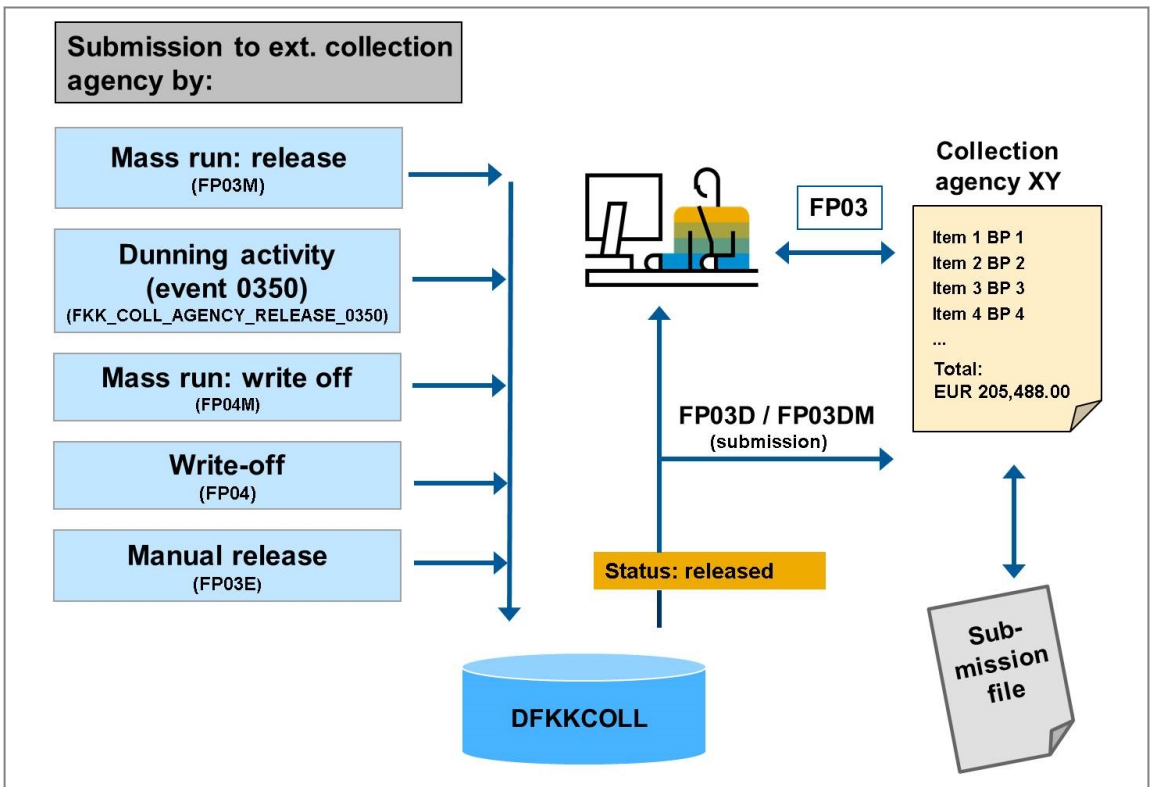


Figure 154: Submission to External Collection Agency

If a receivable is submitted to an external collection agency, it means that a customer has not paid a receivable and that the company is not able to collect it.

Receivables submission is made up of two steps. At first, data is entered in table DFKKCOLL, in which all submitted receivables and those to be submitted (*Release for Submission*) are managed. Then, the receivables are read from table DFKKCOLL and are submitted using report RFKKCOL2, which creates a file for each collection agency (*Submission to Collection Agency*).

© Copyright. All rights reserved.

The dunning activity FKK_COLL_AGENCY_RELEASE_0350 releases a receivable to an external collection agency. Receivables can be submitted to collection agencies for the following items: receivables (also statistical items) and credit memos.

The external collection agency is determined by derivation rules defined in Customizing (event 5060).

The periodic submission flow (transaction FP03D or FP03DM) selects the documents and creates a list or submission file (the submission file can also be generated in XML format). The following data is updated:

- In the collection agency item (DFKKCOLL): Submission date, submission status (02: Receivable submitted), and possible submission amount, if not identical to the amount in the open item
- In the document: Payment block, dunning block, or alternative payer (posting area 1054)

Logs, which are listed in the DFKKOPCOLL table by the mass run for submitting receivables to collection agencies (FP03DM), can be deleted using the FP03DML transaction.

In addition to the statuses delivered by SAP for items released and submitted to collection agencies, you can also define your own, company-specific submission statuses. You can use the number range 20 to 99 for this.

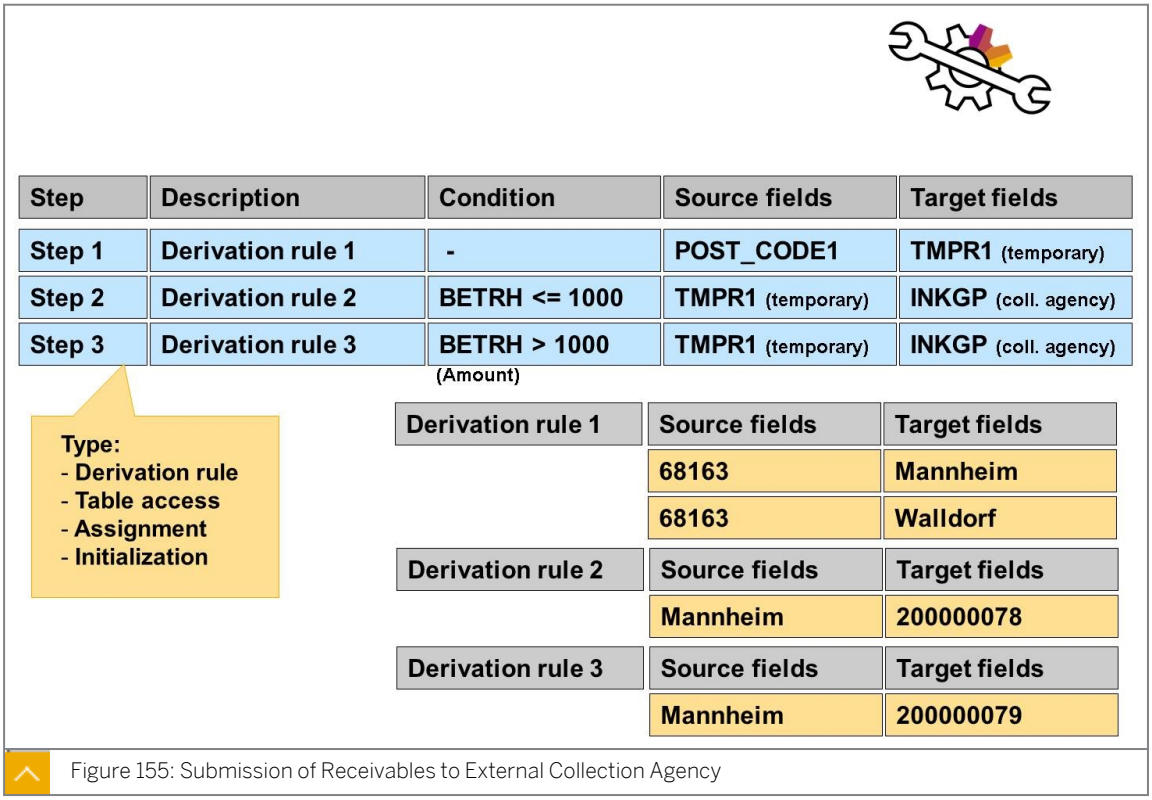


Figure 155: Submission of Receivables to External Collection Agency

In the Customizing activity *Define Derivation Rules for Responsible Collection Agency*, you can define which collection agency is to be used, depending on the data in the document.

The derivation rules defined in Customizing are evaluated by the derivation tool. The derivation tool is always called in the *FKK_COLL_AG_SAMPLE_5060* function module when items are released for submission individually in transaction FP03E or in mass release using transaction FP03M.

© Copyright. All rights reserved.

The derivation tool determines the responsible collection agency in one or more derivation steps from a range of source fields of the enhanceable structure *FKKCOLLAG*. The number of derivation steps corresponds to the number of derivation rules you define in Customizing.

Management of Submitted Receivables

Receivables that were submitted to external collection agencies can be managed using transaction FP03. The following functions are available in transaction FP03:

Management of Submitted Receivables

- Change submission status (change document is generated)
- Indicator that the receivables were sold to the collection agency
- Submit receivables
- Recall receivables
- Create list of collection items

Inbound Collection Agency Information

The collection agency file contains:

Inbound Collection Agency Information

- Collected payments
- Uncollected payments
- Interest
- Charges

Collection Processing 2

A collection agency has completed a collection order and now forwards a file to the sold-to-party informing of the receivables that were collected, and those that were only partially collected or not at all.

© Copyright. All rights reserved.

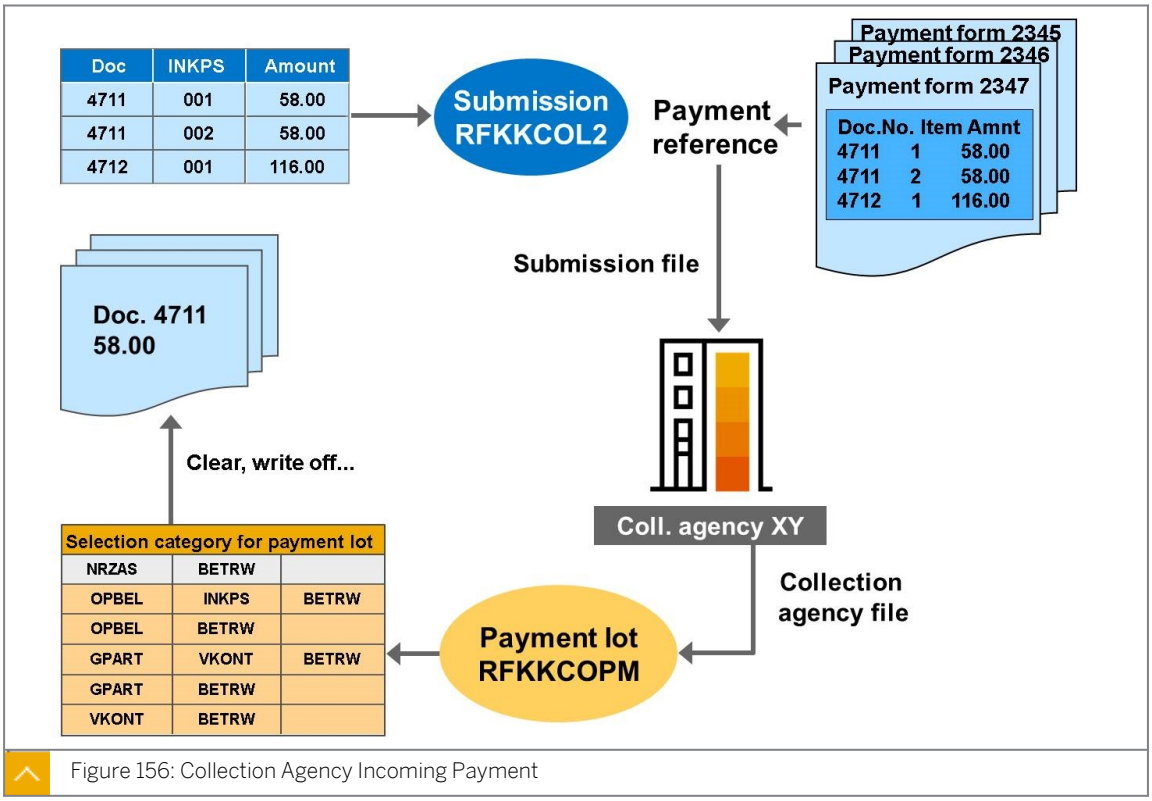


Figure 156: Collection Agency Incoming Payment

When you submit an item, you can create a payment form that simplifies the assignment of payments to open items. If the file from the collection agency contains collected payments, these can be allocated to the appropriate open items using the payment form number confirmed by the collection agency

If the collection file contains interest and charges, the system posts these as interest and credit receivables and they are passed on to the customer.

Receivables that have not been collected and are, therefore, irrecoverable can be automatically written off if you activate the *Write-off Item Directly* indicator in the write-off parameters of RFKKCOPM.

Collection charges to be paid to the collection agency can be determined using a defined function module in event 5068 and can be posted as payables to the collection agency's contract account. To do this, you must activate the *Post Collection Charges* indicator in the specifications of RFKKCOPM.

If the collection agency provides the information personally or in writing, the payments, interest, and charges receivables must be posted manually. You can use transaction `FPAVI` (payment advice note from collection agency) to enter a payment advice note.

© Copyright. All rights reserved.

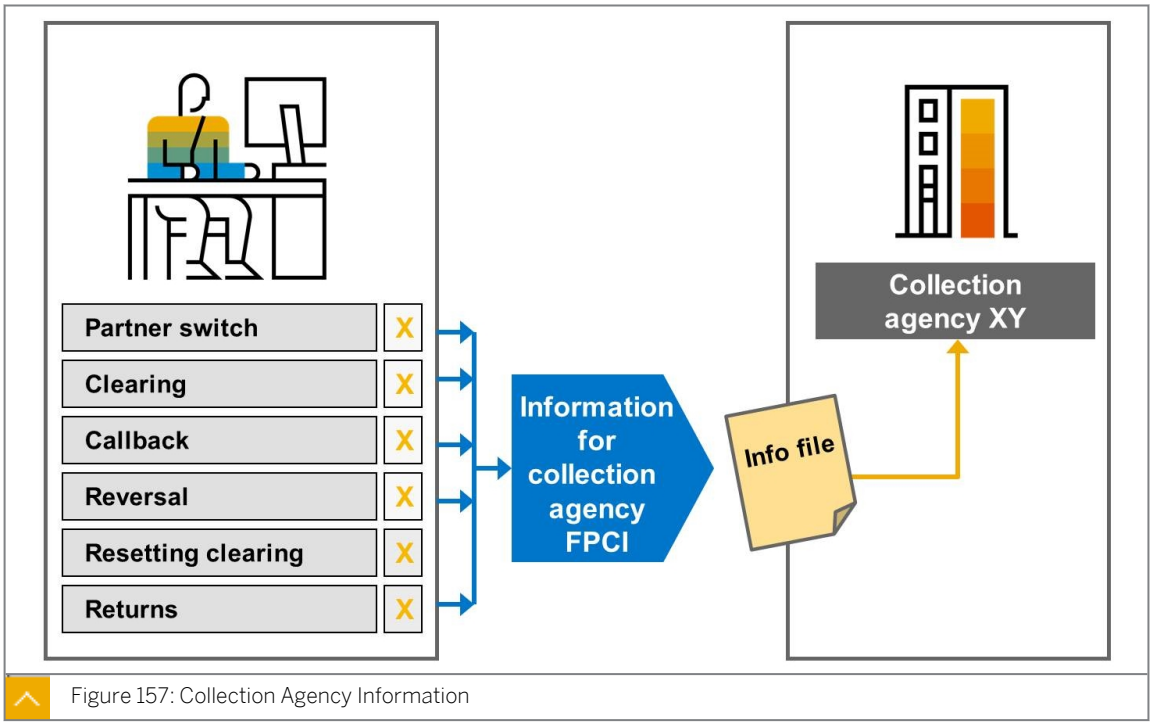


Figure 157: Collection Agency Information

The collection agency has to be informed when items are called back and must receive information about items that have already been submitted. In Customizing, you can specify which information is included in the file for the collection agency.

The *Information for Collection Agency(FPCI)* mass run enables you to create files for the collection agencies that contain the following information:

- The master data of one or more business partners has changed.
- The business partner has directly paid part or all of the outstanding amount.

The program writes items with the following submission status in the file:

- *10 (receivable paid directly by customer)*
- *11 (receivable partially paid by customer)*

Items that the collection agency cannot recover within a certain period have to be called back. When this happens, the program includes items that have the submission status 09 (call back receivable) in the file.

In the case of a reversal, returns or the (partial) reset of a clearing, the items in question receive the status 02 (receivable submitted) again. You can use the information file to inform the collection agency about the resubmission of items, provided that the collection agency has already been informed of the customer's direct payment.

LESSON SUMMARY

You should now be able to:

- configure and execute the collection process

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 10 Interest Calculation

Lesson 1

Definition 185

Lesson 2

Interest Keys and Calculation Rules 187

Lesson 3

Interest Calculation Processing 195

UNIT OBJECTIVES

- describe the concept of interest calculation
- configure interest keys and calculation rules
- process the interest calculation

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Definition

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept of interest calculation.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept of interest calculation

Interest Calculation

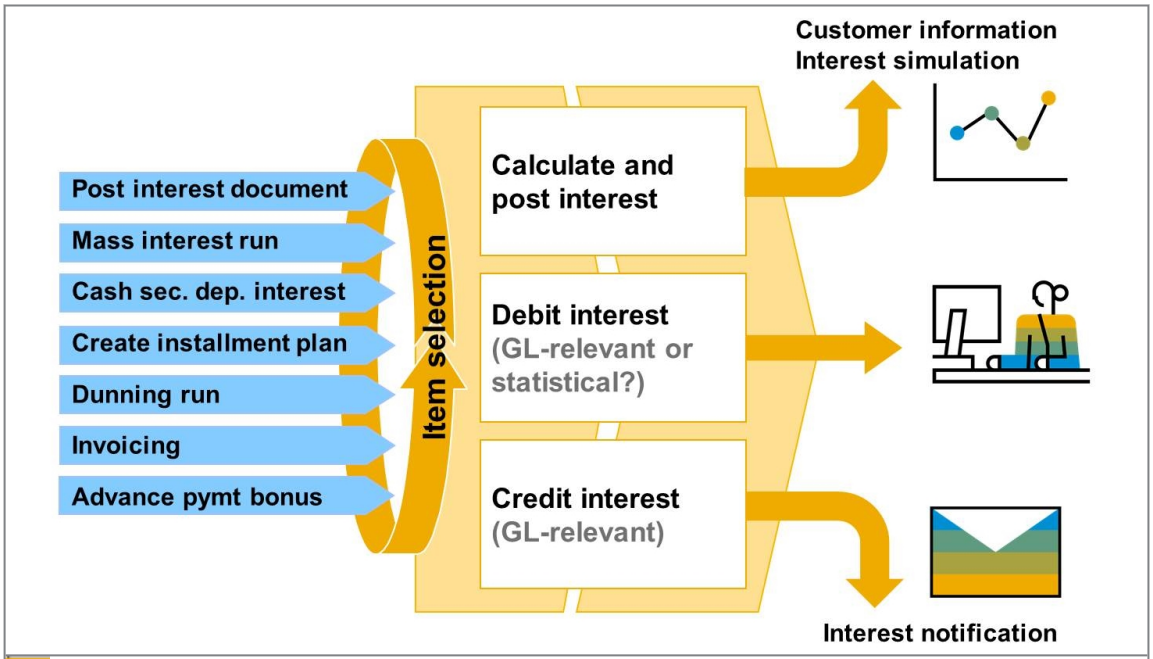


Figure 158: Business Transactions for Posting Interest

- Debit interest:

  Interest on open debit items is calculated for the period from the due date to the interest calculation date (this is usually the current date).

- Cleared debit items:

  Interest on debit items that were cleared late is calculated for the period from the due date to the date of clearing, provided the clearing falls before the interest calculation date.

- Do not calculate interest:

© Copyright. All rights reserved.

If an item is not cleared by a payment, usually no interest calculation is to take place (for example, for items that have the clearing reason “Reversal”).

- Credit interest:

  Credit interest for calculating interest for credit always has to be posted as relevant for the general ledger.

  Interest is not calculated for allocated incoming payments.

- Interest simulation:

  Interest is calculated for information only; it is not posted.

LESSON SUMMARY

You should now be able to:

- describe the concept of interest calculation

© Copyright. All rights reserved.

Unit 10
Lesson 2

Interest Keys and Calculation Rules

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to configure interest keys and calculation rules.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- configure interest keys and calculation rules

Interest Keys and Calculation Rules

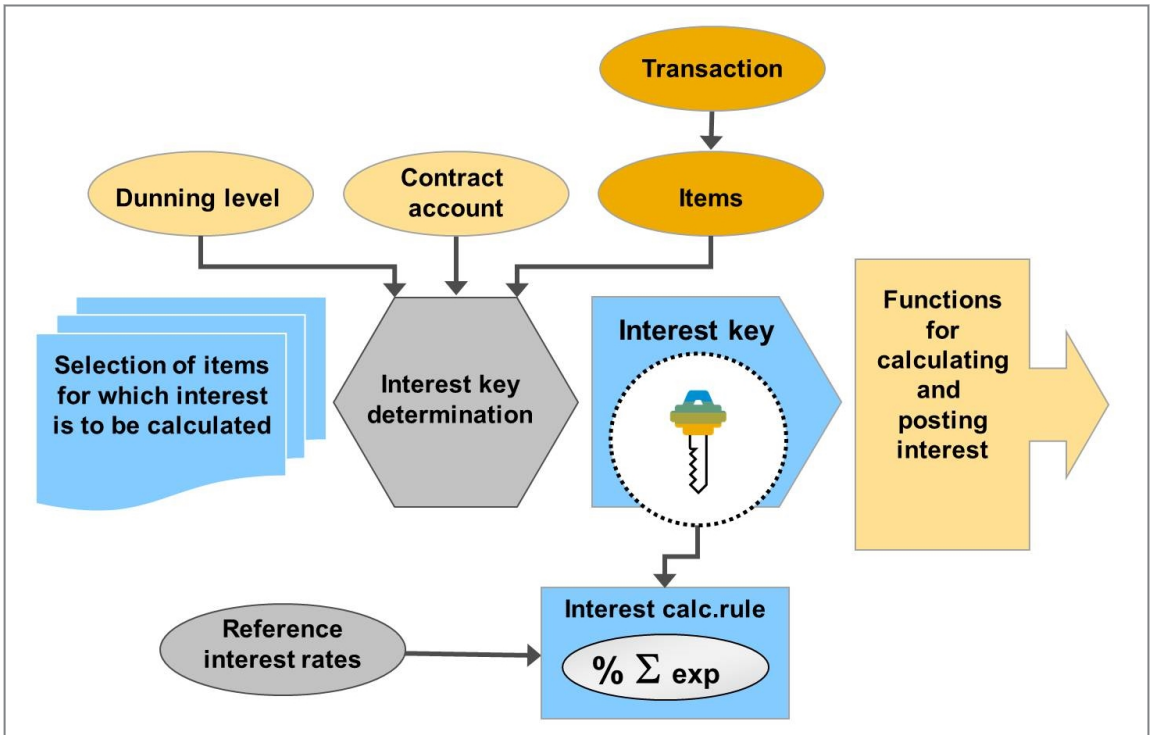


Figure 159: Interest Parameters

The interest key contains all control parameters for calculating interest, for example, the parameters for selecting items and the reference to the calculation rule.

- An interest key entered in the item has the highest priority. You can enter the interest key manually, or it can be determined from the transactions and entered in the item by the system at the time of posting.
- If interest is calculated for an item as part of the dunning procedure, an interest key can be stored in the dunning level.

© Copyright. All rights reserved.

- The interest key can also be entered in the contract account.

If an interest key cannot be determined, interest calculation is not possible.

The valid interest rates are found using the interest calculation rule. Additional conditions can also be stored in the interest calculation rule. The interest rates depend on:

- The reference interest rates (optional)
- The analysis period

Item interest calculation is controlled by the *interest key* parameter. An interest key is determined for each item for which interest is to be calculated.

An interest key consists of all control parameters for interest calculation and interest posting.

Interest Calculation — Configuration

The interest key controls interest calculation and can be assigned to contract accounts, a security deposit, individual line items, or dunning levels.

To avoid charging your customers very small amounts, you can carry out amount checks per customer or industry.

Interest locks enable you to prevent interest from being calculated on certain items. You can also exclude certain business transactions (such as reversal postings or additional receivables for interest calculation) from interest calculation.

Interest can be posted so that it is also posted to the general ledger. Debit interest can also be posted as a statistical item (in other words, not posted to the general ledger).

An interest document is generated when interest is posted. Posting interest is integrated into some business transactions.

In addition to the usual document data, an interest document also contains information about the basis of interest posting. This information is contained in the interest supplement. The interest supplement contains the items for which interest was calculated, as well as the relevant amounts and intervals. The interest key is recorded in the interest supplement. This allows you to identify which factors were used for interest calculation and posting.

When interest is posted (using manual posting, installment plan, dunning procedure, and so on) the resulting document contains an origin key in its header. The origin key identifies the business process that triggered the interest calculation. For example, origin key “28” identifies that the interest document resulted from a dunning procedure.

Note:
You can display all possible origin keys in table TFK001.

© Copyright. All rights reserved.

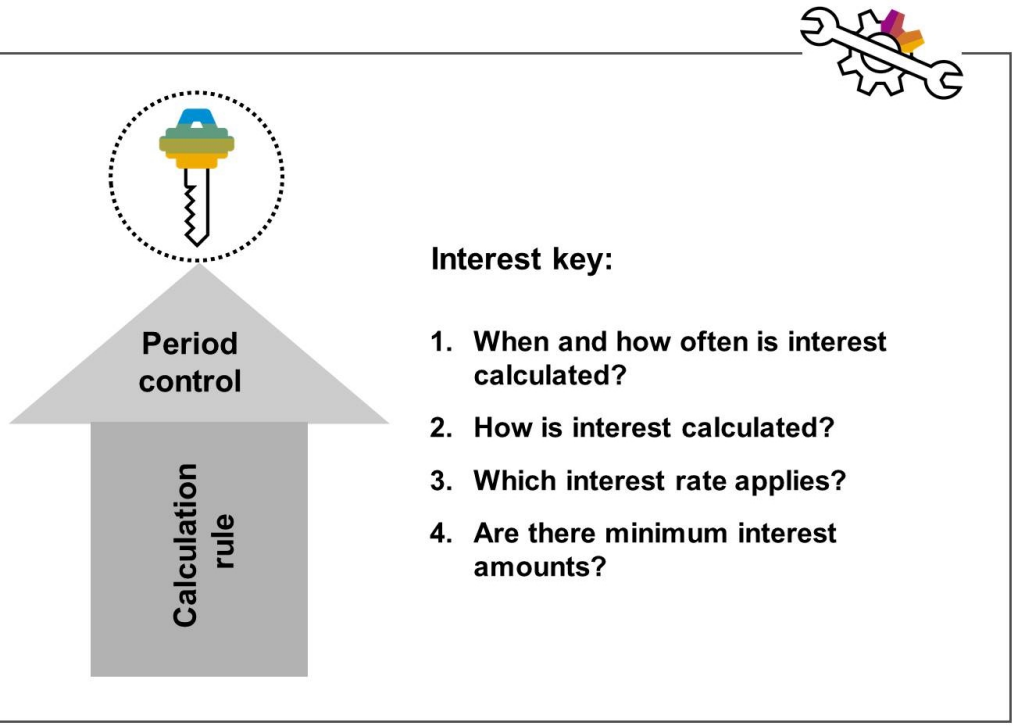


Figure 160: Interest Calculation: Configuration (1)

Item interest calculation is controlled by the *interest key* parameter. An interest key is determined for each item for which interest is to be calculated.

An interest key consists of all control parameters for interest calculation and interest posting:

- Parameters for item selection
- Reference to a calculation rule

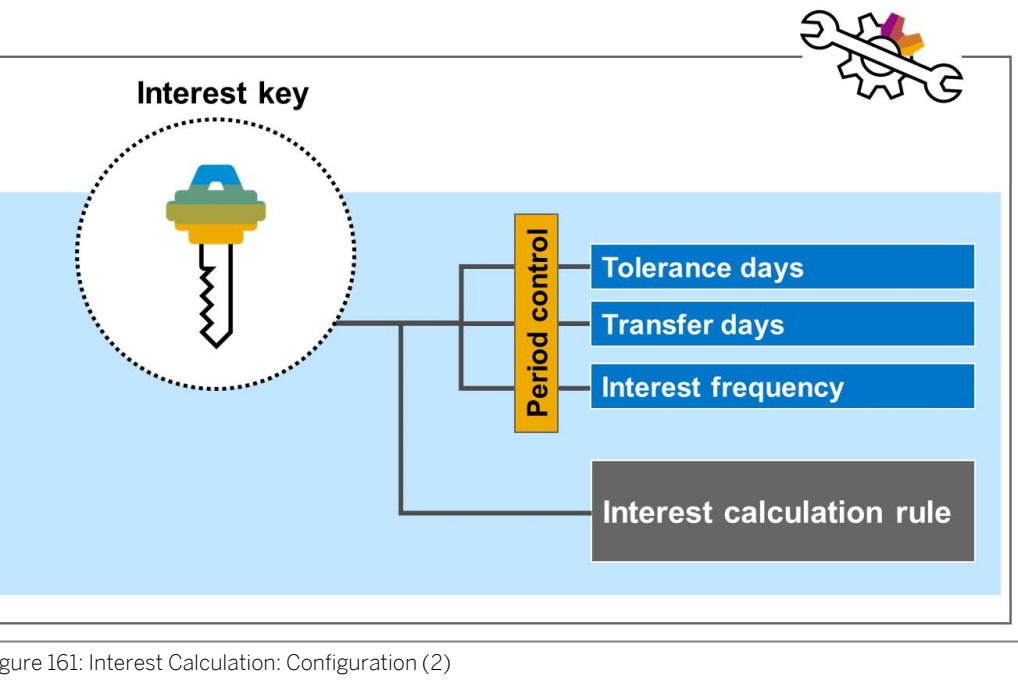


Figure 161: Interest Calculation: Configuration (2)

© Copyright. All rights reserved.

Tolerance days (grace period): Minimum number of days that must have passed since the due date for net payment of a receivable before interest can be calculated. If the receivable is cleared within the tolerance period, no interest calculation or interest posting can take place.

Hint:
The tolerance period is not taken into account for interest calculations in the future (such as installment plan interest).

Interest frequency: Interest calculation frequency determines the earliest point at which interest is calculated for an item if interest has already been calculated (for example, days, months, years).

Transfer days: Refers to the period that it takes a bank to clear a payment and provide the clearing information. This ensures that interest calculation does not take place on a receivable for which payment is delayed by the bank.

Baseline date for interest calculation = due date for net payment + grace period + transfer days.

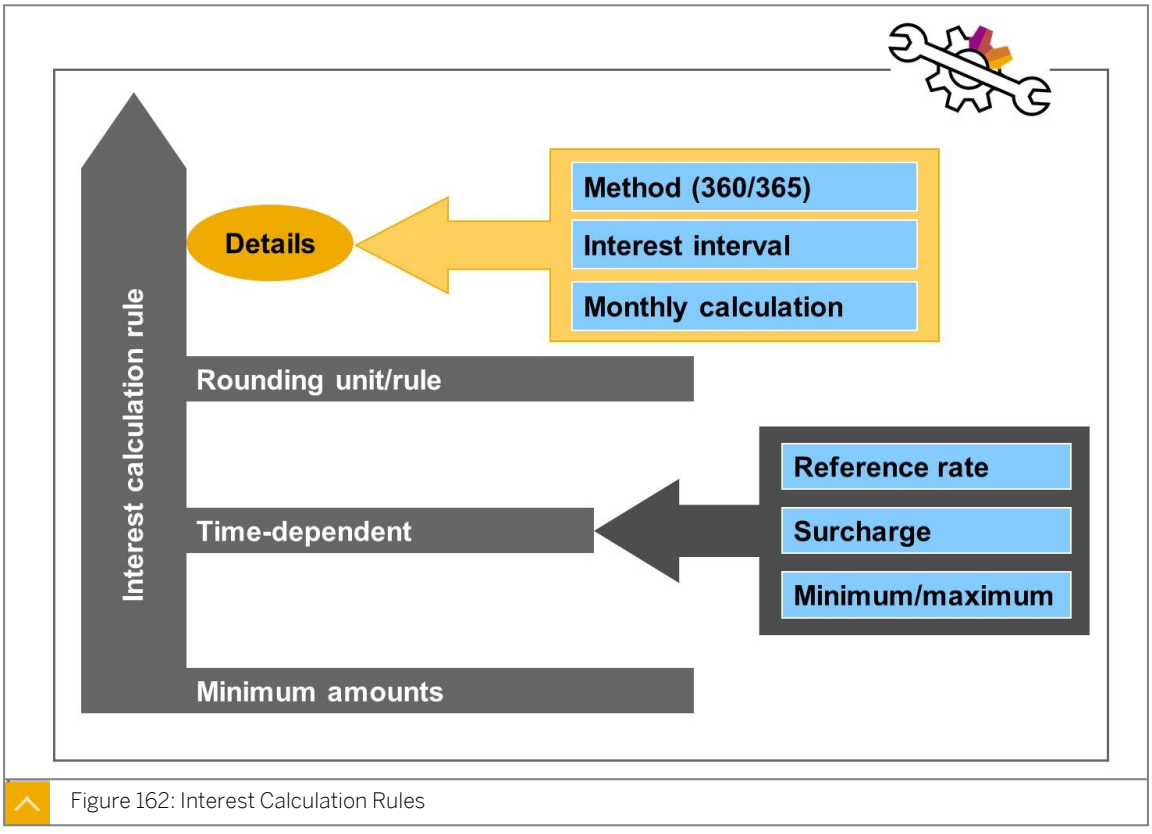


Figure 162: Interest Calculation Rules

The interest calculation rule contains the parameters for interest calculation:

- Reference to a reference interest rate (dynamic interest rate)
- Fixed rates (static interest rate)

Interest calculation rules: Interest rates are stored per currency and debit/credit indicator according to date. They can also be based on a reference interest rate, such as the federal funds rate.

© Copyright. All rights reserved.

Interest calculation can be carried out on a monthly basis. For example, interest can be 2% for each month.

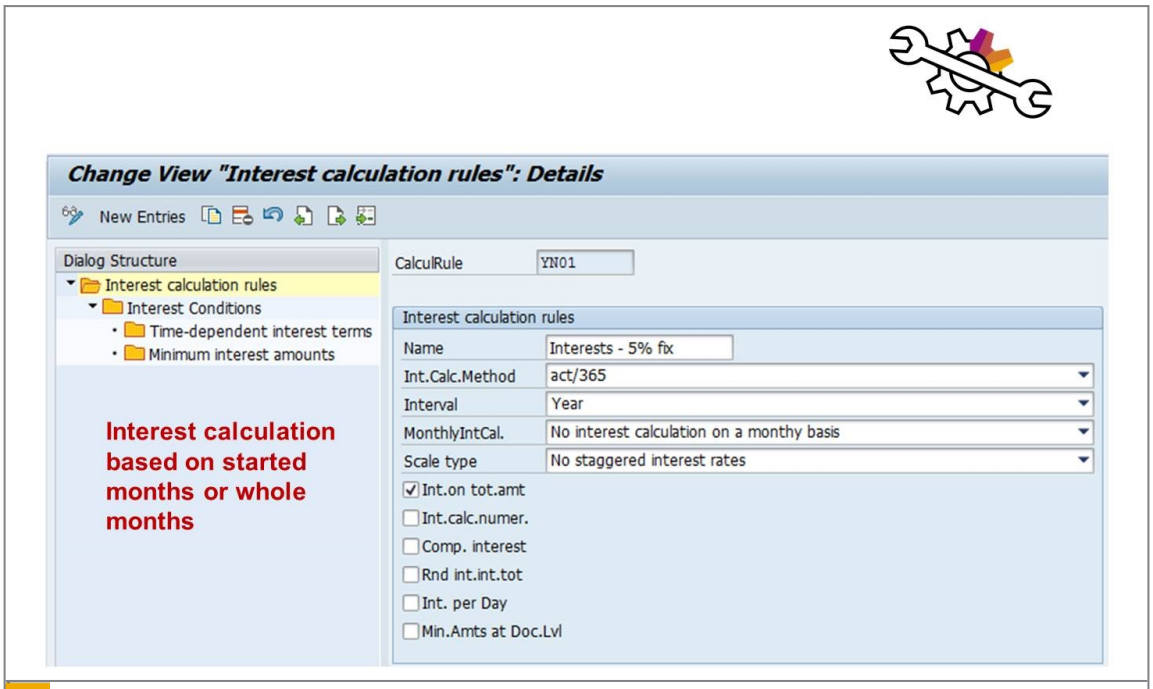


Figure 163: Interest Calculation Rules Configuration

The interest calculation method dictates how interest is to be calculated. Most users use method “act/365”, with which the system calculates interest based on a 365-day period. However, there are other methods available.

The *Scale Type* indicator is used if the interest rate used is based on amounts. For example, you may wish to charge an interest rate of 5% on the first 1000 balance and then 6% for any balance above 1000.

The interest interval can be set to a day, week, month, or year. In most countries, this indicator is set to *Year*. However, some countries with high inflation rates use *Day* or *Week*.

- You can round interim interest calculations. Rounding rules can differ and have to be configured.
- Example: Interest is to be calculated on an amount for the period from 01/01 to 01/20, using a higher interest rate from 01/10 on.
- Interest from 01/01 to 01/09: 10.12345. Interest from 01/01 to 01/20: 30.34437

If the amount is to be calculated to two decimal places, the total interest without flagging *Round interim interest totals* is 40.47 (10.12345 + 30.34437 = 40.46782). If the indicator is selected, the total interest is 40.46 (10.12 + 30.34).

Calculate interest on total amount: This indicator is used in conjunction with the *Scale Type* option for interest rates. For example, if the interest rate varies according to amounts and this indicator is selected, the interest rate used is applied to the entire amount. If the indicator is not selected, the interest rate specified for each amount is used.

If the *Comp. Interest* setting is selected, interest is calculated based on a compound interest formula.

© Copyright. All rights reserved.

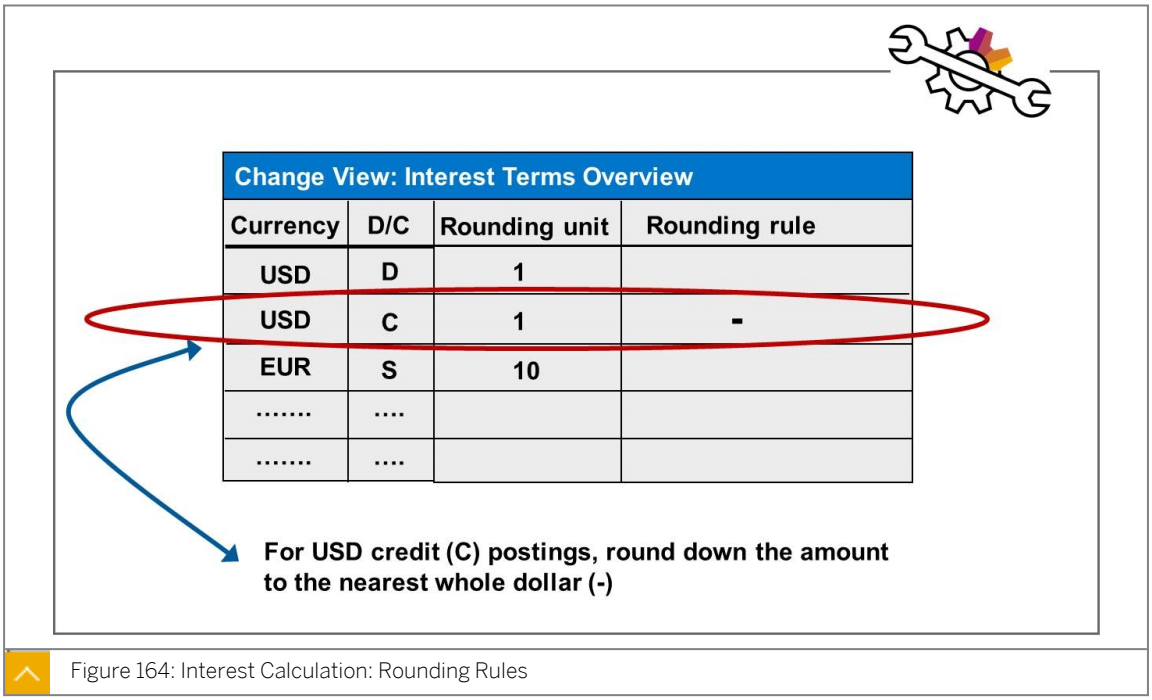


Figure 164: Interest Calculation: Rounding Rules

Rounding rules are assigned to interest calculation rules in the *Interest Conditions* area for interest calculation in Customizing.

Three rounding rules are available for interest calculation:

- "' '" Round to the nearest whole number.
- "-" Always round down to the nearest whole number.
- "+" Always round up to the nearest whole number. Group items before interest calculation.

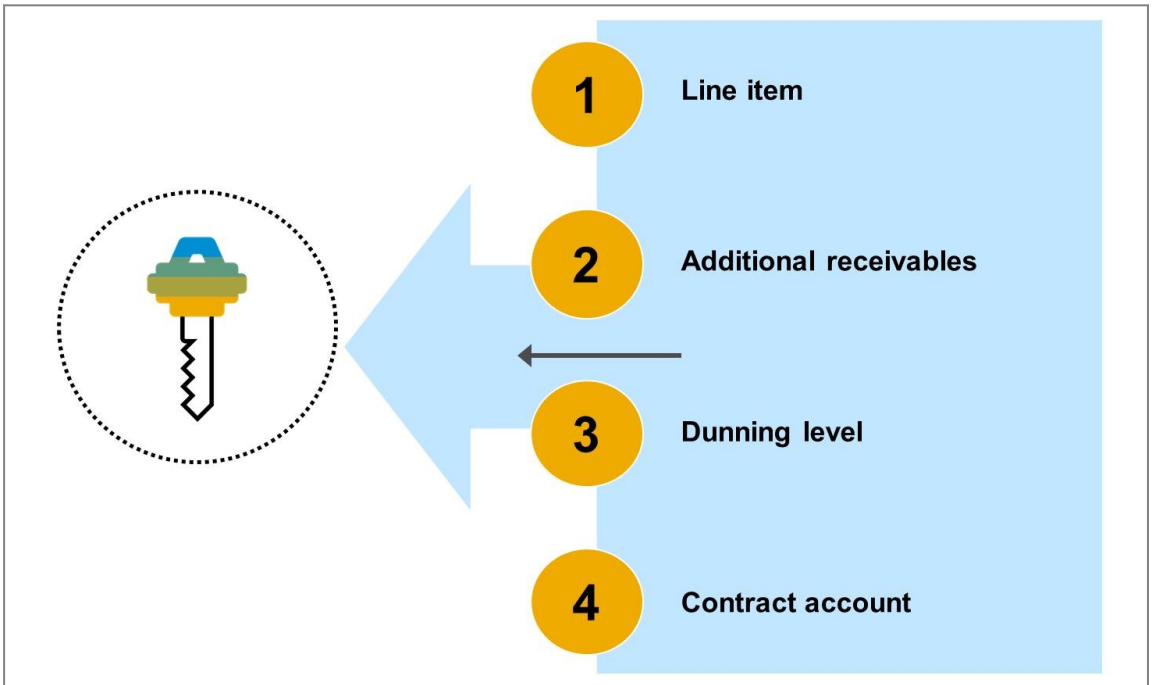


Figure 165: Interest Key: Determination

© Copyright. All rights reserved.

The system looks for an interest key in the sequence 1 to 4. If no interest key can be determined, interest calculation is not possible and interest is not calculated for the item.

The system calculates interest only on those items for which it can determine an interest key. An interest key can be assigned to a contract account, items, or dunning levels. The system normally determines the interest key for each industry, but can also do so on a customer-by-customer basis.

Hint:
This hierarchy is defined in event 2000. If desired, you can change the coding of the event to change this hierarchy.

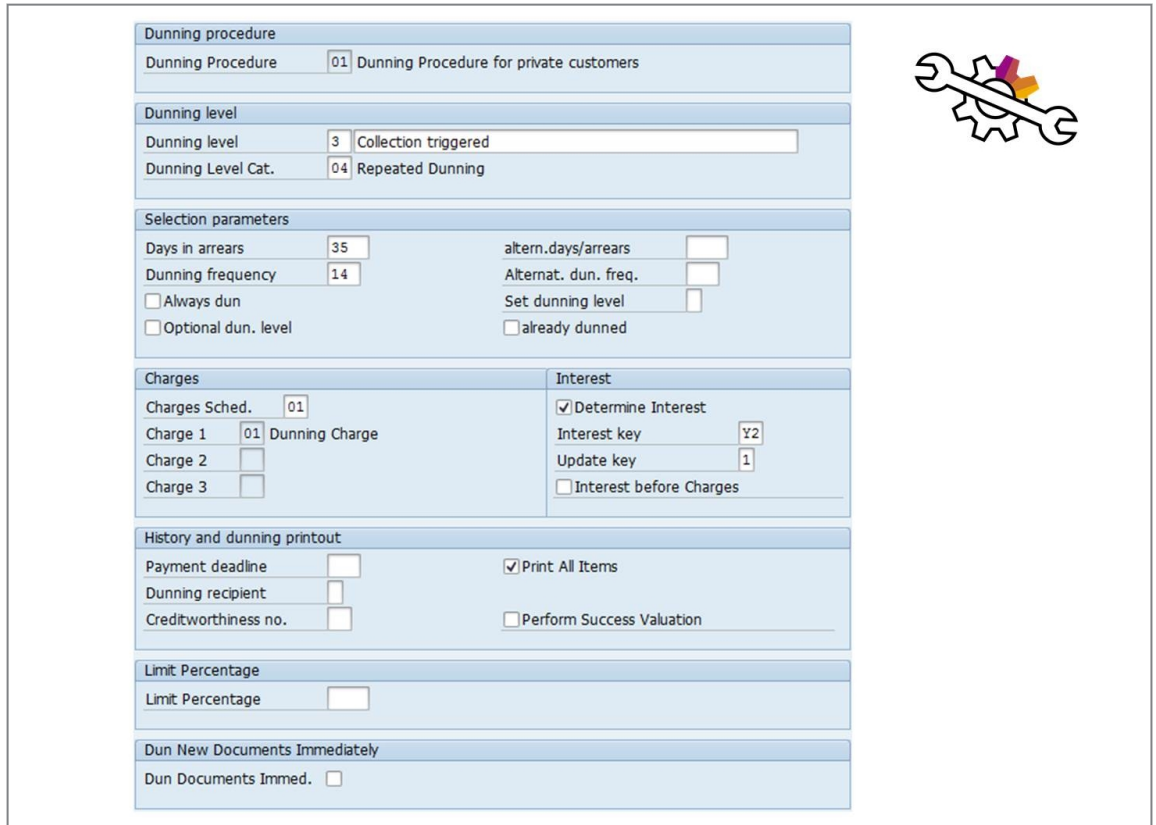


Figure 166: Interest Key in Dunning Level

If you select the *Calculate Interest* indicator, interest is calculated when this dunning level is reached.

In general, the *interest key* determines the calculation rule and the period control.

The “update key” has three possible settings:

- “” = Interest is only calculated, not posted. An organization can send a letter to a customer informing them that they could have charged interest, but opted not to.
- “1” = Interest is calculated and posted statistically (you do not expect to complete the transaction or collect the interest).
- “2” = Interest is calculated and posted. The general ledger is updated as a result.

© Copyright. All rights reserved.

LESSON SUMMARY

You should now be able to:

- configure interest keys and calculation rules

© Copyright. All rights reserved.

Interest Calculation Processing

LESSON OVERVIEW

At the conclusion of this lesson, you will able to process the interest calculation.

LESSON OBJECTIVES

After completing this lesson, you will be able to:

- process the interest calculation

Interest Calculation Processing

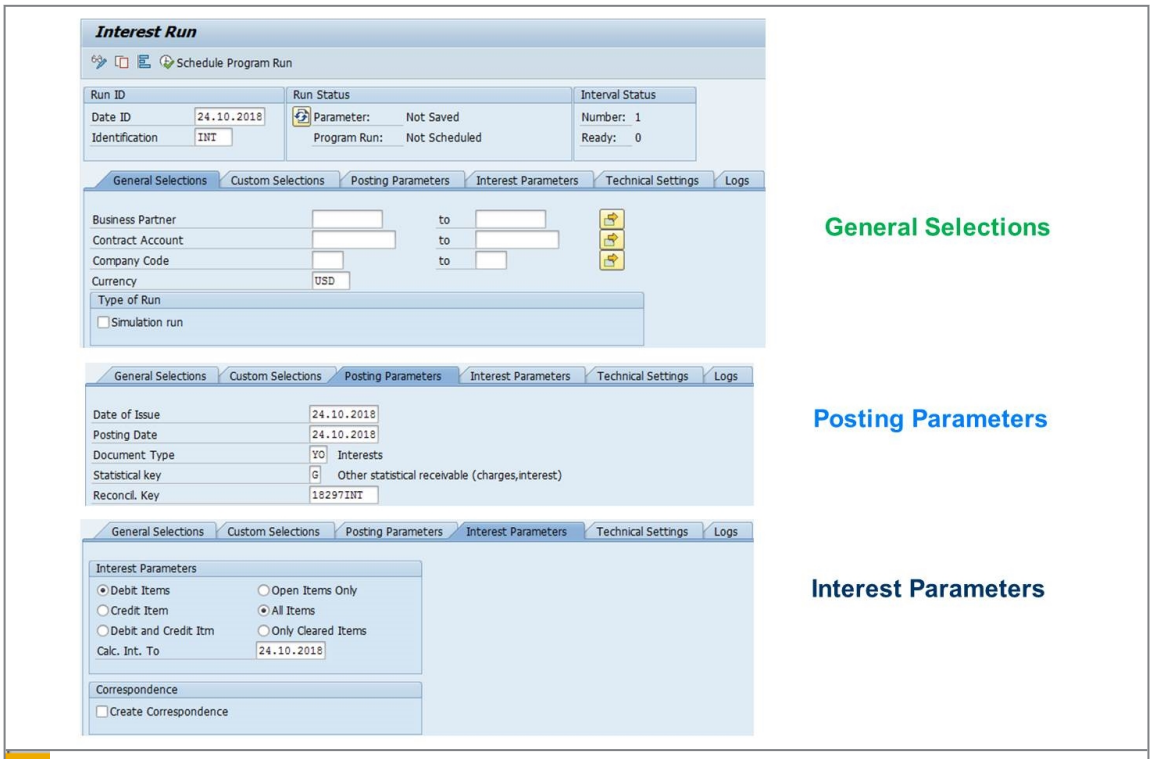


Figure 167: Interest Calculation Mass Processing

© Copyright. All rights reserved.

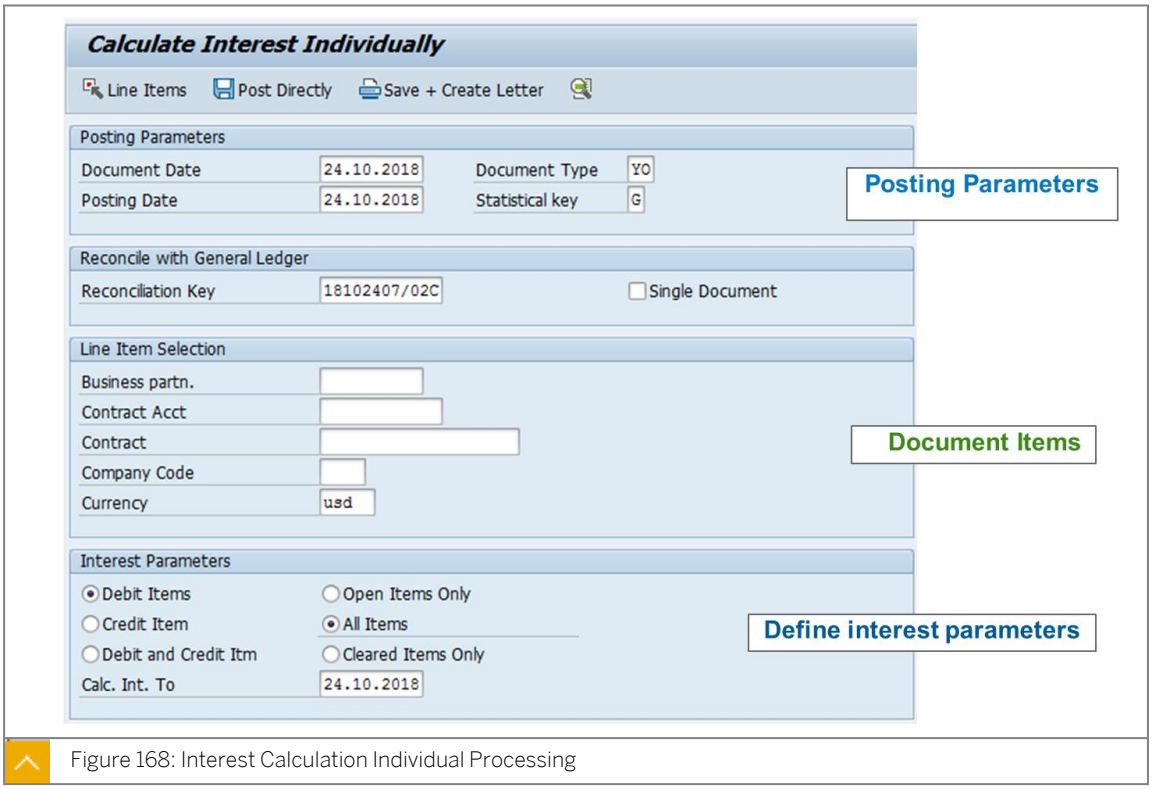


Figure 168: Interest Calculation Individual Processing

The default document type and statistical key displayed on this screen are defined in Customizing and may be overwritten at the time of posting.

The *Single Document* indicator specifies whether the system is to create a separate document in General Ledger Accounting for each line item for which interest is calculated. The number of the document posted in FI-CA is stored as the reference document number in the general ledger document.

You must specify whether you want to calculate interest on debit or credit items.

Hint:
It is not possible to select *Credit Items* and indicate *only open debit items* at the same time.

If you select the *Cleared Items Only* indicator, if any partial payments (resulting in two subitems) are made, interest calculation only takes place when the item is totally cleared.

In the *Calculate Interest To* field, you specify the date up to which interest is to be calculated.

Hint:
Interest calculations are usually posted using the *interest run* function, and not manually.

© Copyright. All rights reserved.

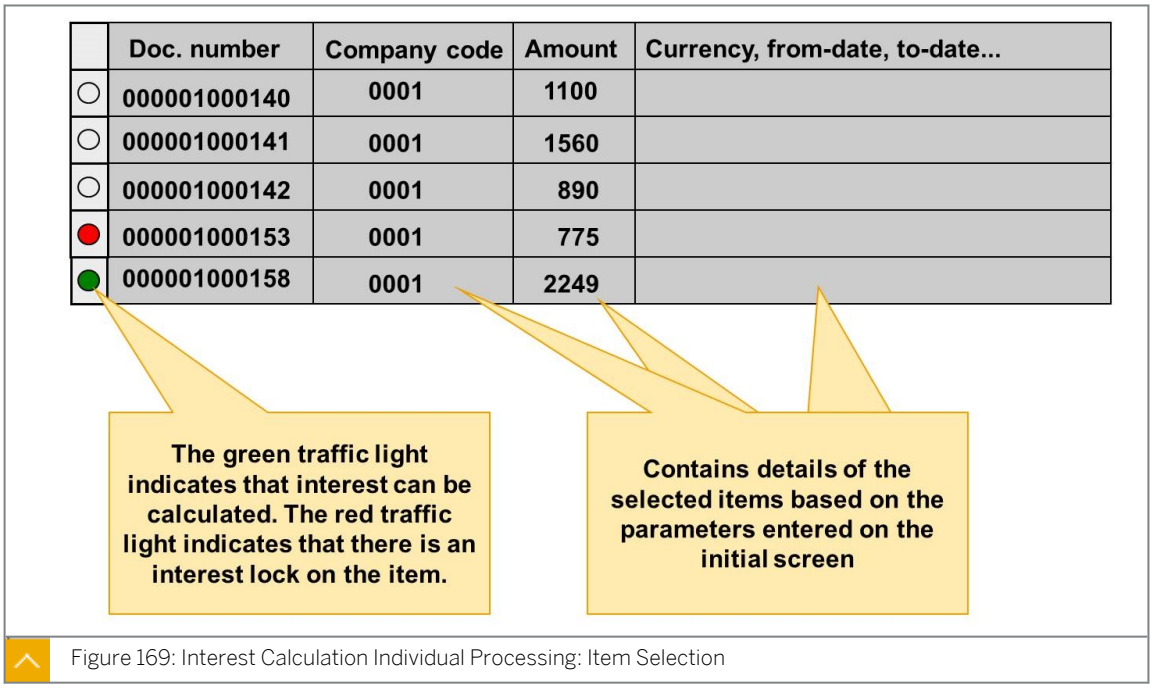


Figure 169: Interest Calculation Individual Processing: Item Selection

A green light indicates that interest can be calculated. A red light indicates that the item is blocked for interest calculation.

You can double-click on a red light to find out why interest cannot be calculated for that particular item.

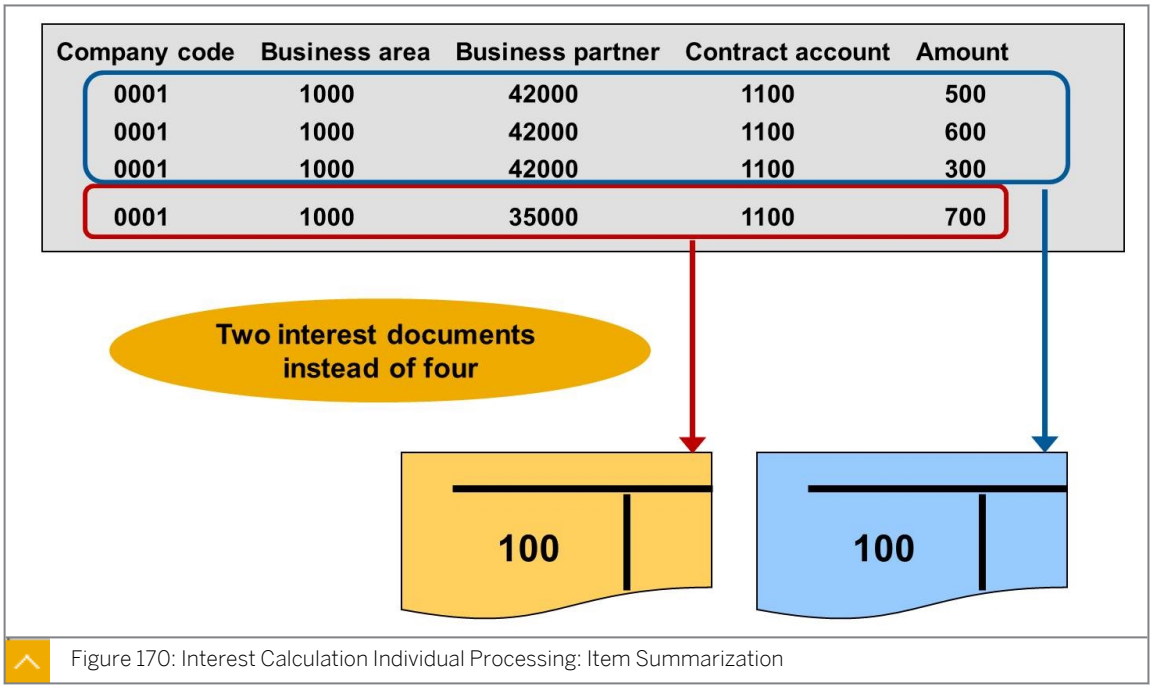


Figure 170: Interest Calculation Individual Processing: Item Summarization

To minimize the number of interest documents that the system must post, only one interest document per matching summarization criteria is posted in the system.

The summarization criteria (fields) for interest items are transferred from the original items to the interest items.

SAP delivers several default fields for summarization. You cannot delete these criteria. Standard delivered fields include: company code, business area, business partner number,

© Copyright. All rights reserved.

contract account number, division, and so on. You can also add more fields (up to a maximum of 12 criteria, including the standard delivered summarization fields).

Hint:
Technical note: The summarization criteria are defined in the structure FKKIV.

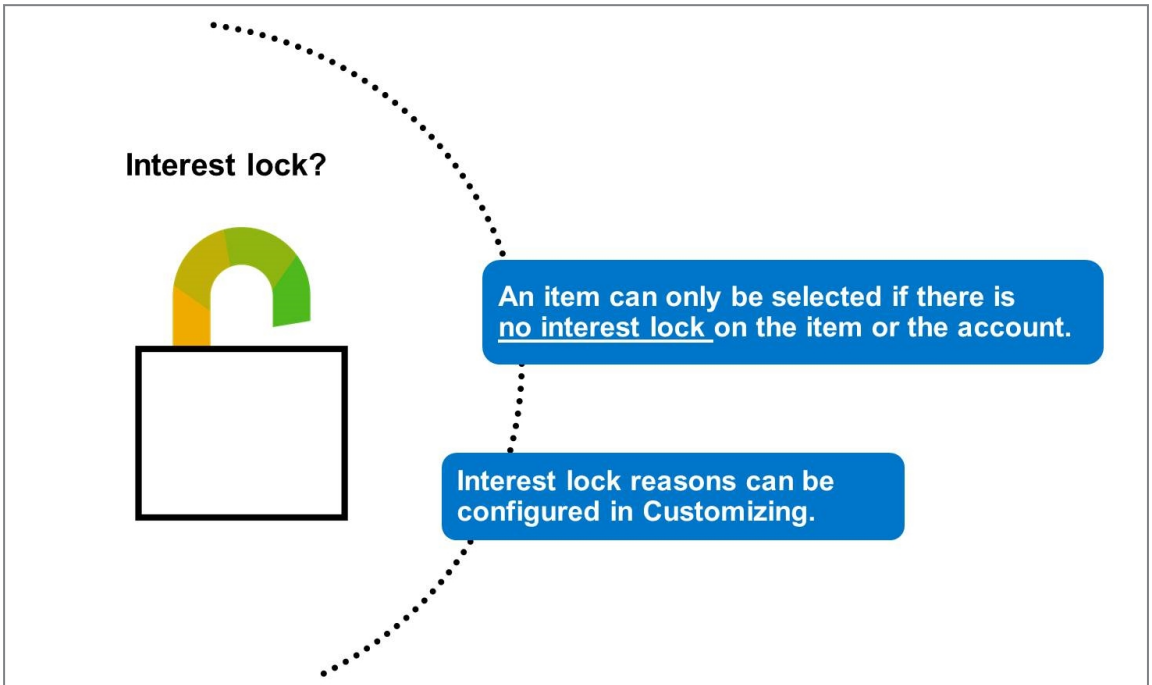


Figure 171: Interest Calculation Exception: Interest Lock

Interest locks enable you to prevent interest from being calculated on certain items. You can also exclude certain business transactions (such as reversal postings or additional receivables for interest calculation) from interest calculation.

An item will not be selected in the following cases:

- It does not meet selection criteria.
- It is excluded from interest calculation in event 2010. The function module called with event 2010 checks whether interest can be calculated on a line item. In the reference function module, statistical items can be excluded from interest calculation.
- It is an additional receivable and interest calculation was excluded.
- It is not due.
- It cannot be processed due to the Customizing settings for transfer days, tolerance days (grace period), or interest frequency.
- If interest has already been calculated for the item for the given period.

In Customizing, you define the clearing reasons (table TFK056C) for cases when the interest calculation is not calculated retroactively (for example, reversals).

© Copyright. All rights reserved.

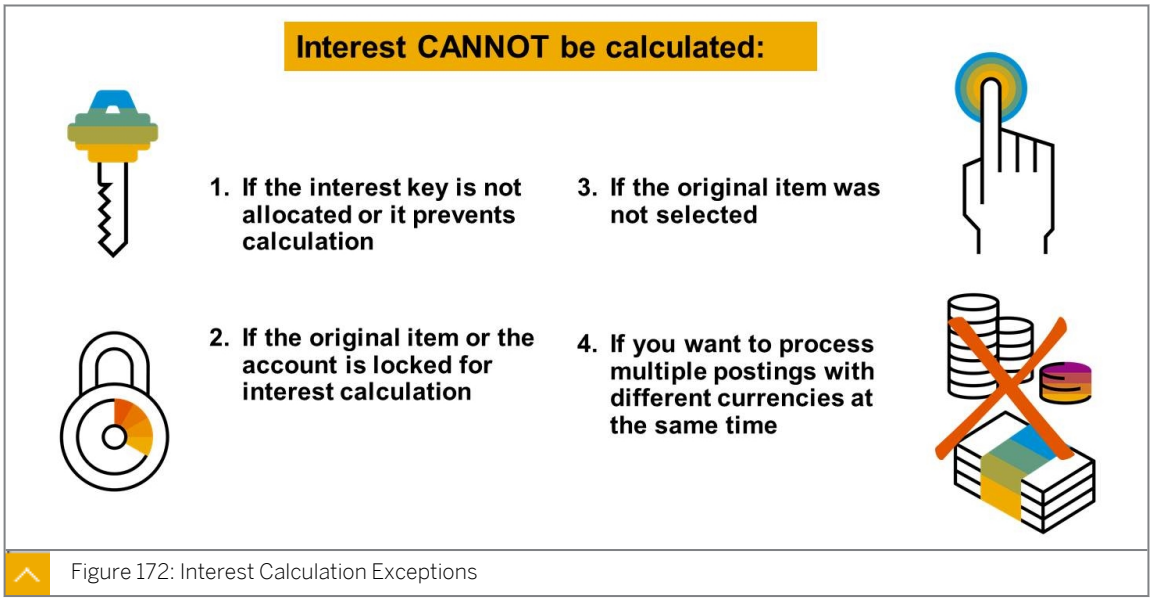


Figure 172: Interest Calculation Exceptions

Since interest keys are linked to calculation rules, which in turn are linked to currency types, an interest document can only be created in one currency at a time. If you have items in different currencies, the system cannot determine in which currency the interest document is to be posted.

If postings exist in several currencies for an account, you have to call up interest posting separately for each currency.

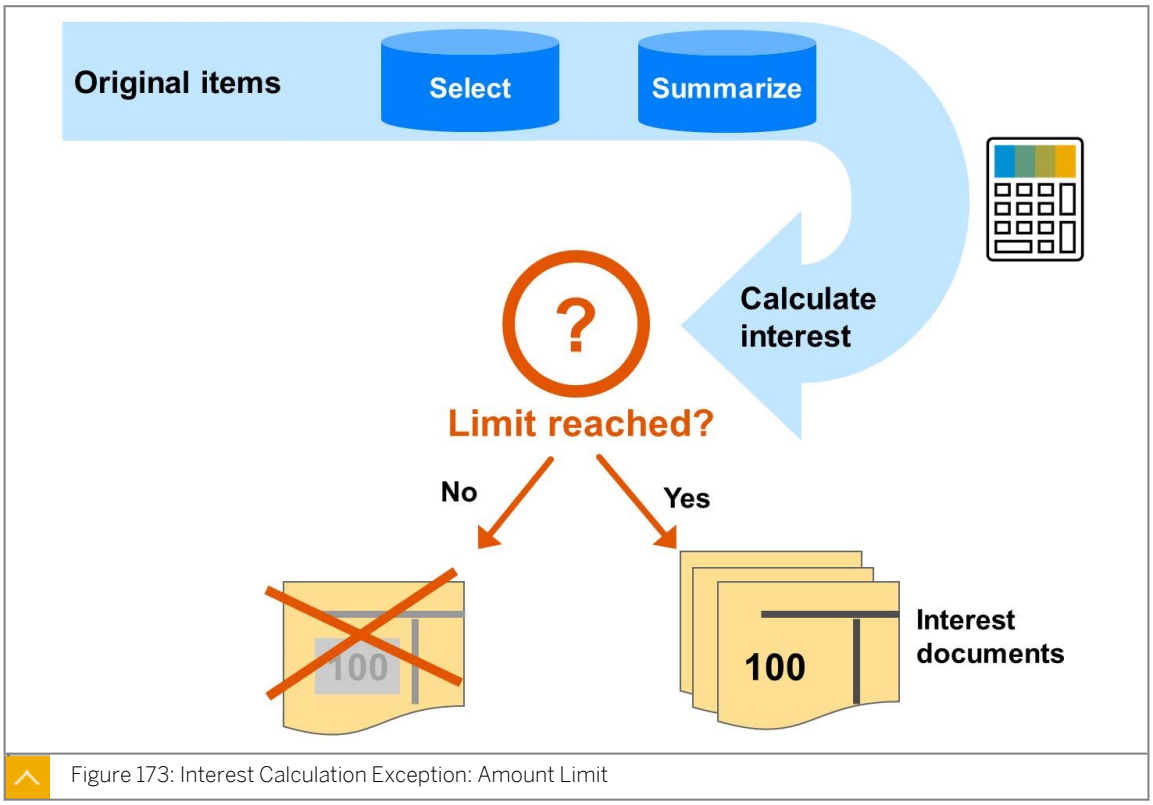


Figure 173: Interest Calculation Exception: Amount Limit

Debit interest is generated if the calculated interest exceeds the minimum amount limit set in Customizing.

© Copyright. All rights reserved.

The amount limit for posting interest depends on the company code, the debit/credit indicator, and the currency. Items are first summarized by criteria, and then interest must reach the defined minimum amount limit to be posted.

Standard check: Total amounts for all interest for a company code are compared with the minimum amount limit defined in the TFK057 table.

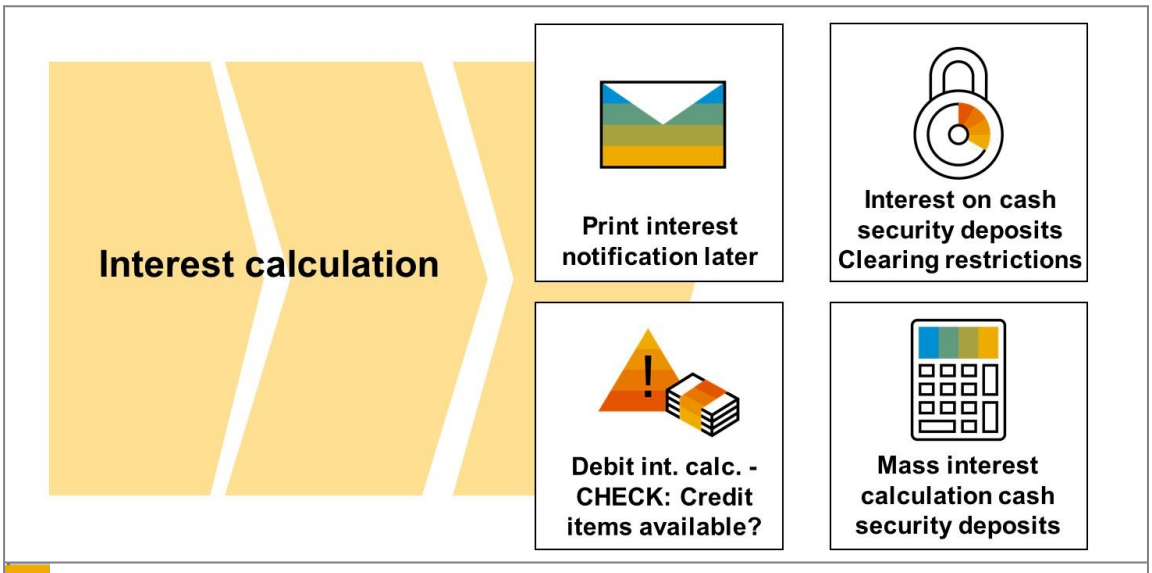


Figure 174: Additional Functions

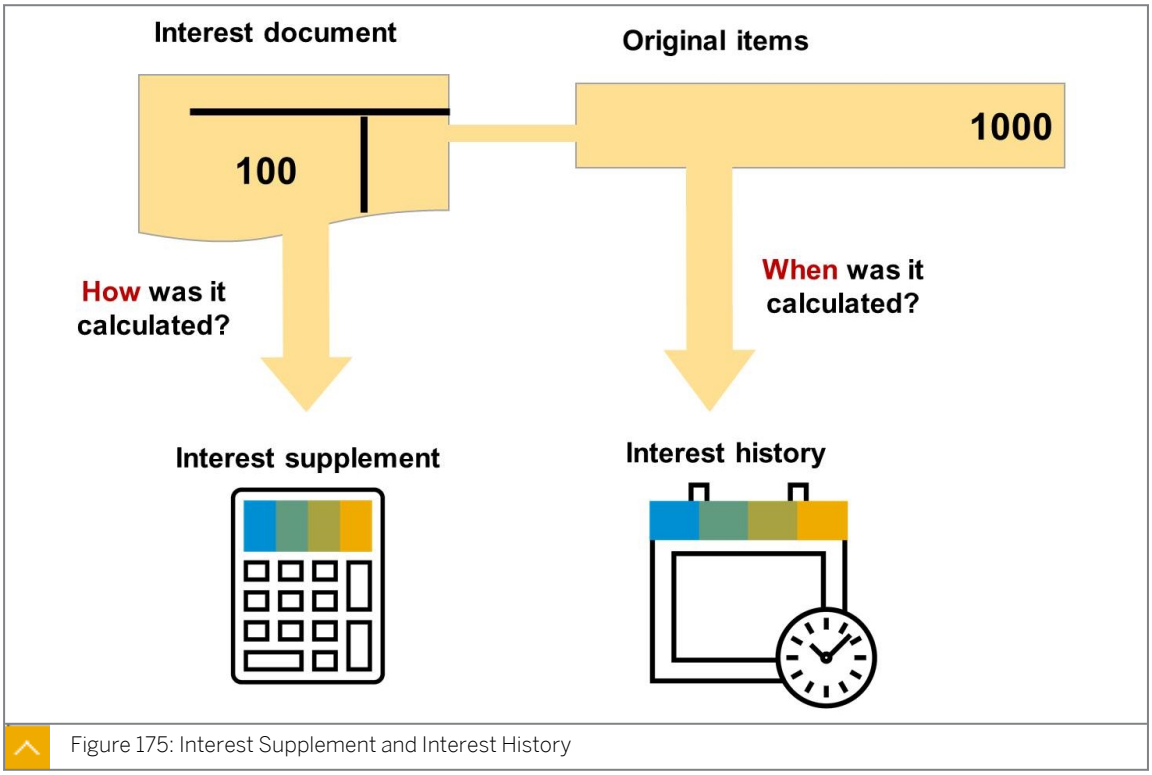


Figure 175: Interest Supplement and Interest History

An interest document includes the structures of a document in FI-CA: document header, line items, and general ledger (G/L) items. In addition to the usual document data, an interest document also contains information about the basis of interest posting. This information is contained in the interest supplement.

© Copyright. All rights reserved.

For each interest item, the interest supplement indicates how the interest amount was determined, including original items, interest period, and interest rate. This allows you to reconstruct how interest was determined at a later date. The interest supplement can be accessed via an interest document.

An interest history records the interest calculation period for each line item on which interest is to be calculated. During interest calculation, the selected items and the interest are considered jointly. This ensures that interest is calculated only once for items for a certain period. Choose *Interest* → *Select line items* and select the items for which you want to calculate interest.

Hint:
If you later change the system settings for the interest calculation rule or interest rule, you will no longer be able to retrace interest calculation using the interest supplement. If you change the interest rate for dates in the past, this has no impact. However, the system issues a warning when you try to do this.

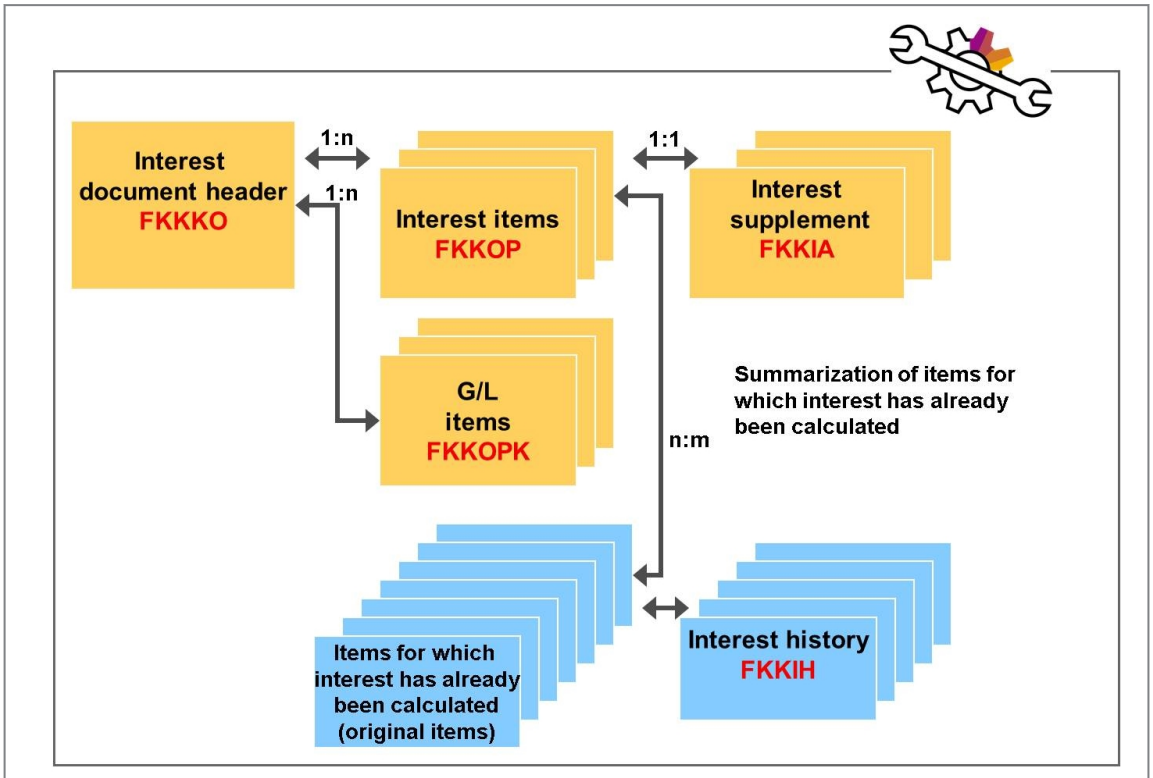


Figure 176: Interest Document Structure

This figure shows some of the technical information required by customers who may want to add events to standard interest-related programs.

LESSON SUMMARY
You should now be able to:

- process the interest calculation

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 11 Deferral and Installment Plan

Lesson 1

Deferral 205

Lesson 2

Installment Plan 207

UNIT OBJECTIVES

- describe function and task of a deferral
- describe function and task of the installment plan

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 11
Lesson 1

Deferral

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe function and task of a deferral.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe function and task of a deferral

Deferral

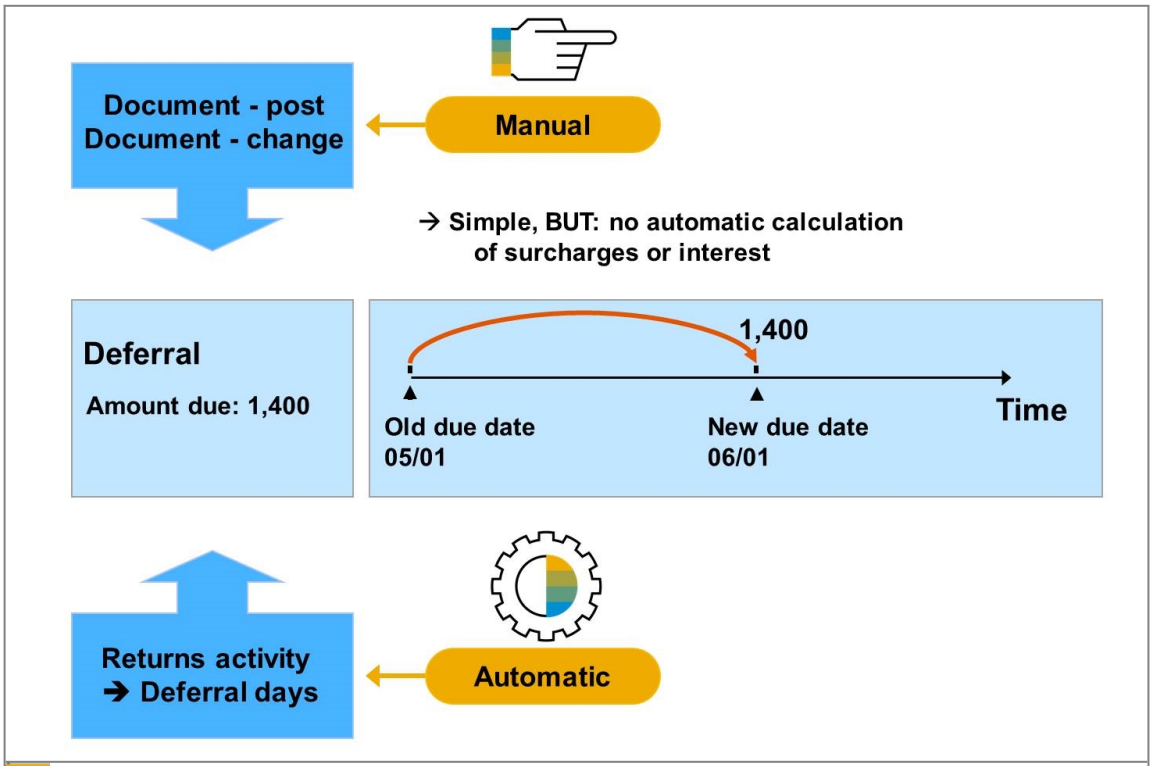


Figure 177: Deferral: Processing (1)

If the business partner is temporarily unable to settle their open items, the due date is postponed. As a rule, additional *surcharges, charges, or interest* are charged. Until the date specified the deferred item will not be dunned in a dunning run and will not be collected from the bank by the payment program. Once the deferral date has passed, or if you have deleted the date from the item, the item can be dunned again and collected.

Deferral can be performed manually in the document change transaction or automatically during returns processing. You can enter a deferral date when you post the document or when you change the line items in the document. The deferral does not change the original

© Copyright. All rights reserved.

due date. The deferral date is used instead of the due date to automatically create dunning notices or debit memos.

To reverse a deferral, delete the deferral date in the item (transaction: Change Document).

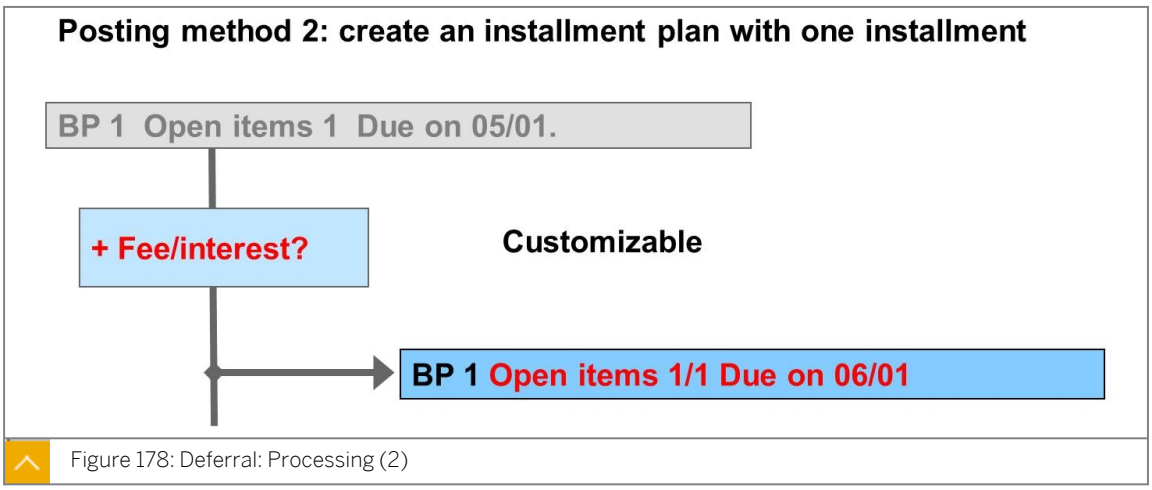


Figure 178: Deferral: Processing (2)

Debit interest:

Interest on open debit items is calculated for the period from the due date to the interest calculation date (this is usually the current date).

Cleared debit items:

Interest on debit items that were cleared with a delay is calculated for the period from the due date to the date of clearing, provided the clearing is completed before the interest calculation date.

Do not calculate interest:

If an item is not cleared by a payment, usually no interest calculation is to take place (for example, interest must not be calculated for items that have the clearing reason “Reversal”).

Credit interest:

Credit interest for calculating interest for credit always has to be posted as relevant for the general ledger.

Interest is not calculated for allocated incoming payments.

Interest simulation:

Interest is calculated for information only; it is not posted.

LESSON SUMMARY

You should now be able to:

- describe function and task of a deferral

© Copyright. All rights reserved.

Unit 11
Lesson 2

Installment Plan

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe function and task of the installment plan.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe function and task of the installment plan

Installment Plan

Installment plan

If the business partner is temporarily unable to settle his/her payables, you:

- **Defer the items and distribute the amount across several due dates.**
- **Generally speaking, charge addition fees or interest.**

Figure 179: Installment Plan: Definition

With an installment plan, you divide original items into multiple installment receivables that have a due date in the future or in the past. Once an installment plan has been posted, the items of the installment plan–not the original items–are referred to when a bank collection is made or when a dunning run is carried out.

An installment plan consists of a statistical document with multiple installment receivables. The individual installment receivable is cleared upon payment. The number of the installment plan is saved in the original items. If interest is payable on an installment plan, the installment plan will also have an interest supplement. You can use the installment plan history to determine the original items on which an installment plan is based (choose *Account → Further Information → Installment Plan History*).

© Copyright. All rights reserved.

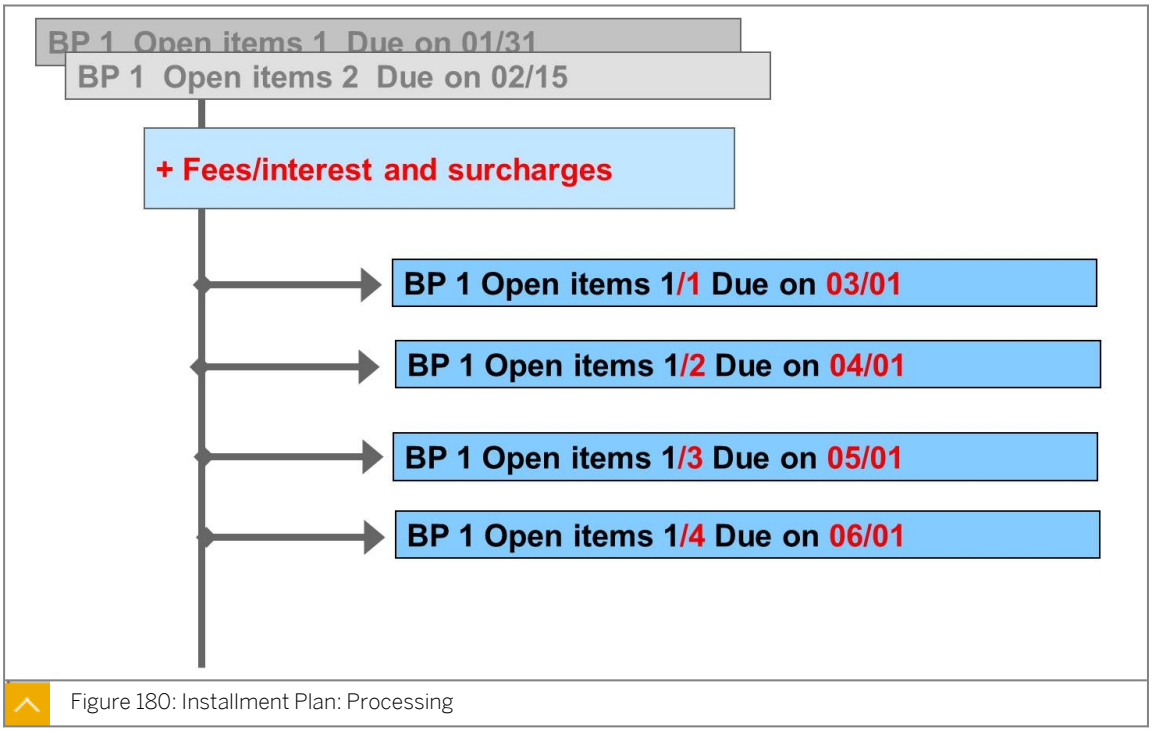


Figure 180: Installment Plan: Processing

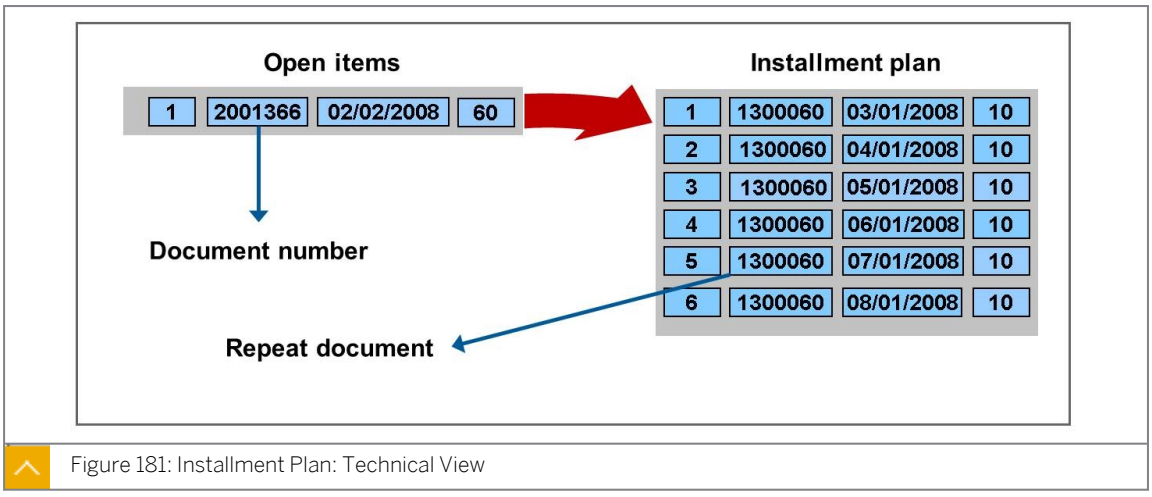


Figure 181: Installment Plan: Technical View

One or more open items can be broken down into a particular installment plan.

When you create an installment plan, you define the number of installments within the plan and the interest key. The interest key controls the grace period, interest frequency, interest interval unit, and the interest calculation rule. You can store frequently recurring installment terms and conditions in the system as default installment plans (installment plan types).

When you create an installment plan, you can specify the percentage amount of the total amount that is to be used as the first installment. The system calculates the remaining installments as required.

When you create an installment plan, you can also specify partial amounts.

If the agreement for payment in installments is canceled, you can deactivate the installment plan manually. The original receivable is then active again. The link between the original receivables and the installment plan is deleted.

© Copyright. All rights reserved.

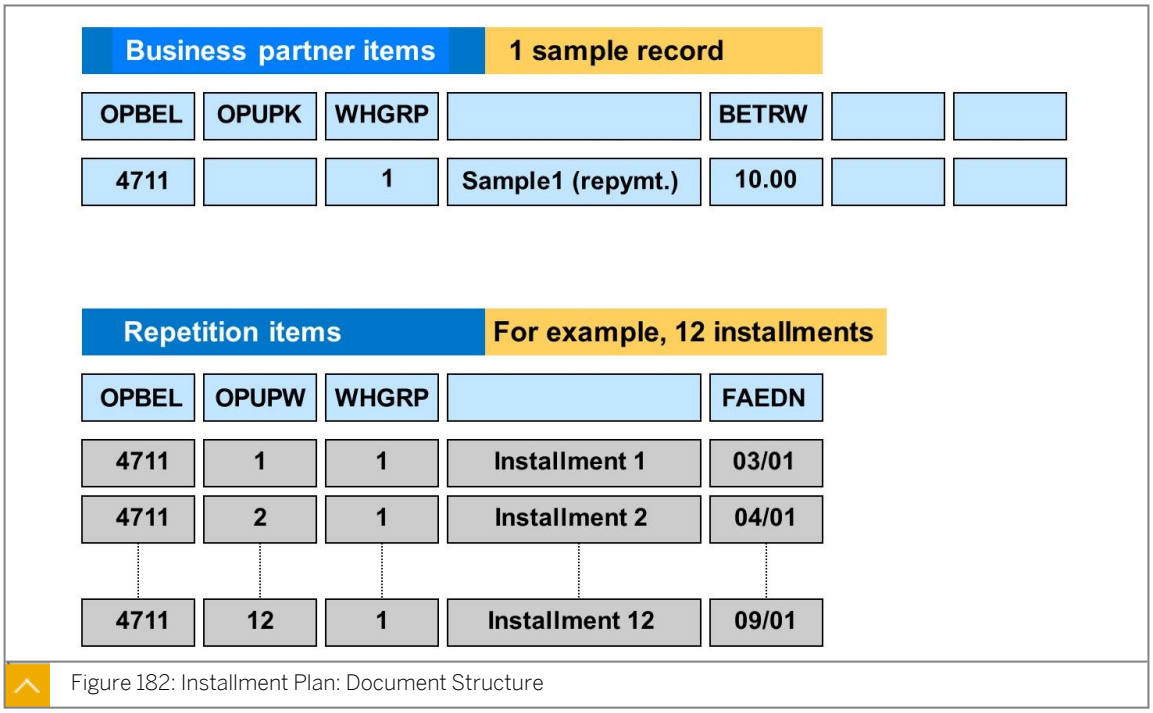


Figure 182: Installment Plan: Document Structure

Installments for installment plans are represented as repetition documents.

A sample business partner item (repetition group) is created and repetition items are formed for the individual due dates.

Legend:

- OPBEL: Number of a document in Contract Accounts Receivable and Payable (FI-CA)
- OPUPK: Item number in the FI-CA document
- WHGRP: Repetition group
- BETRW: Amount in transaction currency with +/- sign
- OPUPW: Repetition item in the FI-CA document
- FAEDN: Net due date

© Copyright. All rights reserved.

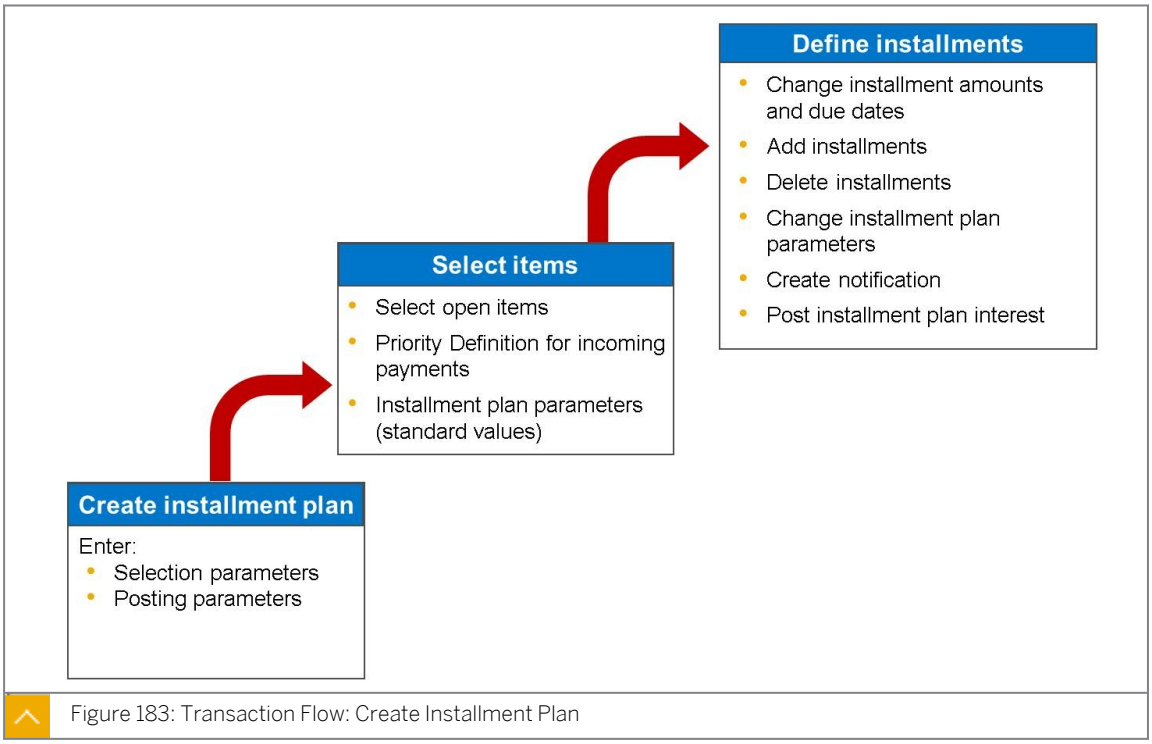


Figure 183: Transaction Flow: Create Installment Plan

Installment plans can be created for one or more open items for an account (provided they have the same currency).

When selecting open items for an installment plan, you can specify the priority with which original items of the installment plan are cleared when payments are received.

You can define an alternative payer to the business partner for installment plan items. Use the new input field *Partner for Payment* to do this. There you can maintain an alternative payer for each installment.

Previously, you could only define a bank details ID for installment plan items but not a payment card ID. You can now use the new input field *Card ID* to enter a payment card ID.

© Copyright. All rights reserved.

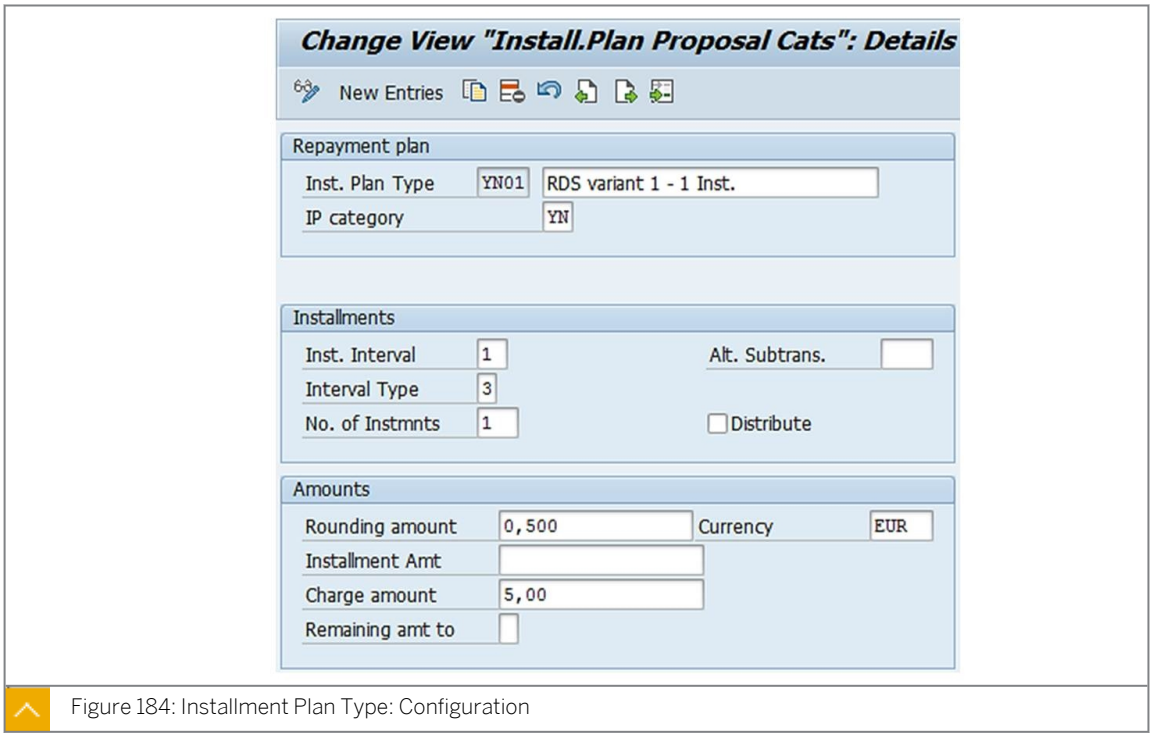


Figure 184: Installment Plan Type: Configuration

You can create an installment plan type in Customizing, which can then be used to post an installment plan.

Installment intervals define the length of the intervals between installments. An interval type defines the interval between installments (for example, month).

Distribute interest and charges to all installments: Define whether installment interest and charges for the installment plan are to be distributed to all installments. The interest and charges are distributed according to the installment amounts.

The individual installment amounts are rounded to a multiple of this amount. Remaining amounts that result from the rounding process are added to the first or last installment, or a new installment can be created. The rounding amount can be entered with up to three decimal places. If the amount is rounded, the system takes into account the currency in question and rounds the amount to the reduced number of decimal places.

The installment amount is the amount of the individual installment payments. The installment amount can be entered as an alternative to the rounding amount and number of installments.

A charge can be calculated for granting an installment plan. If a charge is entered, the system automatically posts a charge document when creating the installment plan and adds the charge to the first installment.

Remaining amount: A remaining amount can result when calculating the amount for the individual installments of an installment plan. Remaining amounts that result from the rounding process are added to the first or last installment, or a separate installment. If you do not specify a value here, the remaining amount is automatically added to the last installment.

Installment plan types can be used to group installment plans.

© Copyright. All rights reserved.

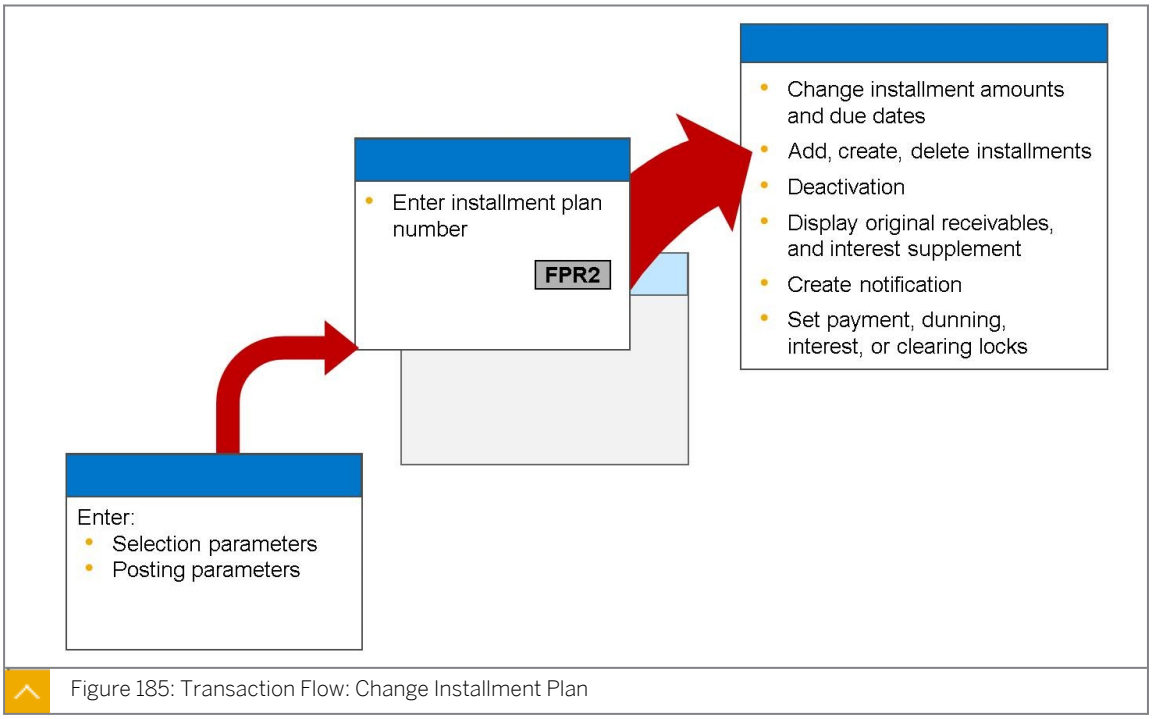


Figure 185: Transaction Flow: Change Installment Plan

You can make the following changes in an installment plan:

1. Delete installments or add further installments.
2. Change the due date and amount for an individual installment receivable, provided that the installment receivable has not yet been paid.

If the installment plan has not yet been paid or has only been partially paid, you can cancel the interest document and charge document for the installment plan.

Interest items can be reversed. In the menu, choose *Account* → *Installment Plan* → *Change*. Enter the number of the installment plan and choose *Continue* → *Installment Plan* → *Deactivate*. The system displays a dialog box in which you select an interest document. Choose *Enter*. The installment plan interest document is then reversed.

© Copyright. All rights reserved.

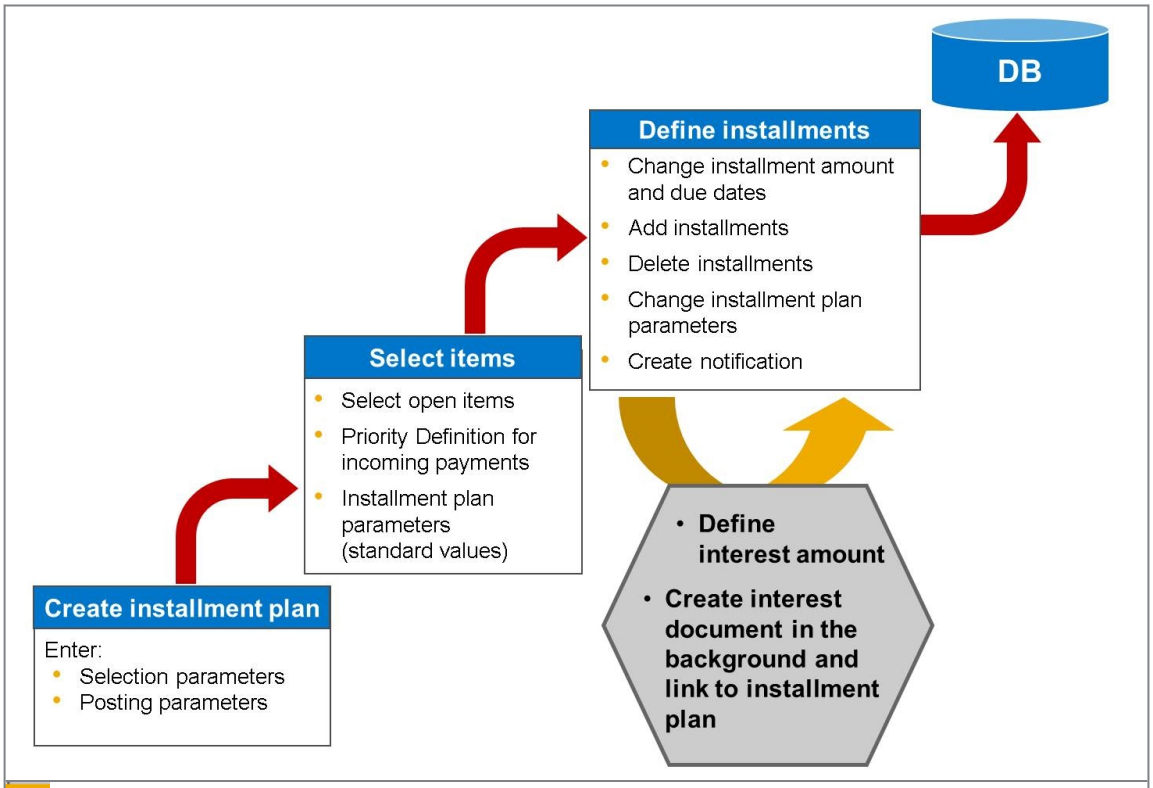


Figure 186: Transaction Flow: Post Installment Plan Interest

Interest is calculated for the duration of the installment plan.

Interest can be recalculated and posted if customers fall behind with their payments again. Example: A customer phones and requests an installment plan with six installments from Jan. 1 to June 1. However, on August 1, the customer still has an outstanding balance. It is possible to calculate and post interest on the unpaid balance that exists after June 1.

You can also add interest to the installation plan at a later date using the *Change Installment Plan* transaction (FPR2).

In addition to the installment plan interest calculation (from the start date to the due dates of the installment plan), you can trigger an interest calculation on original items up to the start date of the installment plan.

© Copyright. All rights reserved.

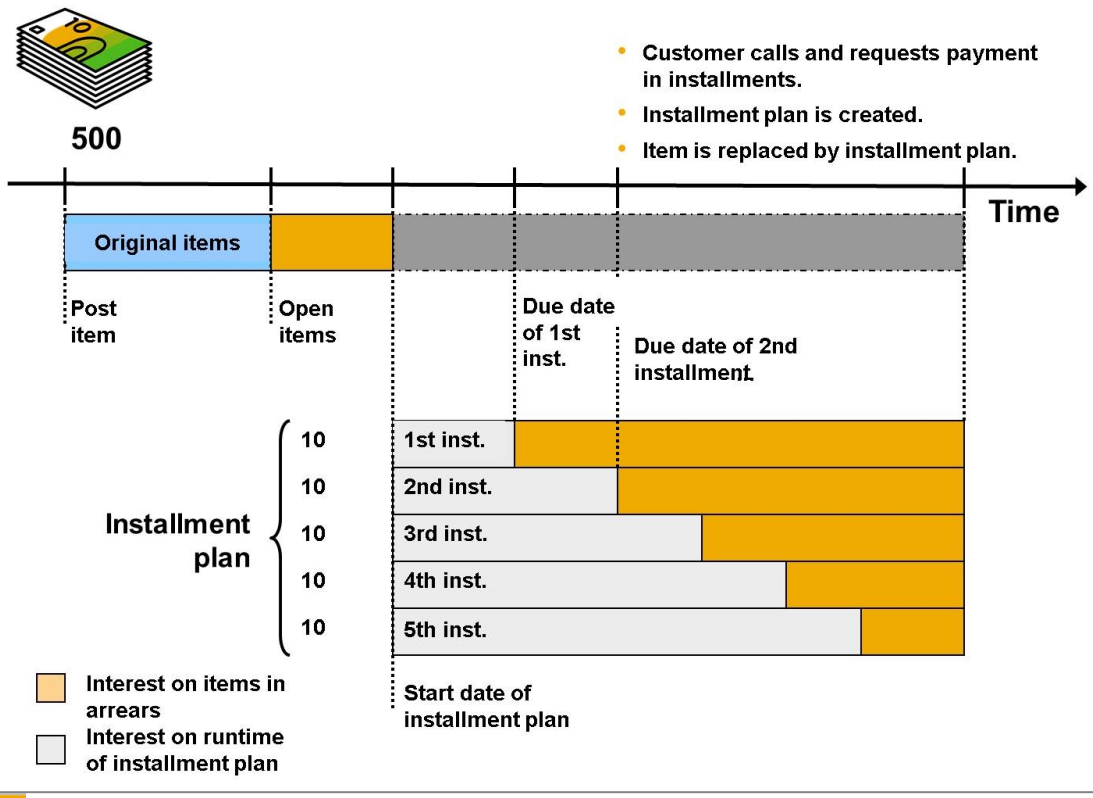


Figure 187: Installment Plan: Interest Calculation

LESSON SUMMARY

You should now be able to:

- describe function and task of the installment plan

© Copyright. All rights reserved.

UNIT 12 Other Business Transactions

Lesson 1

Account Maintenance 217

Lesson 2

Reversal and Clearing Reset 221

Lesson 3

Document Transfer 227

UNIT OBJECTIVES

- execute account maintenance
- execute reversal and clearing reset
- transfer documents

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 12
Lesson 1

Account Maintenance

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to execute account maintenance.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- execute account maintenance

Account Maintenance

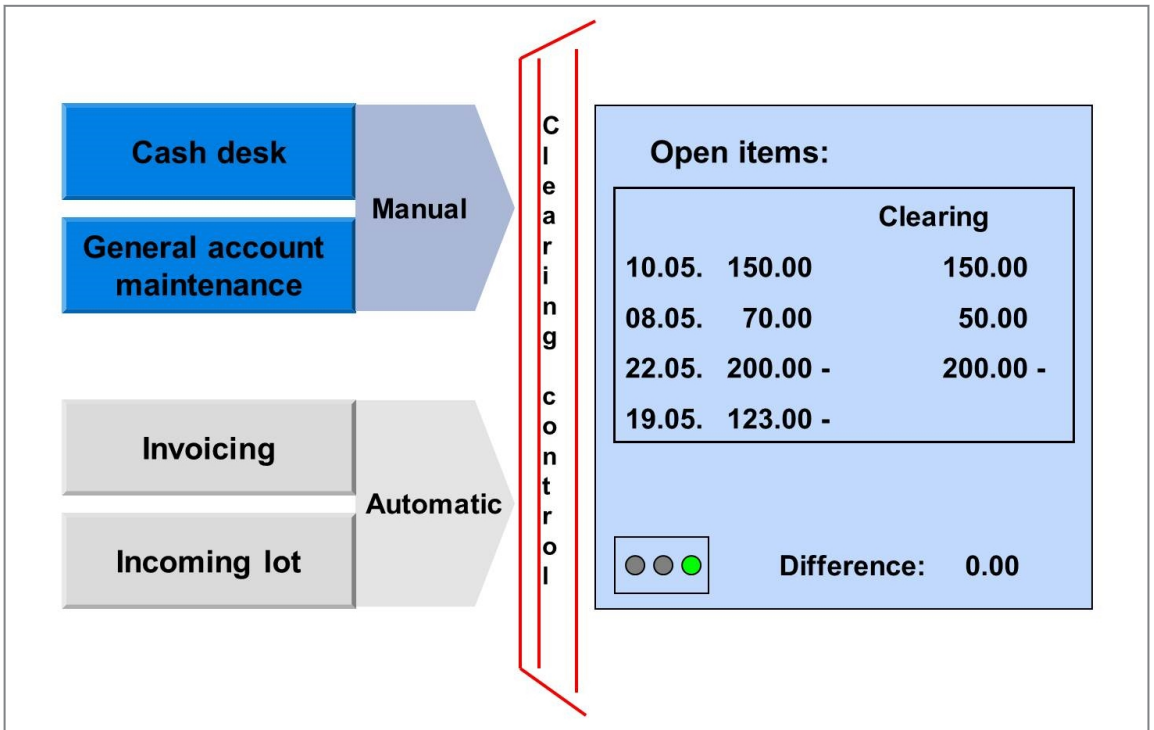


Figure 188: Account Maintenance: Concept

© Copyright. All rights reserved.

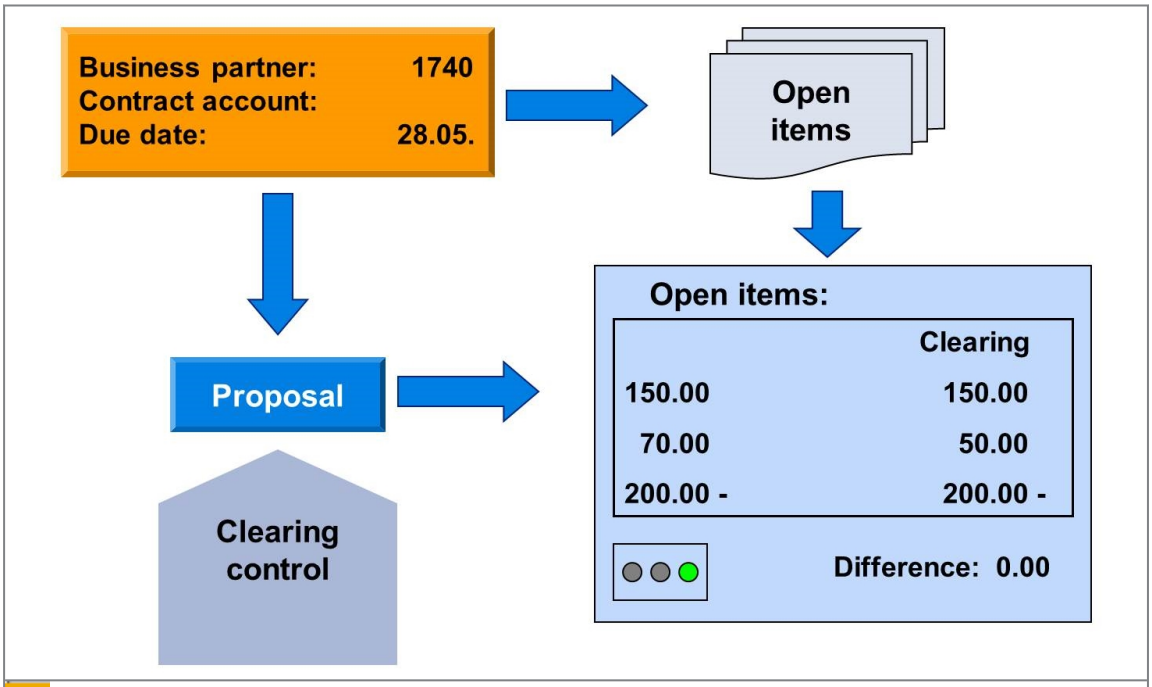


Figure 189: Account Maintenance: Process

You can select open items on the initial screen for account maintenance. On the processing screen, you can change or add items to this selection, and include other contract accounts or business partners.

Items allocated to the proposal from clearing control are already active. However, you can change the allocation and ignore the proposal.

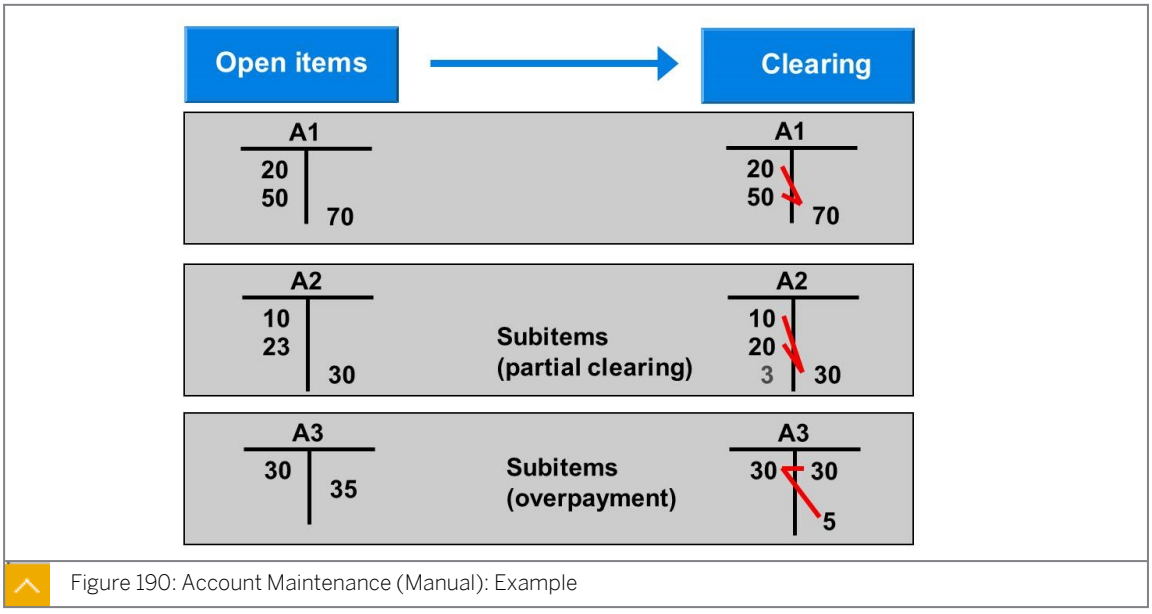


Figure 190: Account Maintenance (Manual): Example

You can have the system automatically create a clearing proposal for you (results can be edited) or you may create and modify the proposal manually (often necessary when processing partial payments) when performing manual account maintenance.

© Copyright. All rights reserved.

LESSON SUMMARY

You should now be able to:

- execute account maintenance

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Reversal and Clearing Reset

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to execute reversal and clearing reset.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- execute reversal and clearing reset

Reversal and Clearing Reset

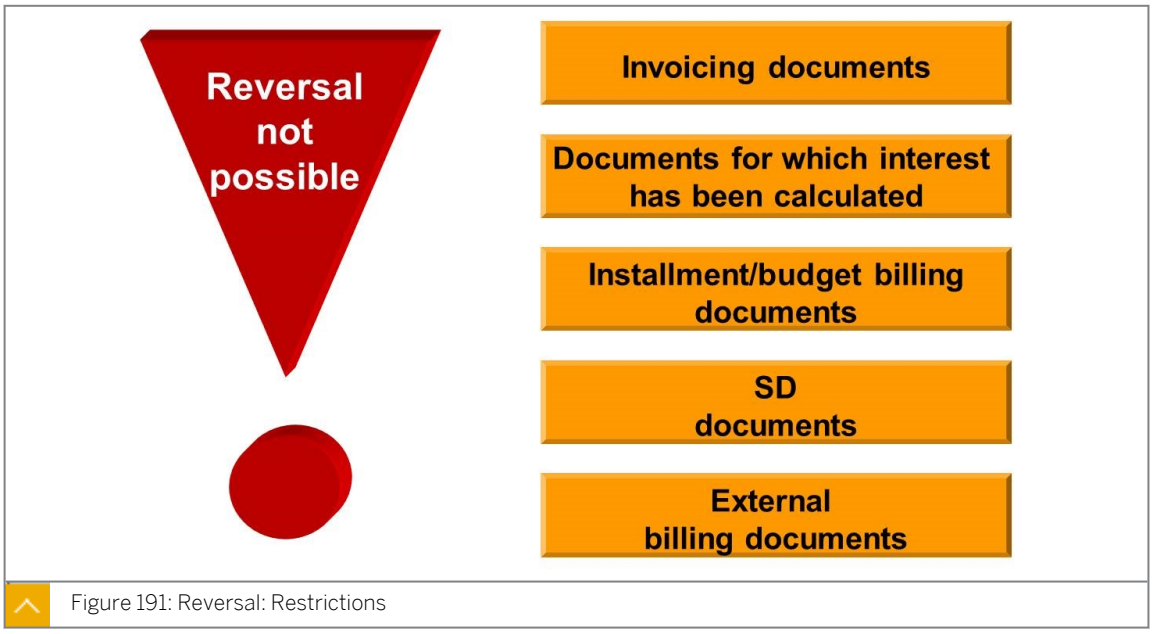


Figure 191: Reversal: Restrictions

Document to be reversed:

- After reversal, the business partner items have the clearing document number of the reversal document.

Indicator reverse document:

- Reference to the reversed document using the document number of the reversed document in the document header
- In the reversal document, an item is created for every G/L. These items have the opposite +/- sign from the G/L item.

© Copyright. All rights reserved.

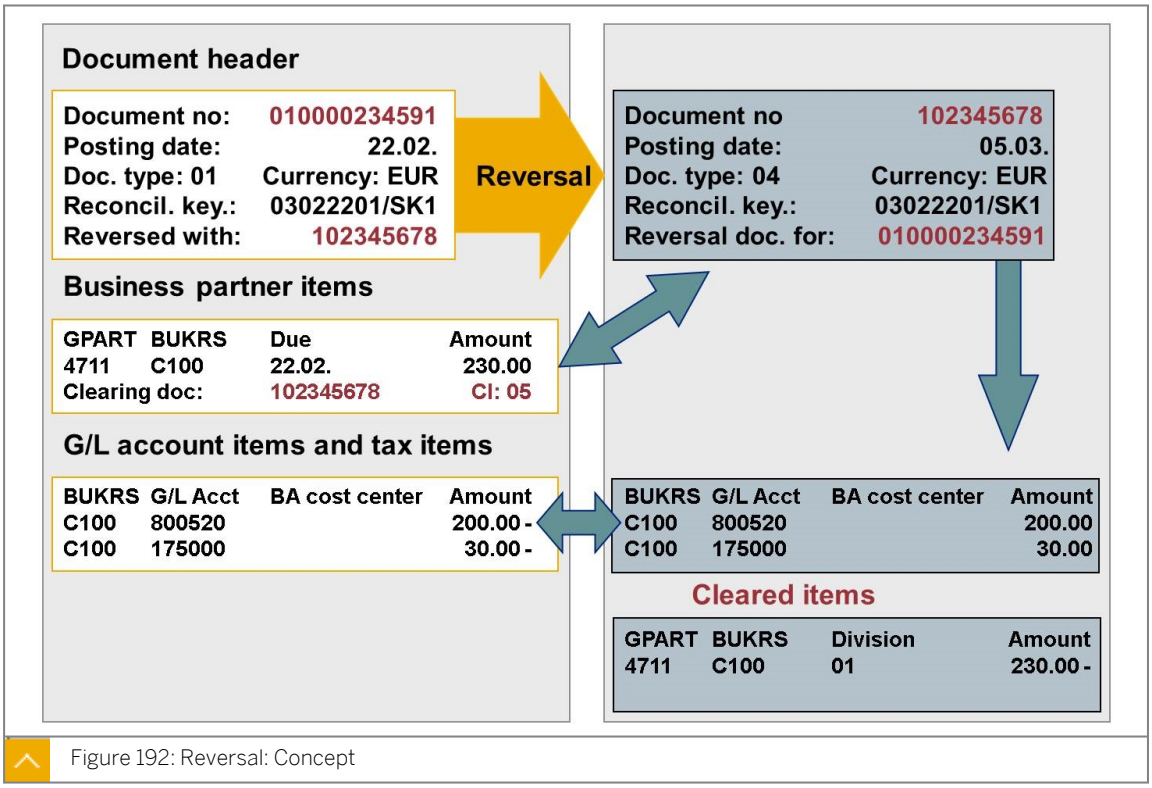


Figure 192: Reversal: Concept

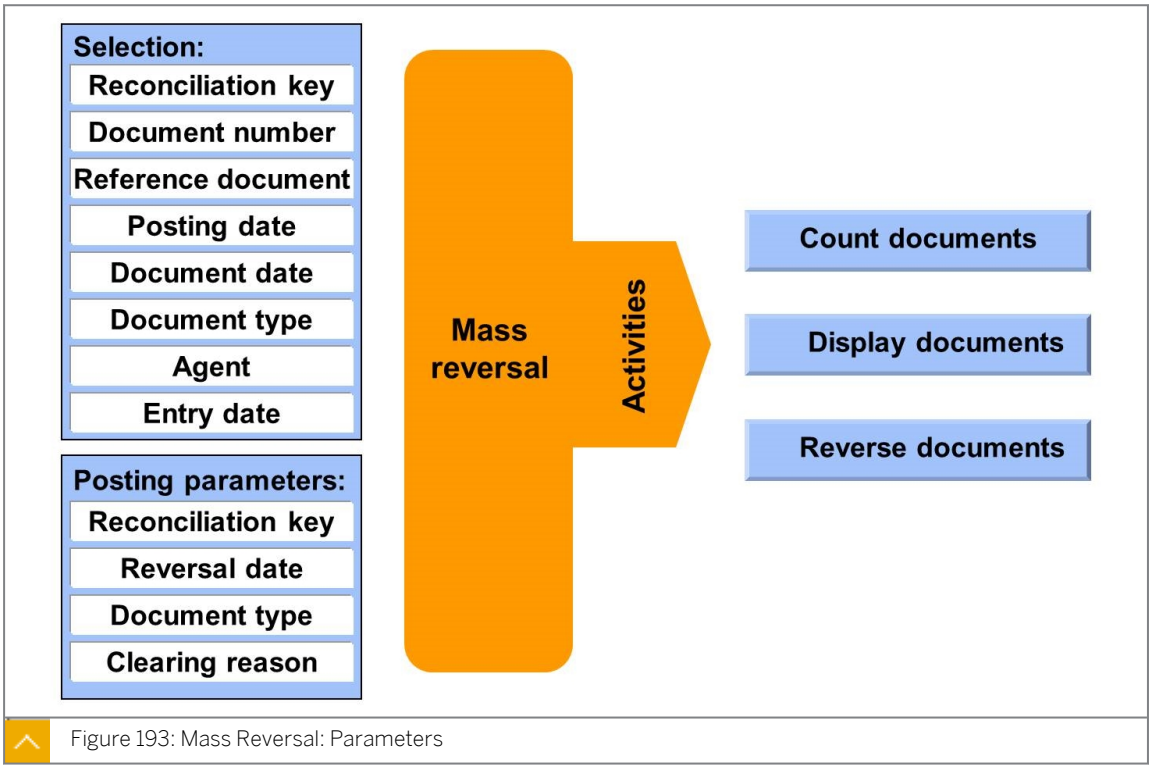


Figure 193: Mass Reversal: Parameters

© Copyright. All rights reserved.

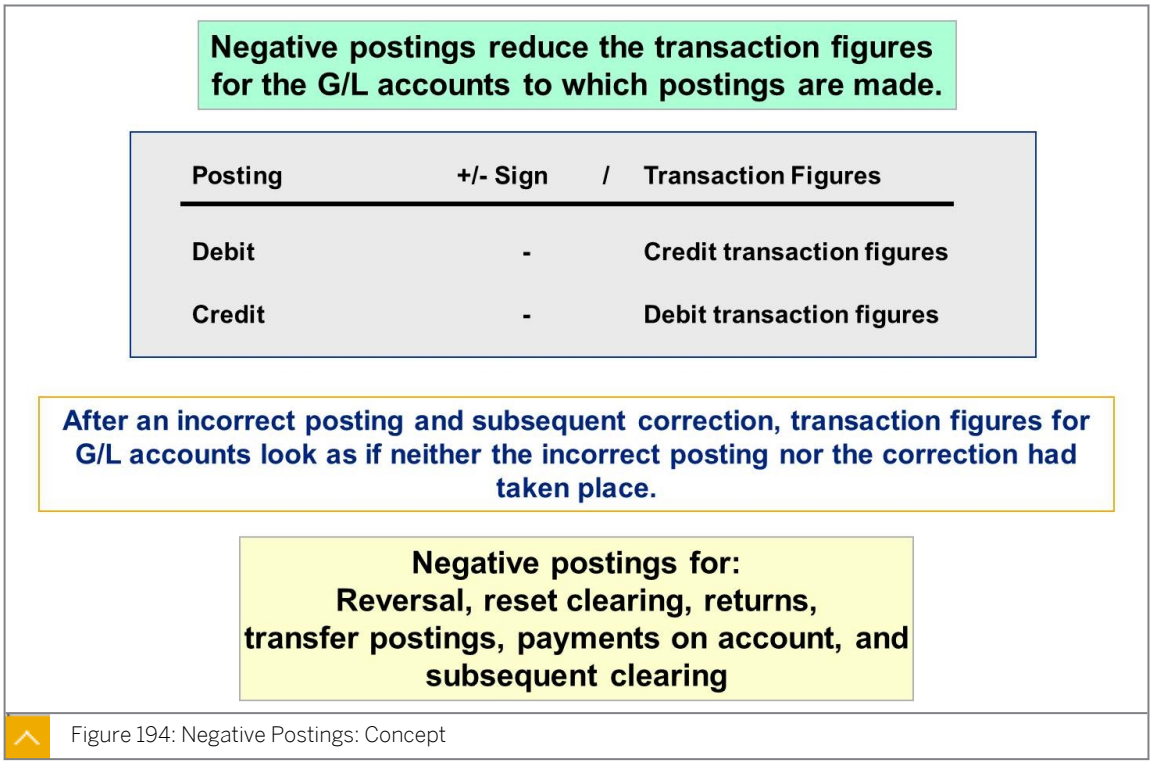


Figure 194: Negative Postings: Concept

A negative posting reduces the transaction figures for the account posted to in the general ledger. A debit posting as a negative posting, therefore, does not lead to an increase of the debit transaction figures; it leads to a reduction of the credit transaction figures. This enables you to show transaction figures for accounts after an incorrect posting and subsequent correction as if neither the incorrect posting nor the correction had taken place. The document type decides whether a posting is to be posted negatively: negative postings are always created or negative postings are only created for corrections in the same fiscal year

Negative postings and business transactions:

- Reversal
  - For a reversal, the document type used decides: whether a negative posting is never permitted or whether a negative posting is always permitted or wether a negative posting is created if the posting and reversal are in the same fiscal year.
  - If the account for some items in the reversal document is not the same as the account in the original document, these items are not posted negatively. This can be the case for aperiodic reversals (swap of P&L accounts) or for posting incoming payments where the reversal is used to post back to the clarification account.
- Clearing Reset
  - After resetting clearing, all accounts should appear as if the clearing had not taken place. This means that the inverse posting of cash discount, small differences, exchange rate differences, and taxes that were posted due to the clearing are to be posted negatively. The display in the receivables accounts is retained.
  - Example: You reset clearing for a payment received. After the clearing reset, the payment with clearing of open items becomes a type of payment on account again, which means that the credit from the payment is an open item in the receivables

© Copyright. All rights reserved.

account. From the view of the account balance in the receivables account, it is irrelevant whether there was a payment on account or whether items were cleared.

- Returns
  - Returns should be treated like reversals. The first item in a returns clearing account is, however, never posted negatively. The same applies to returns charges.
  - Individual Identification of Individual Posting Items: If you want to post a document for which manual negative postings are required for all items, all you have to do is select an appropriate document type. However, if you only want to post individual items negatively, you have to enter the entire transaction in two documents.
- Payments on Account
  - If, on receipt of payment, you first post on account instead of clearing immediately and then carry out clearing later (for example, via account maintenance or during processing of a subsequent payment), the debit and credit side of the receivables account increases by the amount of the payment on account. If you want to avoid this effect, make sure that every clearing of a posting on account is posted negatively. To do this, you have to indicate, in Customizing for the main and sub-transaction used for payments on account, that each clearing of this item is to be posted negatively.

Configure the setting for the company code (negative postings are possible) in Customizing for Financial Accounting by choosing *Financial Accounting Global Settings → Global Parameters for Company Code → Enter Global Parameters*.

Configure the setting for the document type in Customizing for Contract Accounts Receivable and Payable by choosing *Basic Functions → Postings and Documents → Document → Maintain Document Account Assignments → Document Types → Maintain Document Types and Assign Number Ranges*.

The main and sub-transactions that you want to define for a negative clearing (for example, Payments on Account) are in the Implementation Guide for Contract Accounts Receivable and Payable under *Basic Functions → Postings and Documents → Document → Maintain Document Account Assignments → Maintain Subtransactions*.

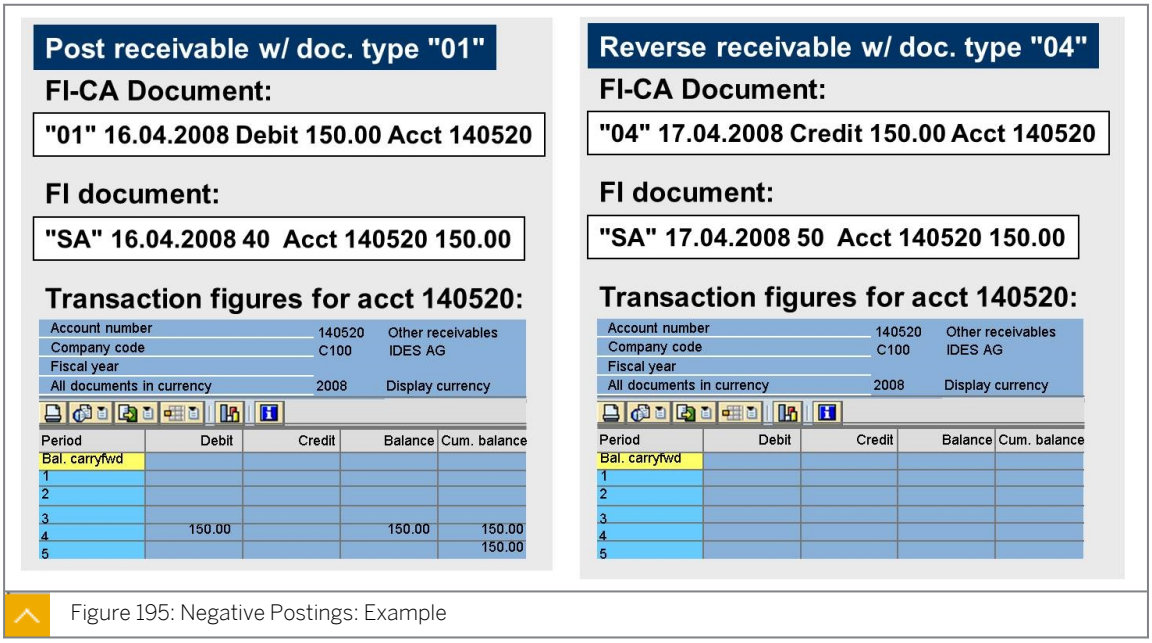


Figure 195: Negative Postings: Example

© Copyright. All rights reserved.

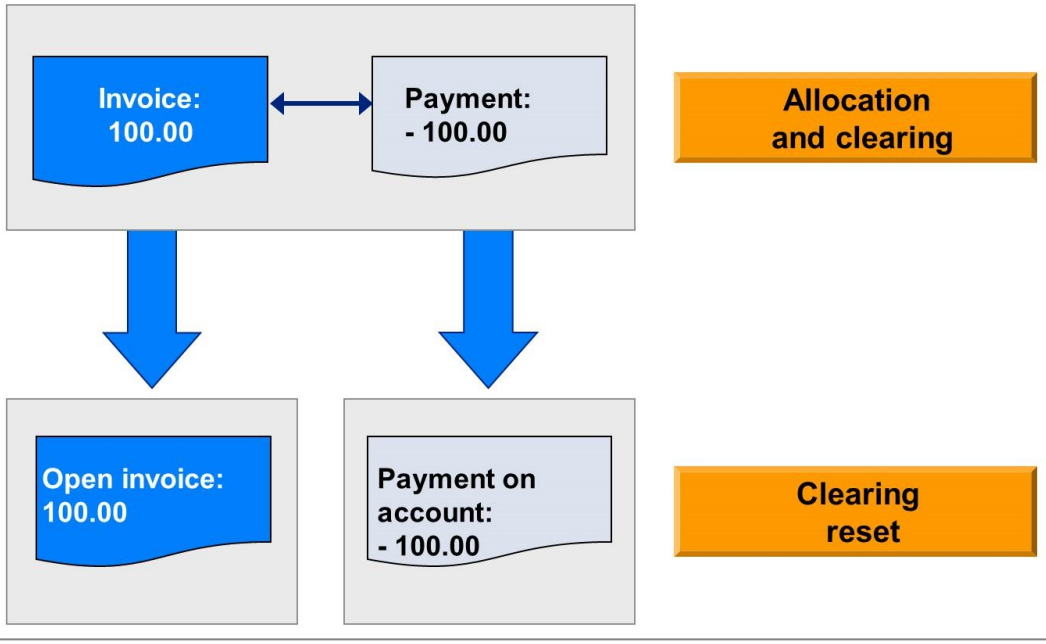


Figure 196: Clearing Reset

When you reset the clearing, you reopen the cleared item. In addition, a credit item is created automatically. The credit transaction, such as a payment on account, is defined in Customizing.

If the clearing made by the payment is reset, a debit transaction must be defined in Customizing to represent a receivable from the business partner who already received the payment.

Instead of the resetting the complete clearing, you can also reset parts of clearing. Clearing reset can be set for every combination of the following data that occurs during clearing:

- Business partner
- Contract account
- Contract
- Company code
- Business area
- Division
- Collective bill number

LESSON SUMMARY

You should now be able to:

- execute reversal and clearing reset

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 12
Lesson 3

Document Transfer

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to transfer documents.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- transfer documents

Document Transfer

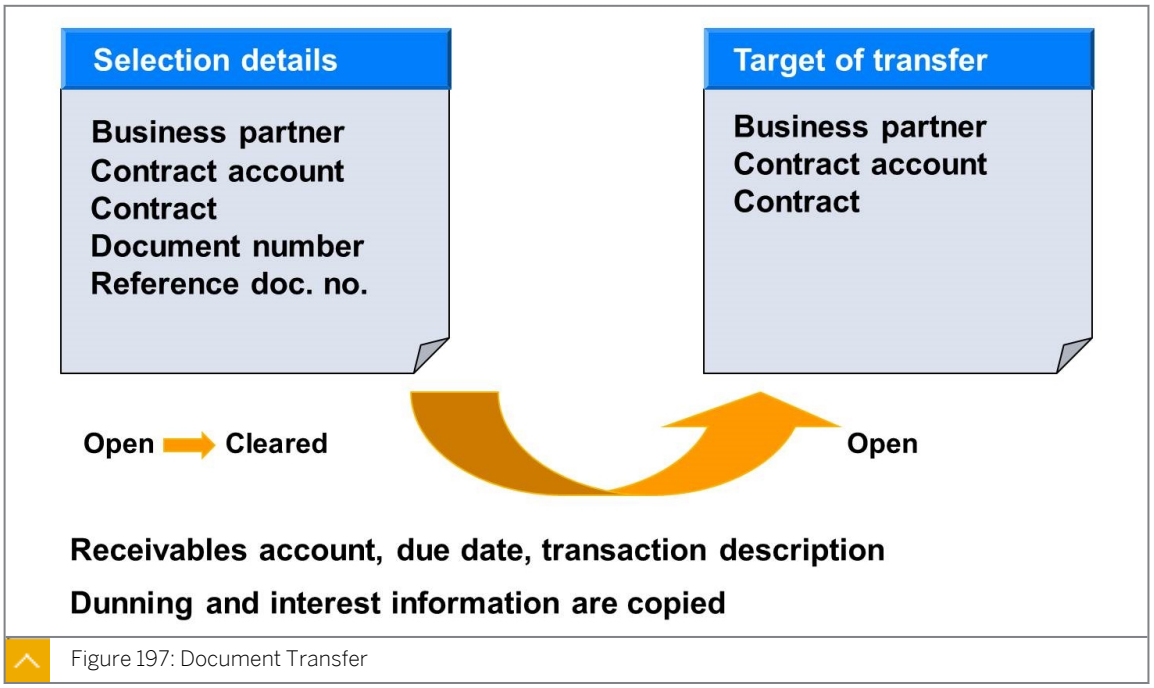


Figure 197: Document Transfer

When you transfer posting a customer account, you can allocate documents that already refer to contracts (account assignment) to a target contract account without having to specify a target contract. The transfer posting document is not longer assigned to a contract. Contracts should not already be allocated to the target contract account.

The transfer posting document can be reversed.

LESSON SUMMARY
You should now be able to:

- transfer documents

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 13 Security Deposits

Lesson 1

Cash and Non-Cash Security Deposits 231

Lesson 2

Cash Security Deposits Posting 233

UNIT OBJECTIVES

- describe the concept of cash and non-cash security deposits
- process cash security deposits

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 13
Lesson 1

Cash and Non-Cash Security Deposits

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept of cash and non-cash security deposits.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept of cash and non-cash security deposits

Cash and Non-Cash Security Deposits

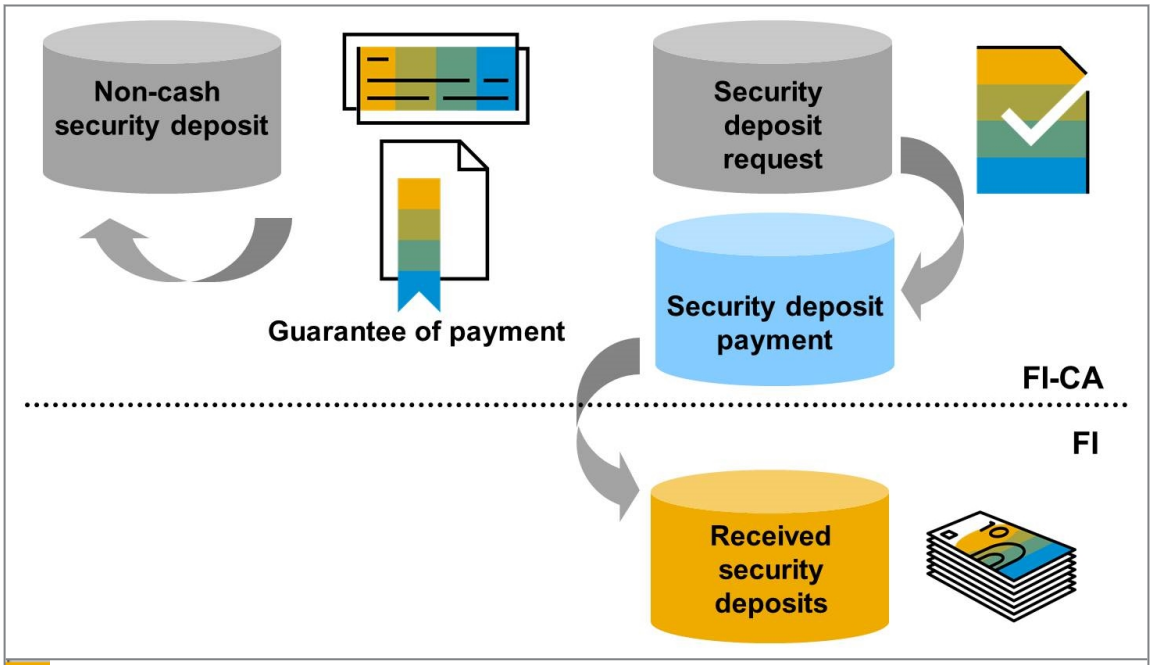


Figure 198: Security Deposits

The system supports the request and handling of cash and non-cash security deposits of business partners.

Non-cash security deposits can be bank guarantees, mortgage bonds, or savings accounts that are stored as security deposits.

Cash security deposits are managed as payables, which can be settled according to certain criteria.

© Copyright. All rights reserved.

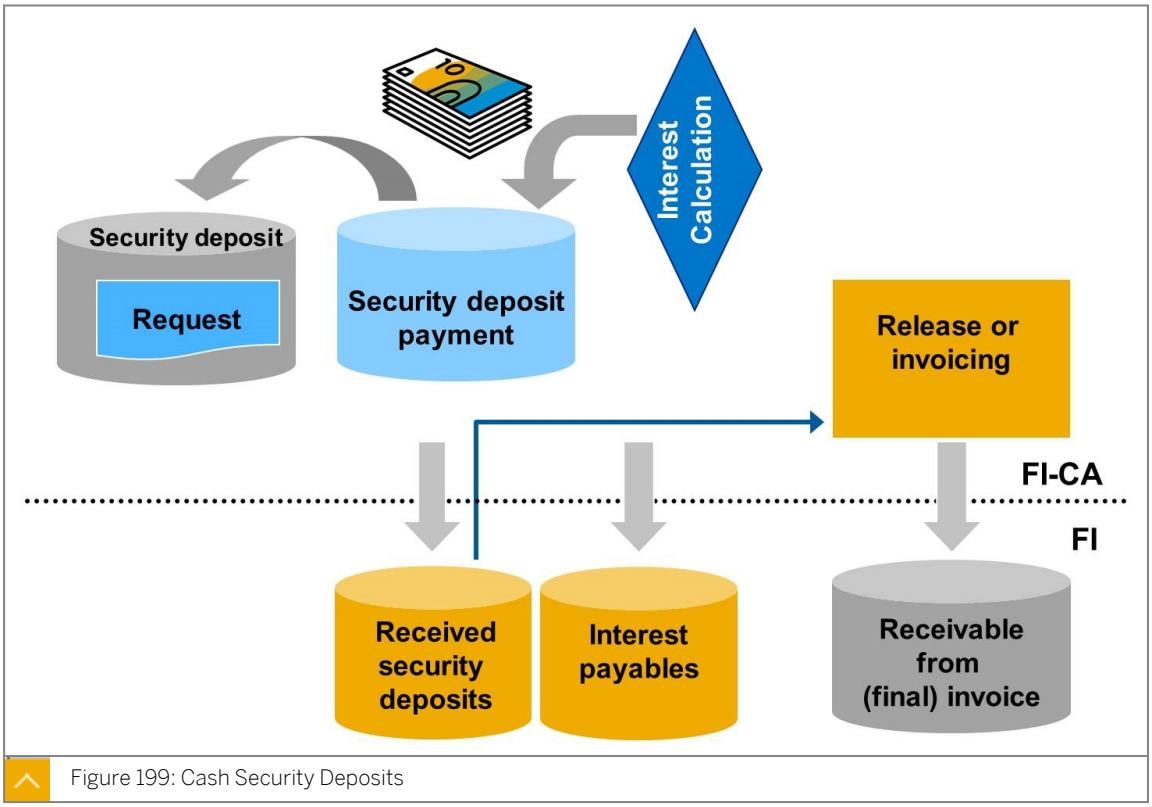


Figure 199: Cash Security Deposits

Depending on the industry solution used (such as IS-U), a cash security deposited has to be settled with the final settlement. Otherwise, cash security deposits can be paid out or cleared as long as the cash security deposit is released. The program RFKK_SECURITY_RELEASE is available for releasing security deposits. Non-cash security deposits can be returned or cashed.

Interest must be calculated for cash security deposits.

LESSON SUMMARY

You should now be able to:

- describe the concept of cash and non-cash security deposits

© Copyright. All rights reserved.

Cash Security Deposits Posting

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to process cash security deposits.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- process cash security deposits

Cash Security Deposits Posting

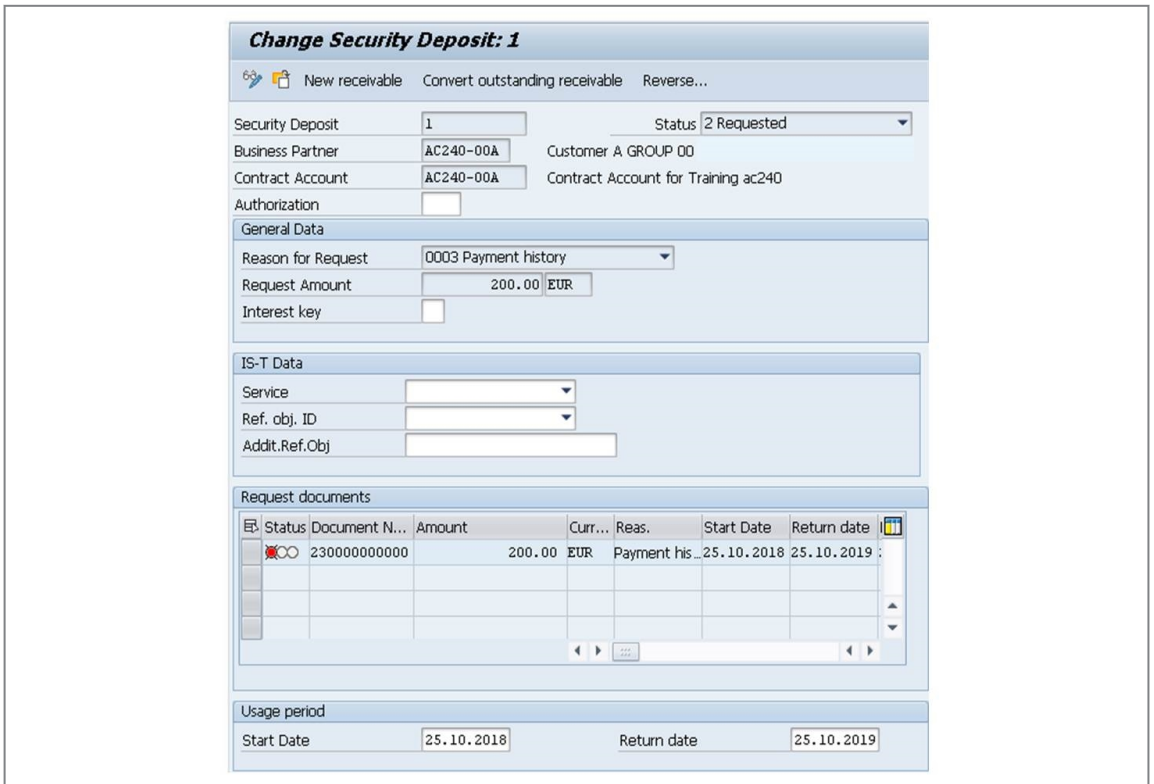


Figure 200: Cash Security Deposit: Request

.

.

.

.

© Copyright. All rights reserved.

Cash Security Deposits

1. The cash security deposit is created either manually or, depending on the industry component, automatically when a collection is made. The cash security deposit has the status *Requested*. A request document is a statistical document. Using FKK_EVENT_0820_PAYMFORM_DET, you can create a payment form number automatically when you create a cash security deposit request.
2. As long as the request document has not yet been cleared, you can reverse the security deposit. A security deposit that has been reversed can no longer be used.
3. If you receive a (partial) cash security deposit payment and this clears the request document either completely or partially, the status changes to *(Partially) Paid*.
4. When the return date is reached, or when an early manual release occurs, the status changes to *Released*.
5. If the cash security deposit payment is cleared by repayment or settlement against open receivables, the end status *Returned* is reached. You can use report RFKK_SECURITY_RELEASE to release the security deposits.

Non-Cash Security Deposits

1. Non-cash security deposits are created manually. When you save the security deposit, the status is set to *Requested*.

   Further processing is triggered by changing the status. For non-cash security deposits, you can define the status in Customizing. For each status change, a BOR event that can start a workflow is triggered. However, you still have to model your own workflows.

2. You can display an overview of all security deposits. To do this, choose one of the following paths:

   Role: *Cash Security Deposits/Security Deposits* (SAP_FI_CA_CASH_DEPOSIT) → *Security Deposit Statistics Report*.

   SAP menu: *Periodic Processing* → *For Contract Accounts* → *Security Deposits* → *Statistics*.

   You can select using the following criteria:

   Start date
   Return date
   Cash security deposits
   Non-cash security deposits
   Status of security deposits in the case of non-cash security deposits

   For event 0860, you can define follow-on actions for security deposits that meet certain criteria. For example, a clerk retrieves a non-cash security deposit from storage if the return date is reached within the next week.

© Copyright. All rights reserved.

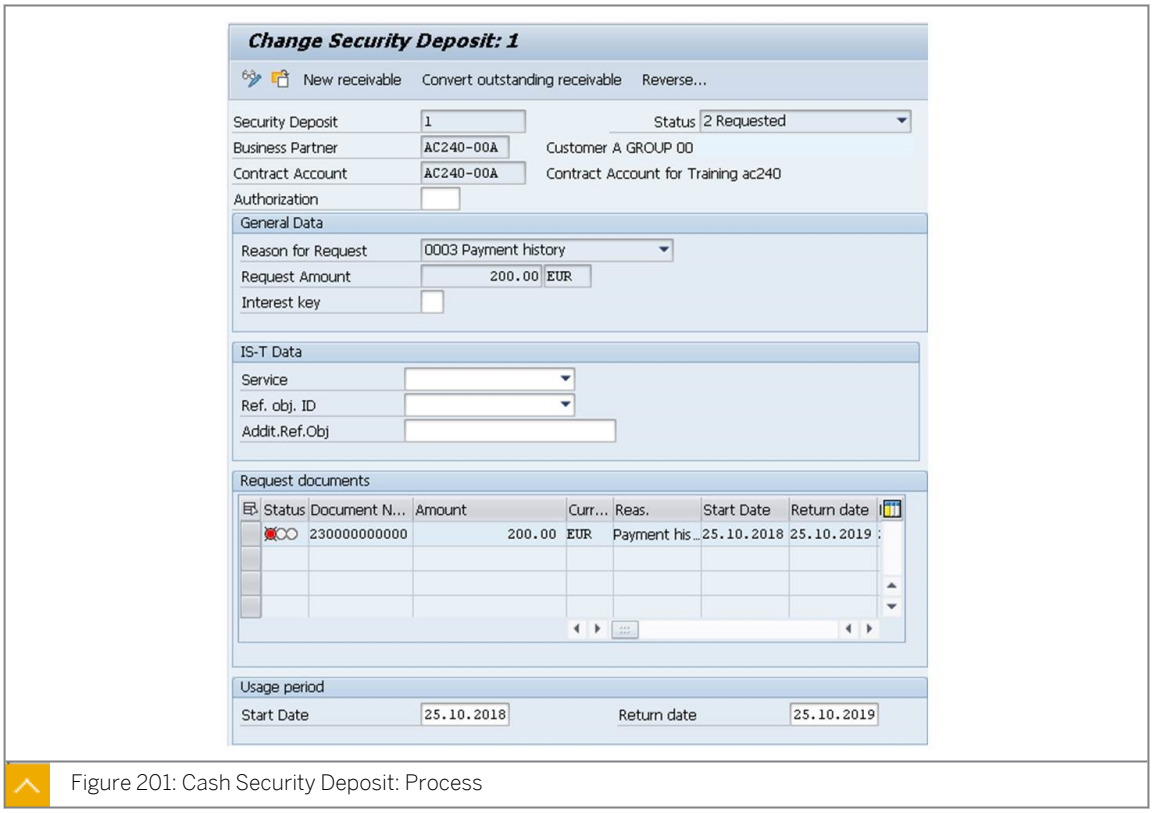


Figure 201: Cash Security Deposit: Process

Activities

If you want to automatically release and create cash security deposits when the payment method in the contract account changes, define an installation-specific function module for event 1025 in the Implementation Guide for Contract Accounts Receivable and Payable by choosing *Program Enhancements → Define Customer-Specific Function Modules*. To do this, copy the function module FKK_EVENT_1025_DEPOSIT_CHANGE and adjust the copy to meet your requirements, for example, the amount of the cash security deposit requested, the currency, the request reason, and the reversal reason.

Example

If a direct payr changes their payment method to bank collection, all of the cash security deposits in the contract account of the business partner are released automatically because there is no longer any reason to retain the security deposit.

However, if a business partner who has previously paid their receivables by bank collection becomes a direct payer, you can automatically request a cash security deposit.

© Copyright. All rights reserved.

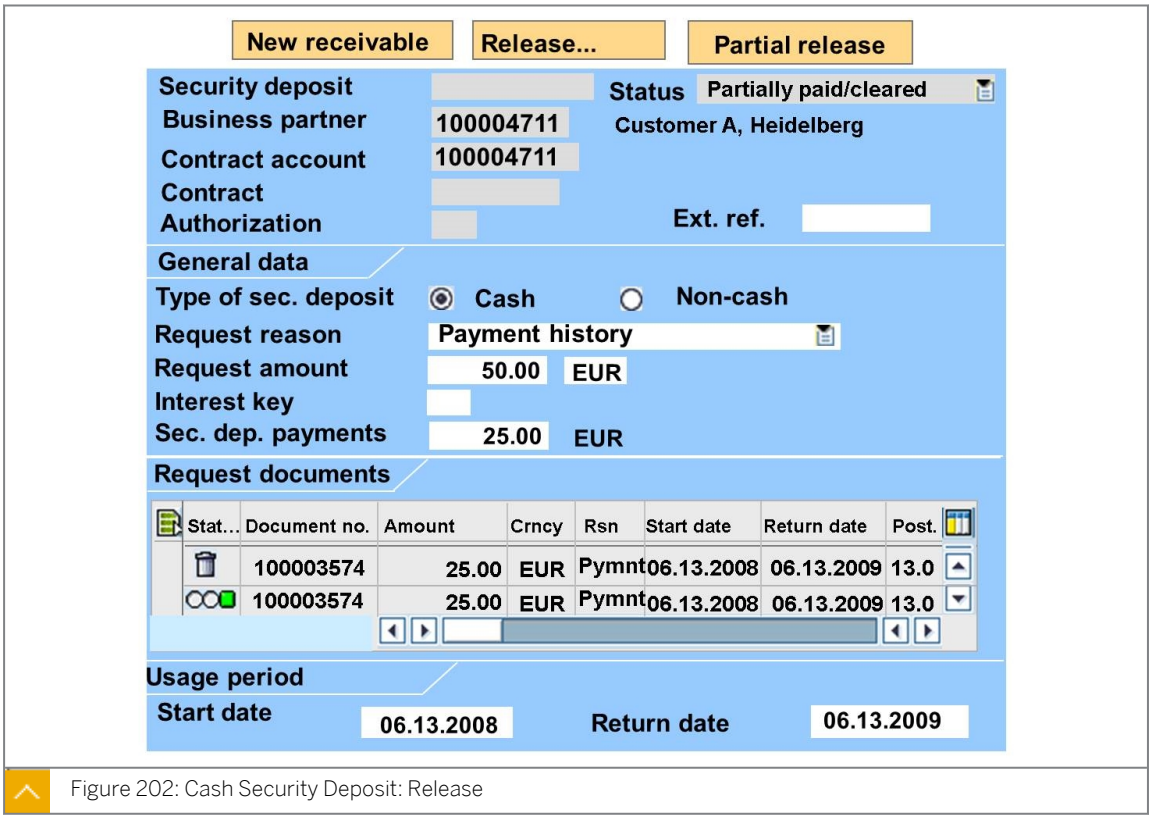


Figure 202: Cash Security Deposit: Release

.

.

.

.

.

© Copyright. All rights reserved.

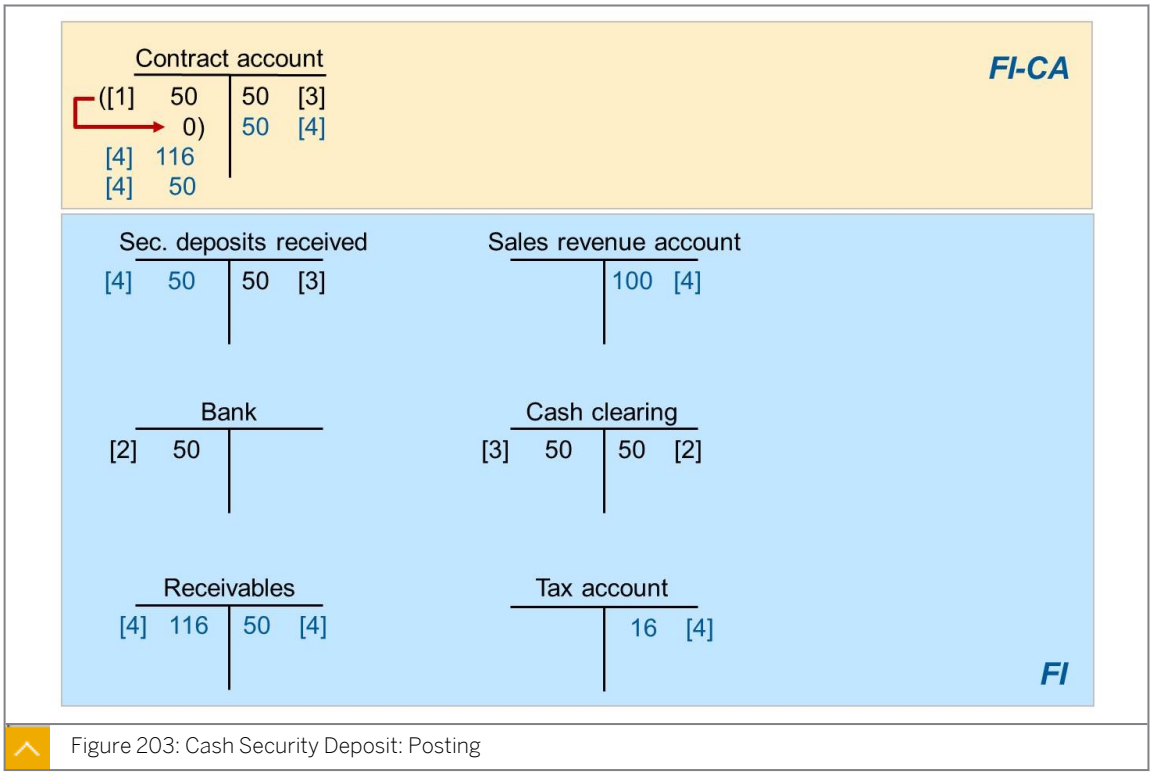


Figure 203: Cash Security Deposit: Posting

[1] Posting the request for the cash security deposit in FI-CA:

- The cash security deposit is posted statistically so that no transaction relevant to the general ledger is generated.
- A notification containing the requested amount, the terms and methods of payment, and so on, for the security deposit can be generated.

[2] Posting incoming payment in FI: The business partner pays by bank transfer.

[3] Allocation of the payment in FI-CA and FI: When payment is allocated to the request for the cash security deposit, credit corresponding to the payment amount is posted to the contract account. The statistical request is cleared.

[4] Posting a final invoice in FI-CA and FI with settlement of the payable resulting from the payment of the cash security deposit: In this example, the remaining amount after settlement is EUR 66.

© Copyright. All rights reserved.

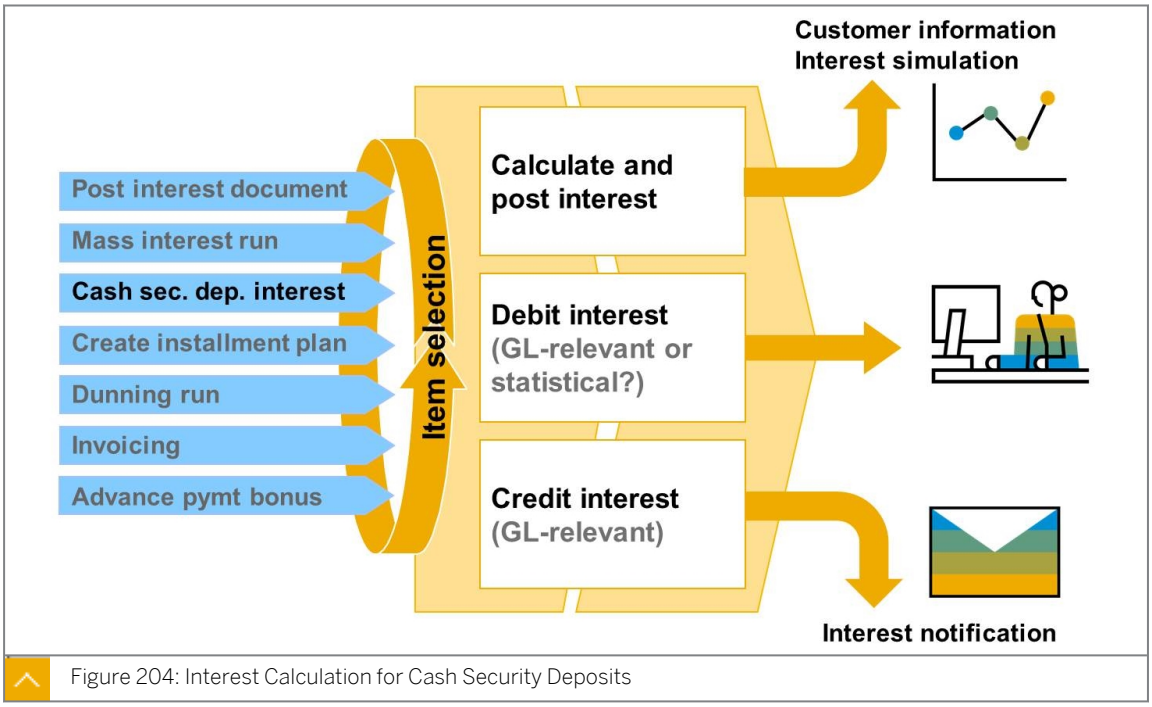


Figure 204: Interest Calculation for Cash Security Deposits

The way in which the interest key for a cash security deposit payment is determined differs from the standard way to calculate interest on items:

- If an interest key is specified in a payment, this is the one that applies.
- If no interest key is specified in a payment, the system tries to determine a key from the relevant security deposit. If no interest key can be found, no interest calculation takes place.

An interest lock at the level of contract-account-dependent data is not considered when interest on cash security deposits is calculated.

To calculate interest on individual cash security deposit payments, choose one of the following paths:

- In the SAP menu, choose *Account → Security Deposits → Calculate Interest*. The procedure is similar to posting debit and credit interest.
- In the SAP menu, choose *Periodic Processing → For Contract Accounts → Security Deposits → Interest for Cash Security Deposit*.

You can display posted cash security deposit interest on the maintenance screen for the security deposit.

By choosing *Environment → Int. Calc. List* in the menu, you can display an overview of the interest run.

LESSON SUMMARY

You should now be able to:

- process cash security deposits

© Copyright. All rights reserved.

UNIT 14 Correspondence

Lesson 1

Concept 241

Lesson 2

Configuration 245

Lesson 3

Print Workbench 249

UNIT OBJECTIVES

- describe the concept of correspondence in FI-CA
- configure correspondence variants
- describe the concept of the print workbench

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Concept

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept of correspondence in FI-CA.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept of correspondence in FI-CA

Concept

Correspondence
= all written output you send to your business partner as well as printed evaluations, reports, statements, and so on

Inbound correspondence
= A business partner's obligation to file a written item without reminder

Correspondence history
= contains entries for written correspondence and stores requests and receipt of incoming correspondence

Print workbench
= A tool for generating printed correspondence

Figure 205: Correspondence: Definition

© Copyright. All rights reserved.

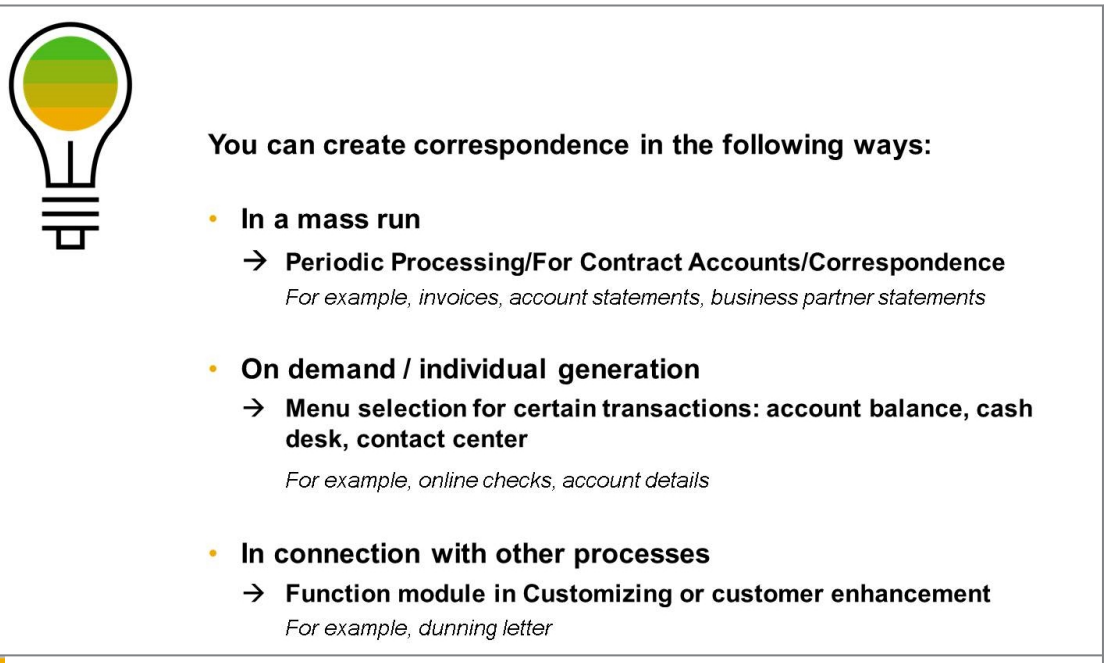


Figure 206: Correspondence: Use

SAP delivers a range of correspondence types, such as:

- Business Partner Statement = All open items that were posted after the last statement
- Account Information = All items for a certain contract account

You should use the business partner statement, for example, in the following cases:

- If multiple contract accounts exist for a business partner, and you only want to use one correspondence to inform your business partner of the status of the account relationship.
- If multiple contracts exist for one business partner, and you only want to use one correspondence to inform the business partner of the status of the customer relationship.

You can use balance notifications in the following cases:

- If external auditors want to inform a group of customers about the current status of their customer accounts.
- If customers need to be informed about the account balance once in each period (requirement in specific countries).

© Copyright. All rights reserved.

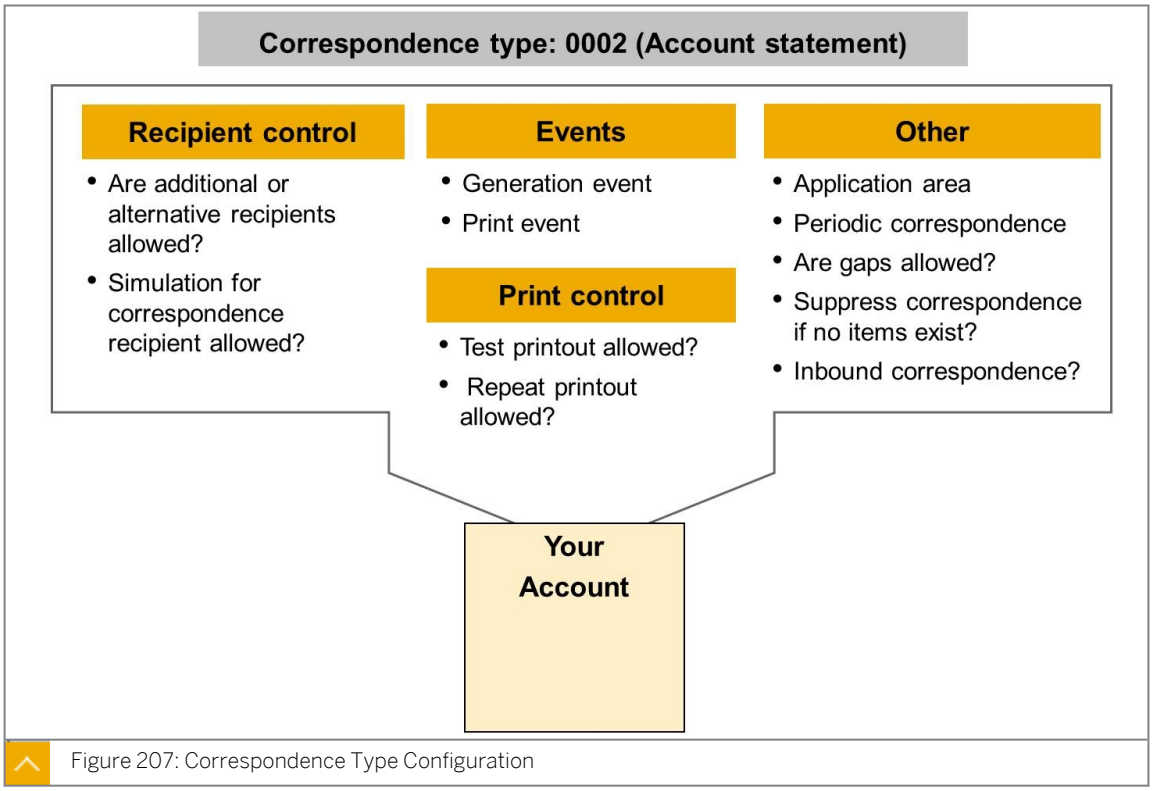


Figure 207: Correspondence Type Configuration

Recipient control is set at the level of correspondence type. For example, you can specify for a given correspondence type that no alternative recipient is allowed.

There are two necessary events associated with a correspondence type. The first is a print event (function module that is needed to print a correspondence request for a given correspondence type after the correspondence container has been read). The other is a generation event (function module needed to create or generate a correspondence request).

LESSON SUMMARY

You should now be able to:

- describe the concept of correspondence in FI-CA

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 14
Lesson 2

Configuration

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to configure correspondence variants.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- configure correspondence variants

Configuration

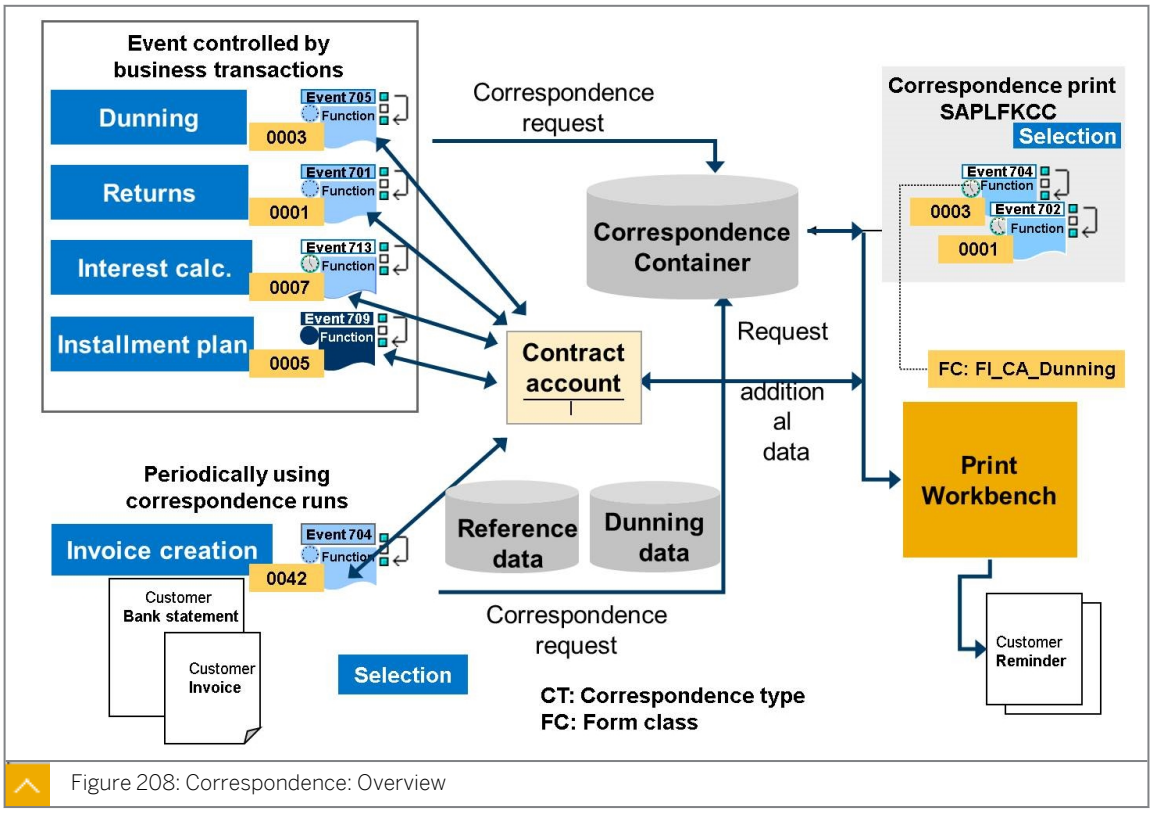


Figure 208: Correspondence: Overview

General steps for creating correspondence:

- Correspondence requests are created via business transactions or correspondence runs.
- Reference data is stored in the correspondence container.
- Select the correspondence data from the correspondence container and prepare the data for print via a correspondence print run.
- Print the correspondence data using SAPscript/smart or the print workbench.

© Copyright. All rights reserved.

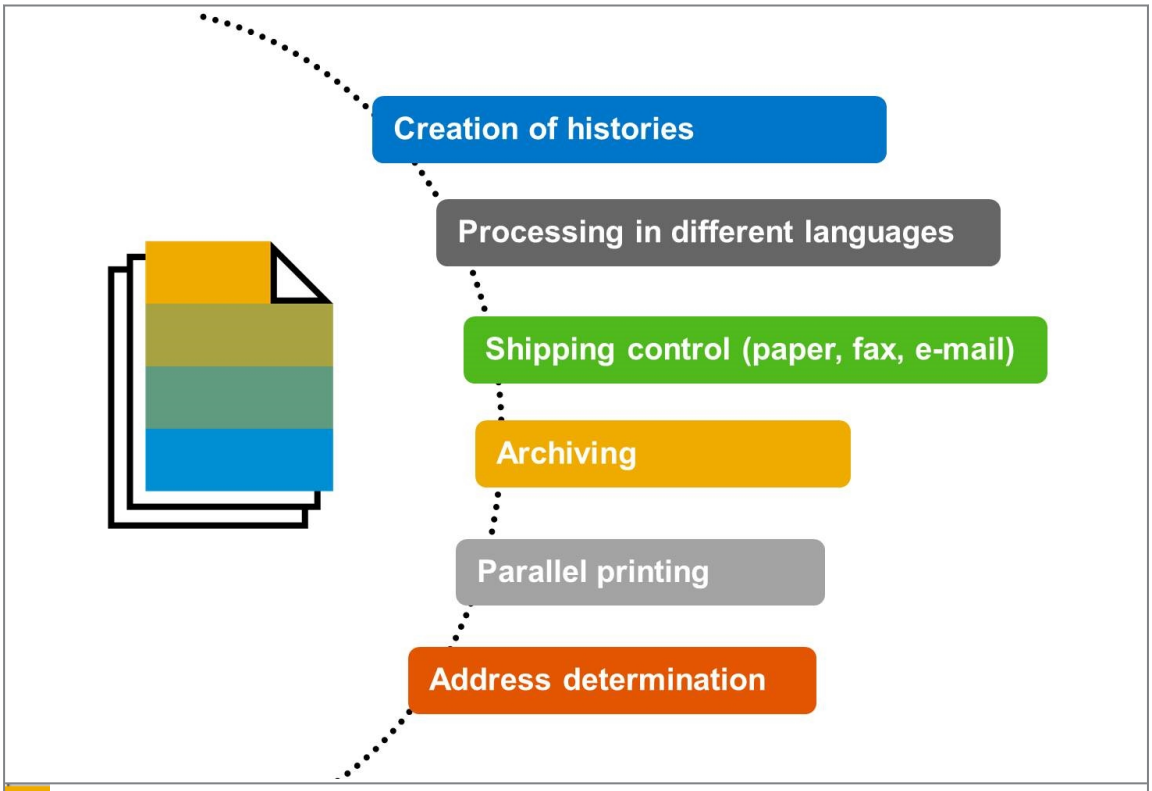


Figure 209: Correspondence: Additional Features

Correspondence History: Stores information about all correspondence, including inbound correspondence.

History features: Archiving of correspondence; pixel viewer for letters. The pixel viewer is a viewing tool similar to Acrobat Reader used to read optically archived documents.

Introduction of additional print options such as *shipping control*: In shipping control you define the underlying options for shipping. Shipping control is primarily used by the correspondence variants.

The correspondence variant summarizes correspondence types to control periodic correspondence. Correspondence variants can be assigned to contract accounts at contract account/business partner level.

© Copyright. All rights reserved.

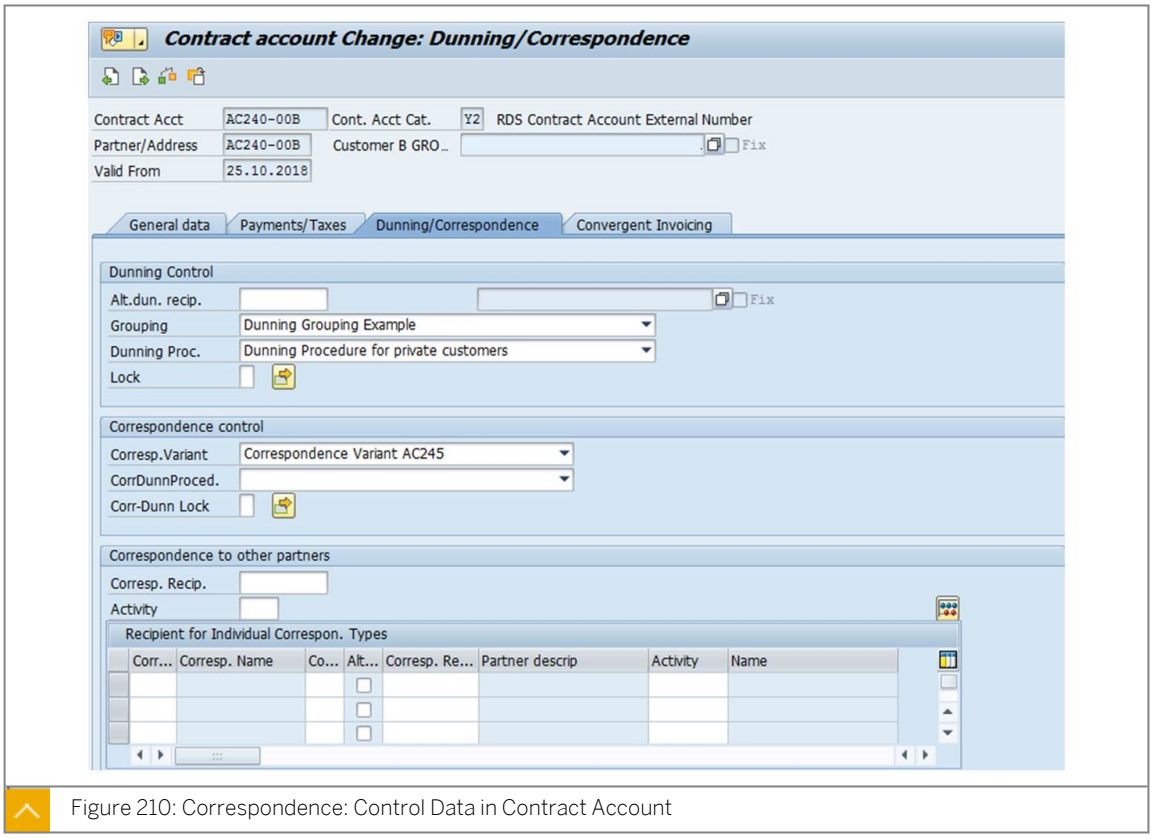


Figure 210: Correspondence: Control Data in Contract Account

If an entry exists in the *Correspondence Recipient* field, this business partner will replace the original recipient in all cases except if any specific correspondence types are defined to go elsewhere (for example, recipients for individual correspondence types).

The *Alternate or Additional Correspondence Recipient* indicator specifies whether a correspondence recipient is a substitute for the original recipient. If this flag is not selected, any partners listed will receive a copy of the correspondence. If the flag is selected, only the alternative correspondence recipient receives a copy. The correspondence is not sent to the actual business partner.

© Copyright. All rights reserved.

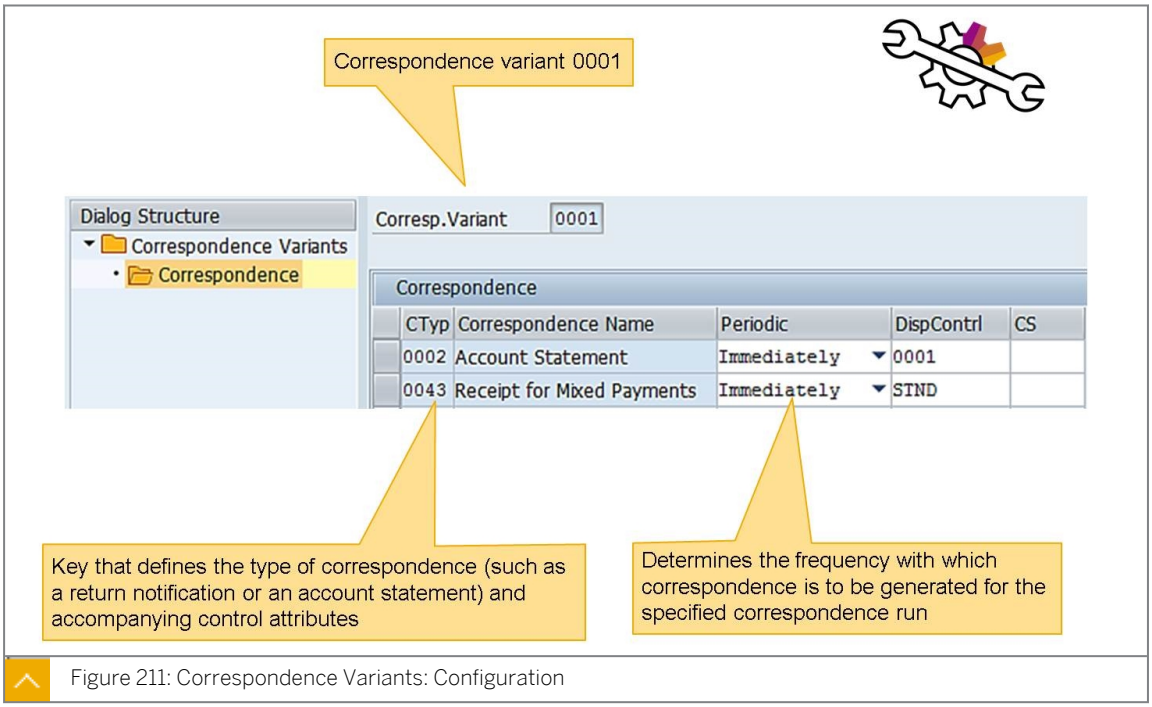


Figure 211: Correspondence Variants: Configuration

Correspondence charge schedules are charges that can be set per correspondence type. For example, if you wanted to charge your customer a small fee for reinvoicing, you would configure a charge schedule and enter it in the correspondence variant.

Dispatch Control is used to send a document (invoice, dunning notice) in different forms and in multiple copies (e-mail, fax). You can define the shipping control in Customizing for the *print workbench* (*SAP Customizing Implementation Guide → Cross-Application Components → General Application Functions → Print Workbench → Define Shipping Control*).

You assign correspondence variants to contract accounts. The control parameters defined in a correspondence variant are evaluated when the correspondence is created.

All periodic correspondence must be defined in the correspondence variant.

LESSON SUMMARY

You should now be able to:

- configure correspondence variants

© Copyright. All rights reserved.

Unit 14
Lesson 3

Print Workbench

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept of the print workbench.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept of the print workbench

Print Workbench

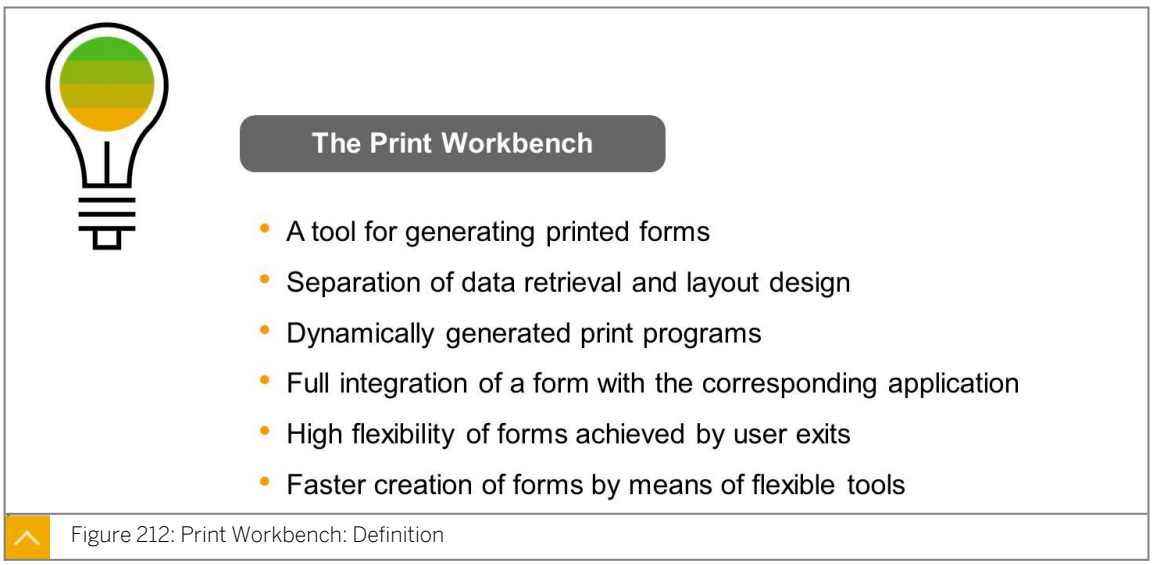


Figure 212: Print Workbench: Definition

The print workbench is a tool enabling you to work with SAPscript or Smart Forms orPDF-based forms more easily.

The print workbench is an improved tool that you can use to create forms. In addition, it makes data retrieval flexible and easy to understand.

The print workbench separates data retrieval from the layout design of a form.

© Copyright. All rights reserved.

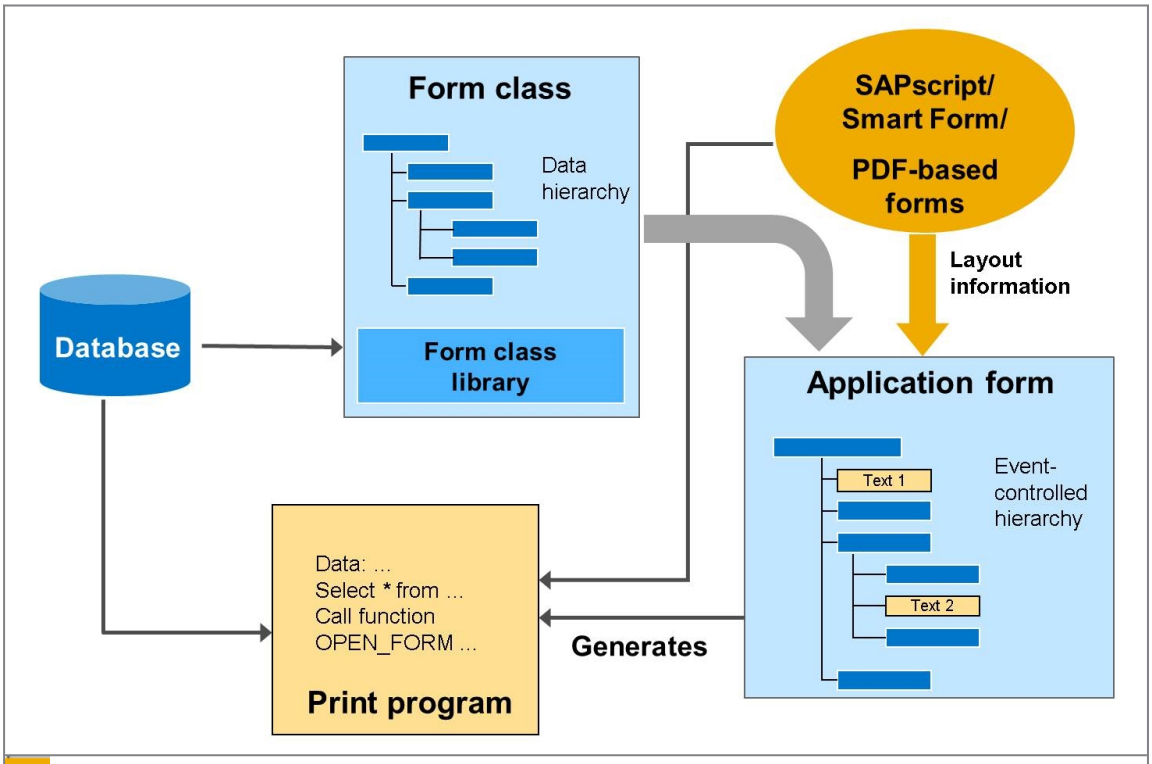


Figure 213: Print Workbench: Concept

The form class library is created by SAP and represents a superset of data that can be used in an application form. It is an ABAP program and is copied to the print program when generated.

In the application form you define the sequence of text modules. The business partner determines what data is printed on a specific piece of correspondence.

The SAPscript/Smart form is used to define where and how data from the application form is to be printed.

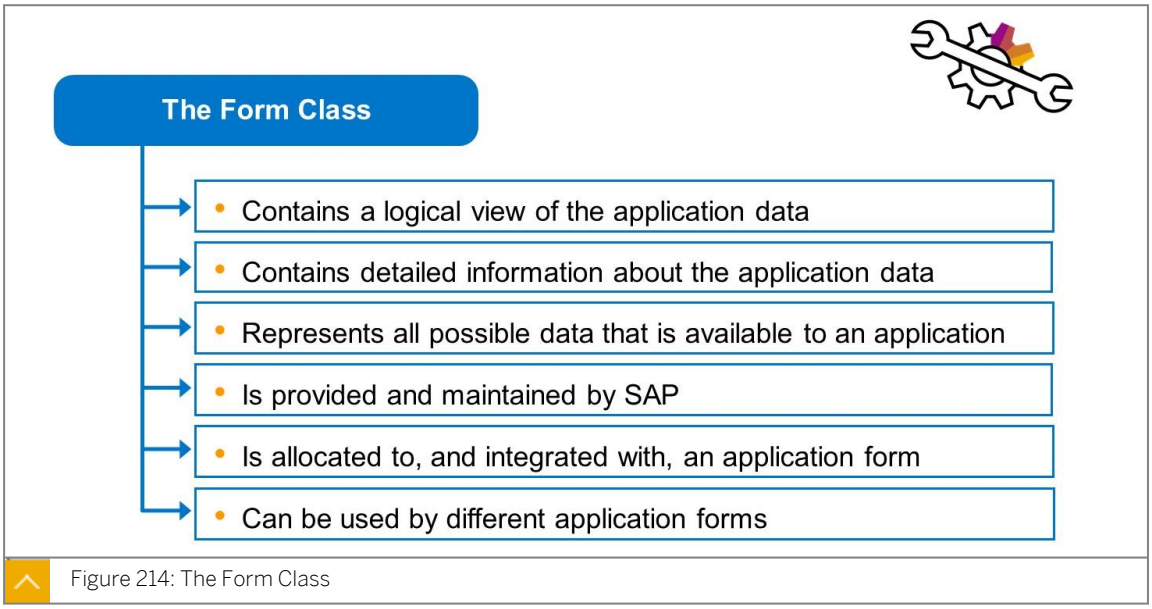


Figure 214: The Form Class

Form classes form the basis for all forms of the print workbench. The form classes are updated with each SAP update.

© Copyright. All rights reserved.

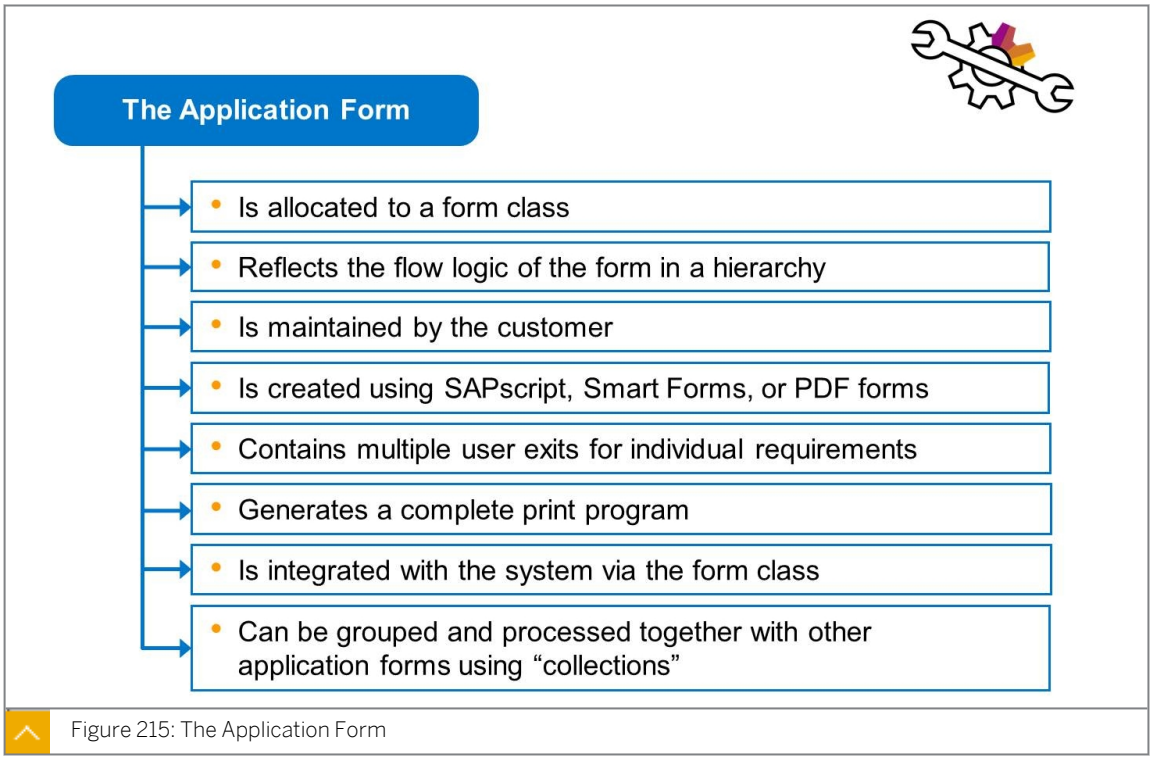


Figure 215: The Application Form

In addition to SAPscript in the print workbench, you can also use Smart Forms to create and maintain application forms.

Smart Forms have the following advantages over SAPscript:

- More flexible creation of form layout (for example, with tables and templates)
- More efficient creation and maintenance of forms (reduces the time by half)
- Form adjustment without programming knowledge as a result of graphical user interface
- Web publishing using a generated XML output
- Performance improvement
- Clear separation between data selection, form preparation, and form logic

LESSON SUMMARY

You should now be able to:

- describe the concept of the print workbench

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 15 Closing Activities

Lesson 1

Foreign Currency Valuation 255

Lesson 2

Reclassification 261

Lesson 3

Doubtful Entry and Value Adjustment 267

Lesson 4

Write-Off 271

UNIT OBJECTIVES

- Valuate foreign currency open items
- Reclassification
- Doubtful Entry and Value Adjustment
- Write off uncollectible receivables in Contract Accounts Receivable and Payable.

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 15
Lesson 1

Foreign Currency Valuation

LESSON OVERVIEW
This lesson describes the methods of foreign currency valuation.

Business Example

Foreign currency open items must be valuated on the basis of business-related and legal criteria.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- Valuate foreign currency open items

Foreign Currency Valuation

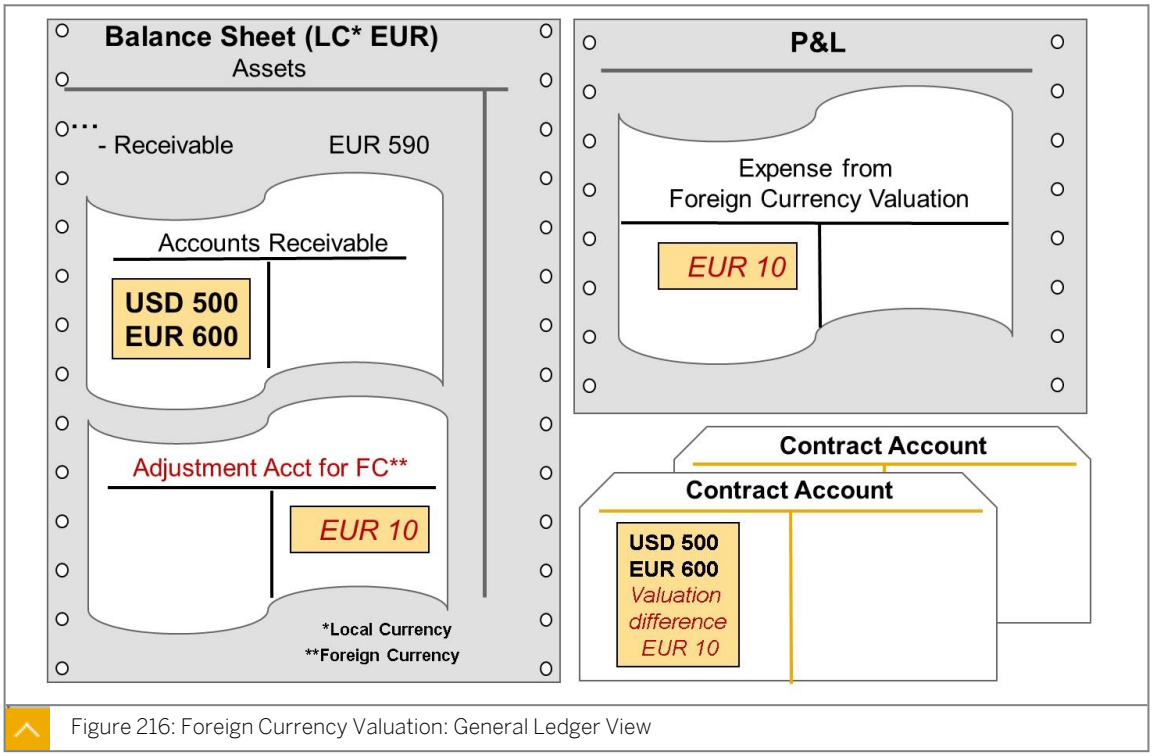


Figure 216: Foreign Currency Valuation: General Ledger View

A foreign currency valuation is necessary if customer or vendor accounts (only the customer side is shown in the figure above) contains open items in a foreign currency. The amounts of these open items were translated into the local currency at the time they were entered using the current exchange rate. The exchange rate is probably different at the time of closing and therefore open items need to be valuated. A valuation cannot be made by a posting to the payable account in FI-GL because reconciliation accounts cannot be directly posted to.

© Copyright. All rights reserved.

For this reason, the transferred amounts are posted to an adjustment account in FI-GL, which appears in the same line of the balance sheet as the reconciliation account.

Starting point: Customer invoice in foreign currency:
USD 1000.00 posted on 01/15/CY with an exchange rate (EUR → USD) of **1.25**

Receivables Account Display:

Lgt.	Partner	Acct	Open	Amount	Crcy	Amount LC	LC	……..
	T-CA071000	T-CA071000	1,000.00	**1,000.00**	**USD**	**800.00**	**EUR**	…
	……	….	……	…..	……	…	……	……

Assumption:
On key date 01/31/CY, the euro exchange rate rises from "1.25" to "1.6."

Theoretical effect:
=> The receivable is worth EUR 625 on the key date.

Accounting consequence:
=> An expense (from foreign currency valuation) of EUR 175 has to be entered – the foreign currency valuation run takes care of this.

Figure 217: Foreign Currency Valuation: Initial Situation

Valuation differences can arise due to different accounting rules (e.g., Local GAAP and IAS/IFRS), for example, those involving foreign currency valuation (of open items).

Receivables Account Display:
Still displays the open customer receivable of USD 1,000, entered 01/15/CY at a euro dollar exchange rate of 1.25.

Lgt.	Partner	Acct	Open	Amount	Crcy	Amount LC	LC	……
	T-CA071000	T-CA071000	1,000.00	**1,000.00**	**USD**	**800.00**	**EUR**	…
	……	….	……	…..	……	…	……	……

Assumption:
On key date 01/31/CY, the euro exchange rate drops (dives) from "1.25" to "1.0."
Local GAAP = Lowest value principle

Theoretical effect:
=> The receivable is worth EUR 1,000 on the key date.

Accounting consequence:
=> No need to acct for Local GAAP – **Key word: Lowest value principle**
=> International (e.g., IAS/IFRS) must be revaluated – **Key word: Current valuation**

Modeling of valuation principles:
The different valuation principles have been modeled in the SAP System as **valuation methods.**

Figure 218: Foreign Currency Valuation: Valuation Differences

If your company has to map parallel valuation, open items posted in a foreign currency also have to be addressed. Based on local and international accounting principles, the valuation procedure can be different. Two important valuation procedures are:

© Copyright. All rights reserved.

- Always evaluate: The items to be valuated have to be entered/reported in the Balance Sheet with the exchange rate of the current valuation date, no matter if that will mean valuation profits or valuation losses.
- Lowest value principle: In this procedure, the asset and the liabilities sides of the financial statement are treated differently.
  - Assets, for example, receivables will only be valuated with the current exchange rate if the valuated amount will be less then it was at the posting date. If the valuated amount will be higher than the original amount of the posting date, no valuation is needed.
  - Liabilities, for example, payables will only be valuated with the current exchange rate if the valuated amount will be higher then it was at the posting date. If the valuated amount will be lower than the original amount of the posting date, no valuation is needed.

To model parallel financial reporting, SAP offers – in addition to the Account Solution – the Ledger Solution (in General Ledger Accounting).

Hint:
The closing activities in AC240 will be pictured with the Ledger Solution (in FI-G/L).

- For a valuation run to function, you must enter either a **Valuation Variant** (flexible method assignment) or **Valuation Method(s)** (fixed method assignment).
- The actually applied **method assignment** (flexible or fixed) must be defined in Customizing – you cannot select/switch it during the run itself.
- The **valuation method** defines how/with which valuation approach (such as the lowest value principle) the valuation is carried out.
- With **valuation areas**, you can report different valuation approaches and post to different accounts (Account approach) or different ledger (Ledger approach in General Ledger Accounting).

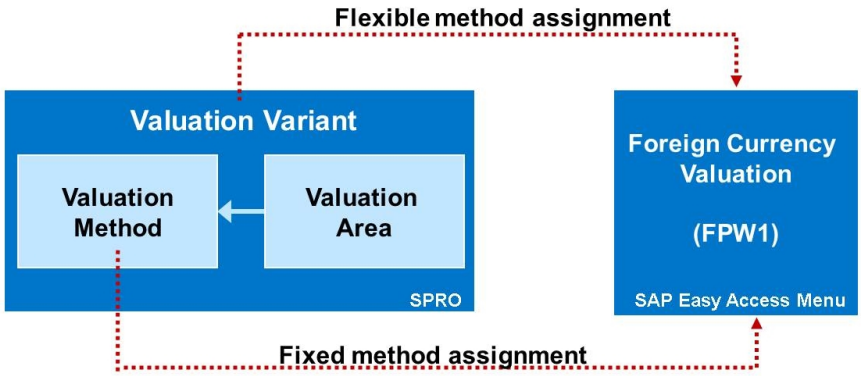


Figure 219: Valuation Variant

Before you start to configure the valuation methods, you have to define the basic settings by choosing *IMG: Financial Accounting → Contract Accounts Receivable and Payable → Closing Operations → Foreign Currency Valuation → Basic Settings*:

© Copyright. All rights reserved.

- If the different accounting principles have no effect on the valuation of open items, and the valuation is not important for the reclassification, choose **Valuation Based on one Account Balancing View** (standard setting).

  This setting only allows you to choose the **Fixed Method Assignment** in transaction FPW1 - Foreign Currency Valuation.

- If the system is to consider the valuated open items in the reclassification, choose **Valuation Based on Several Account Balancing Views**.

- If the system is to consider the valuated open items in the reclassification, and the inverse postings for the adjustment postings are not to take effect automatically one day after the valuation key date, choose **Valuation Based on Several Account Balancing Views with Deferred Inverse Posting**.

The settings **Valuation Based on Several Account Balancing Views** and **Valuation Based on Several Account Balancing Views with Deferred Inverse Posting** only allows you to execute the transaction FPW1 in combination with a Valuation Variant **(Flexible Method assignment)**.

The **Valuation Methods** are located in Customizing under *Financial Accounting → Contract Accounts Receivable and Payable → Closing Operations → Foreign Currency Valuation → Define Methods for Foreign Currency Valuation*.

Use **Valuation Areas** to display different valuation approaches and post to different accounts (Account Solution) or to different Ledgers (Ledger Solution in FI-G/L). Choose *Financial Accounting → Contract Accounts Receivable and Payable → Closing Operations → Foreign Currency Valuation → Define Valuation Areas*.

If you use the Ledger Solution (within FI-G/L) to map parallel accounting in SAP, combine a Valuation Area with the corresponding Ledger Group. The Ledger Group stands for one Ledger or combination of ledgers in FI-G/L for the purpose of applying the functions and processes of general ledger accounting to the group as a whole.

Account determination for **Posting Area 0070** (exchange rate differences):
Chart of accounts: *YIKR*
Company Code: 1000
G/L account: 240060 (Receivables)
Currency: *
Crcy type /val: *

Valuation:

Valuation gains:	*572130* (revenue from currency valuation)
Valuation loss:	*695430* (expense from currency valuation)
Balance sheet adjustment:	*240099* (adjustment account: receivables)

FC valuation at end of month **posting results**:

CCd	Crcy	G/L Account	LedgerGrp	Posting Date	LCurr.	Loc. currency amnt	Acct. Debit	Acct. Credit	...
1000	USD	240060		01/31/CY	EUR	175.00	695430	240099	...
	USD	240060		02/01/CY	EUR	175.00	240099	695430	...

Figure 220: Account Determination: Posting Area 0070

© Copyright. All rights reserved.

If you do not need Valuation Areas, define a balance sheet adjustment account for every G/L account to be evaluated in Posting Area 0070. You also define the G/L accounts for revenue and expenses from evaluated exchange rate differences here.

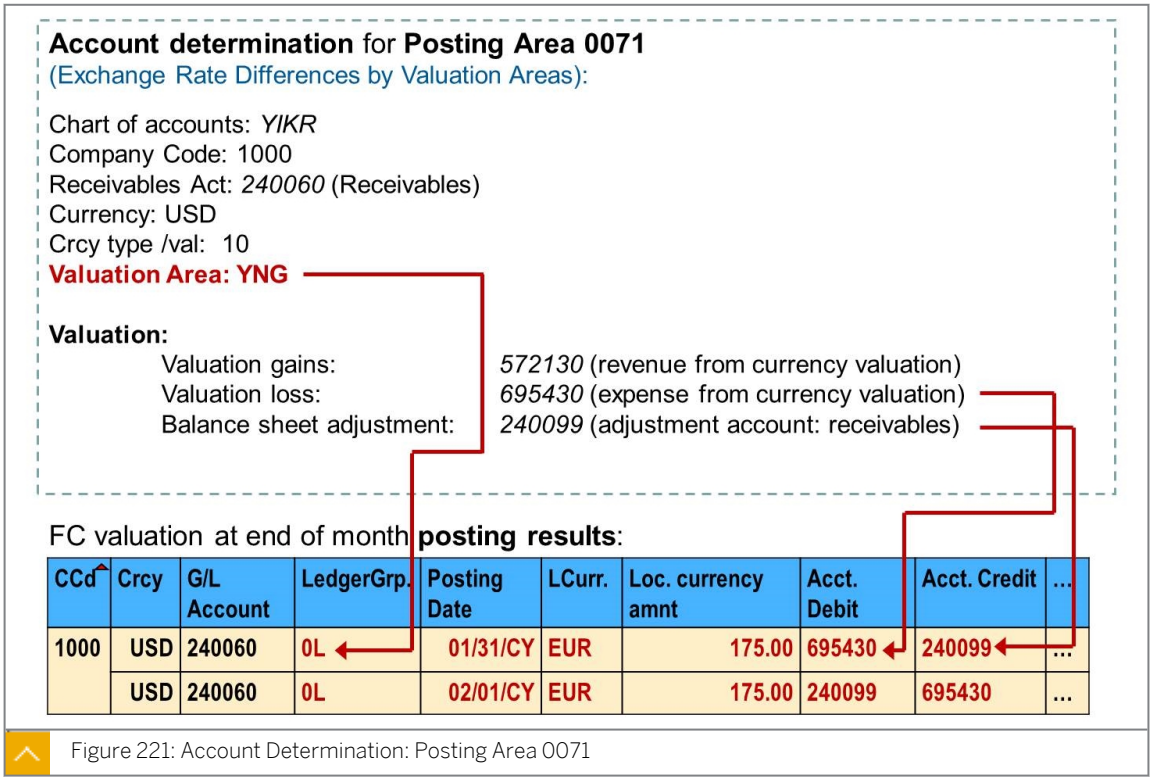


Figure 221: Account Determination: Posting Area 0071

LESSON SUMMARY

You should now be able to:

- Valuate foreign currency open items

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 15
Lesson 2

Reclassification

LESSON OVERVIEW
This lesson describes how receivables (and payables) are reclassified.

Business Example

To provide outsiders with a better overview of the company's liquidity situation, the receivables and payables must be grouped in the balance sheet according to remaining life.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- Reclassification

Reclassification

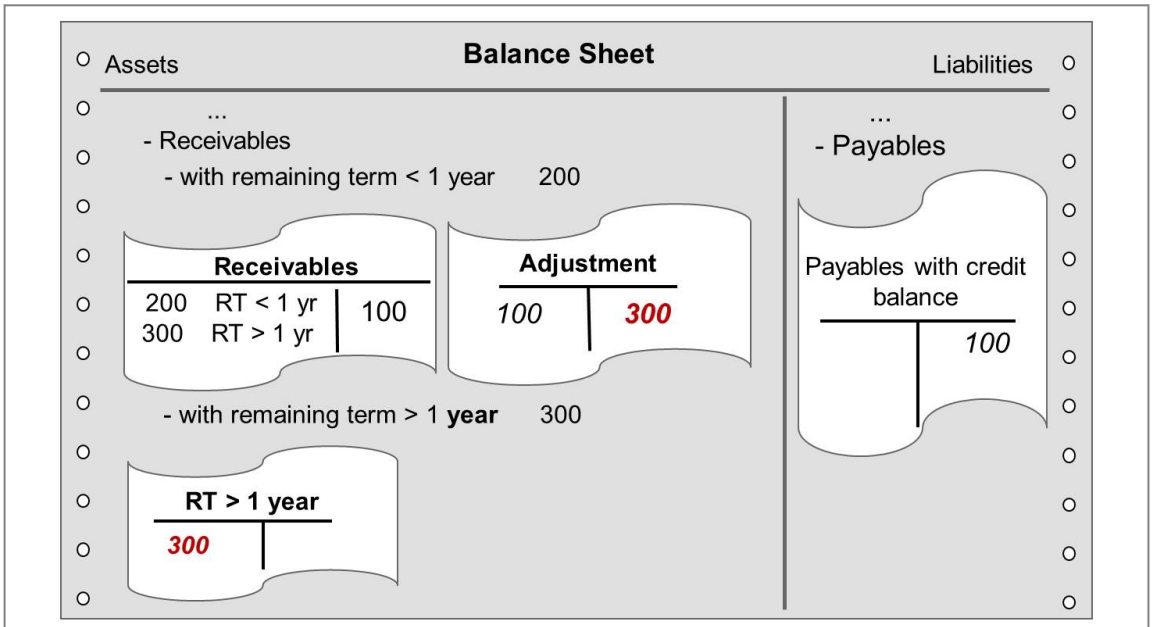


Figure 222: Reclassification and Reclassification by due date of Receivables

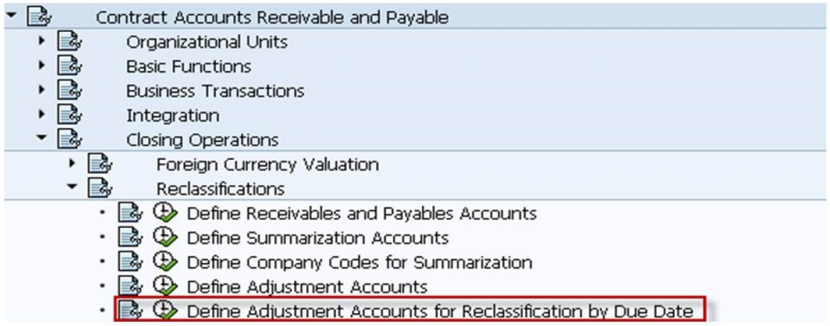
In some countries it is a legal requirement that receivables and payables are grouped in the balance sheet according to their remaining life (= Reclassification by due date). Since it is possible for some customers to have a credit balance, these balances need to be changed to vendor-like customer accounts prior to creating the financial statements (= Reclassification).

Both reclassifications are carried out using special programs. At the same time, these reclassifications are removed for the first day of the next period, since regrouping is not necessary for daily processing.

© Copyright. All rights reserved.

In the figure, you can see that the receivables with long remaining terms have to be reposted to different adjustment accounts to facilitate the creation of the financial statements. Additionally, customers with a credit balance are reclassified. An adjustment account is used as an offsetting account in FI-GL because the adjustments cannot be posted directly to a reconciliation account for Contract Accounts Receivable and Payable.

Reclassification by Due Date:
With activation of Business Function *FICAX_CI_3* → Contract Accounts Receivable and Payable, 03, you see this option in Customizing:



Settings:

- Specify the adjustment accounts and target accounts for the reclassification of open items and installment plan items based on their due dates (Posting Area 1355).
- Maintain a document type for the postings in Posting Area 1351

Figure 223: Reclassification (by due date)

You can display open–but not yet due–items according to their due date in Contract Accounts Receivable and Payable, and post reclassifications for these items. It is also possible for the system to consider installment plans when determining the due date. To do so, you have to run the "installment plan report for a key date" (Transaction: FPIPKEY) first. In that case, the due date of an assigned installment overrides the original due date of the open item.

Hint:
You will find the relevant IMG path in the figure above.

For displaying and transferring receivables and payables for customers with credit balances and vendors with debit balances choose *Financial Accounting → Contract Accounts Receivable and Payable → Closing Operations → Reclassifications Define Adjustment Accounts* (Posting Area 1350) to maintain the required adjustment accounts.

If you want to reclassify **groups of receivables or payables accounts**, you have to also enter the required summarization accounts in the IMG under *Financial Accounting → Contract Accounts Receivable and Payable → Closing Operations → Reclassifications → Define Summarization Accounts*. In this case, the system calculates the balance from all receivables or payables accounts that display the same summarization account.

© Copyright. All rights reserved.

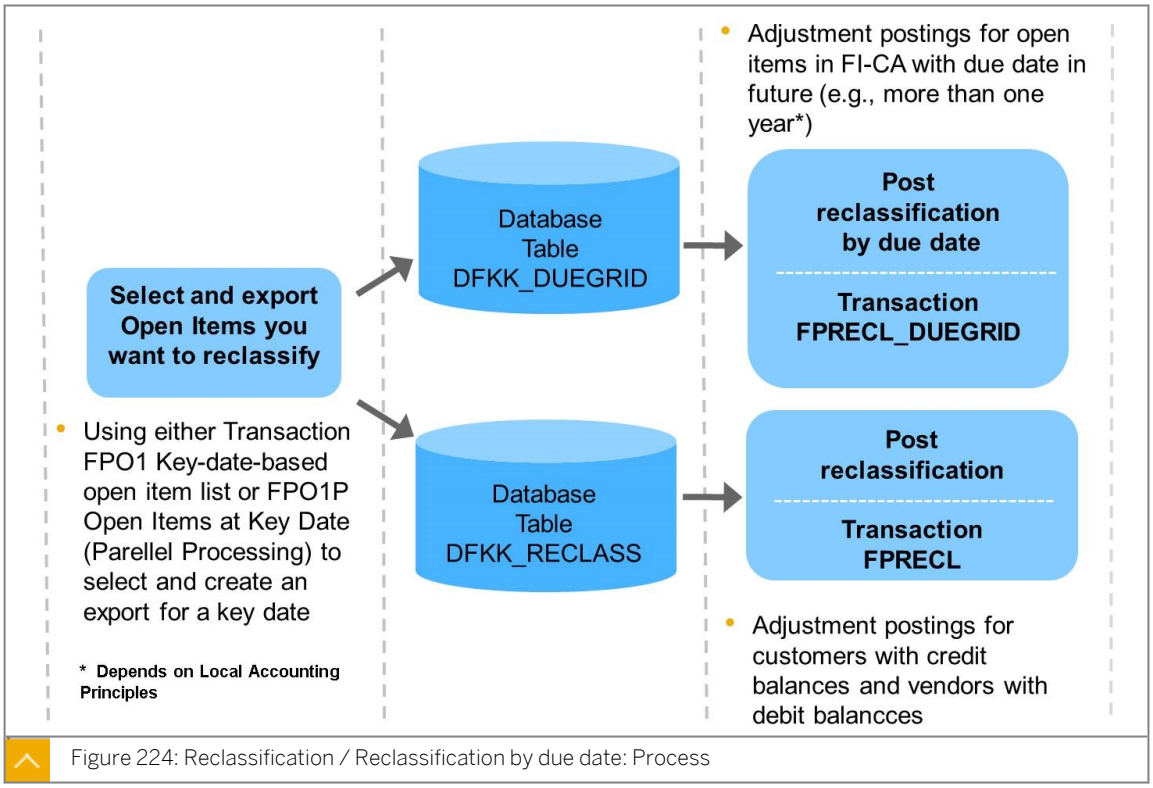


Figure 224: Reclassification / Reclassification by due date: Process

Reclassifications that are to be posted must first be exported to databases. You create these exports by using either Transaction FPO1 (Key-date-based open item list) or FPO1P (Open Items at Key Date – Parallel Processing).

Reclassifications for customers with credit balances and vendors with debit balances will be exported to database table DFKK_RECLASS. Then you can use transaction FPRECL to create the automatic adjustment postings for this business scenario.

Reclassifications for grouping of open items in the balance sheet according to their remaining life will be exported to database DFKK_DUEGRID. Use transaction FPRECL_DUEGRID to create the relevant adjustment postings.

© Copyright. All rights reserved.

Grid Intervals :

For reclassification by due date, you have to enter the grid intervals in the form of negative values; these represents the lower limit of the time interval being considered.

Grid Interval Number:	P1	P2	P3	P4	P5
Grid Intervals in days	-360	-180	-90	-60	-1

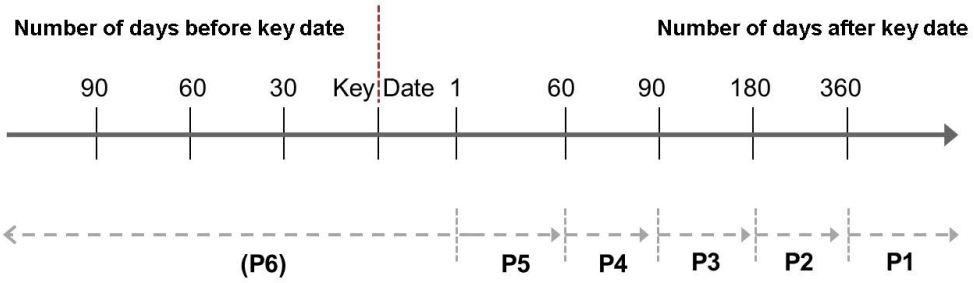


Figure 225: Grid Intervals

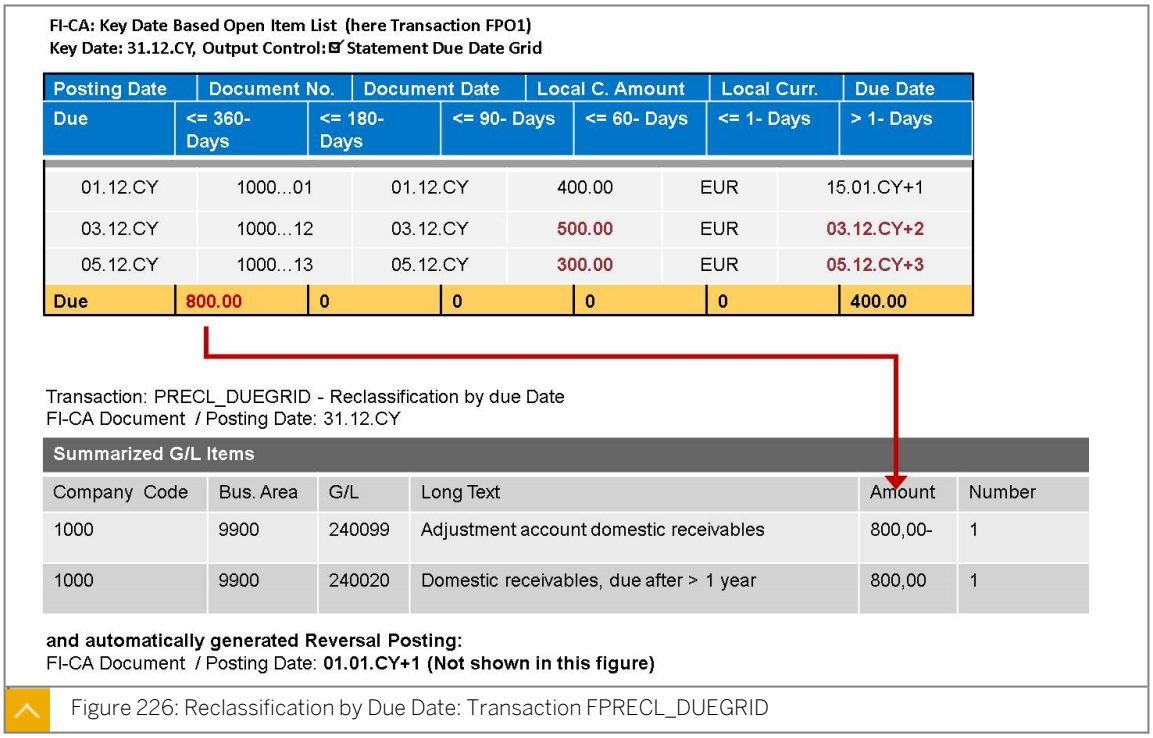
If you want to reclassify based on due dates, then enter how you want to group the open items or installment plan items in Transaction FPO1 or FPO1P. You make these specifications in the grid interval. Enter the intervals beginning with the smallest value and then enter sequential increases. For reclassification by due date, the system considers only those items that are open on the key date, but are not yet due.

When considering items that are open and not yet due on the key date, you have to enter the grid intervals in the form of negative values; these represent the lower limit of the time interval being considered. The generic example above (not based on a legal Reporting Standard) illustrates how it works.

Interval P6 groups together all items that could not be assigned to another interval. You do not have to enter this interval explicitly. The system also does not consider this interval when it determines the dates for reclassification by due date.

Note:
The export only considers intervals with a negative value. This is to prevent overlapping with items that are already due. If you want the system to consider all items that are due after the key date, you have to enter a value of -1 for the last interval.

© Copyright. All rights reserved.



FI-CA: Key Date Based Open Item List (here Transaction FPO1)
Key Date: 31.12.CY, Output Control: ☑ Statement Due Date Grid

Posting Date	Document No.	Document Date	Local C. Amount	Local Curr.	Due Date
Due	<= 360-Days	<= 180-Days	<= 90- Days	<= 60- Days	<= 1- Days	> 1- Days
01.12.CY	1000...01	01.12.CY	400.00	EUR	15.01.CY+1
03.12.CY	1000...12	03.12.CY	500.00	EUR	03.12.CY+2
05.12.CY	1000...13	05.12.CY	300.00	EUR	05.12.CY+3
Due	800.00	0	0	0	0	400.00

Transaction: PRECL_DUEGRID - Reclassification by due Date
FI-CA Document / Posting Date: 31.12.CY

Summarized G/L Items

Company Code	Bus. Area	G/L	Long Text	Amount	Number
1000	9900	240099	Adjustment account domestic receivables	800,00-	1
1000	9900	240020	Domestic receivables, due after > 1 year	800,00	1

and automatically generated Reversal Posting:
FI-CA Document / Posting Date: **01.01.CY+1 (Not shown in this figure)**

Figure 226: Reclassification by Due Date: Transaction FPRECL_DUEGRID

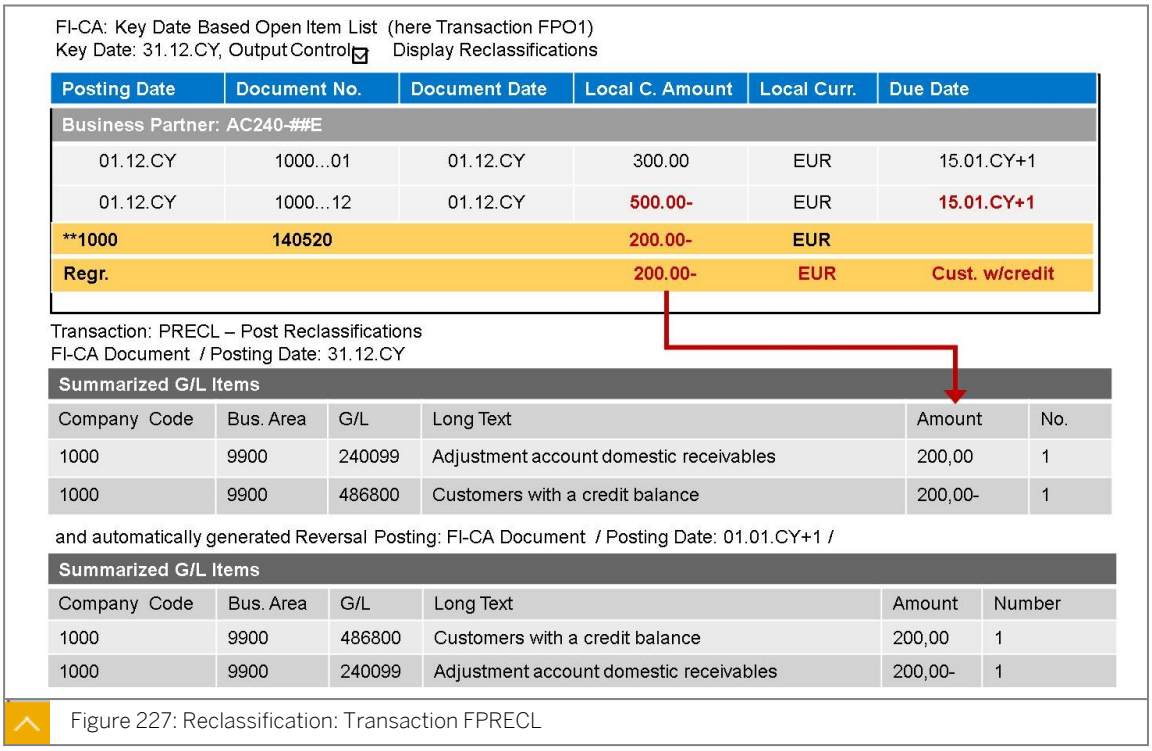
This transaction is for creating and entering the related adjustment postings for open items in Contract Accounts Receivable and Payable as part of closing operations. Based on a data export, the report generates a posting proposal that you can then post.

If there are several exports for a key date, the report posts the difference between the amounts that have already been posted and the current export. If the affected items have been exported with a specific local currency (first, second, or third – see the parameter Currency Type of Open Item List for Key Date), then the report only posts the amounts in this local currency. It does not enter values in other amount fields. For exports with no currency type, values are entered in all amount fields.

If an export contains several company codes to which different local currencies are assigned (as compared to the requested currency type), the report cannot post reclassifications of this export in one document. In this case, you have to split the export first and then post the individual partial exports.

If the affected items were exported with document currencies, an export can possibly contain multiple document currencies; you cannot post any adjustment documents. In this case, you also have to split the export first. Then, during posting, you have to enter the document currency that is contained in the export. The system proposes this currency in the posting specifications. If document currencies were exported along with a currency category, the system posts both the local currency and the transaction currency in the adjustment document.

© Copyright. All rights reserved.



FI-CA: Key Date Based Open Item List (here Transaction FPO1)
Key Date: 31.12.CY, Output Control ☑ Display Reclassifications

Posting Date	Document No.	Document Date	Local C. Amount	Local Curr.	Due Date
Business Partner: AC240-##E					
01.12.CY	1000...01	01.12.CY	300.00	EUR	15.01.CY+1
01.12.CY	1000...12	01.12.CY	500.00-	EUR	15.01.CY+1
**1000	140520		200.00-	EUR	
Regr.			200.00-	EUR	Cust. w/credit

Transaction: PRECL – Post Reclassifications
FI-CA Document / Posting Date: 31.12.CY

Summarized G/L Items

Company Code	Bus. Area	G/L	Long Text	Amount	No.
1000	9900	240099	Adjustment account domestic receivables	200,00	1
1000	9900	486800	Customers with a credit balance	200,00-	1

and automatically generated Reversal Posting: FI-CA Document / Posting Date: 01.01.CY+1 /

Summarized G/L Items

Company Code	Bus. Area	G/L	Long Text	Amount	Number
1000	9900	486800	Customers with a credit balance	200,00	1
1000	9900	240099	Adjustment account domestic receivables	200,00-	1

Figure 227: Reclassification: Transaction FPRECL

Use transaction FPRECL to create automatic adjustment postings for customers with credit balances and vendors with debit balances in Contract Accounts Receivable and Payable. The procedure, in reference to multiple exports for a key date, several company codes in an export, and currencies, is similar to transaction FPRECL_DUEGRID.

LESSON SUMMARY

You should now be able to:

- Reclassification

© Copyright. All rights reserved.

Unit 15
Lesson 3

Doubtful Entry and Value Adjustment

LESSON OVERVIEW
This lesson gives you an overview of the process of marking documents as doubtful in Contract Accounts Receivable and Payable.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- Doubtful Entry and Value Adjustment

Doubtful Entry and Value Adjustment

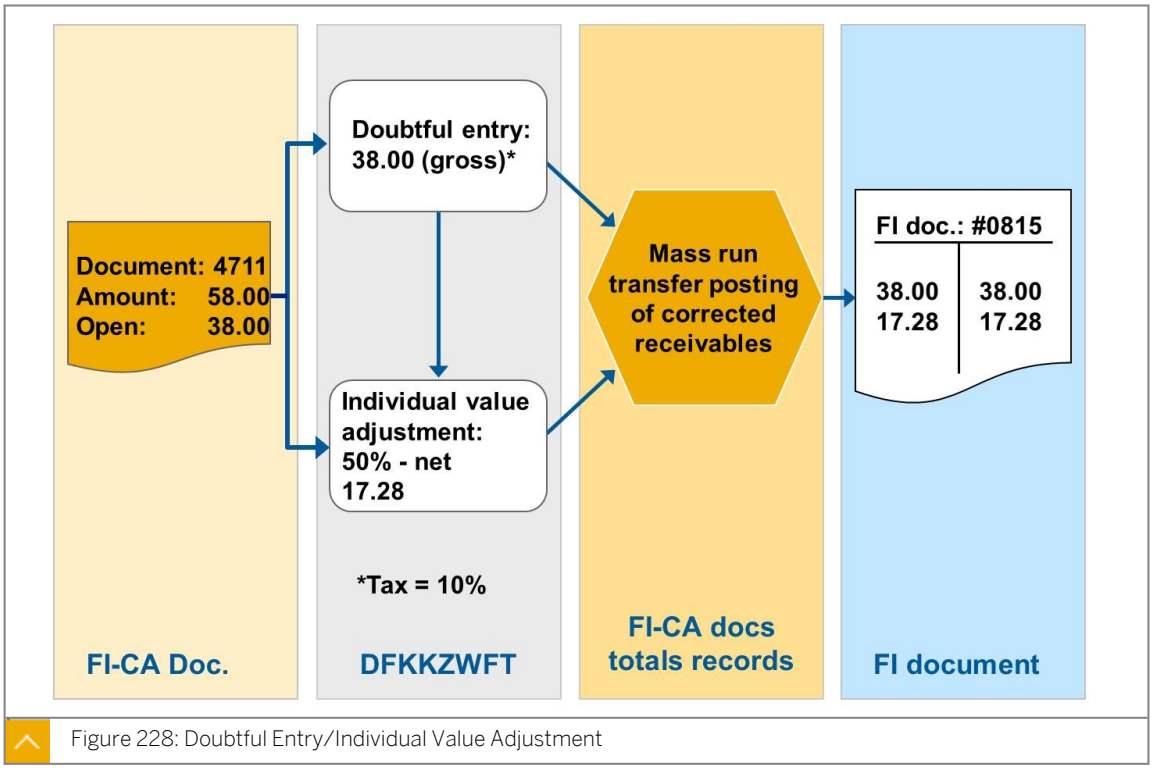


Figure 228: Doubtful Entry/Individual Value Adjustment

© Copyright. All rights reserved.

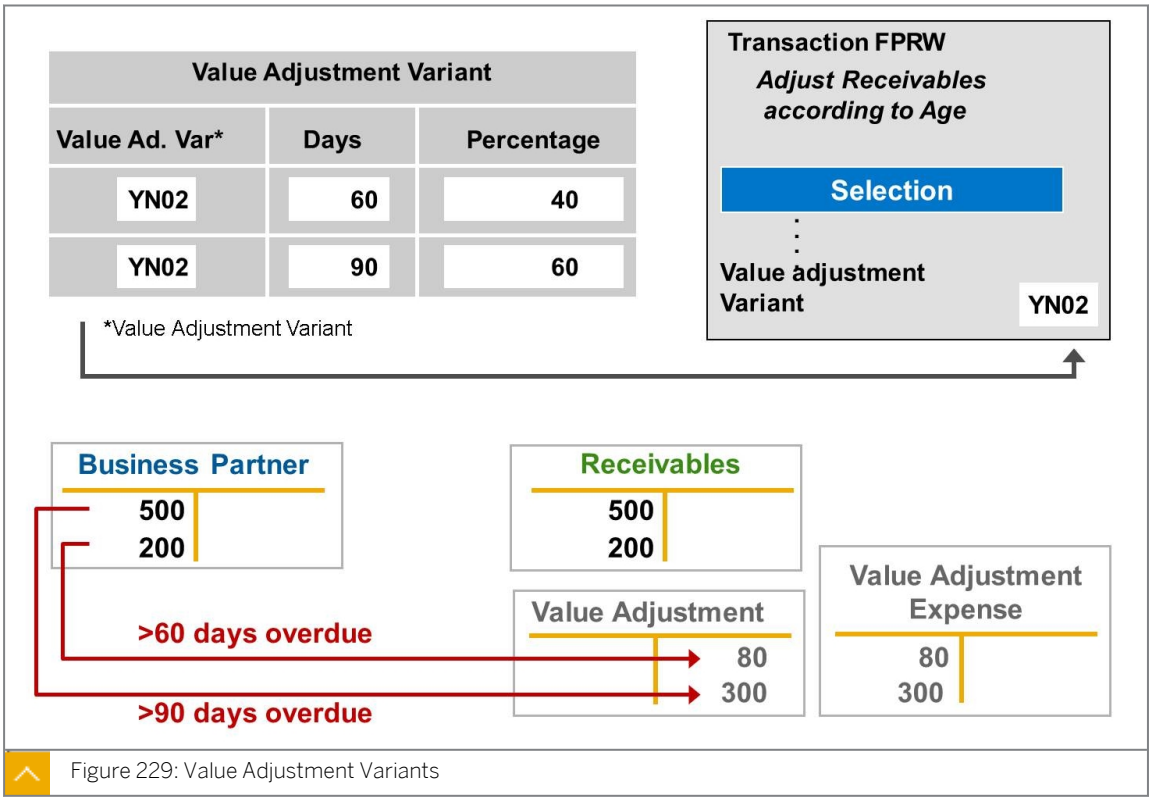


Figure 229: Value Adjustment Variants

Using the mass activity “Adjust Receivables by Age,” you can carry out doubtful entries and individual value adjustments for receivables of a certain age automatically. Here you can define several value adjustment variants according to which the doubtful entries and individual value adjustments are to be made. With a value adjustment variant, you define from which age receivables are to be set as doubtful entry or the value is to be adjusted individually. The due date is used to determine the age of a receivable.

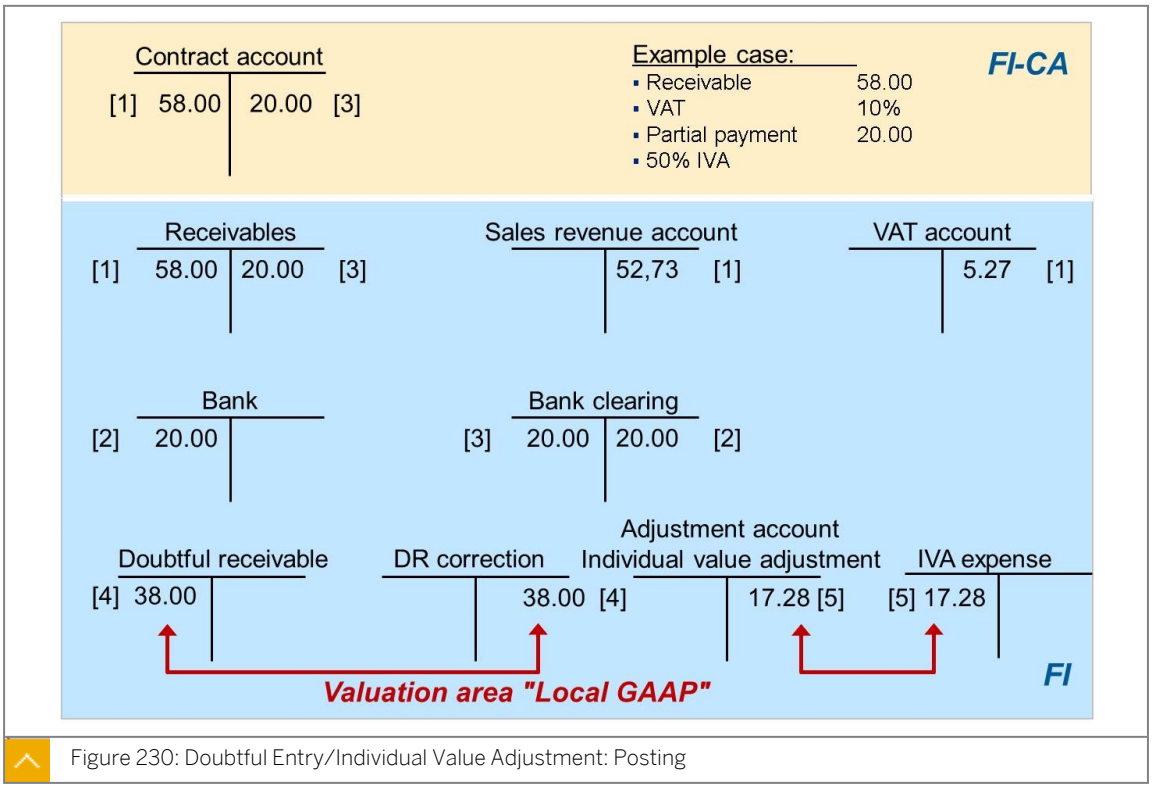


Figure 230: Doubtful Entry/Individual Value Adjustment: Posting

© Copyright. All rights reserved.

Posting records:

1. Bill creation
2. Post incoming payment in general ledger accounting (bank statement)
3. Post payment in subledger accounting and allocate the payment
4. Mark the receivable as doubtful
5. Individual value adjustment

Steps 4 and 5 generate FI-CA documents, which are relevant only for general ledger accounting. This means that they do not have any business partner items.

Valuation areas: you can process an item in different ledger groups in different ways by marking it as doubtful or adjusting an individual value. To do so, use the valuation areas that each refer to one ledger group. In the transactions "Adjust Receivables" (FPZW), "Adjust Receivables According to Age" (FPRW), and "Transfer Post Adjusted Receivables" (FPRV), you can then carry out activities based on the valuation area. Along with percentage values, an absolute value adjustment amount is also available.

For technical reasons, the use of valuation areas in conjunction with doubtful entries and individual value adjustments requires the following new database tables: DFKKZWFT (new trigger table), DFKKZWFH (new history table), and DFKKZWFP (new transfer posting table).

All data from the previous database tables (DFKKZW, DFKKZWH, and DFKKZW2) must be transferred to the new database tables using sample report RFKK_ZWFEWB_BWBER_INIT, and valuation areas must be adjusted where necessary.

LESSON SUMMARY

You should now be able to:

- Doubtful Entry and Value Adjustment

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 15
Lesson 4

Write-Off

LESSON OVERVIEW
This lesson provides an overview of how to write off documents in Contract Accounts Receivable and Payable.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- Write off uncollectible receivables in Contract Accounts Receivable and Payable.

Write-Off

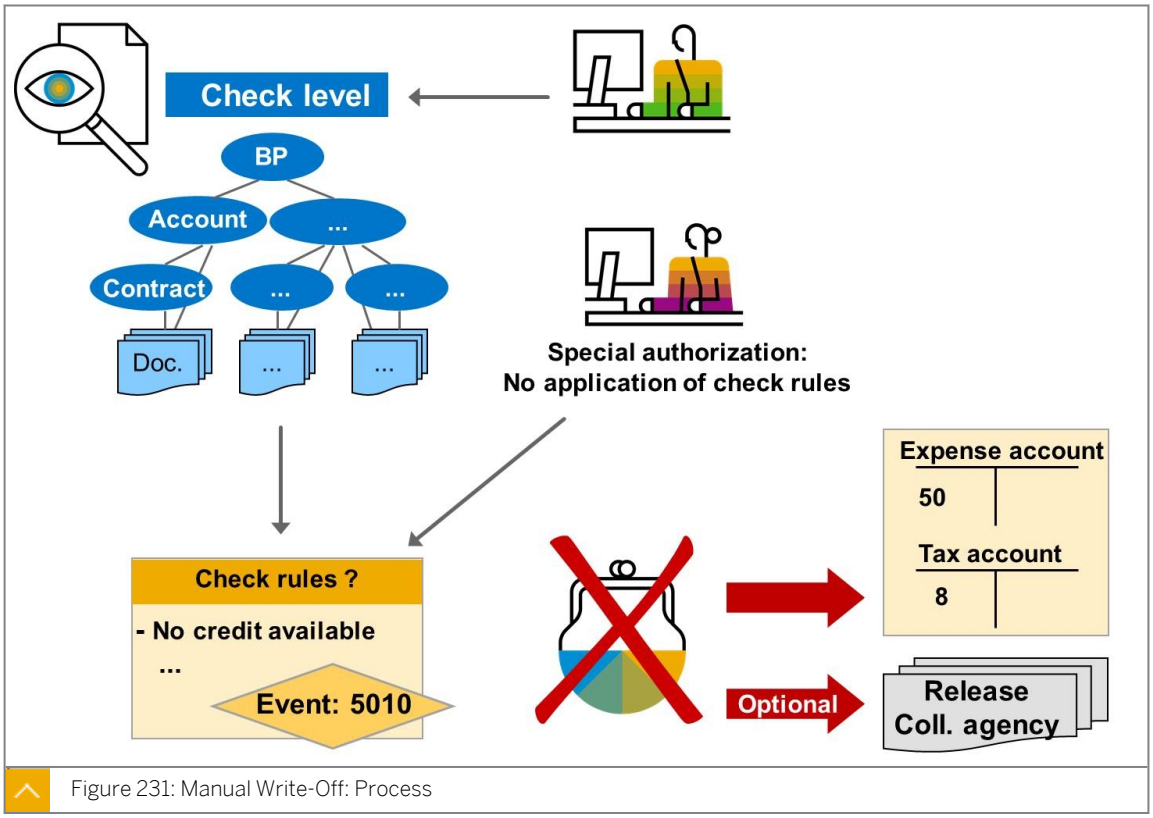


Figure 231: Manual Write-Off: Process

With the appropriate authorization, you can set the indicator that determines that the check rules are not used.

Open receivables can be written off in full or, if a partial amount of the open receivables is to be waived, the open receivables can be written off as a partial amount of the open items. You can specify the partial amount to be written off in the *Write Off Items* transaction. Partial write-offs must be explicitly permitted in Customizing along with a write-off reason. When an item is written off, the written-off document items are cleared and a write-off document is created. The system automatically posts the expense or revenue accounts defined in

© Copyright. All rights reserved.

Customizing. Write-off documents can be reversed. If this is done, receivables or payables are open again.

You must define rules for adjusting tax during write-offs. If the posted expense account is tax-relevant, the system also adjusts the posted tax during write-off.

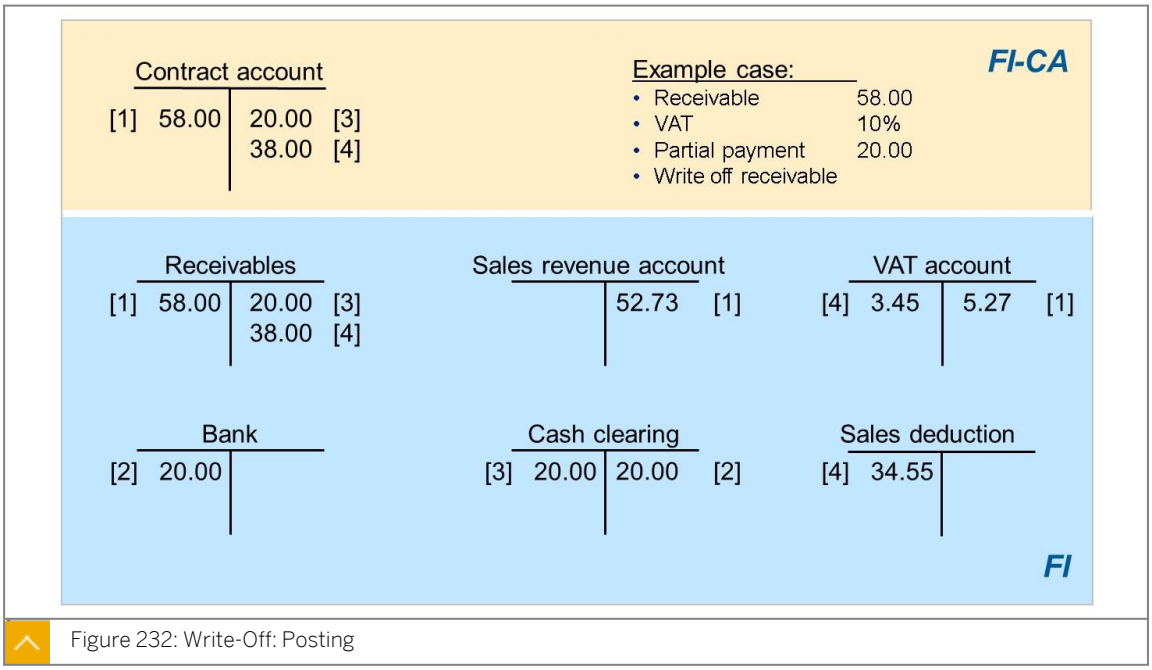


Figure 232: Write-Off: Posting

Posting records:

1. Bill creation
2. Post incoming payment in general ledger accounting.
3. Post payment in subledger accounting and allocate the payment.
4. Write off the open item.

© Copyright. All rights reserved.

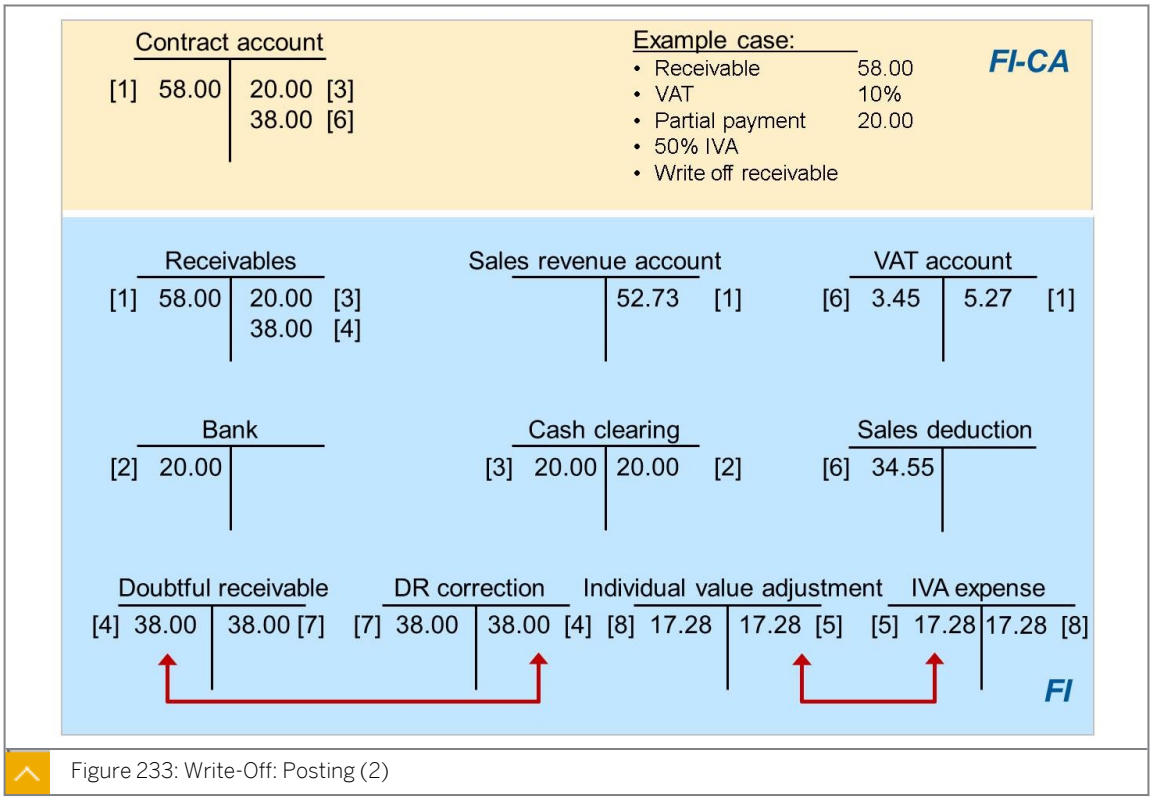


Figure 233: Write-Off: Posting (2)

Posting records:

1. Bill creation
2. Post incoming payment in general ledger accounting (bank statement).
3. Post payment in subledger accounting and allocate the payment.
4. Mark the receivable as doubtful.
5. Individual value adjustment

   Steps 4 and 5 generate **FI-CA documents** that are relevant only for **general ledger accounting**. This means that they do not have any business partner items.
6. Write off the open item.
7. Reset doubtful entry.
8. Reset IVA.

© Copyright. All rights reserved.

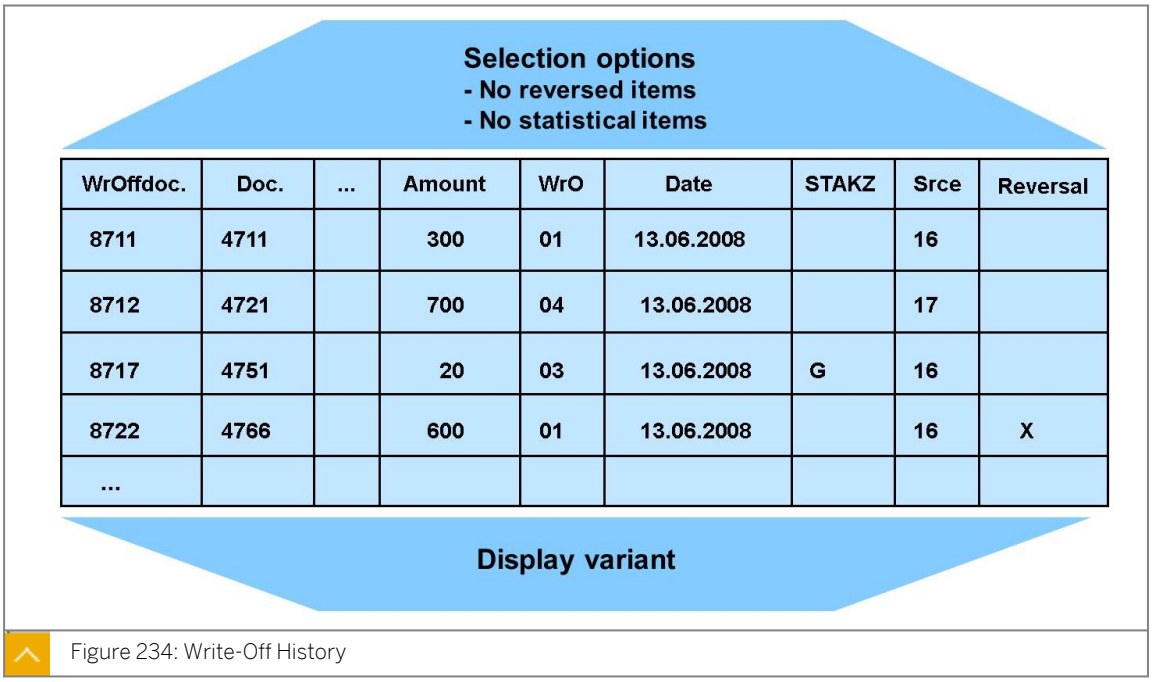


Figure 234: Write-Off History

Write-off history is automatically updated during write-off. It can also be automatically updated during mass write-off, depending on authorization. The reversal of a write-off document is also recorded in the write-off history.

LESSON SUMMARY

You should now be able to:

- Write off uncollectible receivables in Contract Accounts Receivable and Payable.

© Copyright. All rights reserved.

UNIT 16

Integration to SAP Convergent Invoicing

Lesson 1

SAP Convergent Invoicing 277

UNIT OBJECTIVES

- explain the integration of SAP Convergent Invoicing with SAP Contract Accounting

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 16
Lesson 1

SAP Convergent Invoicing

LESSON OVERVIEW
This lesson provides an overview how SAP Convergent Invoicing is integrated with SAP Contract Accounting.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- explain the integration of SAP Convergent Invoicing with SAP Contract Accounting

Consume-to-Cash Process

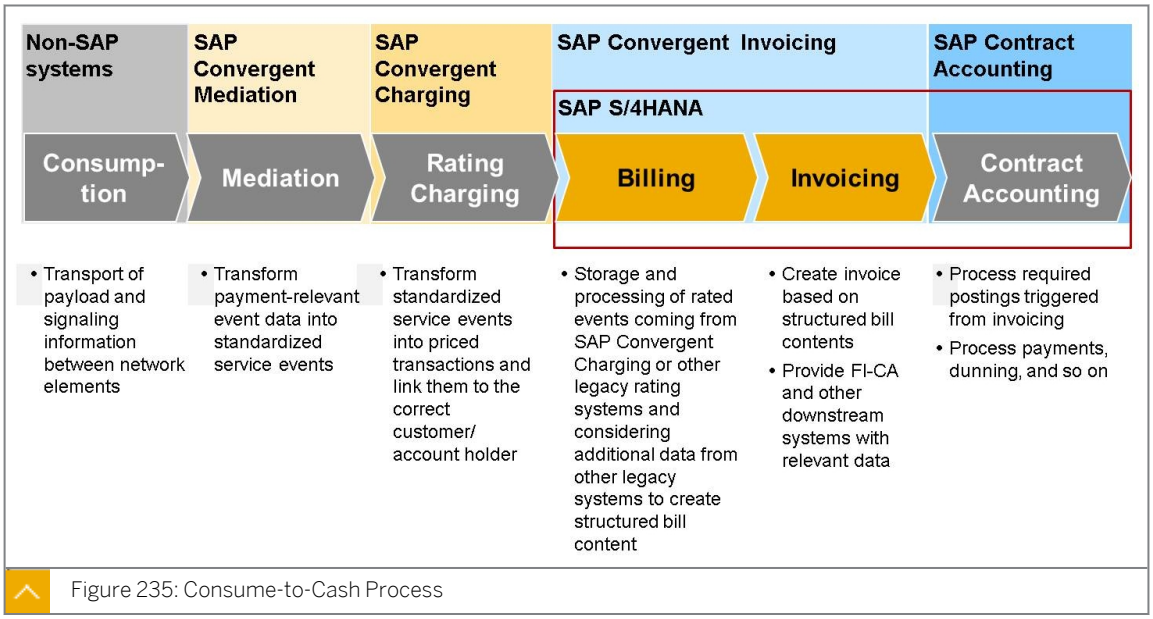


Figure 235: Consume-to-Cash Process

Convergent Invoicing:

SAP Convergent Invoicing is included in S/4 HANA and integrated in FI-CA. Convergent invoicing supports the process upload of consumption detail records (CDR), storage of billable items, aggregation of billable items and invoicing. Convergent invoicing is highly integrated with contract accounting.

© Copyright. All rights reserved.

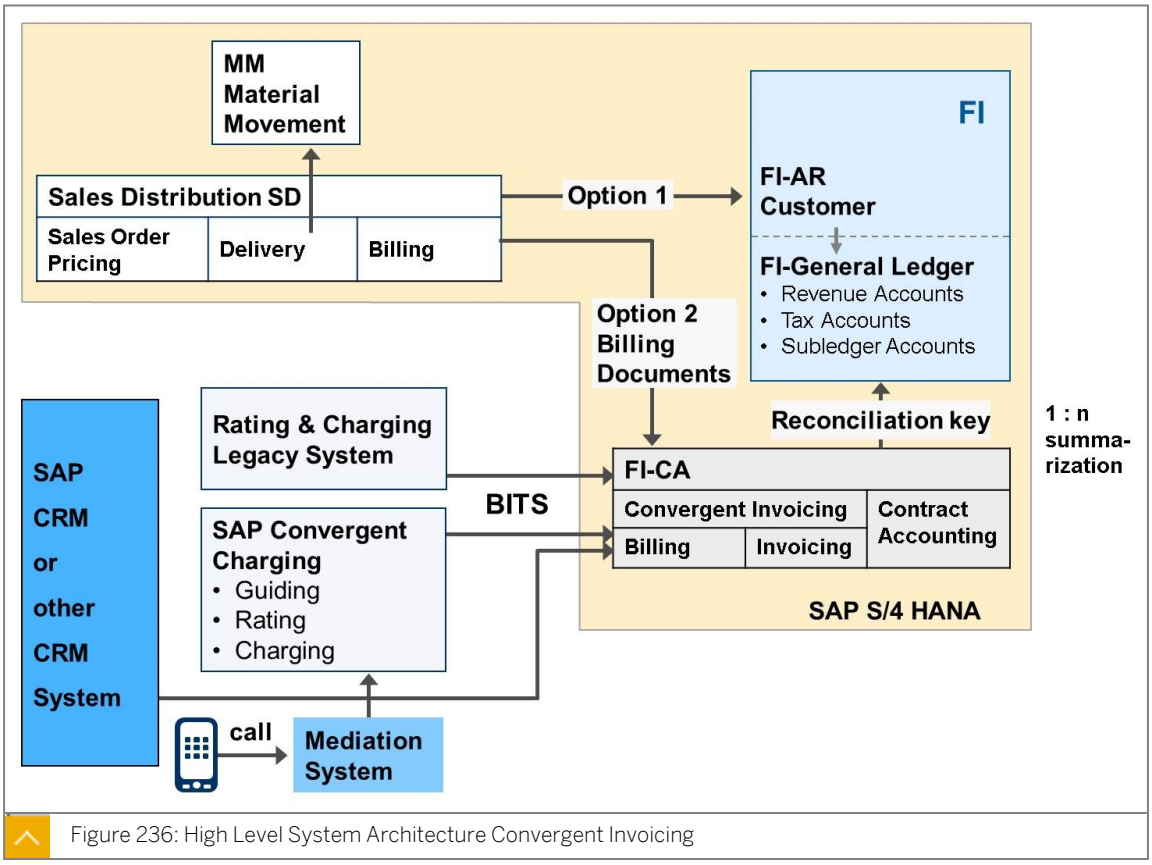


Figure 236: High Level System Architecture Convergent Invoicing

Mediation system

A mediation system provides consumption data records. As there is no mediation system in place, you need to simulate the consumption data records. In this case, simulate means having a CSV file, where records are stored in a simple table-like structured text file. The values of the CSV file have to be edited manually for individual usage.

The CSV file is then uploaded to SAP CC, where the consumption data records are transformed to chargeable items by a specific field mapping (chargeable item mapping).

SAP Convergent Charging (CC) system

SAP Convergent Charging is designed for business users as opposed to specialized IT staff. Compared to other systems, the solution uses a very different way of representing pricing and charging logic, namely through decision trees. The intuitive, graphical user interface supports business configuration without lengthy coding cycles when making changes or designing new pricing models.

The decision trees allow for a genuinely flexible expression of configurable pricing and charging logic. They are easy to learn and easy to use. This is not a fill in the blanks model where the pricing logic is predefined, and all the user can do is set price levels or tiers. Pricing and charging logic are built up by assembling decision trees containing simple components. These components are like simple building blocks that users can put together in many different ways. There are no constraints on the depth of the tree or the way in which users choose to sequence the different decision building blocks. In this way, users can create exactly what they need, without requiring custom coding or change requests from SAP.

Incoming consumption data records are called chargeable items in SAP CC. After the rating process, the chargeable items are transformed into charged items by a specific field mapping (charged item mapping).

© Copyright. All rights reserved.

The charged items are sent to SAP CI using the bulk loader process. As the fields of the charged items and billable items are equal, no further field mapping is necessary. Bulk loading is generally a scheduled process, so it has to be triggered manually for testing purposes.

SAP Convergent Invoicing (CI)

Incoming charged items are called billable items in SAP CI. Billable items are stored with the processing status billable or raw, depending on possible issues that may occur during loading.

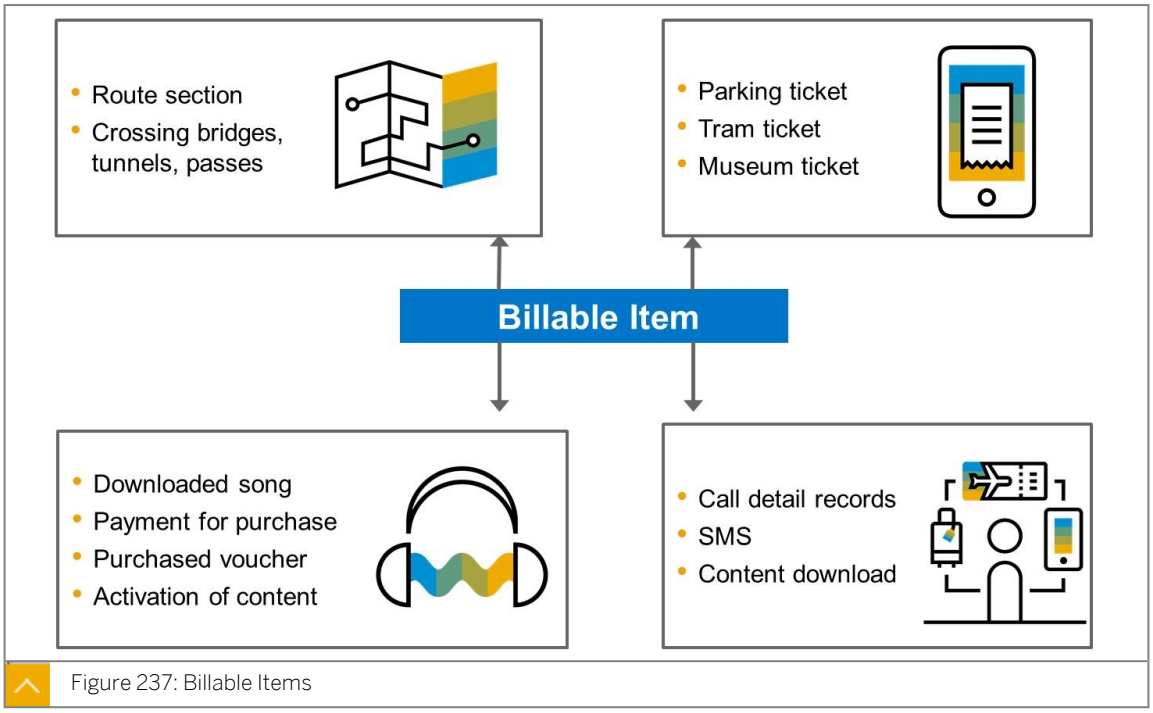


Figure 237: Billable Items

Billable items occur in very different service industries. The following section names some examples.

In the telecommunication industry, a call includes technical data about the connection between two phone numbers. After the data has passed a charging plan and the price of the call has been calculated, it represents a billable item.

In the postal services industry, a parcel shipment can be regarded as a billable item. There may be additional insurance for the parcel shipment, so that both constitute billable items to be calculated and printed on one invoice.

In the Internet services industry, the download of a song or an e-book is an example of a billable item.

© Copyright. All rights reserved.

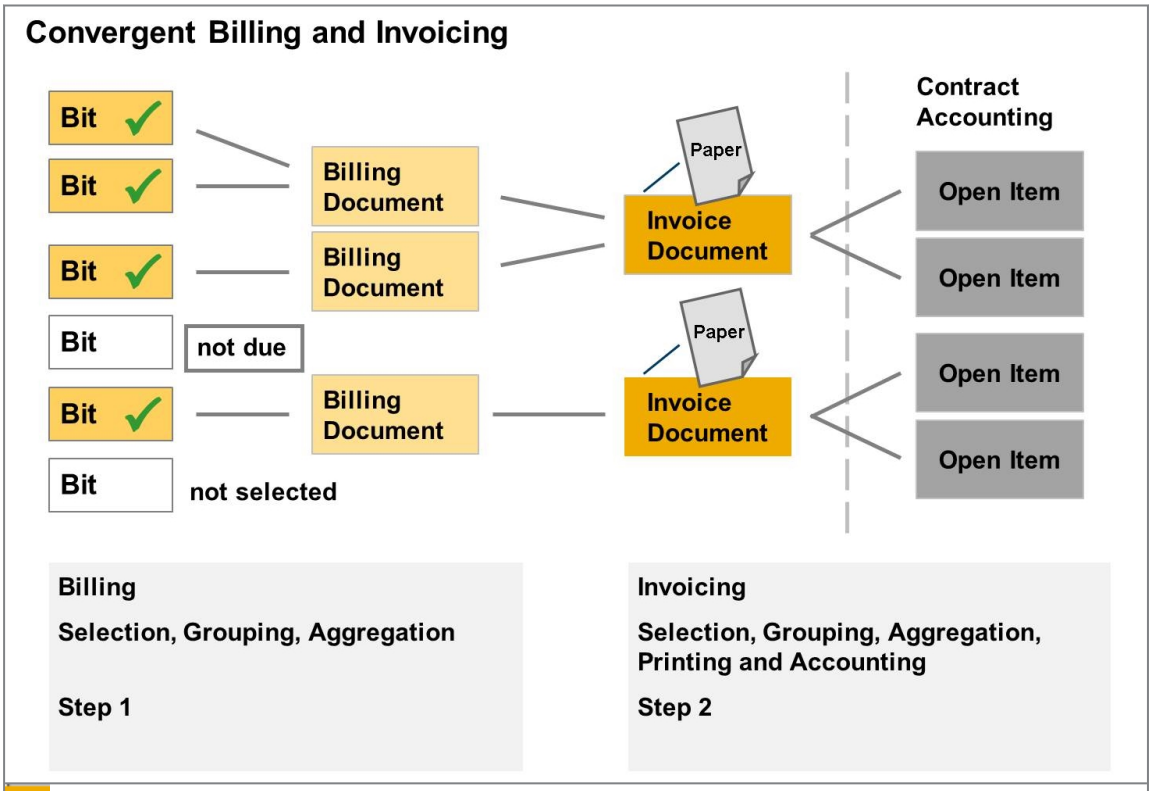


Figure 238: Invoicing of Billing Documents

You can perform selection, grouping, and aggregation in two separate steps. This is not necessary in all system architectures, but with SAP Convergent Invoicing, it is possible to do so.

The billing process describes the first step, and invoicing the second step

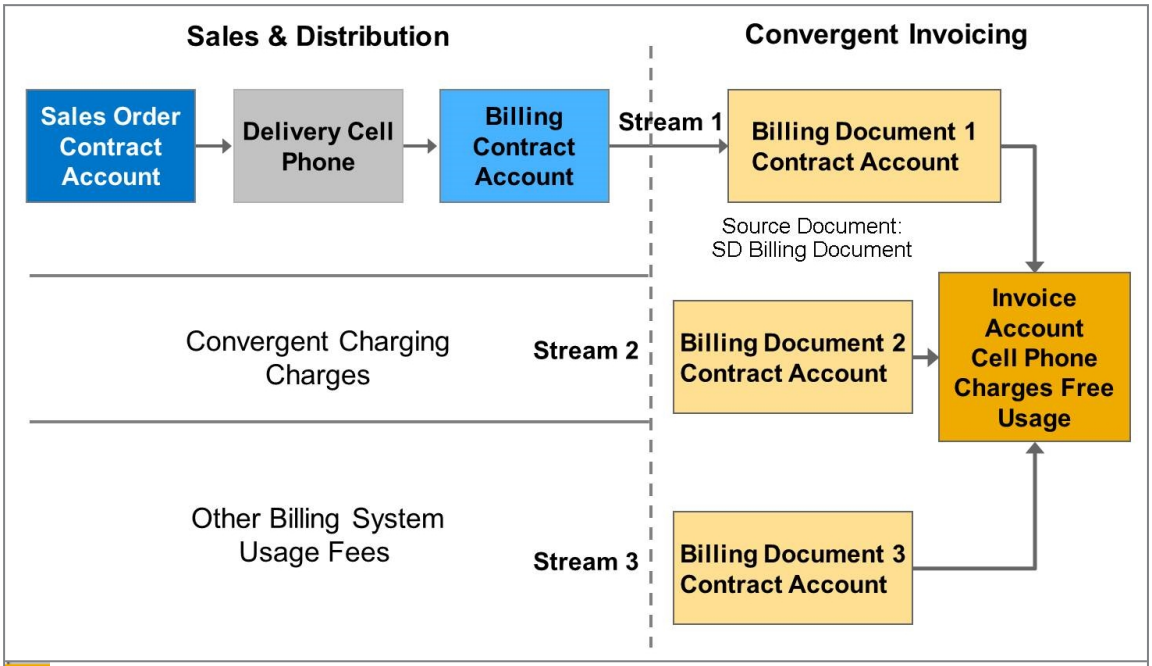


Figure 239: Invoicing of SD Billing Document in CI with Invoicing Function

Business Example:

© Copyright. All rights reserved.

A customer printer was repaired by a Print Service Corporation. The repair service is handled in SAP Sales and Distribution. The cost of the repair is added to the next monthly invoice. An invoicing order is sent from SAP Sales and Distribution to SAP Convergent Invoicing (both in the same SAP S/4HANA on-premise system).

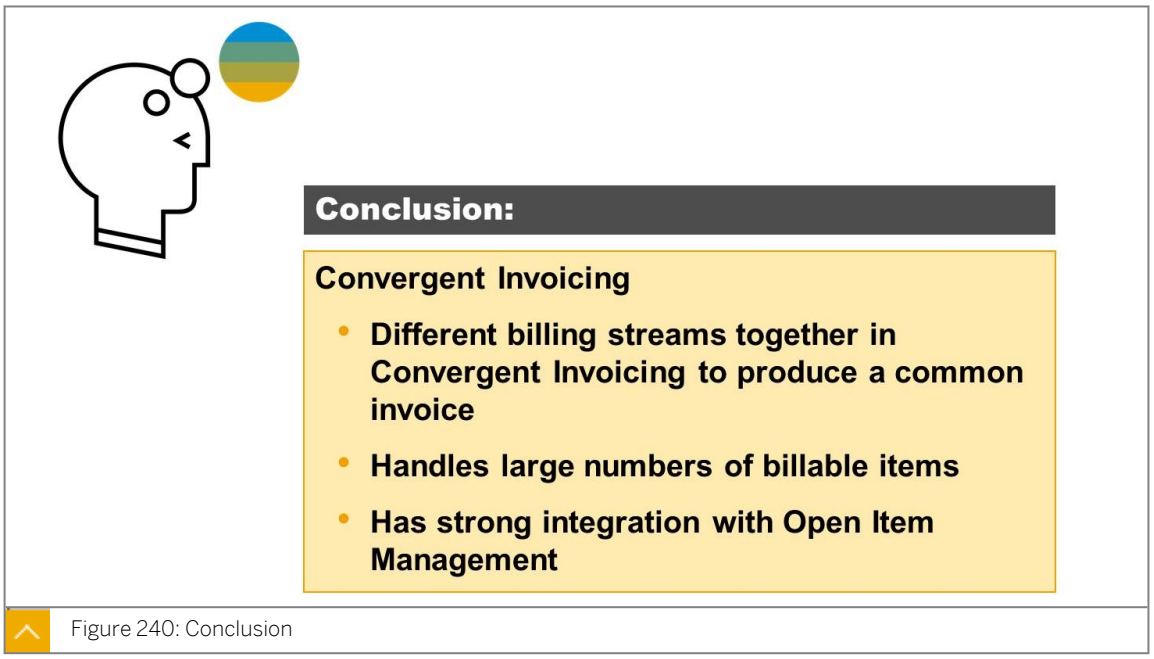


Figure 240: Conclusion

LESSON SUMMARY

You should now be able to:

- explain the integration of SAP Convergent Invoicing with SAP Contract Accounting

© Copyright. All rights reserved.

© Copyright. All rights reserved.

UNIT 17 Appendix

Lesson 1

Event Technology 285

Lesson 2

Mass Processing 287

UNIT OBJECTIVES

- describe the event technology to integrate customer requirements
- describe the concept of mass processing in FI-CA

© Copyright. All rights reserved.

© Copyright. All rights reserved.

Unit 17
Lesson 1

Event Technology

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the event technology to integrate customer requirements without modification.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the event technology to integrate customer requirements

Event Technology

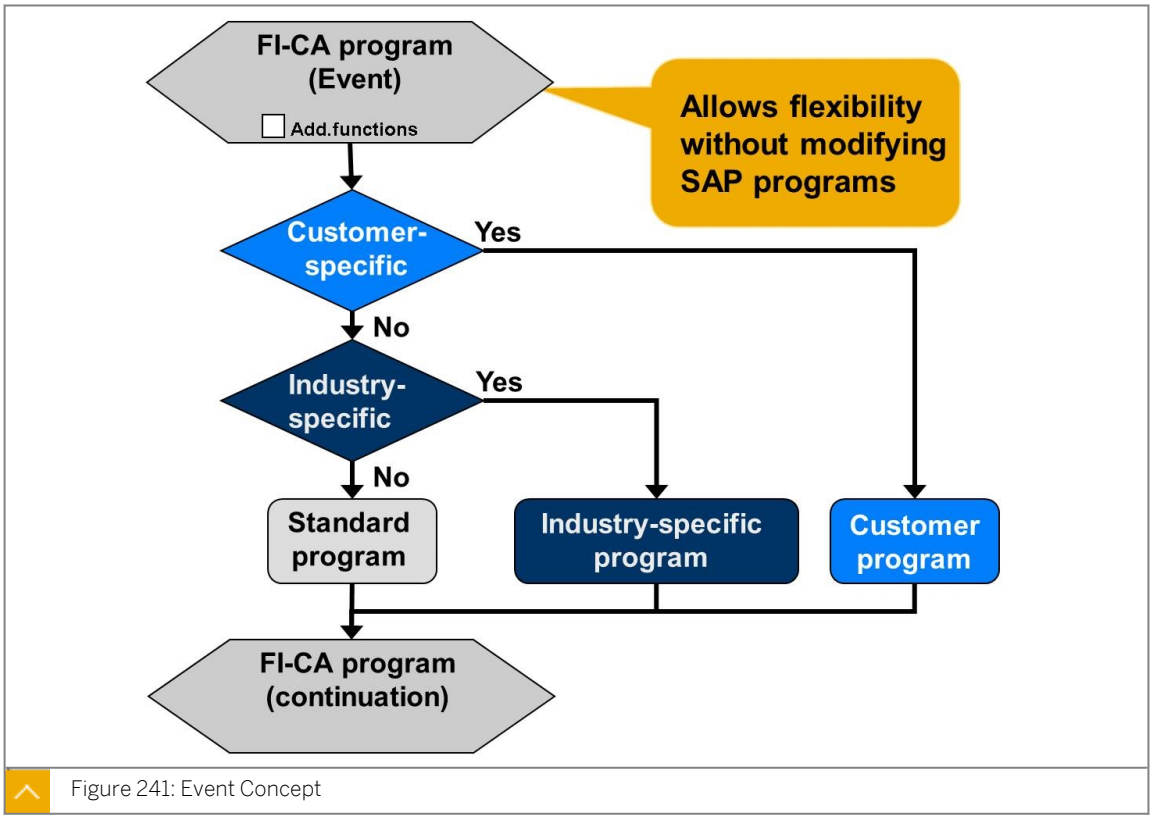


Figure 241: Event Concept

You maintain events and their function modules in Customizing for FI-CA, under *Program Enhancements → Define Customer-Specific Function Modules*.

The module FKK_FUNC_MODULE_DETERMINE uses the following sequence:

- TFKFBM sample function module from FI-CA
- TFKFBS standard function module

© Copyright. All rights reserved.

- TFKFBC installation-specific function module

The technical name of the sample function module is formed from the technical code FKK_SAMPLE_ and the name of the event. In the case of a sample function module defined at event 0010, the name would be FKK_SAMPLE_0010.

If the indicator “Additional functions” is set, several function modules of the corresponding industry component and several customer-specific function modules can be processed. The modules from the application area are called before the customer-specific modules. The sample module is not processed, it is used merely to define the interface.

Along with the events that are available to all industry components, additional industry-specific events also exist. You can recognize these from the encryption of the application area in the technical name.

Table 2: Event Nomenclature

From Event	To Event	Application
0	9999	Application-Independent
R0	R999	Utilities Industry
V0	V999	Insurance
T0	T999	Telecommunications
P0	P999	Public Sector
X0	X999	Partner Developments
Z0	Z999	Customer Developments
S0	S999	Contract Accounts Receivable Payable
M0	M999	Media Companies

Events can be managed using transaction FQEVENTS.

LESSON SUMMARY
You should now be able to:

- describe the event technology to integrate customer requirements

© Copyright. All rights reserved.

Unit 17
Lesson 2

Mass Processing

LESSON OVERVIEW
At the conclusion of this lesson, you will be able to describe the concept of mass processing.

LESSON OBJECTIVES
After completing this lesson, you will be able to:

- describe the concept of mass processing in FI-CA

Mass Processing

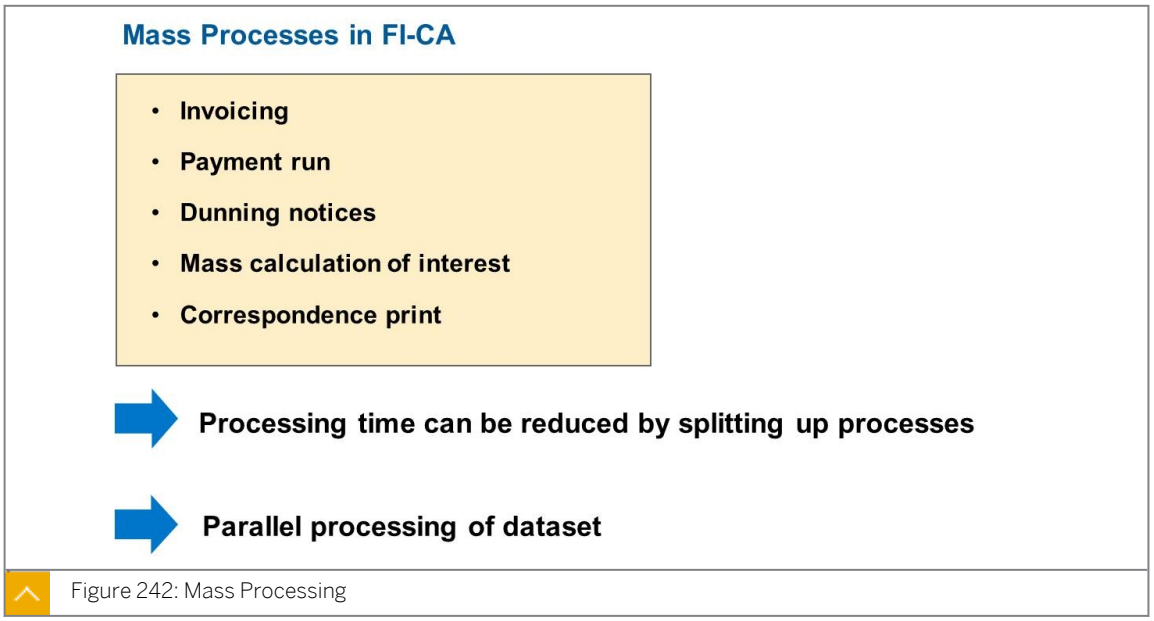


Figure 242: Mass Processing

Business processes such as payment or dunning runs, in which large volumes of data are processed, are realized in FI-CA by using mass activities. Mass activities automatically split the dataset (such as a number of business partners or contract accounts) into multiple technical jobs and process them in parallel at the same time.

© Copyright. All rights reserved.

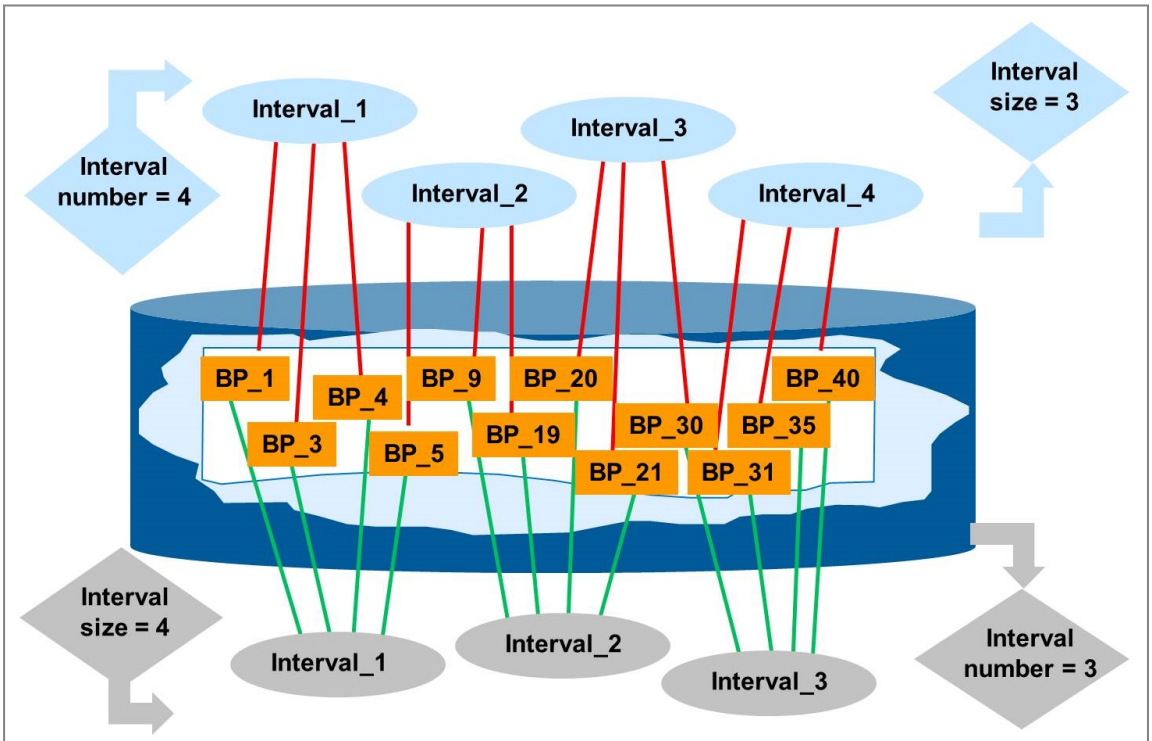


Figure 243: Parallel Mass Processing Interval Creation

When processing data, the system automatically splits the dataset to be processed into multiple parallel jobs. The specifications for distributing the key for the parallel objects are saved in variants, which you must update periodically. For example, you can create a variant for business partners that splits the business partner set to be processed into 1,000 equal intervals.

During parallel processing, the system makes sure that the processes do not block each other due to changing accesses to the same database resources.

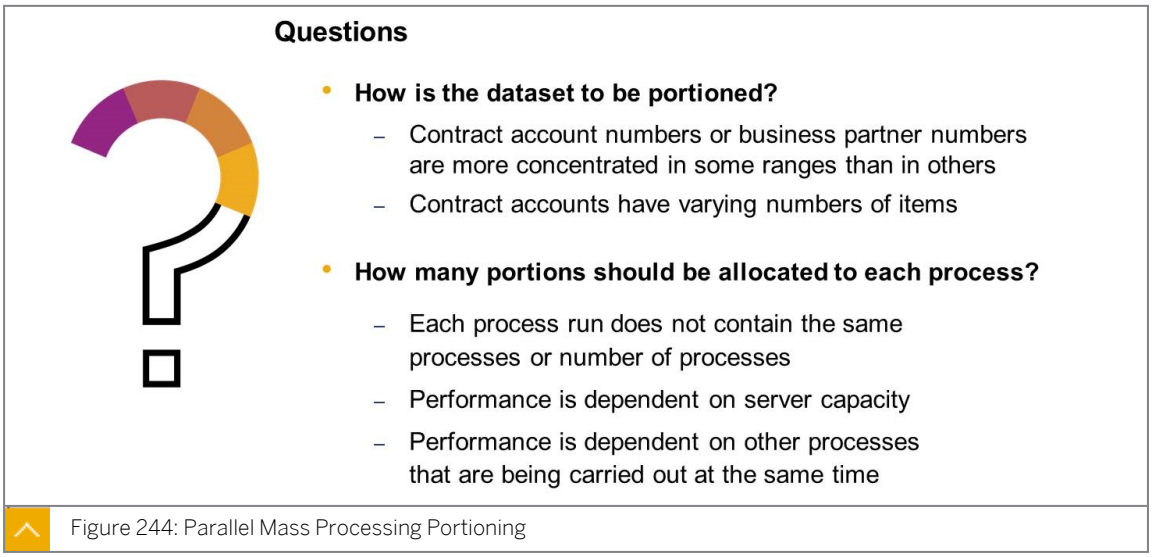


Figure 244: Parallel Mass Processing Portioning

© Copyright. All rights reserved.

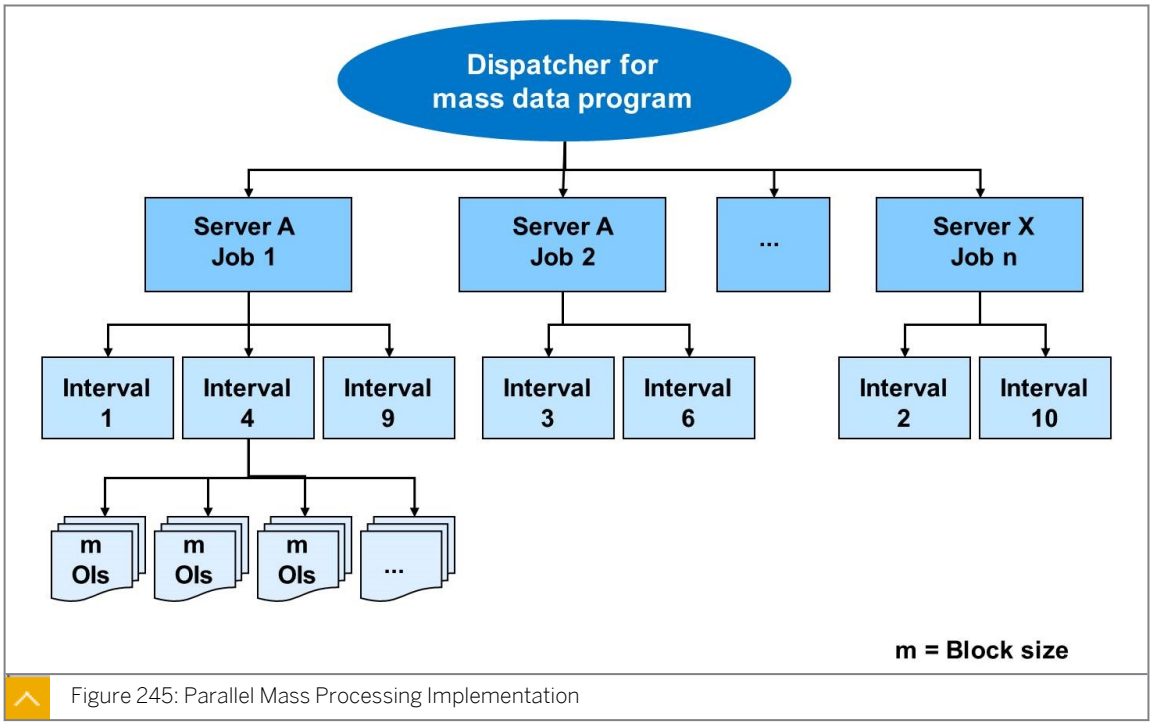


Figure 245: Parallel Mass Processing Implementation

For more information about scheduling batch processes in FI-CA and working with the FI-CA job container, see the SAP Support Portal (keyword FO-JOB).

LESSON SUMMARY

You should now be able to:

- describe the concept of mass processing in FI-CA

© Copyright. All rights reserved.